

Glenmark Pharmaceuticals Ltd. (GLENMARK)

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Call: Aug 2022

Page 1 of 16

"Glenmark Pharmaceuticals Limited Q1 FY 23 Earnings Conference Call"

August 12, 2022

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Glenmark Pharmaceuticals Limited
August 12, 2022

Page 2 of 16

Moderator : Good morning, ladies and gentlemen . Welcome to the Q1 FY23 Earnings Conference Call of Glenmark Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi – General Manager – Investor Relations for Glenmark Pharmaceuticals . Thank you , and over to you , sir.

Utkarsh Gandhi: Thank you, moderator. Good morning everyone , and a very warm welcome to the Q1 FY23 Results Conference Call of Glenmark Pharmaceuticals Limited .

Before we start the call , a review of the operations for the first quarter of FY23 . Glenmark's consolidated revenues from operations for Q1 FY23 was at Rs. 27,773 million as against Rs. 29,649 million in the corresponding quarter last year, recording a decrease of 6.3%. Excluding the global sales of COVID -related products in the first quarter of FY22, the year -on-year growth in the base business in the current financial year was at 10.4%.

Let's review the performance of the formulation business starting with India . Sales from the formulation business in India for the first quarter of FY23 was at Rs. 10,352 million as against Rs. 12,250 million in the previous corresponding quarter, recording a decrease of 15.5%. This decline is mainly on account of a high base due to the sales of COVID -related products in Q1 of FY22. The India business contribution was at 37.3% of the total revenues of Glenmark in Q1 of FY23 .

As per IQVIA MAT June 2022, Glenmark's India formulation business is ranked 14th with a market share of 2.17%. During the quarter, Glenmark's India business further strengthened its position in its key therapy areas such as Cardiac and Anti -diabetic in terms of market share. As per IQVIA MAT June 2022 data, Cardiac segment market share increased to 5.18% while the Anti-diabetic segment market share increased to 1.81%. As per IQVIA MAT June 2022, the company is ranked 2nd in the Derma segment, 4th in the Respiratory segment and the Company improved its ranking to 5th in the cardiac segment. The Company has nine brands in the IPM top 300 brands in the country which is up from 6 brands last year on the basis of the June data. The company launched seven new products during the quarter, including Indamet for the treatment of uncontrolled asthma. Glenmark is the first company in India to market this

innovative fixed drug combination of Indacaterol, a long acting beta -agonist and mometasone, an inhaled corticosteroid. This further increases the accessibility of quality drugs for effective asthma management in the country . The company has a healthy pipeline of differentiated products which it plans to launch in the market going forward.

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 3 of 16

The India Consumer Care business recorded revenue of Rs. 647 million with primary sales growth of 94% YoY . This was driven by strong performance in all the core brands such as Candid Powder, La Shield, and Scalpe. La Shield and Scalpe Plus registered their highest quarterly primary sales in this quarter while Candid Powder maintained its dominant market leadership status and showed sharp recovery in sales during the current quarter.

The North America business

The North America business recorded revenue of Rs. 6,628 million for the first quarter of FY23 as against revenue of Rs. 7,878 million for the previous corresponding quarter, recording a YoY decline of 15.9%. North America business contributed 23.9% to the consolidated sales in the first quarter .

In the first quarter, Glenmark wa

s granted final approval and launched Abiraterone Acetate

Tablets. In addition, Glenmark launched the previously approved product Ezetimibe Tablets.

The Company also received Tentative Approval for Calcipotriene and Betamethasone

Dipropionate Fo am. Glenmark plans to file one application in the forthcoming quarter, as well as a PAS supplements to expand the OTC portfolio which has been complemented by the acquisition of five approved OTC ANDAs from Wockhardt. The company plans to file 12 to 15 AND As in FY23.

Glenmark's marketing portfolio as of June consists of 176 generic products which are authorized for distribution in the U.S. market. The Company has 48 applications pending in various stages of the approval process, of which 20 are Para IV applications.

Europe

Glenmark 's Europe operations' revenue for the first quarter of FY23 was at Rs. 3,300 million as against Rs. 3,059 million recording a growth of 7.9%. Europe business contributed almost 12% to the total revenues for the first quarter.

The company witnessed steady growth in both its key markets of Western Europe as well as Central & Eastern Europe. Growth in Western Europe remained robust, led by double digit growth across key markets like the Netherlands, Spain and Nordic countries. While CE region maintained its strong growth through markets like Poland and the Czech Republic. Overall, the company launched multiple products across various markets in Europe during this quarter. And Glenmark's respiratory portfolio continues to do well across all European markets .

Glenmark has a comprehensive plan to grow its European business going ahead, including geographical expansion in to new markets and expansion to leverage launches in key therapeutic segments like respiratory and dermatology.

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 4 of 16

The ROW business which consists of Asia, Middle East Africa, LATAM and Russia CIS, for the first quarter of FY23, revenue from the ROW region was at Rs. 4,226 million as against Rs. 3,360 million for the previous corresponding quarter, recording a growth of 25.8%. ROW business now contributes more than 15% to the total revenues of Glenmark as of first quarter FY23.

The challenging conditions in Russia, as a consequence of some of the economic sanctions led to erratic consumer behavior in March, which impacted the sales to an extent in the first quarter of FY23. Secondary sales actually de-grew -11% YoY in value terms during the quarter.

However, the company recently has received approval for some interesting products like Dimetindene Gel , which strengthens the derma portfolio in the region. And Ryaltris also received approval for an additional indication and the overall response to Ryaltris has been very encouraging in the market. The company has various strategic initiatives to further strengthen the respiratory franchise in the Russia CIS region going forward .

Asia has continued its strong performance led by positive momentum in key markets like Philippines and Malaysia . The company has extensive plans to strengthen its respiratory franchise in the Asia markets with the launch of Ryaltris in FY23.

Middle East , Africa region recorded secondary sales growth of 19% during the quarter, and positive growth was recorded across major markets like South Africa, Saudi Arabia and the UAE. The company expects this growth momentum to continue for the rest of the year. And Latin America witnessed a steady growth of more than 30% as a region. Markets like Mexico,

Colombia , Ecuador witnessed a strong momentum in the respiratory business particularly on the back of prescription -generated demand. Glenmark's Brazil business also delivered growth on the base product portfolio.

On the Respiratory side, we will give some key updates for Glenmark's global respiratory business for the first quarter. For Ryaltris , a few updates. During the first

quarter, Glenmark

received Marketing Authorization grants for Ryaltris in Singapore and Bahrain. The company is awaiting regulatory approvals for its filings in key markets like Canada, Brazil, Malaysia, and several other emerging markets.

Glenmark's partner in the EU, Menarini, initiated the commercial launch in Ireland, and intends to launch the product in additional European markets in the coming quarters. Ryaltris sales continued to grow in all the markets that the product has been launched over the last few quarters. Glenmark has also been working with its partner in South Korea, Yuhan Corporation, to enable commercial launch in the second quarter of FY23.

Glenmark's partner in Mainland China, Grand Pharmaceutical initiated enrollment in the Phase 3 study in China in April 2022 as well . Glenmark's exclusive partner for Ryaltris in the US, Hikma Specialty is preparing for the product launch post receiving US FDA approval.

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 5 of 16

Other key updates

The clinical trial is ongoing for the generic Flovent pMDI . We expect to file for this product in calendar year ' 23. We also plan to file at least one more respiratory pMDI in the US in calendar year ' 23 and subsequently continue our filing momentum beyond FY24 .

As I mentioned before, we launched Indamet for the treatment of asthma in India and our Europe an respiratory franchise across key products such as Salmex and Tiotropium DPI are also shaping up well in both Western Europe as well as CE markets.

Innovative R&D Pipeline

Some updates on the Innovative R&D pipeline .

GRC17536

GRC17536 is a tripartite A1 antagonist and the company's Spain pipeline asset being developed as an orally administered treatment in patients with painful diabetic peripheral neuropathy . GLP toxicology studies were completed last year and a phase 2B study was initiated in Q2 of FY22 . This is currently ongoing and interim data for futility analysis is expected by the second quarter of FY23.

GRC 54276

This is a HPK1 inhibitor and the company's oncology pipeline asset currently being developed as an orally administered immunology -adjuvant treatment for patients with solid tumors . A Phase 1 study is currently underway, and Glenmark is targeting to file for a US IND in the second half of FY23 .

GBR 310

Glenmark had earlier announced successful Phase 1 results for GBR 310 that suggested similarity in pharmacokinetic, pharmacodynamic, safety and immunogenicity profiles between GBR 310 and the reference product, Omalizumab . Glenmark is in discussion with potential partners to out-license the product.

GRC 39815

This is the RORγt inhibitor and the company's respiratory pipeline asset being developed as an inhaled therapy for the treatment of mild to moderate COPD, The product is currently under Phase 1 clinical development in the US.

Now, quick update on Glenmark Life Sciences

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 6 of 16

Consolidated revenue from operations for GLS including captive sales were at Rs. 4,899 million as against Rs. 5,249 million , recording a YoY decline of 6.7% . This was mainly due to the high base of COVID products in the sales last year. During Q1, regulated markets contribution remains stable at more than 72% while emerging markets witnessed a growth of almost 24% YoY excluding COVID products. GLS has also received Environmental Clearance for the installation of a 1,000 K L capacity greenfield manufacturing site at Solapur and construction work will begin in the current financial year.

External sales for GLS in Q1 of FY23 were at Rs. 3,251 million as against Rs. 3,040 million in Q1 of FY22, recording a growth of 6.9% YoY.

An update on ICHNOS SCIENCES

Glenmark has invested Rs. 1,682 million in the first quarter of FY23 as compared to Rs 1,617

million in the corresponding

quarter last year. For further updates on the pipeline , especially for the first quarter of FY23, please visit the Ichnos website. There is an update published on the Ichnos website.

We want to just state out our key objectives for FY23 and we reiterate what we had said in the Q4 call. Our revenue growth of 6 to 8% during the year , sustaining EBITDA margin performance at similar levels to FY22 , a CAPEX of Rs. 7 to 8 billion. Our strategic priority remains to enhance free cash flow generation for further debt reduction and closing out one to two out-licensing agreements in our innovation pipeline .

Some notes to the results before we open the Q &A. We had a COVID-related inventory provision of Rs. 41 crores in the first quarter of FY23. Adjusted for that our EBITDA margin for Q1 was at 17%. FOREX gain for the quarter was at Rs. 162 crores which is being recorded in other income. Gross debt for the period ended June 30th, 2022, was at Rs. 3,765 crores as against Rs. 3,670 crores in March .

Net debt for the period ended June 30th, 2022, was at Rs. 2,392 crores as against to Rs. 2,251 crores in March. The increase in net debt was primarily on account of currency movement during the quarter.

In terms of working capital inventory for the period ended June 30th was at Rs. 2,739 crores . Receivables were at Rs. 2,950 crores and payables was at Rs. 2,456 crores . There was a net working capital reduction of almost 80 crores as of June when compared to the March numbers. Total asset addition in the quarter was at Rs. 169 crores , of which tangible asset addition for about 139 crores . R&D expenditure for the first quarter was around 298 crores , which is about 10.7% of the total net sales for the first quarter .

Glenmark Pharmaceuticals Limited
August 12, 2022

Page 7 of 16

Before we open the floor up for Q &A, I would just like to introduce the management of Glenmark Pharmaceuticals on the call today . We have Mr. Glenn Saldanha – Chairman & Managing Director, Mr. V. S. Mani – Executive Director & Global Chief Financial Officer , and Mr. Brendan O' Grady – Chief Executive Officer – Global Formulations Business.

With that, we like to open the floor up for Q &A. Over to you , moderator .

Moderator: Thank you. Ladies and gentlemen , we will now begin with the question -and-answer session . The first question is from the line of Akshata Jain from Edelweiss Securities . Please go ahead .

Akshata Jain: Just one question on just debt reduction. Any guidance on FY23 debt reduction? So, any guidance on debt reduction for FY23 ? Because if I see in the last two quarters , our debt has moved up . Maybe this was because of currency , but any guidance on that ?

V. S. Mani : So, obviously , during this quarter also , the rupee moved substantially . So, that's mainly the reason why there is an upward movement in the debt. Also , during this quarter , we had a , you know, the FCCBs were refinanced , okay . So, we had a one -time big premium payout . Though the accruals of the premium were done over the years , but the payout happened this time , but going forward , I see the debt kind of coming off as the year goes by . Definitely on a constant currency basis , we should see go down .

Akshata Jain: But any number that you would like to call out here?

V. S. Mani: I would not like to throw a number, but definitely it would be decent, you know, we expect this. On a constant currency basis , we certainly see it going down .

Akshata Jain: And second question is on the COVID inventory provision. So, in the last quarter , we did rupture around 38 crore . This quarter 41 crore . What is the balance inventory left in the COVID which we would look at in the future quarter?

V. S. Mani: So, during the last quarter also , we had said that in the channel we have about 80 to 90 crores. So, I think , 40 has come in . So, go

ing forward another 40 to 50 crores is something that we could

see. I mean , I don't think COVID, there is much there . So, this could definitely come back . So, that's what we look at the outer line , outer limit .

Akshata Jain: And just lastly on this Ryaltis , could you help us understand this opportunity in the U.S. market as well as in the outside U.S. market? How does this product stand? So, my question is on Ryaltis. How big this opportunity can be for you in the U.S . market as well as outside U.S.?

Glenn Saldanha : So, we are not breaking it up , but I think Ryaltis for us we think over a three -year time frame , three to four years can be, you know, \$100 million , \$150 million product across all markets.

Glenmark Pharmaceuticals Limited
August 12, 2022

Page 8 of 16

Akshata Jain: Just from the U.S. Oh, across all the markets. And US would be the major chunk, 60, 70%?

Glenn Saldanha : Not necessary. US we have a partnership with Hikma . So, obviously , there , you know, we will

be entitled to , you know, part of the economics , not the full . But in the other markets where we are commercializing on our own and various other markets , right , the revenues will flow through those markets .

Akshata Jain: So, how is the partnership with Ryaltris? If it's profit share or how is this ? How is this structured ?

Glenn Saldanha: We can't give any visibility around that . But clearly , you know, most of these deals are around , you know, royalty and the revenue royalty share and profit share .

Akshata Jain: And it should be likely in the single digit kind of royalty .

Glenn Saldanha: I can't give you any visibility. We cannot say .

Moderator: Thank you. The next question is from the line of Gaurang Sakare from Motilal Oswal . Please go ahead .

Gaurang Sakare: So, I just wanted to know that what is the update on remediation measures at Monroe facility ?

Glenn Saldanha: So, I mean , we have been , you know, the remediation is currently underway , right , at Monroe . And you know, we are hoping to get back into , you know, if all goes as per plan , we are hoping to get back into commercial production around Q4 of this year .

Gaurang Sakare: And secondly , could you guide us on what were the key reasons for such a steep decline in U.S . sales, you know, during the current quarter and any outlook do you have on U.S . segment over FY23 ?

Brendan O' Grady: I'll take that question . So, you know, the US business is undergoing challenges . Every organization has the same ones . There is volume impact . We have had a few volume impacts just due to , you know, global supply disruption . We are recovering from that . We also continue to see price erosion in the US market . All manufacturers do and price erosion is really the amount is impacted by products that are newly approved products , products and transition in your base . So, then you take into consideration product approvals coming out of the FDA are unpredictable . So, all of those things make the US a very challenging environment where we have been impacted in Q1. So, that's basically the reason for the decline , but if you look at our business for the rest of the year , we have 10 to 13 approvals that we should see in the US this year or a total opportunity of those . Our volumes are recovering and overall , we see the outlook for the U.S . second quarter should be better and we see our business strengthening as we go throughout the year in the U.S . So, optimistic that things are moving in the right direction .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 9 of 16

Gaurang Sakare: So, broadly , do you think we can maybe , you know, remain flat on FY22 base or do you think we can grow , let's say , mid to high single digits ?

Brendan O' Grady: Yeah, so we are looking at flat to low single digit growth in the US for FY23 compared to FY22.

Gaurang Sa

kare: Sir, one more on , I mean , the consumer care business . It has witnessed a phenomenal 94 % YOY growth in 1Q FY23. So, can you give a brief color on how sustainable is this and what should we expect for , you know, let's say , FY23, and even next year ?

Glenn Saldanha: So, I think , you know, the consumer care business is growing . I mean , obviously 94 % is not sustainable . But I think we will have high growth coming out of this business as we go forward because of some of the new launches , some of the new channels that we have opened up , which should drive the consumer care business .

Gaurang Sakare: But on regarding , I mean , continuing on domestic business , so in domestic formulation business , so can you guide us on the number of product launches and you know, how many of these would be first to market during FY23 and '24?

Glenn Saldanha: So, I mean , typically on the domestic business , you know, we launch 20, 30 products a year , right ? And you know, given that I think we have some exciting launches in the diabetes space , respiratory also we have some good launches . I mean , these are typically some of the launches which will drive the growth this year and drive the growth next year .

Gaurang Sakare: And so what would be the , I mean , what would be the growth guidance for domestic formulation this year ?

Glenn Saldanha: So, typically , you know, our base business is growing at 15 , 16% minimum , right ? I mean , that's the July numbers also that came out were 16 % in AWACS and about 10 % in IQVIA, right ? So, 15, 16% is our normal growth on the base business . This is ex-COV ID drugs , right ? And even today we are growing at that pace , and we think we can sustain this , you know, this year and probably part of next year .

Gaurang Sakare: So, 15 to 16 % ex -COVID business you think .

Glenn Saldanha: That's our current growth rate.

Gaurang Sakare: Lastly , on the contribution of Baddi facility to US sales , you know, any update on the feedback on observations faced by the USFDA in recent inspection ?

Glenn Saldanha: So, we have no feedback , right ? We went through multiple inspections in Q1, and we have responded , you know, adequately , and we are still awaiting feedback from the agency .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 10 of 16

Moderator: Thank you. We will move on to the next question that is from the line of Harshita from Deloitte . Please go ahead .

Harshita: So, my question was on respiratory space . What are the upcoming milestones which we will be able to see in coming quarters for respiratory?

Glenn Saldanha: So, in the respiratory business is a global business for Glenmark , right ? And we have done a lot of different things in different parts of our respiratory franchise . So, for example , in India we launched , you know, Indaceterol for the first time . Indaceterol /Mometasone as the first launch in India . We launched Vilanterol /Fluticasone higher strength for the first time in India . So, there are lots of good launches in respiratory in India , and also in the quarter we got approval for two strengths of Beclomethasone in Brazil .

Europe , we have four or five big drivers for our respiratory franchise . U.S., you know, we are running Flovent clinical trials , and we are hoping to file one more product in addition to Flovent next calendar year . So, it's truly a global franchise for us . And of course , Ryaltris , you know, there is enough visibility on the launch of Ryaltris in so many different markets , right ? And hopefully , our U.S . launch also is eminent anytime . So, I think the whole respiratory franchise globally is a big franchise for us .

Harshita: Was there any specific challenges in terms of recruitment , especially in case of COPD because of COV ID?

Glenn Saldanha: You mean patient recruitment ?

Harshita: Yes.

Glenn Saldanha:

I think , you know, it's always been a challenge , right ? I mean , multiple trials ongoing across the world . Patient recruitment is always a challenge . But I see, I think we are doing okay , particularly on the Flovent trial. We are making good progress in patient recruitment .

Harshita: And in terms of biosimilar s, what are the updates which we can see for CSU or maybe a sthma ?

Glenn Saldanha: So, we just have one biosimilar in our pipeline which is Xolair , and we just completed phase one. We are not moving forward . We are working on getting a partner on board to take the drug forward . Other than that , you know, we commercialize multiple biosimilars through partnerships , but we are not developing our own biosimilates .

Moderator: Thank you. The next question is in the line of Saion Mukherjee from Nomura . Please go ahead .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 11 of 16

Saion Mukherjee: No, I was , you know, wondering on your Monroe facility . After the last inspection , do you have a classification as a VAI, OAI? I am just wondering , you know, what is the status and what is the timeline ?

Glenn Saldanha: So, as on today , Saion, we haven't heard back from the agency. So, we have no visibility on any timeline or classification .

Saion Mukherjee: But are you getting approval from the site at this point or those approvals are currently not coming ?

Glenn Saldanha: No, currently we are not getting any approvals .

Saion Mukherjee: The second question I had was on Europe . So, the inhalers that we have launched , can you share , first, like, how large is that business , inhalation business in Europe ? And what kind of market share we have been able to achieve in Europe ?

Glenn Saldanha: So, there are multiple products there, right? Saion, one is , of course , Tiotropium is a big one , right , for us . Then we have got Salmex , right, which is Salmeterol /Fluticasone . These both were launched as first generic . Then we have got Baclometh azone, right , in Europe . In addition , we have Ryaltris in different markets , right ? And we have a couple of more launches coming up over the next 18 months in Europe . So, it's a pretty broad portfolio .

In terms of market share across Europe , it's virtually impossible to guide , because it's different in different markets , and it's super complex , right , to guide . But it's a substantial contributor to our total revenues already , and we are expecting Europe to grow overall , you know, 15, 20% CAGR, right, going forward , given that a lot of growth is going to come out of Ryaltris and out of some of the respiratory products that they launch , and we continue launching . So, it's a big contributor going forward to the total revenues .

Saion Mukherjee: No, I was just wondering Glenn, some of the Salmets and Tiotropium that you have launched , at least in the key markets , right , in the UK , Germany , if you can share some market share in some of the larger markets typically , like how much one can expect to get in these markets ?

Glenn Saldanha: My guess, Saion, is it will be in the 10 to 20 % range somewhere thereabouts in terms of market share . That's only a guess , Saion, at this point . It could be higher in some of these markets . It could be lower .

Saion Mukherjee: And just on the, you know, respiratory pipeline for the US, so you talked about Flovent. Can you just share how large is the opportunity ? What is the competitive dynamics there ? And any

other product ? I think , you mentioned one more product . So, if you can , you know, share how should we think about from next year in terms of , you know, filings that you would be doing ?
Glenmark Pharmaceuticals Limited
August 12, 2022

Page 12 of 16

What kind of expenditure one would incur in developing these products and just a , you know, broader thought on the respiratory development programs that you are doing in the US ?

Glenn Saldanha: So, Flovent alone is approximately a \$1.6 billion product as far as I know . I think to the best of our knowledge , there is one other filer which is Teva . We are not sure about if there is anybody else running clinical trials , but to the rest of our knowledge , we are probably second in that list on Flovent. Our filing goes out next calendar year , which means we would launch 2025 , right , approximately , early ' 25. That's our estimated timeline for Flovent. We have three products in development for the US of which as I said , two will get filed next year . One of them is Flovent. There is one more product, and then we have a third product in development .

So, basically , our view on , we will , you know, we typically have about three odd respiratory programs in development at any time to the U.S .

Saion Mukherjee: So, Glenn, I mean , from a commercialization perspective , if I look at FY25 end or FY26 , there can be two commercial products including Flovent in the US if everything goes right .

Glenn Saldanha: That's correct .

Moderator: Thank you. The next question is from the line of Sham Srinivasan, an individual investor . Please go ahead .

Shyam Srinivasan: This is Shyam Srinivasan , Goldman Sachs . Just one question and I joined late. So, please apologize if it's been answered . Just on employee costs , actually , notice that we typically have a 2Q bump up , right ? But this time we have seen a bump up even in 1Q. So, has there something that's changed in the way you recognize the employee costs ?

V. S. Mani: Yeah, Shyam. Mani here. So, you are perfectly right. So, we decided to pay out the bonuses in two quarters. One in Q1 and another in Q2 so that it measures well over the year.

Shyam Srinivasan: So, should we assume this going forward because we always used to model like 2 Q higher ? 200 basis higher .

V. S. Mani: Yes. Going forward you can spread it out over the two quarters . Yeah , that will be better .

Shyam Srinivasan: First two quarters of the fiscal.

V. S. Mani: Yeah.

Shyam Srinivasan: And just in terms of , you know, just the underlying dynamics of employee costs in terms of either inflation , you know, how are you seeing things for the full year ? How should we look at it?

Glenmark Pharmaceuticals Limited
August 12, 2022

Page 13 of 16

Glenn Saldanha: I think , Shyam, it's pretty stable , I think . We are not seeing major spikes in employee costs . I think for a full year , I mean , it should be single digit growth .

V. S. Mani: Yeah . It will be normally like how we have 7 to 8%. It will be around that .

Shyam Srinivasan: And when you guide us to the EBITDA levels being same , you know, I am assuming this is the 18 to 19 % , right ? What's the level ? Sorry , I didn't pick that up .

Glenn Saldanha: Yeah . We had earlier also guided to something closer to what we did last year or closer to 19 % . So, we still believe we can reach there . I mean , obviously , the first quarter , there were some input costs increases etc ., etc. But in the second quarter onwards , we feel it should be much better . And also historically , our first quarter sales are much lower compared to the other three quarters . So, I mean , in some ways as the turnover goes up in the next three quarters , we should see better numbers .

Shyam Srinivasan: My second question is on the India business , and I'm stripping out the 350 crores last year of whatever COVID and COVID allied . So, you have grown 18 % if I do the math , right ? Two years CAGR is some 10, 11%. Sorry , three years CAGR. So, just want to understand , you know, how should we look at it ? Or should we be higher than 10 ? Or should we be closer to 18 when we look at the forward path ? And if you can help us understand either from a new product launches or volume growth on your existing business , how

things are panning out ?

Glenn Saldanha: So, right now , Shyam, in July , IQVIA , I mean AVAC showed us a 16 % . IMS was lower because the market also IMS was lower . So, I mean , I think , we believe on our base business , it will be like 15 , 16% growth for the full year coming out of India . So, we are expecting strong growth . We have lots of good launches , particularly in respiratory , diabetes .

Diabetes we launched Sitagliptin , sita dapa , first generic on Sita , first generic on Sita dapa. We have a number of other launches coming up , right. In respiratory , we have Indamet, which is

Indacaterol /Mometasone first generic , Vilanterol /Fluticasone first generic in respiratory . So, there is a ton of good launches in the space which will drive your India growth , right ? In addition , of course , our core brands continue to do very well , right , whether it's , you know, your Telma , Candid , Ascoril , Alex . So, we have very strong brand franchises , right , across the space .

And then the last thing is our OTC business is doing very well . So, our consumer care business , right , and that continues to do well. So, I think there are multiple triggers to the India growth strategy for Glenmark.

Moderator: Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 14 of 16

Saion Mukherjee: So, the India business is to continue . Is there any headwind ? Some of the big molecules that you have , Remo , teneligliptin, because of all the patent expiries that are happening , is that something hurting your overall growth or you think it is you are able to manage it overall 15 , 16% that you are guiding ?

Glenn Saldanha: So, Saion, which Remo, the mono components are not doing great, we have Remo M V which is doing well for us . The triple , right ? We are the only one that has a triple combination there .

Likewise , you know, teneli. Some of the erosion that we will see in some of our older products will be more than concentrated with Sitagliptin franchise , and some of the newer launches . We also have one more big launch coming up yet this quarter in the diabetes space , which again will be a first time in the country kind of a launch , right ? So, that also could be a substantial contributor . So, I think , all in all , you know, whatever slight erosion we are seeing in some of the older molecules like Remo or even at teneli, right , we are more than able to compensate with the new products that we are launching .

Saion Mukherjee: And Glenn, second one is on ICHNOS space. Any further update you want to share in terms of timeline of the clinical trial outcomes that we should look forward to?

Glenn Saldanha: So, for ICHNOS , you know, the next six , seven months is very important , right ? So, we are hoping to get POC on 1342 . 1442 we start dosing anytime now , right , our first -in-man. We have 2001, which will enter the clinics in Q4 of this year . So, if all goes well , we should have two POC s on 1342 , 1442 . We should have 2001 in the clinic . So, three oncology clinical assets by the end of this year . We are hoping to close one licensing deal yet this year . So, that's on course . So, I think , given all that , right , there could be some significant value creation in ICHNOS this year. And of course , the capital raise towards the end of this year is something we still target . Once we get these three clinical assets in the , you know, going and two POC s and one li censing deal, right , on the back of that , we are hoping to do the capital raise.

Saion Mukherjee: And Glenn, another question is can you share like what's the outlook like for your market like Russia and Brazil? I was asking about the outlook for Russia and Brazil in particular .

Glenn Saldanha: So, Russia , look, Russia is doing well, okay, Saion, r

ight? Russia, you know, despite the war

and everything , we still, you know, the market growth is still good . That coupled with the fact that the Ruble remain s strong , right , and we took some price increases on account of inflation , we see a good year in Russia this year .

Brazil we think has now turned the corner for us , right ? And I think , you know, the next two , three , four years should be strong years for Brazil . So, we launched , you know, the other two strengths of Baclo. We are expecting Ryaltis approval in Brazil sometime this year , right ? And we have a couple of good filings , which should get come through get approved either in Q4 of this year in the r espiratory area or early next year . So, I think , Brazil , we think will be a strong market for us going forward .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 15 of 16

Saion Mukherjee: And just, you know, one last question , Glenn . I just wanted to check , you know, on the profitability front , Europe and Latin A merica I understand , you know, historically , these geographies were struggling . Now with at least Europe scaling up and Latin America turning the corner , how should we think about let's say the EBITDA contribution from these two regions ?

V. S. Mani: So, Saion, over the years , you know, Europe also with the amount of good product launches that we had with the Ryaltis, Tio and also a couple of other good respiratory products, over the years the profitability definitely is improved . I think today we can even see some other EBITDA margins much higher than what it used to be historically and some of these Latin American markets like Brazil etc., again , when we say turn the corner at least we are now better than , you know, breaking even at least during the current year . So, I don't see it , so all this should help us

to, you know, get close to our overall objective of getting a decent EBITDA margin that we kind of guided to earlier.

Moderator: Thank you. The next question is from the line of Umesh Matkar from Sushil Financial Services . Please go ahead .

Umesh Matkar: I would like to know did we incur any remediation cost this quarter ? And going forward , are you expecting any ? And second , are you confident of launching Ryaltris with observations on certain plants ?

Glenn Saldanha: So, Ryaltris, as I said , you know, we are expecting launch anytime now , right ? So, we have , our manufacturing is clear right now, right ? And we have got approval basis done . So, we are expecting launch anytime for Ryaltris in the U.S .

V. S. Mani: And as far as the remediation cost , obviously , I mean , previous quarter we did see a , you know, we had given one about almost 10 million or whatever . But this quarter we didn't have much , but going forward there could be some and as and when we incur some of these , we'll put that across . But a good amount has already been done . That's what I can tell you.

Umesh Matkar: And the last question , sir, I heard you mentioning single digit growth in U.S . Is it because of new launches or are you saying , are you expecting lower price erosion on your products going forward ?

Brendan O' Grady: So, I think the US business is stabilizing. And I think it is, as I said earlier , we have about 10, 12 products that we can launch this year. We've had two that we have launched so far in the first quarter . We just had another approval . So, we still have a stable of 10 products that we can launch this year , and so we expect the second quarter to be better than the first , and we expect the third and the fourth quarters to be better than the first and second quarter . So, I think things in the US are trending in the right direction , and it's a matter of execution , just stabilization of our base business and any product launches .

Glenmark Pharmaceuticals Limited

August 12, 2022

Page 16 of 16

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erator: Thank you. As there are no further questions, I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Thank you , moderator. We will read the disclaimer before we end the call . The information, statements and analysis made in this document describing the Company's or its affiliates' objectives, projections and estimates are forward -looking statements. These statements are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially from these statements, depending upon economic conditions, government policies and other incidental factors. No representation or warranty, either expressed or implied, is provided in relation to this document. This document should not be regarded by recipients as a substitute for the exercise of their own judgment. The Company undertakes no obligation to update or revise any forward -looking statements whether as a result of new information, future events or otherwise. With this, we end the call today. A big thank you to all of you for joining us on the call.

Moderator: Thank you , members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2022

Page 1 of 18

"Glenmark Pharmaceuticals Limited Q2 FY '23
Earnings Conference Call "

November 14, 2022

MANAGEMENT : MR. GLEN N SALDANHA – CHAIRMAN & MANAGING
DIRECTOR , GLENMARK PHARMACEUTICALS LIMITED .
MR. V. S. MANI – EXECUTIVE DIRECTOR & GLOBAL
CFO, GLENMARK PHARMACEUTICALS LIMITED .
MR. BRENDAN O'G RADY – CHIEF EXECUTIVE
OFFICER , GLOBAL FORMULATIONS BUSINESS .
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS , GLENMARK
PHARMACEUTICALS LIMITED .

Glenmark Pharmaceuticals Limited
November 14, 2022

Page 2 of 18

Moderator : Good morning , ladies and gentlemen. Welcome to the Q2FY23 Earnings Conference Call of
Glenmark Pharmaceuticals Limited .

As a reminder, all participant lines will be in the listen -only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call , please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi - General Manager , Investor Relations
for Glenmark Pharmaceuticals. Thank you . And over to you sir.

Utkarsh Gandhi : Good morning everyone and a very warm welcome to the Q2FY23 Results Conference Call of
Glenmark Pharmaceuticals Limited .

Before we start the call , a quick review of the operations for the Company for the quarter ended
September 30th, 2022. For the 2nd Quarter of FY'23, Glenmark 's consolidated revenue from
operations was at Rs. 33,752 million as against Rs. 31,474 million in the corresponding quarter
last year, recording a growth of 7.2% . For the six months ended September 30th, 2022
Glenmark's consolidated revenue was at Rs. 61,525 million as against Rs. 61,123 million
recording an increase of 0.7%.

We will provide some key highlights for each of our businesses :

India Formulations Business

Sales for the Formulation business in India for the 2nd Quarter of FY'23 was at Rs. 10,916 million
as against Rs. 9,689 million , in the previous corresponding quarter recording a growth of 12.7% .
India business contribution was at 32.3% of the total revenues in the 2nd Quarter of FY23
compared to 30.8% last year.

As per IQVIA MAT September 2022 data Glenmark 's India Formulation business is ranked 14th
with the market share of 2.19% . During the quarter , Glenmark 's India Business continued to
strengthen its position in its core therapy areas in terms of market share .

As per IQVIA data the Cardiac market share increased to 5.3% compared to 4.73% last year,
while the anti -diabetic market share increased to 1.82% compared to 1.79% last year. In
Dermatology also, the market share increased from 8.12% to 8.16%. And in Respiratory the
market share change from 5.3 % to 5.27%.

As per IQVIA data, the Company is ranked second in the Dermatology segments , fourth in
Respiratory and has increased its ranking to fifth in the Cardiac segment.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 3 of 18

The Company has nine brands in the I PM Top 300 brands in the country , on the basis of the IQVIA MAT September '22 data.

The Company launched 9 new products during the quarter and continued to gain market share in some of the key launches in Cardiac and Anti-Diabetic segment. The key new launches which are driving growth in the anti -diabetic segment include Sitagliptin , and its fixed dose combination with Metformin and Dapagliflozin respectively, all of which were launched at the start of the second quarter of FY23. The Company has introduced 8 different combinations of Sitagliptin based drugs under the brand name SITAZ IT and its variants to increase accessibility to affordable and quality treatment options for patients with uncontrolled Type 2 diabetes.

In the 1st Quarter , Glenmark had also become the first company to launch Teneligliptin, Pioglitazone fixed dose combination drug for Type 2 diabetes under the brand name Zita Plus Pio. At the time of launch, it was the only available DPP -4 Glitazone combination brand in India. Glenmark also recently launched a combination of Teneligliptin with Dapagliflozin.

Recently, Glenmark also became the first company in India to launch Lobeglitazone 0.5 mg under the brand name, LOBG , for the treatment of uncontrolled Type 2 diabetes. With this launch, the company aims to improve glycemic levels in uncontrolled

diabetics and create a

pathway to treat insulin resistance in India.

Glenmark now has a strong portfolio of products across various levels of intervention for the treatment of Type 2 diabetes in India. The company has an overall healthy pipeline of differentiated products, which it plans to launch in the market going forward.

Consumer Care

The Consumer Care business in India, the primary sales for the GCC business in Q2 was Rs. 555 million with a growth of 8%. This was mirrored by strong secondary sales growth of 11%. As of YTD September, the GCC revenue was at about Rs. 1,203 million with a growth of 42% . Our flagship brand Candid powder delivered strong revenue growth of 11% for Q2 and 44% for the first half of FY'23 . LA SHIELD portfolio, which is a second brand, delivered 31% growth in Q2, and more than 100% growth in the first half, while SCALP E PLUS portfolio recorded 18% growth in Q2 and 28% growth in the first half of FY'23 .

North America

North America registered revenue from the sale of finished dosage formulations of Rs. 7,533 million for the 2nd Quarter of FY'23 as against revenue of Rs. 7,543 million for the previous corresponding quarter , recording a decline of 0.1%. North America business contributed 22.3% to the consolidated sales in the 2nd Quarter of FY'23, compared to 24% in Q2 last year.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 4 of 18

In the 2nd Quarter of FY'23, Glenmark received final approval for Norethindrone Acetate and Ethinyl Estradiol Capsules and Ferrous Fumarate Capsules, 1 mg/20 micrograms [the generic to Taytulla]. The Company filed one ANDA in the 2nd Quarter and plans to file 10 to 12 ANDAs in FY'23 .

Glenmark's marketing portfolio through September 30th consists of 176 generic products authorized for distribution in the U .S. market. The Company currently has 47 applications pending at various stages of the approval process.

Europe

Glenmark 's Europe operations for the 2nd Quarter of FY'23 recorded revenue of Rs. 3,785 million as against Rs. 3,383 million recording a growth of almost 12%. Europe business contributed 11.2% to the total revenues in the 2nd Quarter of FY'23 compared to 10.7% last year.

The Company continued to achieve a healthy double digit growth across all key markets in Europe in the 2nd Quarter of FY'23, in spite of ongoing macroeconomic challenges . Glenmark's covered market growth continued to remain strong across both Western Europe and Central Eastern Europe markets .

Base business growth in Western European markets such as UK and Germany remained strong , while CEE markets like Poland, Czech and Slovakia benefited from new product launches.

Overall, Glenmark continued to launch multiple new products across various markets. And the respiratory portfolio in Europe also continues to gain share across both Western Europe and CEE countries .

ROW

ROW, which consists of Asia, Middle East Africa, Latin America and Russia CIS . For the 2nd Quarter of FY'23, revenue from the ROW region was Rs. 6,154 million as against Rs. 7,486 million for the previous corresponding quarter , recording a decline of 17.8% . The decline is on account of a high base last year due to strong sales of the COVID portfolio adjusted for that the

region recorded 15%+ growth in Q2. Our ROW business contributed 18% to the total revenues in Q2 FY'23 compared to 23% in Q2 last year.

While the macroeconomic situation continued to remain challenging, the pharmaceutical market in Russia has remained stable and provided opportunities for growth. Overall, Glenmark's Russia business recorded a positive trend in the 2nd Quarter. For the month of September, Glenmark outperformed the retail market by value and also gained two positions in terms of the overall rankings on the retail market. Glenmark also gained three positions and was ranked 8th on the Dermatology market, while it continued to be

ranked 2nd on the Expectorants market in Russia.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 5 of 18

Business growth was aided by strong performance in key products such as across the Dermatology market, as well as additional promotion on the new indication for Ryaltris.

Asia region recorded slightly subdued growth in the 2nd Quarter. Markets such as Malaysia and Philippines recorded double-digit secondary growth. But there were multiple headwinds in other Asian markets like Myanmar, Vietnam and Sri Lanka, which led to slightly lower growth. As per IQVIA MAT June 2022 data for the Philippines, Malaysia and Sri Lanka markets, Glenmark is ranked 6th in the overall covered market and ranked 1st in the Dermatology segment.

Our partners Yuhan Corporation received approval for Ryaltris in South Korea towards the end of the 2nd Quarter. And also, Ryaltris continues to do well for us in the Philippines where the product has already been launched.

In Middle East and Africa, the region recorded 21% growth in secondary sales during the 2nd Quarter of FY'23 while growth in Kenya was marginally impacted by macroeconomic factors. Glenmark continued to achieve strong secondary sales growth of (30%+) in South Africa and Saudi Arabia. As per IMS MAT data, Glenmark is ranked 3rd amongst all generic pharma companies in Kenya.

Latin America witnessed growth of 22% at a regional level with most of the markets recording good growth during the 2nd quarter. The respiratory portfolio in Latin America continues to gain significant scale, particularly in large markets like Brazil and Mexico. And the company is planning to launch additional products in the region to further augment the overall portfolio.

Update on Ryaltris

Some updates on a global respiratory business for the 2nd Quarter starting off with Ryaltris. In FY'23 Ryaltris is targeted to be approved/launched in 34 markets globally. As of September 30th, 2022 we have already received approval or launched the product in 16 markets, either through our own field force or through our partners. And we are further awaiting approval in 18 markets which are expected to be received in the second half of FY'23.

Glenmark's partner in the U.S. Hikma commercially launched Ryaltri in August, 2022. As mentioned before, Glenmark also supplied product to its partners in South Korea, Yuhan upon its approval in the 2nd Quarter to complete the commercial launch of Ryaltris in October 2022. Following approval in Canada, Glenmark's partner, Bausch intends to launch the product in the 4th Quarter of FY'23. And additionally, in the 2nd Quarter, Glenmark received marketing authorization grants for Ryaltris in Malaysia, Kazakhstan, Moldova and Dominican Republic, and also submitted the MA application in Vietnam and Zimbabwe. The company is awaiting regulatory approvals for its filings in Brazil, Mexico, Vietnam, and several other emerging markets.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 6 of 18

Ryaltris sales continue to grow in various markets where the product has already been launched across the globe. Some of the key markets include Australia, the UK, Czech Republic, Poland, Italy, Russia, South Africa and the Philippines. Glenmark's partner in Europe, Menarini, intends to launch the product in H2 of FY'23 in additional key European markets.

And Glenmark's partner in Mainland China, Grand Pharmaceuticals has made significant progress on the enrollment in the Phase 3 study, with approximately 70% of the recruitment being completed by the end of 2nd Quarter. Grand Pharma aims to complete the study by mid-2023 and submit the NDA application by the end of 2023.

Other Key Updates

In terms of other key respiratory products, as mentioned in the 1st Quarter, also clinical trials continues to move forward as per plan for generic Flovent pMDI. And we expect to file the product in

Calendar Year 2023.

And we plan to file at least one more generic respiratory pMDI in the U.S. in the Calendar Year

'23 and continue filing momentum beyond that.

Innovative R&D Pipeline

GRC 54276

Which is our HPk 1 Inhibitor, is the company's oncology pipeline assets being developed as an orally administered IO -adjuvant treatment for patients with solid tumors in oncology. A Phase 1 dose escalation study is ongoing in India as per plan. Successful recruitment of patients in Cohort 1 was completed in the 2nd quarter of FY'23. And there were no dose limiting toxicities observed in the first cohort, and subsequently Cohort 2 has also been initiated. In total 10 patients have already been dosed with a drug.

GRC 39815

This is the RORt and the company's respiratory pipeline asset being developed as an inhaled therapy for the treatment of mild to moderate COPD. This is currently under Phase 1 clinical development in the U.S.

Quick Update on Glenmark Life Sciences

Revenue from operations including captive sales were Rs. 5,093 million as against Rs. 5,618 million recording of YoY decline of (-9.3%) due to the high base of COVID products last year. During Q2, regulated markets contribution increased to almost 74% with growth of 7% QoQ, Glenmark Pharmaceuticals Limited
November 14, 2022

Page 7 of 18

CDMO business also recorded strong growth of 27%+ QoQ. GLS filed 4 DMFs/CEPs during the 2nd Quarter and also made progress on the capacity expansion initiatives across its plants. External sales of Glenmark Life Sciences in Q2 FY'23 were at Rs. 3,744 million as against Rs. 3,354 million in Q2 FY'22, recording a growth of 11.6% YoY.

For further updates on GLS, please log on to their website www.glenmarklifesciences.com.

Update on ICHNOS SCIENCES

Lastly on ICHNOS SCIENCES, Glenmark has invested Rs. 1,727 million, almost USD \$22 million in the 2nd quarter of FY23 compared to Rs. 1,850 million, which was about \$25 million in the corresponding quarter last year. For the first six months of FY'23 Glenmark has invested Rs. 3,363 million compared to the Rs. 3,467 million invested in the corresponding period for the previous financial year.

For further updates on the pipeline and the organization, please log on to www.ichnossciences.com. The pipeline update for the 2nd Quarter of FY'23 has been published on their website.

Key Objectives for FY'23

We would just like to state our key objectives for FY'23 which remain unchanged from the start of the year. Revenue growth of 6% to 8%, during the year sustaining our EBITDA margin performance at similar levels, as of FY'22, CAPEX of about Rs. 700 to Rs. 800 crores, keeping our focus on enhancing free cash generation and debt reduction, and closing out one to two out licensing deals across our innovation pipeline.

Additional Notes

Some additional notes to the results before we open the Q&A, reported EBITDA excluding other income was at Rs. 612.6 crores with a margin of 15.4%. There was a COVID related inventory provision of Rs. 31 crores in the 2nd Quarter adjusted for that EBITDA for Q2 was a Rs. 652.6 crores with a margin of 19.3%.

FOREX gain for the quarter was at Rs. 81 crores which is recorded in other income.

Gross debt for the period ended September 30th, 2022, was at Rs. 3,954 crores as against Rs. 3,670 crores as of March 31st, 2022.

Net debt for the period ended September 30th, 2022, was at Rs. 2,715 crores as against Rs. 2,260 crores as of March 31st. The increase in net debt was primarily on account of adverse FOREX Exchange impact during the first half of FY'23.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 8 of 18

Working Capital inventory for the period ended September 30th was at Rs. 2,865 crore as against Rs. 2,500 crores in March. Receivables were at Rs. 3,328 crores as against Rs. 3,101 crores and payables was at Rs. 2,348 crores compared to

Rs. 2,289 crores.

Total asset addition in the quarter was Rs. 134 crores, most of which was related to tangible assets.

R&D expenditure in Q2 FY'23 was around Rs. 330 crores, which is close to 10% of revenue from operations for the 2nd Quarter. For the full year we expect R&D expense to remain around 10% to 11% of our sales.

Before we open the floor up for Q&A, I would like to introduce the Management of Glenmark

Pharmaceuticals on the call today. We have with us Mr. Glen Saldana - Chairman and Managing Director ; Mr. V .S. Mani – Executive Director and Global Chief Financial Officer and Mr. Brendan O'Grady - Chief Executive Officer , Global Formulations Business .

With that we would like to open the floor up for Q&A . Over to you , moderator.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session.

First question is from the line of Saion Mukherjee from Nomura Securities . Please go ahead.

Saion Mukherjee : My first question is on the other expenses, they have gone up almost 18% year -on-year, much higher than the way the top -line has grown. If you can just elaborate on this why the expenses are moving at a much faster pace ?

V. S. Mani : So, Saion, obviously, last year, if you recollect the first quarter and a little bit of the second quarter, we had some amount of the COVID effect. So, obviously, current year you don't have COVID effect and obviously, everybody is ramping up on their marketing initiatives etc. so the cost is a little up.

I would also urge you to look at , see on a half yearly basis if I look at it, yes, it is definitely higher than the sales growth. But on a half yearly basis, year -to-year, it's about 12% growth. So, the first quarter was still a little low. Second quarter has been a little high . But obviously we are trying to kind of take some initiatives and therefore the spends are a little higher . I think but overall even still, if you take that our other expenses to sales is about 25 % odd. So, over the years, we have kind of brought it down to 25 % to 26% compared to what it used to be , and I think we will try our best to keep it around those levels.

Saion Mukherjee : The second question is on your net debt level, it has gone up for the six months. I think one of the objectives is organically to kind of bring down the net debt. So, what's your comment for the second half and how you have seen net debt level by the end of the year?

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 9 of 18

V. S. Mani : So, Saion absolutely, that's been one of our key objectives over the last couple of years. We have made some progress there, but I think definitely, we would like to do more. So, what I would like to say is that obviously, the objective remains the same and also we certainly will see it assuming that currency remains at the current levels or kind of goes lower and there are no major disruptions in the supply chain. So, one of the reasons why you can see over the last couple of quarters, inventory levels, while they are still, I mean, they are still important, and we need to keep it at those levels, a bit of the debt increase also is due to some of those inventory and some of the working capital issues that we have had. And that's across the Board , to everybody.

Saion Mukherjee : And just one final question, if I can ask on the U .S. market . So, what would be the dollar million impact because of the Baddi import Alert , and what's your outlook therefore on the U .S. market going forward?

V. S. Mani : So, Saion , as you can see that we had also kind of indicated that it is about 1% to 2% of our overall global sales. It's about at best about 20 million or so, but also we will work actively on site transfers, etc, to mitigate what we have. So, obviously, we will try best to ensure that it will not get impacted , but if you ask me an impact, this is

what it could be at best for a full year.

Moderator : Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services . Please go ahead.

Tushar Manudhane : So, just on this other revenue as a segment , it is significantly up this quarter, is this to do with some milestone income and if you could quantify ?

V. S. Mani : Certain portion of that is due to the basically milestone that we have received. Normally, we don't give an indication what is the amount , because these are agreements between us and the party concern, but a decent part of that is still sustainable , that's what I can guide you right now .

Tushar Manudhane : You meant to say this other revenue as a quantum is sustainable for the remaining --

V. S. Mani : Not the full amount, but at least a certain portion of that at least 20 % to 25% is definitely sustainability , yes.

Tushar Manudhane : And just as a clarity, this inventory provision is done of over Rs. 31 crores in COGS or in other expenses ?

V. S. Mani : No, it is done in sales, you get a good return. So, it goes to sales directly. And then obviously, it has no value. So, it immediately impacts your COGS as well as EBITDA, it goes straight to the EBITDA . You sold the good it came back to you, it has no value today , you write it, I mean, it expires , that's how expires work.

Tushar Manudhane : Right, so it is deducted from sales itself is what --

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 10 of 18

V. S. Mani : Exactly straight, and it has no value to it.

Moderator : Thank you. The next question is from the line a Shyam Srinivasan from Goldman Sachs . Please

go ahead.

Shyam Srinivasan : Just the first question on the Ryaltris and we have launched through the partner in August, any early signs or anything that you can share there, and you have now launched it in multiple countries . So, if you could help us understand how large this is, or any outlook here will be very helpful.

Brendan O'Grady : So, we launched in the U .S. through Hikma , the launch date was August 30th. So, right at the end of August, kind of midway through the fall , allergy season so I don't expect to see a ton of uptake in the fall allergy season because it will take the reps a couple of months and a couple of cycles to cease position to generate demand. But what I have seen to date is the uptake has been good. It's been well received. I think it's going to take a little bit of time to get payer access , but again I have reviewed the plan there , and they are a little bit ahead of where I thought they would be with payer access. So, I think as we work through the rest of the late fall, and we get into the early spring, I think Ryaltris will be successful on a good trajectory in the U .S.

As far as other markets, I think, as we mentioned, we have launched 16 through the 2nd Quarter , another five, so far, year -to-date so up to 21 we will launch another , will have 34 by the end of the year, six directly and then seven through partners. So, Ryaltris is off to a certainly a good start. And from a revenue perspective, this year, I would expect probably 20 to 30 million in revenue for Ryaltris for Glenmark.

Shyam Srinivasan : My second question is just again on the U .S. business. So, it's declined about 11%, I am just talking dollar terms here. So, if you could help us understand what's happening in terms of the base business and how are we mitigating , how should we look at it in the second half? Will it stabilize here, you think there is erosion still ahead?

Brendan O'Grady : I mean, if you think about the U .S. business, I think it's a challenging market for everybody . We continue to see price erosion, along with the market . And I think that the regulatory environment has been challenging as well. So, trying to get new products approved and launch in the market is key to combating price erosion.

It

I think that if you look at the U .S. we will be probably about flat to where we were last year, I think that you will see, 3rd Quarter improve over 2nd Quarter . And I would expect that 4th quarter, even with the Baddi impact, 4th Quarter will improve over 3rd Quarter. So, we are gaining momentum as the year goes along. Again, we will probably be relatively flat compared to last year. And we hope to see several new product approvals as we go throughout the rest of this year.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 11 of 18

Shyam Srinivasan : I am just trying to do the math here. So, we had about 410 or 412 million something last year . We have done for the first half, like 180. So, we should be getting there , right or?

Brendan O'Grady : I think we will be close to right around 400, give or take somewhere in there. We will see how things go, but relatively flat to last year.

Shyam Srinivasan : And my last question is on. I think, the gross margins, I think, is this just the impact of that outlicensing impact? Or how should we look at gross margins for the rest of the year right now?

Should I just rip out , you are not quantifying it. But how should we look at just the gross margin line?

V. S. Mani : See, gross margin, inherently, I think, in the last one, two quarters, we had some challenges because of the input costs going up, etc. We are seeing it slightly taper down. So, I think gross margin, you should look at anywhere between 64 % and 65% , yes. That's historically where we are we should more or less be there.

Shyam Srinivasan : And the adjusted EBITDA, Mani Sir, on 19% that is sustainable. Is that the second half outlook ?

V. S. Mani : Yes, it is sustainable , yes. And Shyam, just one thing, may not be so important, but in dollar terms our quarter was lower by compared to, decline was about 7% to 8%, I mean 11 % was a little higher --

Shyam Srinivasan : Okay, I had that historical number of 187 million, probably , maybe that's lower than that you are saying , last year number.

V. S. Mani : Yes, it's a little lower than that.

Glenn Saldanha : I think it was about 102, last year, actually. And this year, we are at about 95.

Moderator : Thank you. The next question is from the line of Saion Mukherjee from Nomura Securities . Please go ahead.

Saion Mukherjee : Just one question on India , so you reported around 13% growth. Now, you mentioned also that this Rs. 30 crore is a return , sales return. Is it true to assume it is in India and if we are to add that, then we get to more like 15 % to 16% growth, I guess. And then --

V. S. Mani : Yes, it should be , you have to add back to India and it should be higher growth , yes.

Saion Mukherjee : And then last year, you would have had some fav (favipiravir) in the base also , right. So, I am just wondering, this growth number looks a bit high. So, --?

V. S. Mani : No 2nd Quarter didn't have any major fav (favipiravir) at all --

Page 12 of 18

Glenn Saldanha : Not for India, Saion, last year we had fevi (favipiravir)-

V. S. Mani : In 2nd Quarter .

Saion Mukherjee : So, Glenn what kind of growth expectations you have for India, I mean, for this year, and also, let's say sustainably going forward.

Glenn Saldanha : So, I think India, it's safe to assume we are growing between 10 % to 15% on a sustainable basis.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital . Please go ahead.

Nitin Agarwal : Again on the U .S. plant, by when are we expecting the Monroe reinspection to be done?

V. S. Mani : So, we are currently in the remediation mode , Nitin, we are hoping in Q4, we will get an inspection. And next year we are hoping to commercialize products from the U .S. for Monroe.

Nitin Agarwal : And how many ANDAs would we have in Monroe filed by now , roughly ?

V. S. Mani : I would say

about 6 to 8 ANDAs.

Nitin Agarwal : All put together including the file and approved?

V. S. Mani : That's correct.

Nitin Agarwal : Just to push that , when you are doing your non -incremental ANDA filings , I presume they will not be going ahead with Monroe for the time being. So, is there some impact on your plans on account of that , where some of the filing that you were proposed to do from Monroe, you probably couldn't do right now, and you may be doing alternate sites from there for those filings ?

V. S. Mani : I mean, clearly, Nitin, obviously because of the Monroe situation, lot of our filing plans got pushed out, from Monroe , so some of those filings will hopefully come through next year, in terms of new filings for injectable products. We have some alternate strategies around injectable products, but we can't really elaborate right now.

Nitin Agarwal : And secondly on Ryaltris, the guidance that we gave for \$20 million to \$30 million of revenue this year for Ryaltris , now given the fact that we have got multiple partnership agreements, which are there on the product , is it fair to assume a lot of the \$20 or \$30 whatever revenue that you would make on Ryaltris would be essentially just a royalty income and profit share for us.

V. S. Mani : No, so I think we are launching on our own Nitin in many markets. So, I would not assume that it's only profit share or royalty income, right . A lot of it is our own sales . And also going forward ,

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 13 of 18

it's a mix we have some markets where we commercialized on our own , markets in South Africa, markets in Russia, markets in Asia, multiple markets, which we sell on our own. So, it's a mix.

Nitin Agarwal : And Glenn, when you talk about this number of \$100 million plus peak revenues for Ryaltris , the assumption is the bulk of these revenues will be coming through our own frontend sales.

Glenn Saldanha : Again, it's a mix , Nitin . And that's why the margin profile on this \$100 million to \$150 million will be significantly higher, because it will also have partner royalties flow in the re, partner royalties and partner transfer prices. So, I think it's really a mix.

Nitin Agarwal : And on that , Glenn on Ryaltris, we booked some milestone this quarter, across there is a partnership that we have done, are there meaningful milestones still to be realized or it's going to be largely on royalty income and sales income that will come through on Ryaltris ?

Glenn Saldanha : I think constantly there will be milestones coming through , Nitin, on a consistent basis. One is, of course, some sales linked milestones , two is some development milestones, on approvals. So, I think milestones will keep coming through on an annual basis to us, in addition to of course, royalty income, and other transfer pricing income that we will make through partnerships.

Nitin Agarwal : And lastly, on the innovation for R&D portfolio, I mean, how should we look at the next maybe 6 to 12 months on this portfolio from a new sales. from a licensing perspective?

Glenn Saldanha : Currently, I think it's safe to assume that we will close at least one licensing deal a year between GPL and ICHONOS, on a consistent basis, on the innovation side. So, if we achieve that, I think we would have done well , on a consistent basis . We closed Almirall , obviously, Almirall , the product is now in Phase 1. There will be subsequent milestones coming through from Almirall on a consistent basis. So, I think this can be a good revenue stream for us right between new deals, existing deals, Ryaltris milestones, Ryaltris royalty inflow on a consistent basis, which will help soar up the overall revenue line item , the EBITDA margins on a consistent basis.

Nitin Agarwal : So, Glenn, we already in mid -November , for FY'23 do you still see the prospects of our licensing deal coming through

from the portfolio ?

Glenn Saldanha : We still continue to maintain that we will try and close the licensing deal this year.

Nitin Agarwal : And I think pushing one last Mani sir , on the net debt, given obviously, there was some working

capital pressures in H1. Now for the year, do we see -- will be able to generate cash to maybe make some impact on the debt levels going forward by the end of the year?

V. S. Mani : Certainly, Nitin, I think that will be the endeavor and any way rupee if it remains stable, and also the disruptions are lesser in the second half, we should definitely see some improvement yes, 100%.

Glenmark Pharmaceuticals Limited
November 14, 2022

Page 14 of 18

Moderator : Thank you. The next question is from the line of Harit Ahmed from Spark Capital . Please go ahead.

Harit Ahmed : So, in your press release, you have talked about plans to file one additional respiratory inhaler product in the U .S. in the next calendar year. And this is apart from generic of Flovent. So, how we started clinical trials for this, and then any color on this product will be helpful.

Glenn Saldanha : At this point, we can't give any visibility to what the product is or what we are doing in terms of a development pathway . We still maintain that we will be able to file this additional product next year.

Harit Ahmed : And this is a inhaler product , just to confirm ?

Glenn Saldanha : That's correct.

Harit Ahmed : And trying to understand the compliance situation at Baddi a little better. We have been non - compliant at this facility from early 2019. And so I presume you have undertaken a fair bit of remediation measures before it got re -inspected earlier this year. And that inspection as well didn't really go too well , you received an import alert post that . So, what exactly are the challenges specific to this facility? And what's really led to this Import Alert situation, despite our remediation efforts? And have we undertaken any measures across the network to improve our quality systems, because we have had a couple of other OAI's as well in recent months.

Glenn Saldanha : Clearly, we are disappointed about Baddi getting the Import Alert . We are working with the FDA, to see how we can remediate and bring the facility back on track as soon as possible. I think we have also taken many measures across the firm to ensure that we strengthen our quality systems, and we continue to excel in the quality across all our sites , across the network. So, I think there are several things we have done and we continue to work through right to strengthen our network , our capabilities on the quality side.

Harit Ahmed : And then last one, the capital reset I CHONOS , which we have talked about in the past, is that plan still on or are we shifting our focus more towards licensing some of the --?

Glenn Saldanha : I think at our Investor Day which is coming up we will give much more visibility on the roadmap there.

Moderator : Thank you. The next question is from the line of Kunal Randeria from Nuvama . Please go ahead.

Kunal Randeria : Just quick one on Ryaltris, being a branded product , have you already invested or still investing in Salesforce in the country that you are going to market it yourself?

Glenmark Pharmaceuticals Limited
November 14, 2022

Page 15 of 18

Glenn Saldanha : So, the good news is we are continuing to leverage the existing Salesforce. I mean, the reason we built out some of these segments in emerging markets is precisely that. Now we are actually getting the benefits of the investments we have made by way of Salesforce in these different countries. So, the network, the Salesforce that we have is, we are able to better leverage them through the launch of Ryaltris in almost all of our countries, we have not added Salesforce anywhere to the best of my knowledge , right across the network.

Kunal Randeria : A

and you believe these are sufficient for Ryaltris to achieve its potential?

Glenn Saldanha : Yes, we think we will get to the Rs. 100 million to Rs. 150 million mark in the next four or five years using the existing infrastructure.

Moderator : Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund . Please go ahead.

Nikhil Mathur : So, my first question is on the revenue guidance shared for FY'23, I think 68% is the number that has been shared. And first half, we are closed on a flattish level. Second half, I would also suspect that India is usually seasonally weak , especially because of respiratory . U.S. also, you will be having the impact of the Import Alert. So, what will drive this growth in the second half and that to on a reasonable basis in second half of FY23 ?

Glenn Saldanha : Clearly , see I mean, if you assume that we currently have the same run rate of Rs. 3,300 crores, Rs. 3,400 crores a quarter that itself will take you very close to the guidance. I mean, what we did in Q2, so, very clearly, outside of that, also, we have most of our markets, as Brendon mentioned, U .S. Q3 will be better than Q2, Q4 will be better than Q3. India continues to perform well, for us in the second half. Europe is doing well, ROW --. So, I think overall, the Baddi impact we think will hit us in Q4. And even there, given the launches, given all the other things

we have going on, we believe Q4 will be strong. So, overall, we continue to maintain the overall guidance.

V. S. Mani : And just to add further, the first half looks a little flattish, because we had heavy COVID sales in the first half. First quarter was India. The second half was ROW. And the second quarter, second half of the year, would be more normal to normal, okay.

Glenn Saldanha : And if you strip that out, clearly we are well ahead of double-digit growth, right, on an overall basis.

Nikhil Mathur : Any royalty from Ryaltris, are you expecting that in the second half?

Glenn Saldanha : So, we don't guide to royalties, Nikhil. But I think we, they will keep coming as we go along depending on markets and depending on, as the products get commercialized.

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 16 of 18

Nikhil Mathur : And on usage of cash, I think there is significant amount of cash on the balance sheet and so obviously gross debt is also high. So, like, why don't repay gross debt from that cash, I mean, in an interest rate rising cycle, especially because your debt is predominately in USD, wouldn't that help your finance cost in the P&L?

V. S. Mani : Just to answer that, so obviously, my cash is slightly lower compared to last year end. Besides that, almost Rs. 350 crores to Rs. 400 crores are lying in GLS so that's a separate listed company and gets consolidated along with us. So, those are not something that we use. But in any case, Nikhil, any company of our size, with so many locations around, we definitely need some cash with us, to manage the day-to-day, how we take care. I mean at best here and there 100, or 200, you could manage, but that's about what we can, beside that we are running so many enterprises across so many geographies, we need some cash. And the collections keep coming in and they keep, some of them remain in the bank.

Nikhil Mathur : Any guidance you can give on the tax rate, it seems to be running high first half, so if you can help on this?

V. S. Mani : So, if you look at it, compared to last quarter, this is better. For the year, we are guiding around a little less than 40%. But going forward, it will come lower as we go by. And also the reason is we have been using our MAT credit over the last two quarters in a good way so obviously, it doesn't amount to cash tax. On a cash tax basis, our tax rate was about 27%. So, I think in a couple of years, we will be able to use up our MAT and so therefore

re naturally we can offer a

lower tax rate. Tax laws allow you to do that, you can apply for a 25% tax rate.

The other thing that will happen is also as we grow and grow our sale, our profitability and the way we have been quite tight on our R&D spending, and especially the innovation side, that should also contribute to improvement in the overall tax rates. Yes, that's how it will be.

Nikhil Mathur : On the book tax rate in FY'24 and FY'25, it would be around 35% to 36% level?

V. S. Mani : Yes it should be 35% or lower, yes, that should be around those levels. But cash tax will be still around, maybe around 26% to 27%. So, we are not paying any cash because I already use the MAT also right.

Moderator : Thank you. The next question is from the line of Sachin Kasera from Svan Investments. Please go ahead.

Sachin Kasera : Question for you, Mani Sir, what gives us the confidence in terms of being able to reduce the target of debt, the full year target? Is it that you are expecting significant correction back again in the working capital cycle, or you are expecting the profitability to grow significantly hence being able to get rid of the debt?

Glenmark Pharmaceuticals Limited

November 14, 2022

Page 17 of 18

V. S. Mani : So, obviously, cash comes from profit. So, we should be able to significantly improve, I mean, as you can see, we have guided to a higher number in terms of turnover in the second half so that's one part of it. As far as working capital goes, obviously, if the disruptions are not so much, and they improve, as we are seeing slowly, they will definitely help us to reduce our debt level.

Sachin Kasera : Secondly, will you be able to give some sense what is the type of impact, Monroe is having in overall profitability of the company?

V. S. Mani : Monroe as such, I mean, obviously does strategic and all that, but we have not really started any major sales from there. So, to that extent, it is not really hit us in that sense. So, broadly, that is where we are. So, maybe if it was there, some opportunities could have been there, but today it's not there so we are waiting remediation and hoping that we should be able to start our sales from there.

Sachin Kasera : It must be hitting something because of the costs that we are incurring, apart from remediation also establishment costs. Is that a large number to have or it's a very small number?

V. S. Mani : So, remediation costs, if you recollect, last year, we had taken something to our P&L. So, we

are seeing how it goes along. Maybe there could be some in future something a little bit coming more. But see, this is part and parcel of the business, I mean, obviously. And the cost, obviously, we have been as careful as possible now that it's under remediation. But these numbers are baked in with those numbers as well. I mean, this is the challenge of running a plant and having some issues, but I think in the long run, it will serve as well. Yes, that's what we feel.

Sachin Kasera : And lastly on the domestic sales to sustain this 10% to 15% growth, we are looking at adding MR for the next couple of years or with existing force you think and productivity enhancement, we can pull through?

Glenn Saldanha : I think India, we will continue to expand and grow in India. I mean, we will give some visibility at the Investor Day, on what is the roadmap right for some of these geographies. But clearly India is a great destination from a growth perspective. So, we will continue to expand into India.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Utkarsh Gandhi, for his closing comments.

Utkarsh Gandhi : Will read the disclaimer before we end the call. The document has been prepared by Glenmark Pharmaceuticals Limited, the information statements and analysis made in this document describing the

company's or its affiliates objectives, projections and estimates of forward-looking statements. These statements are based on current expectations, forecast and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially from the statements, depending upon economic conditions, government policies and other incidental factors. No representation or warranty either expressed or implied is provided in relation to this document and it should not be regarded by recipients as a substitute for the exercise of their own judgment. The company undertakes no obligation to update or revise any forward-looking statements whether as a result of new information for future events or otherwise.

Glenmark Pharmaceuticals Limited
November 14, 2022

Page 18 of 18

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With that we would like to end the call of today, a big thank you to everyone for joining us on the call.

Moderator : Thank you. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

Page 1 of 22

"Glenmark Pharmaceuticals Q3FY23 Earnings Conference Call"

February 13, 2023

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN & MANAGING DIRECTOR , GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR & GLOBAL CHIEF FINANCIAL OFFICER , GLENMARK PHARMACEUTICALS LIMITED
MR. BRENDAN O'G RADY – CHIEF EXECUTIVE OFFICER , GLOBAL FORMULATIONS BUSINESS , GLENMARK PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER , INVESTOR RELATIONS , GLENMARK PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals
February 13, 2023

Page 2 of 22

Moderator: Good morning , ladies and gentlemen. Welcome to the Q3 FY'23 Earnings Conference Call of Glenmark Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi – General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you and over to you, sir.

Utkarsh Gandhi: Thank you, moderator. Good morning, everyone and a very warm welcome to the Q3 FY'23 Results Conference Call of Glenmark Pharmaceuticals Limited .

Before we start the call , a review of the operations for the Company for quarter -ended December 31st, 2022 . For the third quarter of FY '23, Glenmark's consolidated revenue from operations was at Rs.34 ,639 million as against Rs.31 ,734 million in the corresponding quarter last year , recording a growth of 9.2% .

For nine months of FY'23, Glenmark's consolidated revenue was at Rs.96 ,164 million as against Rs.92 ,858 million , recording a growth of 3.6 % year-on year .

We'll start with the "Formulations Business of India ." Sales from the formulations business in India for the third quarter of FY'23 was at Rs. 10,745 million as against Rs.10 ,069 million in the previous corresponding quarter , recording growth of 6.7% India business contribution to the consolidated revenue was 31 % in Q3 of FY'23 compared to 32% last year .

As per IQVIA Q3 FY'23 MAT data, Glenmark's India formulations business continues to record strong growth of 11 % . As per the IQVIA data, Glenmark 's India business continues to be ranked 14th with a market share of 2.2% . During the quarter, Glenmark's India business significantly improved its share in key therapeutic areas of cardiac and dermatology .

As per the IQVIA data, cardiac market share for Glenmark increased to 5.37 % from 4.85 % last year, and the dermatology market share also went up to 8.15 % from 8.05% last year. Glenmark market share in other key therapy areas also remain strong , So the Company share in respiratory market was 5.34 % and in the diabetes market was 2.38 %.

As per the IQVIA data for MAT December 2022 , Glenmark is ranked #2 in dermatology , #2 in respiratory in the third quarter, Glenmark is ranked #5 in the cardiac segment and #14 in the diabetes segment . Company continues to have nine brands in the IPM top -300 brands of the

country on the basis of IQ VIA December '22 data .
Glenmark Pharmaceuticals
February 13, 2023

Page 3 of 22

The Company launched multiple new products during the quarter and continue to gain share in some of its key launches across segments . In the third quarter , Glenmark launched the Fixed Dose Combination of Teneligliptin, Pioglitazone and Metformin SR under the brand name Zita-Piomet . This is a novel and affordable FDC to help improve glycemic control amongst adults with high HbA1C and high insulin resistance , and it also includes adherence through a single pill. Earlier in FY'23, Glenmark also launched Sita gliptin and fixed dose combination , followed by Lobeglitazone and FDCs of Teneligliptin including combinations with Pioglitazone and Dapagliflozin, emphasizing its focus on the diabetes segment .

In the cardiac segment , Glenmark recently launched Sacubitril+Valsartan under the brand name Sacu V for the treatment of heart failure . This combination belongs to the class Angiotensin Receptor neprilysin inhibitor . This drug helps reduce the risk of cardiovascular -related death and hospitalization . The Company continues to have a healthy pipeline of differentiated products which it will

launch in the market going forward .

For India consumer care business , the primary sales for the GCC business , in Q3 was Rs.431 million , with a growth of 16 % which was mirrored by a strong secondary growth of 13 % . For the nine months of FY'23, the GCC business revenue stands at Rs.1 ,634 million with a YTD growth of 34 % .

Our flagship brand , Candid Powder , delivered revenue growth of 9% in Q3 and about 38 % in the nine months .

Our La Shield portfolio delivered strong growth of 36 % in third quarter and about 80% in nine months . We've also expanded the La Shield product range through La Shield Moisturizer .

Finally , Scalpe+ portfolio recorded 12 % growth in Q3 and about 13 % growth in nine months of FY'23.

The North America business registered revenue of Rs.8 ,373 million , which was about \$102.3 million for the third quarter of FY'23 as against Rs.7,533 million which was about Rs.94.8 million for the second quarter of FY'23, which essentially translates into a quarter -on-quarter growth of 11%. North America business contributed 24 % to the consolidated sales in Q3 of FY'23.

In the third quarter of FY'23, Glenmark received final approval for Nicardipine Hydrochloride Capsules . Glenmark also received final approval and launched Sodium Phenylbutyrate Tablets , USP 500 mg . In addition , Glenmark also launched Fingolimod Capsules 0.5 mg and a new pack size of Telmisartan Tablets .

Glenmark filed one ANDA in the third quarter and plans to file six to eight applications in the forthcoming quarter .

Glenmark Pharmaceuticals
February 13, 2023

Page 4 of 22

Further, in Q3 , Glenmark also reached a settlement with Pfizer for Axitinib tablets 1 mg and 5 mg, the generic version of their Inlyta tablets. Glenmark had previously announced that it had received the tentative approval by the US FDA for their Axitinib tablets on November 30 , 2020 . As per the IQVIA data for the 12 months period ending December 2022 , for the Inlyta tablets , market achieved annual sales of approximately USD657.1 million .

Glenmark's marketing portfolio consist of 178 generic products authorized for distribution. The Company currently has 46 application pending in various stages of the approval process , of which 21 are Para -IV filings.

Glenmark's Europe operations revenue for the third quarter of FY' 23 was Rs.4 ,932 million as against Rs. 3,807 million , recording a growth of 29.5 % . The Europe business contributed 14 % to the total revenues in Q3 FY'23 compared to 12% in Q3 FY'22. The strong European business growth was driven by markets in both Western Europe , Central and Eastern Europe . Key markets in Central and Eastern Europe , such as the Czech and Poland , recorded strong secondary sales double -digit growth during the quarter . Growth was driven by uptick in base business as well as new product launches in the CE markets in the third quarter . Western European business also clocked a high double -digit growth for Q3 with markets like the UK , Netherlands and Germany , all growing significantly . In the UK , the overall pharma market witnessed some supply disruptions which helps Glenmark gain additional share through continued supply to key customers . Also, six new products were launched in the Western European market . Growth was also led by a respiratory portfolio which continues to do well in all the European markets . Key brands such as Asthmex and Salmex have gained market share both in volume as well as in value across the central and eastern European markets and the product continues to do well in the Western European markets also through our partners . Tiogiva also continues to grow in the

Western European market .

Moving on to the ROW region , which consists of Asia , Middle East , Africa , Latin America and RCIS business. For the third quarter of FY'23, revenue from the ROW region was Rs.6 ,541 million as against Rs.5 ,348 mil

lion for the previous corresponding quarter , recording a growth of 22.3% . ROW business contributed 19 % to the total revenues in Q3 FY'23 compared to 17 % in Q3 FY'22.

Glenmark's Russia business recorded secondary sales growth of 26% in value and 3% in unit in Q3 versus the same period last year . Strong growth has been driven by all the key brands in the market including Ryaltris, Montlezir and Canada . Ryaltris continues to gain share and has now been included in the guidelines for Russian Rhinology Society as well . Dimetendine Gel, Fenismart was launched in October 2022 and additional registration approval has been received for the overall drops of this product as well . These two launches will further boost the dermatology segment .

Glenmark Pharmaceuticals

February 13, 2023

Page 5 of 22

As per the IQVIA MAT December '22 data , Glenmark 's Russia business growth was about 15.9% in value terms in line with the overall market . Volume growth was also in line . And amongst the dermatology companies , Glenmark ranks 12th as per the MAT December 2022 data and amongst the companies present in the Expectorants market in Russia , Glenmark continues to maintain a strong position, ranking second as per the MAT December '22 data .

Moving on to Asia , amongst the key markets in the Asia region , Malaysia and Philippines continue to record double -digit secondary growth . Certain micro economic headwinds are slowly easing out in other key markets like Sri Lanka; however , Myanmar continues to have challenges related to currency depreciation .

In the Asia market , dermatology and respiratory are the key therapy areas contributing to majority of our sales. Ryaltris continues to do well in the overall market and we hold about 15 % share in Australia and our partner in South Korea , Yuhan also launched Ryaltris in the third quarter of FY'23. The product has already shown a very strong pickup in the market with 30 %-plus share in the combination market in a very short time span .

The Middle East and Africa region recorded close to 30 % growth in secondary sales during the third quarter . While the Kenya market continues to be impacted by some instability , Glenmark achieved strong secondary sales in South Africa and Saudi Arabia . On the back of key launches , Glenmark continues to gain scale in other markets of the region such as the UAE , Uganda and Tanzania . The Company has also signed multiple business development deals to further augment the business growth .

Latin America witnessed strong growth for the nine months of FY'23. Respiratory again remains a key therapeutic area and a key contributor for Glenmark and its growth in the Latin American markets . Landmark has a high single digit market share across the chronic , respiratory products in Brazil . It's actually ranked 5th as per the IQVIA MAT data in the covered market for the chronic , respiratory segment , and Glenmark is growing faster than the covered markets across all the segments in Brazil . And in Mexico as well , which is another key market , secondary sales growth has remained strong , growing at about 15% of Glenmark compared to market growth of 8% in terms of value , this is as per the IQVIA MAT December '22 data.

We'll just give a brief overview of our key respiratory products , starting with Ryaltris. At the end of third quarter , marketing applications for Ryaltris have been submitted in 58 countries across the world , while it is commercialized in 23 markets , including major markets like the US, Europe , where we have marketing approval and commercialization in the UK and 10 different markets across Europe , Australia , Russia , South Korea and South Africa .

Glenmark's partner in the EU , Menarini, initiated the commercial launch in the Nordic countries of Denmark , Finland , Sweden , Norway and Germany as well in the third quarter and intends to la

unch the product in additional European markets in Q4 . Our partner in the US ,

Glenmark Pharmaceuticals

February 13, 2023

Page 6 of 22

Hikma , has also launched the product . Ryaltris is now stocked at all major wholesalers .

Discussions are also ongoing with insurance companies to increase coverage for Ryaltris.

During the third quarter , Glenmark submitted marketing authorization applications for Ryaltris in Hong Kong , Morocco . Glenmark received marketing authorization grant for Ryaltris in

Tanzania and is awaiting approval in other key markets like Brazil , Mexico , Vietnam , etc.,

Glenmark's partner in Mainland China , Grand Pharmaceutical , aims to complete enrollment for

the ongoing Phase -3 study in China for Ryaltr is and submit the marketing authorization by the end of 2023 . And Glenmark partner ed Bausch Health , intends to soon launch Ryaltris in Canada as well .

In terms of other key products, clinical trial continues for our generic Flovent PMDI product and we expect to file the ANDA in calendar year '23, and we also plan to file at least one more generic respiratory PMDI in the US in the calendar year '23 and continue our filing momentum beyond that .

In terms of our innovative R&D pipeline , we will cover GRC 54276 which is our HPK 1 inhibitor . It is being developed as an orally administered IO -adjuvant treatment for patients with solid tumors .

So, for GRC 54276 , it's a novel , orally active HPK 1 inhibitor , that demonstrates the excellent standalone efficacy and enhances current immunotherapy efficacy . A Phase -1, dose escalation study is ongoing in India . Successful recruitment of patients in Cohort 3 was completed in the third quarter of FY'23. No dose limiting toxicities have been observed till date . IND submission and DCGI submission is planned in the fourth quarter of FY'23 to initiate the part 2, combination study of GRC 54276 with Pembrolizumab and Atezolizumab in the US and India .

GRC 39895 is a RORyt inhibitor and is in the . Company 's respiratory pipeline asset which is being developed as an inhaler therapy for mild -to-moderate COPD and currently undergoing Phase -1 development in the US .

Moving on to our API business , Glenmark Life Sciences . Revenue from operations including captive sales for GLS was Rs.5,407 million as against Rs.5 ,225 million , recording a year-on-year growth of 3.5 % . Generic API revenues increased 5.9% quarter -on-quarter, an increase of 1.8% year -on-year. Regulated market business continued strong growth momentum for the contributions of over 76.5% .

CDMO business decreased by 9.6 % quarter -on-quarter, but demand is expected to pick up from Q4 onwards , and multiple projects are either completed or ongoing for capacity expansion across the manufacturing sites , Ankleshwar and Dahej.

Glenmark Pharmaceuticals

February 13, 2023

Page 7 of 22

External sales for GLS in Q3 FY'23 were at Rs.3 ,756 million as against Rs.3 ,032 million in Q3 FY'22, recording a growth of 23.9% YoY. For the further updates on GLS you can log on to the website , glenmarklifesciences.com

Covering Ichnos Sciences , Glenmark has invested Rs.1 ,518 million which is about USD 18.5 million in the third quarter of FY'23 compared to Rs.1,520 million which is roughly USD20.5 million in the corresponding quarter last year . For the first nine months of FY'23, Glenmark has invested Rs.4,880 million compared to Rs.4 ,987 million which was invested in the corresponding period in the previous financial year . For further updates on the pipeline and the organization , please log on to the website , ichnossciences.com . The pipeline update for the third quarter of FY'23 has already been published on the website .

Just want to cover a "Few Objectives for FY'23." So, revenue growth of 6% to 8% during the year, sustaining EBITDA margins at similar levels as they were in FY '22. CAPEX of Rs

.700

crores to Rs.800 crores . Strategic priority is to enhance our free cash generation and further debt reduction and we continue discussion with potential partners for out -licensing of our Innovative assets.

"Some Notes to the Results" before we begin the Q&A. FOREX gain for the quarter was at Rs.47.6 crores , which is recorded in other income . Total R&D expenditure in the third quarter was around Rs.276 crores, which is 8% of total net sales . For the full year , we expect R &D expense to remain around 10% . Investment in Ichnos as noted earlier was USD 18.5 million in Q3 compared to USD 20.5 million last year , and for nine months the investment was USD 61.3 million in FY'23 compared to USD 67.5 million in nine months FY'22. The exceptional item in consolidated results is net gain of Rs.33.9 crores , arising from sale of cardiac brand Brazil for the India and Nepal business . Net of expenses , trade receivables , inventory write -off and some other reimbursable expenses as well as remediation cost related to the Monroe manufacturing site.

Inventory for the period -ended December 31st , 2022, was at Rs.3 ,010 crores as against Rs.2 ,865 crores as of September 30th 2022 . Receivables was at Rs.3,359 crores as against Rs.3 ,328 crores as of September and payables as of December was Rs ,2367 crores compared to Rs.2,348 crores , thus, there was a net working capital increase of about Rs.158 crores as of December 2022 when compared to September 2022.

Total asset addition in the quarter was Rs.139 crores , of its tangible asset addition was about Rs.107 crores and intangible asset addition was about Rs.32 crores .

Gross debt for the period ended December 31st 2022 was at Rs.4 ,210 crores as against Rs.3 ,954 crores as of September 30th 2022 . Net debt for the period -ended December 31st 2022 was at

Rs.2,615 crores as against Rs.2,715 crores as of September 30th 2022, hence the net debt has been reduced by Rs.100 crores as of December when compared to September 2022.

Glenmark Pharmaceuticals

February 13, 2023

Page 8 of 22

Before we open the floor for Q &A, I would just like to introduce the management of Glenmark Pharmaceuticals on the call today; we have with us Mr. Glenn Saldanha -- Chairman and Managing Director; Mr. V.S. Mani -- Executive Director and Global Chief Financial Officer; and Mr. Brendan O'Grady -- Chief Executive Officer, Global Formulations Business.

With that, we would like to open the floor for Q &A.

Moderator: Ladies and gentlemen we will now begin with the question-and-answer session. The first question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: My first question is on the Razel divestments of brands in the Indian market and I have two questions tied to this. The first question is that what's the logic behind divesting brands in India?

If I understand correctly, the capital allocation of Ichnos is going down, the US itself is definitely challenged. So, why is this pressing need to divest brands especially in areas like cardiac and Derma? And the another question tied to this would be that the companies which are acquiring these brands, they are the ones which are the challenges to the larger companies in Indian market in the next five, six, seven years. Why hand them over such brands so that they might get a platform to launch more brands on these platforms and they might actually settle in a Company like yourself only at some point in time, so just want to understand this entire brand investment strategies in the Indian market?

Glenn Saldanha: This is Glenn. Nikhil, our thought process is, what we've divested is some of our tail end brands, right, which are not getting actively promoted because of the sales reps concentration going to the core brands, right, and we are re-channelizing that capital into driving

our front-end brands

much harder, right. So, it's more a portfolio rationalization effort, right, basis which we have taken out those brands and we are channelizing the capital into our front-end brands and growing them faster.

Nikhil Mathur: I understand that, but the point being that, why do treat those brands as cash cows to further your initiatives whether in India or even certain other differentiated assets globally, you have taken time and effort to build those brands, I mean, there must be something attractive in those brands, why some of these smaller companies are kind of pursuing those brands, so I'm just trying to understand?

Glenn Saldanha: We are operating at a very different scale, right. Our India business is almost Rs.3,500 crores, Rs.4,000 crores business, right. Our objectives in terms of brand size and brand potential is very different from a smaller Company, right, they would look at it very much -much more differently. We are not able to provide the kind of time and energy involved in growing those brands. And if we just keep them in the portfolio and we don't resource them, over time, they're going to keep declining, right. So, we think it's better to take that capital and redeploy it into growing the front-end brands much faster. And if you see brands like Telma and some of the others that we have, Glenmark Pharmaceuticals

February 13, 2023

Page 9 of 22

we are still launching new variants, they're still growing at a much-much faster pace than the market, right, there's still a lot of potential, that's untapped right which we are now going after.

Nikhil Mathur: How much is the net cash inflow from the recent divestment?

V.S. Mani: Nikhil, this is Mani here. Just let me address this a little more comprehensively rather than just...So, first and foremost, our net debt in this quarter is Rs.100 crores lower as compared to the previous quarter. You have to understand this in a holistic way. So, our EBITDA was Rs.620 crores, we had a cash interest of about Rs.94 crores, we had cash tax of about Rs.182 crores, we had basically increase in our assets of Rs.139 crores, working capital increase was Rs.158 crores, and dividend we paid during this quarter was about Rs.17.5 crores. So, all in all, this is about Rs.646 crores. So, against our EBITDA, this is higher. As far as Razel goes, we got about Rs.314 crores. But again, as we have put across, around Rs.150 crores is basically the expenses and the write-down against that, and obviously there was a remediation cost also of Rs.129 crores.

Broadly, I think this should answer your question. So we've got Rs.314 crores -

Nikhil Mathur: I couldn't catch a number on cash inflow from the Razel divestment.

V.S. Mani: So, there are two ways you can look at it; Rs. 314 crores and then the various expenses and we write-down on inventories, etc., after that net gain is Rs.162 crores. But if you look at inventory or something of the past, then, in that case, we would have got at least about Rs.245 crores from this transaction as of that point of time.

Nikhil Mathur: What is the Monroe remediation cost? I think in the footnote it's mentioned at Monroe -

V.S. Mani: That is Rs.129 crores.

Nikhil Mathur: So, the entire consolidated to standalone exceptional expense difference is Monroe basically ?

V.S. Mani: Not Standalone . Consolidated is Monroe.

Nikhil Mathur: Standalone difference is Monroe on the exceptional side ?

V.S. Mani: Standalone is basically what you got from the sale of Razel and all the expenses attached to that , that is a standalone gain. At the Consolidated level , you spent on Monroe, so the net gain looks at about Rs.33 crores , that's how it is.

Nikhil Mathur: EBITDA margin guidance continues to be retreated at FY'22 levels . But if I look at nine months , I'm looking at reported numbers

both FY '22 and this year . Last year it was 18.9 % and this year

nine months the Company is at 17.4% . So, this implies that ask for fourth quarter is pretty huge .

So I'm not sure what I might be missing here .

Glenmark Pharmaceuticals

February 13, 2023

Page 10 of 22

V.S. Mani: Nikhil, we had guided to about 18 % to 19% . So, so far we had about 17 .5%. So, I believe by the end of Q4 , we should be past 18 %.

Nikhil Mathur: Q4 has to be much more than 18 % right to –

V.S. Mani: Yes, absolutely , I agree. So, we are working towards that . As you can see , quarter -to-quarter there has been an improvement and also I'm not getting into the adjusted EBITDA side. If you look at it in the one or two quarters , we also have got those Favi inventories , etc., which when adjusted for they were better . So I'm now purely talking from pure EBITDA.

Moderator: The next question is from the line of Saion Mukherjee from Nomura. Please go ahead .

Saion Mukherjee: Mani sir, I couldn't understand the net cash inflow from the JB Chem Rosuvastatin divestment . Why there is an inventory write -off in that ?

V.S. Mani: Because there are inventories in the channel , so as of a particular day if you sort of only take as much as you can , beyond that you write down , there will be some expiries , so all that comes back . So, that's the reason .

Saion Mukherjee: Only transferred to JV, is it?

V.S. Mani: Not all of it , no, some of them will only go, it will take at a particular level only, they don't go for all of it .

Saion Mukherjee: What you're saying is the net realization is Rs.150 crores from -?

V.S. Mani: Rs.162 crores.

Saion Mukherjee: Similarly , for the transaction on the derma brands which is Rs.340 crores would be realized this quarter , so how much would be the cash inflow in that ?

V.S. Mani: So, that again there will be some amount of expenses , etc., I would allude to answering that during that call.

Saion Mukherjee: Half of it, you are saying, like –

V.S. Mani: Maybe a little more than half of that, yes.

Saion Mukherjee: Also, on Monroe , Rs.129 crores of this remediation cost , why is it treated as exceptional item , it's an operational expense , right , I mean , most companies –

V.S. Mani: No, I wouldn't look at it that way because it's not something that we keep spending regularly , right . Basically , we have to do needful to do regulatory action , right . It's not something that on

Glenmark Pharmaceuticals

February 13, 2023

Page 11 of 22

a year -on-year basis I will keep on getting this , right . So, you have to remediate your site , so we're spending on that , so that's why it's an exceptional item.

Saion Mukherjee: I mean it is a one -time expense I understand , but this is not exceptional , right , this is part of operation .

V.S. Mani: No, but you don't get these every quarter or every year . You have to remediate the site for a couple of quarters and it ends there , that's why . So, people come to clearly know what it is .

Otherwise if I put it up , then you will ask me the next question , why my expenses are higher , so I have to respond to that . So I've made it very clear. How you look at it is differently , but I have to put it separately and it is an exceptional item because it's not something that I'm going to have every quarter or every year . So, for a person who's looking at a financial statement , very clear that this has happened.

Saion Mukherjee: On the US sales , there is an increase quarter -on-quarter . We had an import alert at the Baddi site. So, is the impact already there and how should we see revenues for the fourth quarter in the US?

Brendan O'Grady: Yes, this is Brendan speaking . The Baddi impact is already inputted into our thinking . So, we don't expect any further impact as far as our guidance , but I mean if you think about the US , Q2 was better than Q1, Q3 was be

ter than Q 2 and we expect Q4 to be slightly better or in line with

Q3. So, we see the US business is certainly recovering and about \$100 million business give or take a quarter as we go forward .

Saion Mukherjee: Any outlook on how should we think about it for FY'24 given we had Monroe which is not cleared from a regulatory perspective ?

Brendan O 'Grady: Going forward again , we expect low-to-mid single digit growth . I think we'll see the quarter -on-quarter things look strong for the business and we'll see how things turn out with new product launch and so forth , but we do see recovery in the US business , and as we bring Monroe back online which we expect to do later this calendar year , then that will even add to the growth in the US .

Moderator: The next question is in the line of Shyam Srinivasan from Goldman Sachs . Please go ahead .

Shyam Srinivasan: Just the first one on Europe and ROW. I think we have seen very good strength in both QoQ and YoY for both those . So, just want to understand what's happening there , any specific products or anything you would like to ... I'm just looking at the presentation but it talks about Ryaltris particularly, if you could give us some granular details on both these markets ?

Brendan O 'Grady: Sure. I'd be happy to address that . Again, this is Brendan . So I'll take you r first. If we look at Europe , overall , our respiratory portfolio doing well across all of the markets . We also continue Glenmark Pharmaceuticals

February 1 3, 2023

Page 12 of 22

to launch through our partner Menarini and of course we have E-Care, that continues to be well accepted across all of Europe . As I mentioned , our respiratory portfolio with products like Selmex and Asmanex continues to gain scale and we've also done a very good job with our base generic business as far as gaining volume there . So, that's really fueling the E uropean growth . If we look at the rest of the world , Malaysia and the Philippines , we are doing well , Brazil , our respiratory portfolio continue to be strong , we're seeing strong secondary sales in Mexico and our Russian business has been resilient also , had an early cough cold season in this year in the third quarter , which helped with Russia as well . So, across all the segments , whether it's rest of the world or Europe , we're seeing strong growth and we expect that to continue .

Shyam Srinivasan: Nothing in terms of one offset other than the flu season , which could be different , but otherwise these are levels on which we can show sequential growth you think ?

Brendan O 'Grady: Not really one-off, I mean , if you look at our business , it's been strong in all t hose markets across all products I think one of the things that we'll point out is the growth of R yaltris, right , it's doing really well in Australia , it's doing really well in South Africa , it's doing really , really well in Russia and the Czech Republic . So, we continue to see the acceptance of Ryaltris which that will fuel the growth going forward also . So, not really one -off opportunities , more just kind of growth in our base business and new product launches .

Shyam Srinivasan: Just a second question on employee co st. Historically, I always remember Q2 to be the strongest one and then Q3 comes off , but, we have grown like even on the Q2 base . So, just want to understand , we are now making the employee w age p rovisions even through the year or how should we look at that ?

V.S. Mani: Basically, we Phase -it out between Q2 and Q3 . So, that's why the Q3 also looks a little higher ... Q4 will be lower . And also , Shyam, it looks a little higher this year for two , three reasons ; one is obviously this phasing that came in , also, especially outside the currency impact is also there , right , even you translate to rupee the overall thing has gone a bit 10%, so that's another reason why it is higher .

So, these are two or three reasons why it looks higher than last year and also obviously the increments would happen in the second quarter .

Shyam Srinivasan: Just want to get the CAPEX numbers again . We have done Rs.440 crores for nine months and we're guiding for another Rs.200, 250 crores for the fourth quarter . Where is this generally going towards ?

V.S. Mani: In a way , on a yearly basis , we've always been spending much higher than that also . So, routine CAPEX, some lines that we put , essential lines that we require for some respira tory products , all those that come in . So, those are the reasons why –

Glenn Saldanha: Also, I think GLS gets consolidated . So, their CAPEX also.

Glenmark Pharmaceuticals

February 1 3, 2023

Page 13 of 22

Moderator: The next question is from the line of Kun al Randeria from Nuvama Group . Please go ahead .

Kunal Randeria : Just one clarification on Razel. So, t his was a Rs.70 crore s brand , right . So how come you are around Rs.140 crores of inventories lie in the channel?

V.S. Mani: It's not just that alone inventory or anything , it's also to do with the transaction cost, it's got to do with people , we sort of ex gratia to people , so it's multiple cost there in that .

Kunal Randeria: The reason I'm asking is , it's a very big number for a Rs.70 crore s brand . So, a bit more color would be helpful ?

V.S. Mani: So, the color that I'm telling you is that basically there is a banker's cost, there will be employee cost, I mean, other in terms of what we said about inventory, etc., the expiry. So, all that put together this is how the cost has come together in.

Kunal Randeria: But can you share how many maybe employees have been laid off or transfer to JB Chemicals?

V.S. Mani: We got Rs.314 crores there.

Kunal Randeria: No, how many employees we're promoting in this brand?

V.S. Mani: We got about 50-60 employees transferred in.

Kunal Randeria: Secondly, see, in your presentation, you have mentioned some market share details for Ryaltris, I think 3% Korea, 15% Australia and so on. So, just for my understanding what do you exactly mean by that, so you compare against which standard with whom?

Glenn Saldanha: Typically, we take the allergic rhinitis market for that specific market. So, a lot of these market shares are computed basis the allergic rhinitis market.

Kunal Randeria: So, that means, I mean, the standard of care would be different, in some markets it's not their combination product. So will it be fair to understand you have taken the rhinitis market for a particular country?

Management: Kunal, basically for example in South Africa, for the overall allergic rhinitis market where we have 15% share and in Korea it's particularly the combination market. Because it's just launched, first direct competitor is of course the other combination product. So, if you take the Korea Market, the share is essentially across the combination therapy for rhinitis.

Kunal Randeria: I will take this offline. So, Monroe, I think, we spent around Rs.130 crores in the quarter. So, this is a fairly new plan and the number seems fairly high for one quarter. So, maybe can we just share a bit more kind of improvement that we are doing here?

Glenmark Pharmaceuticals
February 13, 2023

Page 14 of 22

Glenn Saldanha: I think, Monroe, we are pretty much done with our remediation network, right, Q4, it will come to an end, right, and I think we're hoping to start manufacturing in late Q4 or early Q1 of next year. So, I think the remediation effort is a cumulative impact of all the work that we've done so far and we've been working on the site for a long time. So, we've not been producing product for the last 18-months in Monroe, just keep that in mind and now we are almost done with the remediation work. So, hopefully, from early Q1 we will start and Q

4 we will start manufacturing batches again.

Moderator: The next question is in the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: A couple of questions from my side. One, on the remediation expenses, what would be the per annum operational cost from Monroe currently?

Glenn Saldanha: So, it will be roughly about 25 million a year, that will be the normal cost of running the facility.

Tarang Agrawal: Just to get a sense on the US business side, roughly about Rs.3,000 crores of revenue, assuming a large proportion of your generic R&D gets spent to the US, almost 17% to 18% of that revenue is R&D spends, and at the same time we've got Goa but Monroe under FDA action. So, how should we look at it in terms of your capital allocation, whether it's on the operational front or on the capital front going forward, I mean typically do we expect this business to continue being a \$100 million-odd business and it stays there, just some flavor on this would be helpful?

Glenn Saldanha: I think there are a couple of things here. One is we think in Q4, the remediation will be across Monroe, Goa and Baddi. But after that from Q1 onwards, the remediation cost will come down significantly because Monroe will be done and then the other sites also will be very insignificant from our overall perspective. So, I think the bulk of the remediation work is in Q3 and Q4 which is what we've taken up. The second point is talking about the US business. See, we have some very exciting products which we're working on right, like Flovent we've got, we've got another respiratory product getting filed this year, we've got a couple of CGT products we've just filed which is in the drug device combination space. So, I think the portfolio looks good. If you see beyond FY'24, while Brendan guided to '24 being mid-single digit, I think from '25 onwards a lot of these products will start kicking in. And then if you see the outer years, we have some exclusive products where we've done some settlements where we have the sole 180-day exclusivity on almost three such opportunities from I think '26, '27, '28. So, I think the portfolio looks strong as we go forward both in terms of what we've filed and what we are working on filing in the next 12 months for the US. And then if Monroe starts kicking in second half of next year in terms of commercial sales, next financial year, then that will also give us an injectable site and that will further drive our US portfolio forward. So, there is a very clear path that we're working towards for the US business which we're building on as every quarter goes by.

Tarang Agrawal: GLS cash flows would largely be ringfenced for GLS growth aspirations, right?

Glenmark Pharmaceuticals
February 13, 2023

Page 15 of 22

V.S. Mani: Yes, absolutely, in a way it's a listed public Company so are well, everything is at arm's length.

Moderator: The next question is from the line of Prakash Agarwal from Axis Capital . Please go ahead .

Prakash Agarwal: First, a clarification on this Monroe . So, you are expecting exhibit batches to start from Q1. I currently understand it's OA I. So, would this require an inspection or the remediation actions are good enough and you expect the FDA to clear it ?

V.S. Mani: Prakash, all these things is we are starting commercial manufacturing and manufacturing from Q1. Obviously , FDA will come in we believe and rein spect the facilities . So, that's part of the expectation .

Prakash Agarwal: But do you have a date or its post-remediation what is the process I'm just trying to understand , post-remediation you will invite them?

V.S. Mani: Prakash, we can't comment on that specifically . I mean all we are saying is we expect an FDA inspection and the process of remediation is underway as we speak .

Prakash Agarwal: Just a comment

on your R&D split. I'm sorry if you've already said , there's another call . So, what is the current R&D split between G S and innovation ?

V.S. Mani: Innovation is about 4%-odd, GS is 6%. So we've guided to about 10 % for the full year . So that's how the split is .

Prakash Agarwal: How does this look for the next financial year ?

V.S. Mani: Prakash, it may trend a bit lower of about 0.5% or so.

Glenn Saldanha : Innovation, Prakash, because of Ichnos, will come off quite significantly next year . As we said, Ichnos, the spend will come to 60 million from current ATV 5 million in that ballpark. So, there is a significant drop on innovation spend next year on account of cut back in Ichnos. I think the overall R&D spend will trend at around 8%, 8.5% for the full year next year . There is a significant drop coming out in the total R&D spend also .

Prakash Agarwal: But largely G S remains similar , the Innovation comes down by almost a quarter ?

Management: Correct , that's right .

Glenn Saldanha: Savings are coming out of innovation cuts .

Prakash Agarwal: What about the monetization or hive-off plans, we always believe that , okay , we are at the far end of monetizing one of the large assets , is that plan still on or what is the plan -B for this ?

Glenmark Pharmaceuticals

February 13, 2023

Page 16 of 22

V.S. Mani: So, very clearly , I mean , the way I see it is FY' 24, we have four strong innovative assets ; three with Ichnos; 1342 , 1442 , 2001 all these three should get to a POC by end of FY'24 and then you got the HPK1 which is doing really well and which also will get to a POC in FY'24. So, FY'24 is a very critical year for the innovation work that we're doing at Glenmark and even if two out of four we get good POC that we think will be transformational and obviously the path is then to partner out and monetize it and do all that which is what we're working on even as we speak .

Prakash Agarwal: And what is the dollar debt today?

V.S. Mani: Sorry?

Prakash Agarwal: The dollar gross debt and net debt?

V.S. Mani: In gross debt, the dollar will be about 440 million, plus some rupee loans, and the net debt would be lower by about \$100 million in the foreign currency part.

Prakash Agarwal: And the divestment, which are largely rupee -led, you would have -?

V.S. Mani: Yes, rupee -led only.

Prakash Agarwal: I think you would have knocked off some of the rupee debt?

V.S. Mani: So, if you look at it, obviously, net debt is lower by Rs.100 crores, to that extent, some rupee debt would be lower, yes.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Mani, sir, on the staff cost, I think in the last couple of years, we had done a pretty solid job on controlling the staff expense increase. This year seems to be a bit of an outlier. Now, barring the currency, is there anything which has changed and how should we look at this staff cost as well as other expenses on a going -forward basis?

V.S. Mani: So, let me address the other expenses first. So, other expenses, we are pretty much at about 26% or so, I mean, give and take a few percentage here and there quarter -wise. So, there, we are not too much worse off if you really ask me, Nitin. Last year, if you look at it, the first quarter was a COVID quarter, till July, we had COVID and all that. So, this year it is not there. Also, the other issue that you look at this year is because outside India, when you translate to rupees, there is a rupee depreciation of 10%, so that's also looks a little on the higher side. So, that's why these are there. Next year, when we go to a full year, it will correct itself. So, I think other expenses, I don't see it as broadly where we are. In terms of the staff costs, basically, again, as I told, the second and the third quarter looks a little higher because of

the phasing of the bonus.

Also, outside India, again, when you translate, there is a good 10% increase in the overall cost

Page 17 of 22

because of the currency. In Q4, it should correct itself. So, full year, we look at it at about 21% against 20% last year, there is one percentage higher, which we are making up in other areas.

Nitin Agarwal: Sir, going forward, staff cost of about 20%, 21%, other expense at 26%, you don't see much opportunity instead of reducing these percentages to sale?

V.S. Mani: Yes, there will be some opportunities. You could see it a 1%, 1% lower as we go along. So, that will add to the improvement in EBITDA, at least 1%, 1%, which is what we did. Like other expense used to be 29%, we brought it to 26%. Staff costs, we'll definitely get it lower by a percentage point.

Nitin Agarwal: Secondly, for the quarter, what was our mark-to-market impact of the currency on the loans?

V.S. Mani: It would be about Re.1 what it moved from Rs.81.47 to around Rs.82, so it will be about Rs.35 crores to Rs.40 crores.

Nitin Agarwal: Sir, on the working capital, looking beyond Q4, how should we look at working capital now?

We've had some higher inventory working capital over the last few quarters. Do we see opportunities to bring it down further, how are you looking at the working capital front going forward?

V.S. Mani: So, Nitin, actually, it's more of a commercial call, okay, as of now we speak. Obviously, with our customer requirements being higher, especially some of our India sites where we have to work on remediation, etc., so obviously, the requirements of inventory have gone up. So, I think for a couple of quarters, we'll see the inventory levels higher. So, after that, it will kind of come off. In the first part of the year, there were more in terms of the situation in China, etc., that is why we had a higher inventory. I thought it would come down. But, because of these, we need to keep it up. But I think it is worth it, Nitin, because it helps us to grow our business better.

Nitin Agarwal: Any thoughts on the tax rate on a going forward basis?

V.S. Mani: So, as you see, during the last three quarters, it has come down. So, I think going forward, there are two things; one, you will look at the effective tax rate, which I think should be about between 33%, 34% or so next year, and cash tax is anyway at about 30% only, India is much lower, but overseas because of the spends in Ichnos, which as we see it come lower and lower, both the ETR as well as the cash tax is lower.

Moderator: The next question is from the line of Charul Agrawal from Bank of America. Please go ahead.

Charul Agrawal: I wanted to understand a bit more about the US business outperformance this quarter. What was driving it, does it include any benefits from some supply disruption or seasonality benefit?

Glenmark Pharmaceuticals
February 13, 2023

Page 18 of 22

Brendan O'Grady: So, the performance in the US business this quarter is really due to just increases in volume and share gains in our base business. I think we're doing a better job executing in the market. There have been some disruptions in the US market that we've been able to take advantage of, which overall is helping with the recovery in the growth as well as some new product launches. So, there's nothing really kind of, I would say, it's a one-time outstanding issue that led to the performance. It's just kind of better execution in growth on the base business.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Just to know the overall Ryaltris sales for the quarter, now that we are kind of commercializing 23 markets, if you could give some ballpark number?

Glenn Saldanha: We are trending at around \$20 million, \$25 million for the full year

, right, for the current year.

Ryaltris, our view is over a four, five-year timeframe, right, to peak sales, we'll get to about \$100 million, \$150 million, right, in revenues. So, this year, it's trending at around \$20 million, \$25 million, primarily driven heavily by Europe and the rest of the world markets.

Tushar Manudhane: US is not yet; it's just launched and not a meaningful contribution for this quarter?

Brendan O'Grady: So, in the US, Ryaltris, we just launched at the end of last calendar year, and they're working through insurance and payer coverage. So, there's really not a lot of Ryaltris sales in this quarter, and probably we won't see Ryaltris sales start to pick up in the US in the second half of this calendar year.

Tushar Manudhane: If I'm correct, it would be expected to pick up second half of calendar year, right?

Brendan O'Grady: That's right. Yes.

Tushar Manudhane: And secondly, how many ANDAs have been filed from Monroe till date?

Glenn Saldanha: So, we don't have the exact number, but my guess is, it's around five, six, right, which are pending right now.

Tushar Manudhane: So, with these remediation measures, would you have to kind of revalidate these products and then re-submit or what's the thought process there?

Glenn Saldanha: Unfortunately, I cannot get into that level of detail, right? But we are working through the remediation, right? And we're hoping to bring some of these products to the market.

Tushar Manudhane: Did that require a significant amount of infrastructure change, considering the amount that has been spent at Monroe?

Glenmark Pharmaceuticals

February 13, 2023

Page 19 of 22

Glenn Saldanha: The amount is purely consultant cost, okay, bringing in third-party consultants to remediate the site. It is pretty standard, for all companies that go through remediation, right, especially the amount of remediation that we've done at Monroe is pretty standard, it's not extraordinary.

Moderator: The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Just one follow-up, Glenn, on India business. These divestments that you have been doing, are we done with it or you think there would be more divestment that you are sort of considering the non-core brands?

Glenn Saldanha: We have no more plans Saion, we are pretty much done with it at this point. But, again, just keep in mind, look, this is all being done in order to drive up... a lot of that capital has been redeployed into driving our front-end brands. So, India growth will continue to remain strong, right, even going forward, right, despite these divestments. They're insignificant. If you see the total divestments, we are talking of, around Rs.150 crores on almost a Rs.3,500 crores, Rs.4,000 crores business, right? And that is just being done to redeploy capital into our front-end portfolios.

Saion Mukherjee: And the other one on Ichnos. You mentioned the proof-of-concept by end of '24. There seems to be some delay in the timelines here. So, if you can clarify what's happening, and any more granular detail in terms of quarter that we can expect?

Glenn Saldanha: I think 1342 should come in Q1, 1442 maybe Q2, Q3 and 2001 in Q4.

Saion Mukherjee: So, now with COVID gone, things are on track, do you think in terms of getting or meeting these timelines?

Glenn Saldanha: Yes, I think so, Saion. There are always hiccups in drug development, right? It's not a linear path, right. So, 1342, there are some delays clearly, but we think by Q1, we'll have visibility.

Moderator: The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: Two questions. One is the medium-term guidance is zero net debt by FY '26. But, if you were to give any milestones, say, by the end of this year and FY '24, so that will be helpful? And secondly, for this Razel

transition that Rs.150 crores of transaction costs, the banker and the employee costs and the inventory, the three main items, if you could break it up will be helpful?

V.S. Mani: So, Vikas, obviously, we have guided to zero net debt by '26. So, I think as we go along quarter-wise, you will see it come lowering, in the next quarter also, it will come a little lower. It would not be appropriate to start breaking up everything into this. So, I've given overall what is the spend. So, obviously, all this put together is what it came to, yes.

Glenmark Pharmaceuticals

February 13, 2023

Page 20 of 22

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: So, just on the US business, Glenn, how are you looking at the approval pipeline for the next four to five quarters?

Glenn Saldanha: I think, Nitin, the portfolio is looking strong, okay? FY '24, as Brendan said, if we get to a mid-single digit, I think we'll be okay. But from there on, starting, I think, second half of FY '24, we should see some good approvals coming through for the US.

Nitin Agarwal: And for our respiratory filing of Flovent, it's going to be a FY '25 filing, if I remember the earlier guidance?

Glenn Saldanha: End of calendar '23 is when we file. Launch is '25.

Nitin Agarwal: The other respiratory assets, you're again looking to file in FY '24 sometime?

Glenn Saldanha: Yes, FY'24, correct.

Nitin Agarwal: And again, we're looking at FY '25 launch even for that asset?

Glenn Saldanha: Correct.

Nitin Agarwal: So, two large respiratory assets sometime in FY '25, that's the expectation?

Glenn Saldanha: Correct.

Nitin Agarwal: And these CGTs that you talked about, Glenn, what kind of timeframe would you look for those?

Glenn Saldanha: So, one could get approved in second half of FY '24, that could be a meaningful product for us. And the other one, probably Q1 FY '25.

Nitin Agarwal: So that's where I think your commentary around second half onwards is when some meaningful additions can begin to come through?

Glenn Saldanha: Exactly... and Monroe to add to that in second half.

Nitin Agarwal: Glenn, so Monroe, how will it work -- have you informed the FDA to visit or it's going to do it

at some point in time?

Glenn Saldanha: We have constant updates to the FDA, right, on the remediation work that's going on. So, I think that's the only visibility that we can give at this point.

Moderator: The next question is from the line of Ajay Vora from Nuvama Group . Please go ahead.

Glenmark Pharmaceuticals

February 13, 2023

Page 21 of 22

Ajay Vora : So, if you look at the current quarter, in spite of high remediation costs and inventory loss and a lot of restructuring that has taken place, we are at an EBITDA run rate of close to Rs.620 crores.

And now that if you are looking at some sort of cleanup in Q4 as well, from Q1 and then moving forward, we are looking at US improving and contribution from Monroe. Do you think somewhere in the second half, there's a run rate of around Rs.620-odd crores of EBITDA can move to Rs.700 crores plus?

V.S. Mani: It should definitely move up, I mean –

Glenn Saldanha: I think if you see next year, right, if we are able to grow sales 10%, 12% margin expansion because of the lower R&D spends, right, or margins going up substantially, I think that will clearly translate into higher EBITDA s, right? Hopefully , starting from Q1, you should see that flow through come in, some of it, at least in terms of sales growth as well as margin expansions coming through.

Ajay Vora: From Q1 itself, can we be closer to the Rs.680 crores, Rs.700 crores of run rate?

V.S. Mani: So I would not like to dwell on giving a number quarter -wise, but you are right , say next year second half onwards, there will be a bigger improvement, that should be there.

Ajay Vora: And therefore, by

end of next year, what can be our net debt level?

V.S. Mani: It will definitely come down. See, there are here and there uncertainties that come in . Instead of giving any number, all , I can tell is , we constantly will endeavor to bring it down, okay, and that's what we've been doing.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi : Thank you, moderator. We'll just read the disclaimer before we end the call. The information statement and analysis describing the Company or its affiliates objectives, projections and estimates discussed during the call are forward -looking statements. These statements are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause our actual outcomes and results to differ materially from these statements depending on economic conditions , government policies and other incidental factors. No representation of warranty, either expressed or implied is provided in relation to this document and the comments discussed during the call and should not be considered as a substitute for exercise of recipients own judgment. The Company undertakes no obligation to update or revise any forward -looking statements, whether as a result of new information, future events or otherwise. With this, we end today's call . Big thank you to everyone for joining us today.

Glenmark Pharmaceuticals

February 13, 2023

Page 22 of 22

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

Call: May 2023

Page 1 of 20

"Glenmark Pharmaceuticals Limited
Q4 FY'23 Earnings Conference Call "
May 22, 2023

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. V S MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. BRENDAN O'G RADY – CHIEF EXECUTIVE
OFFICER , GLOBAL FORMULATION BUSINESS –
GLENMARK PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
May 22 , 2023

Page 2 of 20

Moderator: Good morning, ladies and gentlemen. Welcome to the Q4 FY '23 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participants' lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi , General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Liz ann. Good morning, everyone, and welcome to the Q4 FY '23 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we begin the Q&A, let's review the overall performance of the company for the quarter ended March 31, 2023.

For the fourth quarter of FY '23, Glenmark's consolidated revenue was at INR33,737 million as against INR30,191 million in the corresponding quarter last year, recording a Y-o-Y growth of 11.7%. For the 12 months of FY '23, Glenmark's consolidated revenue from operations was at INR1,29,901 million as against INR1,23,049 million, recording an overall growth of 5.6% on a Y-o-Y basis.

In terms of key highlights for the financial year FY '23. As per IQVIA MAT March 2023, Glenmark is now ranked second in the respiratory segment of the India market with 1.5 times higher value growth compared to the overall respiratory market and Glenmark is now ranked second across dermatology and respiratory, which are the 2 of the key therapy areas for Glenmark in the India market.

Glenmark's Europe business recorded revenues of USD 225 million plus recording -- continuing the strong growth momentum over the last couple of years. Glenmark's ROW business also recorded 20 -plus percent growth across all the subregions. This was driven by key product launches across respiratory and dermatology. Ryaltris was approved in the U.S. and was launched by Hikma Glenmark's commercial partner. And in FY '23, Ryaltris was launched in 12 markets, either on our own or through our commercial partners . In totality, Ryaltris is now being commercialized across 27 markets in the world.

Proof of concept studies were also initiated for 4 clinical oncology assets, which are part of the

Glenmark and the Ichnos development pipeline. Study readouts for all 4 molecules are expected in FY '24. And Glenmark's partnered asset in immunology ISB -- Ichnos partnered asset in immunology ISB 880 progressed to Phase I studies, and these were initiated by our development partner, Almirall. We'll just review the -- each of the key businesses on the formulation side, starting with India.

Sales for the formulation business in India for the fourth quarter of FY '23 were at INR8,284 million as against INR8,847 million in the previous corresponding quarter, recording a decline of 6.4%. The decline was mainly on account of impact of divestment of few noncore brands, some impact of the NLEM price revision as well as return of COVID -related products.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 3 of 20

Adjusted for these impacts, the India business recorded a Y-o-Y growth of 5.1% in Q4 FY '23. India business contribution was at 31% for the full year FY '23 compared to 33% last year. Glenmark's India business continues to significantly outperform industry growth rates as per IQVIA Q4 data. Glenmark's India formulation business recorded a growth of 18.2% compared to the industry growth of 14.4%.

Furthermore, as per IQVIA MAT March 2023, excluding COVID portfolio, Glenmark's India business grew by 12.3% compared to overall industry growth of 9.5%. Glenmark India business continues to be ranked 14th with a market share of 2.12% as per IQVIA MAT Mar

ch '23. In

terms of key therapeutic areas, as mentioned before, Glenmark is now ranked second in the respiratory segment, continues to be ranked second in dermatology, fifth in the cardiac segment and 14th in diabetes.

Glenmark continues to have 9 brands in the IPM top 300 brands in the country. During the quarter, Glenmark's India business also improved its market share across key therapeutic areas. As per March -- as per MAT March 2023 IQVIA data, dermatology market share increased to 7.35%. The company's market share in respiratory increased to 5.59%, while the cardiac market share increased to 5.17%. And Glenmark's share in the diabetes market is 2.31%.

The company launched multiple new products during the quarter and continues to gain share in some of its key launches across segments. In Q4, Glenmark became the first company to launch Lobeglitazone and Metformin combination, brand name LOBG -M in India for the treatment of type 2 diabetes in adults, particularly for insulin resistant diabetic individuals.

Earlier in FY '23, Glenmark also launched FDCs of Teneeligliptin, Pioglitazone, Metformin under the brand name Zita -PioMet. Glenmark has also launched FDCs of Teneeligliptin, including its combination with Pioglitazone and Dapagliflozin as well as the Sitagliptin and a range of Sitagliptin related FDCs as well as Lobeglitazone. This emphasizes Glenmark's overall focus on the diabetes segment.

In the Cardiac segment, also Glenmark launched Sacubitril, Valsartan under the brand name Sacu V for the treatment of heart failure. This product is a combination belonging to the class angiotensin receptor neprilysin inhibitors. This drug helps reduce the risk of cardiovascular -related deaths and hospitalization. Company continues to have an overall healthy pipeline of differentiated products across its key therapeutic areas, which is the plans to launch in the market going forward.

For the India, consumer care business, primary sales for the GCC business in Q4 was INR672 million, with a growth of 9%, which was mirrored by a strong double -digit secondary growth of 15%. This was driven by increasing volume growth for keep brand Candid Powder and La Shield. Our new product introduction such as La Shield Pollution Protect, La Shield Probiotic Moisturizer and Scalpe Pro Shampoo also contributed to the growth. For the 12 months of FY '23, GCC revenue stands at INR2,330 million with a YTD growth of 30 plus percent. Our flagship brand Candid delivered revenue growth of 17 % in FY '23, La Shield delivered 53% growth in Q4 and 70% growth in FY '23 and Scalpe portfolio recorded 13% growth, both in Q4 as well as in FY '23.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 4 of 20

Moving on to North America. The North America business registered revenue of INR8,507 million for the fourth quarter of FY '23 as against revenue of INR8,373 million for the third quarter of FY '23, recording a quarter -on-quarter growth of 1.6%. Y-o-Y growth for the North American business was 15.3%. For the 12 months of FY '23, North America business contribution was at 24% compared to 25% in FY '22.

In FY '23, Glenmark was granted approval for 10 ANDAs comprising of 6 final approvals, 2

tentative approvals and 2 prior approval supplements. Some of the notable approvals included sodium phenylbutyrate tablets, nicardipine hydrochloride capsules, clindamycin hydrochloride capsules. The company filed 6 ANDAs in the fourth quarter of FY '23 and 8 ANDA applications for the fiscal year '23. Company plans to file 2 to 3 applications in the forthcoming quarter and a total of 10 to 12 ANDAs in FY '24.

Glenmark successfully launched 8 new products during the fiscal year '23 in the North American market consisting of a mix of immediate release oral solids as well as injectable products. Notable launches included Ezetimibe Tablets USP; Abiraterone Tablets USP; Fingolimod Capsules, Sodium Phenylbutyrate, Nicardipine. In the fourth quarter, Glenmark also launched Bumetanide Injection, single-dose vial, and multi-dose vial, as well as teriflunomide tablet. Glenmark was one of the first generics to launch teriflunomide tablets.

During the quarter, Glenmark also announced exclusive distribution agreement with Cediprot for the U.S. FDA-approved Mixed Amphetamines Immediate-Release Tablets. Glenmark's marketing portfolio in the U.S. consists of 183 generic products authorized for distribution. The company has 45 applications pending at various stages of the approval process of which 21 are Para IV filings. The company and its U.S. subsidiary, Glenmark Pharmaceuticals Inc. have submitted final documentation and approvals of the court. After the end of the accounting year FY '23 arrived at a settlement with 3 plaintiff groups collectively representing all of the claims against the company and in relation to multiple antitrust and consumer protection lawsuits, including a class action consolidated in the Eastern District of Virginia, the U.S., for a total amount of USD 87.5 million, which is payable over 2 financial years.

The financial settlement will be in accordance with separate agreements entered into with each of the plaintiff groups and will be subject to final approval by the court. The settlements will make clear that the company denies each and every of the allegations against it and the settlements are not on the basis of the company having conceded or admitted any liability, offense, wrongdoing, or illegality.

Moving on to Europe. Glenmark's Europe operations for the fourth quarter of FY '23 was at INR6,078 million as against INR4,968 million, recording a growth of 22.3%. For the 12 months of FY '23, Europe business contribution was 14% to the total revenue as compared to 12% in FY '22. The strong European business growth was driven by markets in both Western Europe as well as Central and Eastern Europe. Key markets in the CEE, such as the Czech Republic recorded strong secondary sales growth of 20% plus percent during the quarter. Growth was driven by an uptick in the base business as well as new product launches.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 5 of 20

The Western European business clocked high double-digit growth for Q4 with markets like the United Kingdom and Spain growing significantly. The U.K. recorded strong growth on the back of key launches in the generics business as well as uptick in the branded business as well. Glenmark ranks among the top 15 companies in the generic market of Germany. The respiratory portfolio launched by Glenmark in Europe also continues to do well. Key brands such as Ryaltris and Salmix have continued to sustain their market share both in value terms as well as volume terms across all CEE markets.

In addition to these, the company has also filed 4 additional respiratory products in the EU markets in FY '23, which would be launched over the next 2 to 3 years. Glenmark has also entered the Italian market and will be expanding across the country in the forthcoming quarters. Moving on to the ROW region which consists of Asia, Middle East, Africa, Latin America and Russia, CIS. For the fourth quarter of FY '23, revenue from the consolidated ROW region was INR6,856 million as against INR5,479 million for the previous corresponding quarter, recording a growth of 25.1%. For the 12 months of FY '23, the ROW business contribution was at 18%, similar to that in FY '22.

The company witnessed healthy growth in the base business across all sub regions of the ROW markets. In Russia, as per the YTD March and MAT March IQVIA data, Glenmark's Russia business recorded a growth of 10.3% in value versus overall retail market growth of about 2%. This has been driven by all key brands, including Ascoril, Ryaltris and Montelezir. Ryaltris also continues to sustain its momentum and is gaining further share in the market.

Amongst -- across the year, 4 new products are introduced in the market. In terms of key therapeutic areas, Glenmark recorded growth of 12% in value in the dermatology segment versus the overall dermatology market growth of about 6.7%. Amongst the dermatology companies in Russia, Glenmark ranks 11th, as per IQVIA MAT March 2023. Among the companies present in the expectorant market in Russia, Glenmark continues to maintain a strong position, ranking

second as per the MAT March 2023 data.

Moving on to Asia, the overall environment remained challenging across some of the Asian markets like Sri Lanka, Myanmar, Vietnam. Amongst the key markets, the Philippines continued to record double-digit growth secondary sales growth for Glenmark. Dermatology and respiratory remain key therapy areas for Glenmark in Asia, contributing significantly to the overall sales. Ryaltris continues to do well. It was launched by Glenmark in the Malaysian market in the quarter 4, and it continues to gain value share in Australia through our commercial partner with 18.1% share across the top allergic rhinitis products.

Launched in South Korea in Q3 by Yuhan Corporation, Glenmark's partner, Ryaltris has also shown strong pickup in a short span -- time span with a double-digit market share already in the allergic rhinitis combinations market. Middle East, Africa recorded a 20-plus percent growth in secondary sales during the fourth quarter. During the financial year '23, Kenya market was impacted by macroeconomic instability. However, Glenmark business remained resilient. The company continues to be ranked third in the overall Kenya pharma market.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 6 of 20

Further, the company continued to achieve strong secondary sales growth in South Africa and Saudi Arabia. Respiratory and dermatology again are key therapy areas contributing more than 60% to the overall sales of the EMEA region. And Ryaltris again is further expected to drive growth in the respiratory segment in this region as the product has launched across multiple markets in the first half of FY '24.

Finally, Latin America witnessed strong growth in Q4 as well as for the full year. Respiratory portfolio remains a key contributor for Glenmark in the Latin market. Glenmark Brazil achieved the highest growth rate among the top 20 companies in its covered market and the company maintains its rank amongst the top companies in the covered market of the chronic respiratory segment in Brazil as per IQVIA MAT data.

Secondary sales growth remained strong in Mexico as well, with Glenmark's business growing by 60-plus percent in value, while the overall Mexican market growth was close to 7%. We'll just cover some of the key products in respiratory starting with Ryaltris. So for Ryaltris, as of the end of fourth quarter of FY '23, marketing applications have been filed in more than 70 countries across the world. The product has been commercialized in 27 markets, including some of the major markets like the U.S., Europe, Australia, Russia, South Africa, and South Korea, this has been done by Glenmark through its own commercial channel or through our partners. Glenmark's partner in EU, Menarini initiated the commercial launch of Ryaltris in Austria, Belgium, France, and Spain in the fourth quarter of FY '23 and intends to launch the product in additional EU markets in FY '24.

Glenmark's commercial partners in the U.S., Hikma, continued to see strong new prescription and repeat prescription growth as the allergy season progresses through the country. Hikma also recently held a clinical advisory board and received positive feedback on Ryaltris from some of the senior allergy physicians in U.S. Glenmark's Canadian partner, Bausch launched Ryaltris in April 2023. And Glenmark's partner in Mainland China Grand Pharma aims to complete the ongoing Phase III trial and submit the marketing author

ization in the second half of fiscal year '24.

Some of the market shares that Ryaltris has gained over the key geographies are mentioned in the MD&A., key being Australia with 18.1%. South Africa with 10.3%. Czech Republic with more than 15%; and Poland, around 6%. In terms of other key respiratory products, the clinical trial continues for generic Flovent pMDI, and we expect to file the NDA in FY '24. And we plan to file one more generic respiratory pMDI in the U.S. in FY '24 and continue our filing momentum beyond that.

Innovative R&D pipeline for Glenmark, GRC 54276. GRC 54276 is HPK1 inhibitor being developed as an orally administered immunotherapeutic agent for patients with solid tumors. GRC 54276 is a novel, orally active HPK1 inhibitor in preclinical studies and administered alone. It has demonstrated substantial antitumor effects which are further enhanced when administered in combination with currently available immunotherapy. GRC 54276 is being developed and is being evaluated in the first-in-human Phase I clinical study. Part 1a monotherapy phase of the study is ongoing in India since July 2022 and no dose limiting toxicities have been observed during this period.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 7 of 20

To date, acceptance of the IND by U.S. FDA was received in the quarter 4 of FY '23. Initiation of the Part 1b of the study for GRC 54276 in combination with pembrolizumab and atelizumab in India and in the U.S. is planned in the first quarter of FY '24. GRC 39815 is the ROR gamma inhibitor, is the company's respiratory pipeline asset being developed as an inhale therapy for a mild to moderate COPD. It is currently under Phase I development in the U.S.

Moving on to Glenmark Life Sciences. Revenue from operations, including captive sales were at INR6,213 million, as against INR5,141 million, recording a Y-o-Y growth of 20-plus percent. Generic API revenues in Q4 were increased by 10.4% quarter on quarter and increased by 15.5% Y-o-Y the business witnessed steady growth momentum across regulated as well as emerging markets. And the CDMO business also doubled sequentially for GLS.

External sales for Glenmark Life Sciences in Q4 FY '23 were at INR3,831 million as against INR3,283 million in Q4 FY '22, recording a growth of 16.7%. For further updates on GLS, you can log on to their website, glenmarklifesciences.com.

Ichnos Sciences, Glenmark invested INR1,906 million, this is about USD 24 million in the fourth quarter of FY '23, compared to INR1,640 million, which is equivalent to \$22 million in the corresponding quarter last year. For the 12 months of FY '23, Glenmark invested INR6,833 million equivalent to USD 85.2 million compared to INR6,627 million, which is equivalent to USD 89.1 million, which was invested in FY '22.

For further updates on the pipeline and on Ichnos, please log onto their website, ichnossciences.com. The pipeline update for the fourth quarter of FY '23 has been published on their website. We would just like to state some of the key objectives for FY '24 that we have outlined. Consolidated revenue growth is targeted to be 10% to 11%. Consolidated R&D investment targeted to be 8% to 8.5% of total sales. Consolidated EBITDA margin of 19% to 20% plus, consolidated capex of INR6 billion to INR7 billion. Our priority remains to enhance free cash generation for further debt reduction, and we plan to close out at least one out-licensing deal in our innovation pipeline.

Some notes to the results before we open the Q&A. forex loss for the quarter was at INR78 crores, which is recorded in other income. And forex gain for FY '23 full year was at INR216 crores. Please refer to the Note 5 of the consolidated financial statements pertaining to the exceptional loss with regards to settlement of the generic Zetia litigation in the U.S. as well as divestment of select tail brands for India for both

Q4 as well as for the full year of FY '23.

In terms of working capital, inventory for the period ended March 31, 2023, was at INR2,978 crores as against INR2,499 crores as of March 31, 2022. Receivables as of March 31, 2023, was at INR4,098 crores as against INR3,101 crores as of March 31, 2022, and payables as of March 31, 2023, was at INR2,392 crores compared to INR2,289 crores last year.

Total asset addition in the quarter was INR190.5 crores of which tangible asset addition was around INR151 crores. Total asset addition for the full year FY '23 was INR632.7 crores, of which tangible asset addition was around INR531 crores. Gross debt for the period ended March 31, 2023, was at INR4,348 crores as against INR3,670 crores as of March 31, 2022.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 8 of 20

Net debt for the period ended March 31, 2023, was at INR2,905 crores as against INR2,260 crores as of March 31, 2022. Total R&D expenditure in Q4 was around INR336 crores, which is 10% of revenue for operations for the fourth quarter. For the full year, R&D expenditure was at INR1,240 crores, which is about 9.5% of revenue for the operations for the full year of FY '23.

Before we open the floor up for Q&A, I would like to introduce the management of Glenmark Pharmaceuticals Limited on the call today. We have with us Mr. Glenn Saldanha, Chairman and Managing Director; Mr. VS Mani, Executive Director, and Global Chief Financial Officer; and Mr. Brendan O'Grady, Chief Executive Officer of Global Formulation business.

With that, we'd like to open the floor up for Q&A. Over to you, moderator.

Moderator: Ladies and gentlemen, we will now begin for the question-and-answer session. The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Three bookkeeping questions from my side. One, what's the break-up of the exceptional item in the standalone business, is about negative INR485 crores. Second, if you could give me the equity investment amount and the loan investment amount in GHSA Switzerland as on March 31, '23. And third, what was the remediation cost for FY '23? And how has it been accounted?

V. S. Mani: Okay. I'll answer the question. So first is, obviously, the exceptional items that you wanted. So in terms of the exceptional items, the remediation cost for the quarter is INR91 crores. The legal cost is about INR137 crores during quarter okay, and so this is about INR228 crores. Also, the cost of the transaction that we did, there was the cost against that about INR111 crores, okay? And the remediation cost for the full year is about INR219 crores. This covers both India and

the U.S., sides, both together.

Tarang Agrawal: Okay. So Mani, just 1 question. I mean, if remediation has been accounted for under exceptional item in the P&L, then why does it show up in the cash flow when I say the sale of intangibles net of remediation costs?

V. S. Mani: So there was some line item where I had to show it. Obviously, if I look at it, it was -- if you look at it in the balance sheet also, if you see the cash flow also, you will see there is INR57 crores line item. In that line item, you had these 2 brand assets sold during the year. So these 2 came to about INR650 crores. Against that, the transaction costs came to about INR260 crores. The balance, as I explained, was about the -- remediation cost itself was about roughly about INR228 crores, and the legal cost was INR137. So net of all these, you got about INR30 crores, INR40 crores gap, and you had sale of some small assets that is how it came to INR57 crores.

Tarang Agrawal: So the INR228 crores is on the cash flow, plus there is about INR219 crores on the exceptional items in the P&L. Is that the right way to look at it?

V. S. Mani: Both are the same, practically. Both are the same. There's nothing different. Both are

the same,

INR228 crores and broadly INR228 crores both. I mean, the exceptional item for remediation is INR220 crores. And for the quarter, if you look at it, the exceptional, including legal is INR228

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 9 of 20

crores, so numbers look very close, but they are different, okay. So the remediation cost for the year has been INR220 crores. The legal cost that is an exception item is INR137 crores.

Tarang Agrawal: Okay. I might need some clarification. I'll probably take it offline, sir. The second is the equity investment and loan investment in GHSA as on March 31, '23.

V. S. Mani: Yes. Can I just respond to that? Give me a couple of minutes. I'll give you the answer. Can we take the next question. I'll come back to this.

Tarang Agrawal: Sure.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on the remediation cost. If you could explain in terms of this INR220 crores or INR91 crores where -- or is it in more of infrastructure investment or -- if you could just elaborate on the quality of this remediation?

V. S. Mani: Yes, I'll elaborate on that. See, obviously, we had at both the sides, okay, both in India as well as in the U.S. When you look at it, assuming for a full year, we are running 12 people across the line. And then just the cost of maintaining the consultant itself will be almost INR12 million. So that is there.

So in a way, if you look at it in the U.S. itself, we spent about INR22 million during the year. Plus, we will obviously have other costs associated because we're using very big consultants, etcetera. So obviously, those will all add to it. Okay. And you had a portion in India also about INR46 crores or INR40 plus crores during the quarter, and we may have a little more in the coming quarter. But broadly, this is where it is. It's all read into the consultants and the people and the consultant and the people who come and work with us.

Tushar Manudhane: So effectively, this is more like only yearly phenomenon, or should we expect more like?

Management: Tushar, it's more like a one-off. We had to do the remediation of Monroe, which is pretty much done now. So in Q1 onwards, it will taper down. Likewise, we had remediation costs hitting our Goa facility and the Baddi facility this year. So I think in FY '24, you will see very little of remediation cost, right? It will come off significantly.

Tushar Manudhane: Understood, sir. How much would be the Ryaltris sale overall across the market in FY '23?

Management: I mean, we did about, I think, INR20 million, INR25 million last year. And this year, we see that number going to about INR40 million, INR45 million some thereabouts.

Moderator: Thank you. The next question is from the line of Amit Khetan: from Laburnum Capital. Please go ahead.

Amit Khetan: So my first question is on debt. In the Q3 call, Mani, you specifically mentioned that we should see a reduction in net debt next quarter, but that's actually increased by about INR300 crores. So what's driving this?

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 10 of 20

And just continuing on that, we have a plan to be net debt free by FY '26. Can you lay out a broad intermediate path in terms of where should we expect this number to be at the end of FY '24 and '25? And also, how much of this INR3,000 crores net debt reduction is contingent on either a partial or a full divestment of GLS or any further non-core brands still that we might

undertake?

V. S. Mani: So just one second. So there is answer. In terms of the net debt yes, I mean, if you look at it during this quarter, there has been an increase in the working capital cycle, okay? So that is probably the primary reason why it went up. And one of the big reasons has been in the movement in

the debtors. Obviously, during the last few months, if you see there is a change in the geographic mix again. So obviously, there is more sale out of new and ROW and it's lesser from India. And that's the reason why the credit days have been higher in these quarters. Besides that, obviously, there has been -- in debtor, there has been also a movement because of the currency also almost INR150 crores because as you can imagine, the rupee also moved up and because of the credit days that is why the reason I mean, basically debtors and to some extent inventory that is why the -- basically the debt has moved up.

In terms of our '26 guidance, we continue to hold that. And obviously, as you can see, our -- we have reached a certain critical mass, okay, we are almost at INR13,000 crores. We anticipate the growth further. During the current year, obviously, we had a few of the things like exceptional legal costs, in terms of exceptional remediation costs, et cetera, some of these have played out. And therefore, I would assume that when we look at it over the next 3 years, we believe that would be growth in the business. There should be decent cash flows to paid on most of these debts and at least at a net debt level, we should be a positive, that's what I say.

Amit Khetan: But is there a broad range you can give of where we should expect this number to be at the end of, say, next year and after that?

V. S. Mani: So year wise, it may not be straight to give. It will obviously be a cascading one. The first year may be a little lower. The second year will be higher as you can also see some of the products are doing better. Some of the markets are doing better. So the EU market is doing well. The Ryabris is doing well. U.S. business is picking up. So obviously, there will be momentum that will take.

So I would assume that even with net debt what we have today of almost INR3,000 crores or whatever, we should see somewhere by which in the 3-year timeframe that we are speaking about, we should be able to take out most of it, okay. That's how I see. The momentum, I can't break it up year wise. But in a broad trajectory what I look at it, it looks like there is a good possibility with the business growth and not having some of the issues that we had in the current year of exceptional item, that should not be the area.

Amit Khetan: Okay. And how much of this INR3,000 crores debt is contingent on divestment of GLS or other noncore brands that we may divest?

Management: I think, clearly, I mean, the GLS divestment up to 7% at least that we are required by law, will be important to meet our net debt guidance. Obviously keep -- also keep in mind when we put Glenmark Pharmaceuticals Limited

May 22, 2023

Page 11 of 20

out this guidance, we had no visibility around the U.S. settlement that we did. So outside of the U.S. settlement, clearly, we still maintain that the business cash flows will continue to be strong to take us to net debt zero. But I think now with the U.S. settlement and the quantum of U.S. settlement, right, that we did for Zetia it's going to be critical to take some of the GLS divestment into that to achieve net debt zero.

Amit Khetan: Understood. Understood. And just following up on the working capital part, there's been about INR1,000 crores increase in receivables. So I'm not able to fully understand, given that branded formulations are typically a low working capital cycle business. So how is India and the rest of the world driving this increase?

V. S. Mani: So yes, you're right. It's not like this is a sudden change in the mix of the geographies in which we sell. Obviously, there is a onetime that always happens. So the cost of the mix and more sales in EU and ROW markets, the receivable days are definitely higher there, and that is why it's played out.

Also, there is a currently movement. So as you can know that during October, November, the

rupee also moved up from 79 to 82. So there is about a INR150 crores. So I would assume, to answer you well, going forward, in the coming quarters, we should see it move down. We should definitely see move down and as India also -- so the bigger growth, which is there any way in the underlying business, it should go down. We're looking at it about 100 days.

So historically, we had a good working capital last year, it was a little bit challenging due to the change in the sales mix and also some supply chain issues that otherwise probably we see the trajectory going down.

Amit Khetan: Got it. And lastly, on the India business, the investor presentation mentioned that the decline is on account of price revisions and return of COVID phase as well as divested brand. Can you

quantify the impact of each of these factors because my understanding was that COVID returns were already done last year, like I mean last quarter -- by the end of last quarter, we were through with the COVID return?

Management: I mean the numbers overall, look, I think India, the way to read it, right, is in -market growth is still very, very strong, right, for the entire franchise, right? And I think between the 3 plus, we also had some changes in terms of the business model where in oncology and some of these segments, right, oncology, institutions, some of these segments, we were able -- we took down some of our sales to maintain our margins. So I think it's a host of 2, 3 different aspects, right? I mean it's hard to give you a breakup of each of these segments. But broadly, we think without this, right, we would be close to the 5% that we mentioned in the MD&A. We could add some amount to the changes on account of the business model. So India continues to be a strong business for us, right, and continues to do well quarter-on-quarter.

Management: So full year -- just to add, full year, Amit, if we just take out all these one-off impacts plus we had this COVID impact in the first quarter, actually the business has grown 12% plus on a reported basis. So base business growth remained strong there -- obviously with some quarterly impacts that we have had.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 12 of 20

Amit Khetan: Got it. Got it. Just one more question. On Ichnos, we've spent -- we've stepped up our spending to \$24 million this quarter. How confident are we of keeping this contained to the \$60 million target that we have for FY '24? Is there any revision to the guidance here?

V. S. Mani: So see, there are 2, 3 things, okay? So obviously, during the current quarter, as we had said that we are rightsizing at some stage. So obviously, there were some severance costs, et cetera, which have come part of this current quarter. So going forward, we pretty much see it around the ballpark, what we spoke about, \$60 million plus for the year. It should be quarterly more or less somewhere close to that, about \$15 million, \$20 million a quarter.

Management: And if you see Ichnos' MDA, they've also alluded to the fact that the number of employees have gone down substantially, like on account of the downsizing that we did in our Luzerne facility.

So all that will start become visible from Q1 onwards.

Moderator: Thank you. The next question is from the line of Nitin Agarwal: from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, Mani, on the working capital, we have about 130 days as of FY '23 end. So we were about 100 in FY '22, mid-80s in FY '19/2021. So there has been like almost like a 45 -, 50-day increase which has come through over the last 2 years. I mean next year, next 1.5 years, where do we see this number finally settling on a sustainable basis for us?

V. S. Mani: Yes. So Nitin, just to set the record, we were at about closer to 88 or 90 days during the 2 years back. So obviously, in the last 2 years, there have been 2, 3 changes, Nitin. And looking at

it,

one on the inventory side, obviously, there has been a lot that went in terms of the supply chain issues, etcetera. I think in the year '17 to '21, we were pretty efficient in the way we looked at inventory and things like that. But come last 2 years, we definitely realized that we need inventory across geographies to do a better job in terms of managing the business requirements, etcetera.

As far as the debtors go, obviously, it's suddenly gone up, and that is because as I explained in the earlier thing also the reason that because of the change in the sales geography mix, that has been there. And to some portion was also on the currency side because as you can see in the cash flow and the balance sheet, there is a difference of almost INR140 crores, INR150 crores. So going forward, Nitin, I definitely see this -- when you say then at least 15 days or so coming down in the debtor side, inventory, we'll see how it goes along.

So I think we'll come closer to -- I mean, obviously, there are some changes in the way the business model works. So because of that there will be some leeways in terms of the working capital going up and also probably people look more at safety of supply than -- more than the efficiency a little less. But debtor side, definitely it will come down by around 15 days. It will be closer to 100 in the next couple of quarters.

Nitin Agarwal: So that should the 100 days of debtors should be the more sustainable number?

V. S. Mani: Yes, yes, more sustainable number, Nitin. That's a more sustainable number.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 13 of 20

Nitin Agarwal: And inventory, I think, about 85 -odd days is where you should probably see it holding.

V. S. Mani: Broadly yes, Nitin. I mean, I don't think we can -- we would like to go below that because most

geographies we realize there is an opportunity, and we don't want to miss that.

Nitin Agarwal: That's helpful. Secondly, on the legal cost that you mentioned about INR137 crores, what is this up to us?

V. S. Mani: So this is basically we had these large trials going on, I mean, for Zetia. So obviously, we had a -- and as you know, we've settled -- I mean we almost settled it during the April month for which we have taken a write-down. But barring -- I mean, that was majorly for that we have to spend for them.

Nitin Agarwal: Okay. And so you also maybe spoke about earlier. But can you help me understand the INR650 crores to INR57 crores bid, which is the re on the asset's sale on the brand sale, could you just repeat that please?

V. S. Mani: Sure. I can walk through that. So Nitin, so simple thing, again, the INR650 crores, we had a transaction cost of almost of INR260 crores, okay. So basically, these were all the -- whatever that was related to the banking, bankers, and something on inventory debtors, all that came down. So that is one part.

And barring that, obviously, one line item, which is not linked to that, but which is obviously part of the exceptional item that is why it all comes together is this legal cost of INR137 crores and both quarters put together, the remediation cost being about INR220 crores, part mainly in the U.S. and some part in India as well.

So Nitin, as you are aware, we are remediating across 3 sites. And as I explained to one of the earlier participants that obviously running so many consultants and also having people from them onboard, it cost quite a lot, okay.

Nitin Agarwal: So lastly on the transaction cost that you mentioned on the India brand, tail-end brand transaction, so is this a ballpark that you should assume a thumb rule like about 1/3 of the revaluations will go to as transaction cost in these assets, assuming these kinds of assets just happen?

V. S. Mani: So Nitin, transaction to transaction it will be different. I agree. It will not be the same. But I am not forcing immediate transaction right now.

Or such a kind, okay. So therefore, I would not assume that for that. But yes, there is definitely some cost that goes into when you do this transaction you have banker fees, you do -- you pay people off who are going away. You also have some of these other costs. So all put together, this is where it is. So it could vary from something from each transaction.

Nitin Agarwal: Okay. And lastly on the India business, Glenn, with the divestments happening this year, so what is -- on an adjusted base which is there for this year, what kind of growth you can assume, given the fact that we'll have a slightly lower impact of -- in the middle of this, there's a whole impact of divestments coming through for next year?

Glenmark Pharmaceuticals Limited
May 22, 2023

Page 14 of 20

Brendan O'Grady: This is Brendan. I think when we look at the business, as Glenn mentioned before, we're very happy where it's going. We're outgrowing the market by about 1.3x. I think as we head into this year, we have continued launches that we do. We have a lot of launches that we did last year that propelled the growth. And I think that this year we'll grow in the high single digits in the 8%, 9% range. So we're happy with where we're headed with the Indian business. It's doing very well, and we think we'll see continued growth.

Moderator: The next question is from the line of Vikas Sharda from NT Asset. Please go ahead.

Vikas Sharda: Just a question on the tax rate. What's the outlook for next year? And this year, when I look at the cash tax rate in the cash flow statement, it's even higher than the -- what is reported in the P&L. So how should one look at that?

V. S. Mani: So just to explain, Vikas, so if I look at the full year before this exceptional item that we had, the PBT was about INR1,634 crores. The cash tax or the current tax was at INR566 crores, okay. And the deferred tax, if we have not taken the INR280 crores, it will be about INR200-odd crores.

But what we have to also look at is that we paid GLS dividend, okay. I mean, GLS paid us a dividend. So on that we had to pay a tax. So being related party transaction, that contra goes out, but the tax is there. So for the current quarter, we got about INR216 crores. And earlier also, we got about INR100-odd crores. So about INR76 crores is on that.

Besides that -- we -- on the brand also when we did the divestment, we had about almost INR65 crores to INR70 crores tax on that. So if I remove these exceptions, I would -- I get a current -- I mean, an ATR of about 38%, 39%. And if I were to remove out because even in this -- and we do all this, we also when you look at the cash tax, you will get about 31%, okay. So this is where it is. So going forward, next year also, you should look at 38%, 39% on a 31%. Broadly, that's where we should be, barring for any exceptional items.

Vikas Sharda: Got it. And when do you expect it to normalize to, let's say, 25% to 30% kind of ATR?

V. S. Mani: It should be less than 2 years, okay, because I still have the MAT credit in my books, almost till last year, it was almost 1,000. This year, it is down to 700. In the next 2 years, it should be off. And in the next 2 years' time, it should be off. And also, as we prune down our expenses in Ichnos because that is a big part where we don't get a set off in the jurisdiction in Switzerland. So as we prune down the expenses there, that should also add to it, okay. So I would assume broadly next year what I guided you, the year after that should be lower and the year after that should be back to where it used to be historically.

Moderator: Thank you. The next question is from the line of Tarang Agarwal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Sorry for harping on this again. The \$22 million remediation figure, right? My sense is that almost 15% or more of the gross block in the business there. I mean, if yo

u could just illustrate

the nature of this. I mean, have there been substantial changes in terms of our lines or something to that order? Or this is largely consultancy cost for the consultants?

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 15 of 20

V. S. Mani: So I don't think it's 15%. Anyway, that's a separate discussion. All I'm saying is the \$22 million is purely consultant costs, okay? Consultants there over the year plus and we had multiple consultants, and that's the way it is required. So these are the costs that have gone into it. And I explained, even if you have a dozen people, even to maintain them cost to INR12 million a year, okay? Because they are costly people and they travel everything put together, besides that obviously the consultancy that goes into it. There is not too much of infrastructure into this. It may be INR1 million, INR2 million, but the big cost is the consultants, okay?

And this is there across the industry, okay? Most people, when they do these kind of remediation, all see these kinds of expenses.

Tarang Agrawal: I understand, sir. How -- what would be the gross block for that plot?

V. S. Mani: It will be closer to about INR250 million broadly.

Tarang Agrawal: Got it. And I just wanted a follow-up on the GHSA question.

V. S. Mani: Give me Give me 2 minutes. I'll give you the answer, yes.

Moderator: Thank you. The next question is from the line of Prakash Agarwal: from Axis Capital. Please go ahead.

Prakash Agarwal: India business, just a clarification here. So the total sales which are affected, or which have been sold, the assets which have been sold, what is the number again, please?

Management: About INR150 crores annualized across the 2 divestments.

Prakash Agarwal: This is across the assets, right?

Management: Yes, across both the divestments that we did as well as the dermatology asset.

Prakash Agarwal: Okay. And COVID, I see this is the last quarter, if at all, there is any base, right, I mean?

Management: That's correct.

Prakash Agarwal: Okay. And how the response in Sacubitril Valsartan normally in cardiac, we see a very good leading position. Somehow, I don't see your name in the top 5. So what is happening there?

Management: Yes, I missed that last part. Can you just repeat that, Prakash, the last part of your question?

Prakash Agarwal: Yes. Sacubitril Valsartan. So I think cardiac you are very strong. And normally, you are among the top 5, top 7 players. How has been the response? I don't see your name in the top 5?

Management: Yes. So as you mentioned, cardiology is a strong area for us. We're number 5 now in the cardiology segment. Sacu V we launched last year. So we're continuing to promote it, and we'll continue to see market acceptance of the product. So we think it will be a good product. It continues to do well. But overall, cardiology is strong for us, as is respiratory and dermatology.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 16 of 20

V. S. Mani: Also, Prakash, keep in mind, in heart failure, we have a brand called Heptis, right, which is among the leaders there, okay. So I think we look at the whole franchise between Sacu V and Heptis right? We are clearly among the leaders in heart failure, right, in that space, in addition to, of course antihypertensives which is the whole Telma franchise which is massive.

Prakash Agarwal: No I am just trying to understand, have we stepped down a bit in terms of promotion overall?

Management: No. In fact, I think in our India business, we are really doing well in the 4, 5 segments that we operate, right, whether it's derm, respiratory, cardiovascular, these 3 are clearly outperforming the market. It's the diabetes where we are probably not doing as well, and that's purely because of the pressure on brands like your Teneligliptin and your Remo right, among the -- compared to some of the new launches

s that have happened.

Management: Particularly in the diabetes segment, with the number of products we launched last year, we'll gain shares as we go through this year. They'll get accretive. So I think as we move to the second half of this year, the diabetes franchise will [inaudible 0:50:36].

Prakash Agarwal: Okay. And did I hear right, on a reported basis, we are looking at 8% to 10% kind of growth?

Management: Yes, that's correct.

Prakash Agarwal: After accounting for INR150 crores revenue not being there, right, so?

Management: Yes, that's correct.

Prakash Agarwal: Okay, lovely. And on the MR side, what is the count now?

Management: So it's about 4,800, Prakash.

Prakash Agarwal: Okay. And this is after we would have led some MRs go with the brand set, right? So this is the revised number.

Management: Yes, yes.

Prakash Agarwal: Okay. And the other question is on the gross margin side. Normally, Q4 we have a 200-basis point normally higher gross margins. So is this getting normalized, there's no Q4 phenomena seasonality? Or anything to read into it?

V. S. Mani: Yes, partly because India sales were a little lower. The margins are better than that. Obviously, that had its own impact there on the mix, it is the mix. But on a full year, we did well considering that the first half was really tough in terms of the input costs, etcetera.

Prakash Agarwal: Okay. And I missed your comment in the U.S. also. So you did okay I mean, any did not see any large products. So is it the seasonality which is playing out or you've got onetime contracts or what is playing out in the U.S.? And what is the outlook there?

Management: No. So I think if you look at the U.S., we saw a pretty good improvement last year, quarter-over-quarter growth. And it's not really any 1 specific thing. It's really a combination of a few things.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 17 of 20

First of all, our service levels are improving, which is leading to volume growth. I think we're doing a good job on new product launch execution. We have probably 12 to 15 products this year that we will launch. We've been able to take advantage of some market disruption, which has a positive pricing impact.

Some of the existing pricing erosion has eased a little bit and just generally improved execution by the team. So if we can take all of those things into account, that's leading to the stabilization and the growth in the U.S. And we expect that to continue into this year. I think we'll see growth in 4% to 6% range. I think we put 5 in the MDA so mid-single digits.

Prakash Agarwal: One more, if I may. On the plants, you mentioned the substantial expenses on consultation, etcetera. So when are we -- what is the status of all the 3 plants? And when do we expect, I understand, remediation is over. So, have you invited FDA for inspection across 3 facilities and what is the expense that you're looking for this year?

Management: So I think if I go through each of them, so Monroe now we are -- as we mentioned, we're pretty much done with the remediation, right? We are -- now we're going to start taking batches in Q2.

And I'm guessing in parallel FDA should show up around anytime Q2 and beyond, right? So that's all -- so hopefully, in second half of this year, we should have commercial sales coming out of Monroe. The Goa and Baddi facilities, I think the bulk of the remediation work will get over in Q1. So this quarter will be pretty much done with most of the remediation work. And I think post that, I think the agency -- we will invite the agency.

Prakash Agarwal: Okay. So first half, you will kind of continue to see the consultation expenses?

Management: Not for Monroe, but to a small extent in some of the India sites.

Prakash Agarwal: Okay. Great. And one more, if I may. On the balance sheet side, there's other current financial liabilities, if you could explain what is that related to.

V. S. Mani: Yes, yes. So Prakash, this is basically the INR800 crores provision that we have made that has to -- I mean, obviously, this is just a provision, next year we'll pay all that. So that is why it is there.

Prakash Agarwal: No. What is sitting there, sir?

V. S. Mani: That is INR800 crores, is that liability now for the Zetia that we have provided no, exceptional item.

Prakash Agarwal: Yes. So last year also, there was a number of INR400 crores, so...

V. S. Mani: No, no, no. This is INR800 crores this year. So I mean, you're asking what all are sitting there?

Prakash Agarwal: Yes.

V. S. Mani: No, basically, this is the major 1 that has got added this year. I did answer the other one also.

We have accrued expenses there. You will have interest accrual but not due. You will have

Glenmark Pharmaceuticals Limited

May 22, 2023

unclaimed dividend there. You will have some employee due there. You will have country caters for capital goods. So these are the things that come in a normal balance sheet.

Prakash Agarwal: Accrued expenses related to what, sir?

V. S. Mani: Normally, your company has expenses, which you will provide for at the end of the year. Obviously, you may not have received you may not have recurred all the bills, etcetera, you provide for it at the end of the year. So that will be a provision. So whenever there are provisions, they will find themselves into the liability because you have not paid for them. Once you pay for them, the liability disappears.

Prakash Agarwal: And what is the amount, sir?

V. S. Mani: So the total accrued expenses would be roughly about INR400 crores across all geographies.

Moderator: The next question is from the line of Shyam Srinivasan: from Goldman Sachs.

Shyam Srinivasan: Just 1 on the Europe business. You've seen a good Q-o-Q growth. I picked up the opening remarks, but just wanted some additional detail around this. And what's the kind of sustainable run rate for Europe.

Management: So thanks for the question. If you look at the European business last year, we grew over 20%. I think that we'll continue to see that kind of growth this year in Europe. And we're doing well across both the generic and the specialty segments. The respiratory business is particularly strong for us in Europe across all markets.

We have launched Ryaltris in numerous markets, either directly ourselves or through our partner, Menarini, which also does extremely well. We've had some opportunities to take advantage of some pricing disruption in some markets. And we're expanding into Italy, I think, as you know. So all of those things are driving the growth in Europe. And as I said, we expect that to continue this year in probably the 20% range. So very strong results coming from Europe, good growth market for us, which will add to the overall growth of the formulations business.

Shyam Srinivasan: Like a 20% growth for full year Europe? Sorry, I missed that.

Management: In that range, in that range.

Shyam Srinivasan: Got it. And just the second question is on...

Management: Also Shyam, just 1 more point to add to what Brendan is saying, Europe, we had 4 respiratory filings in Q4, right, which is which will be really big for us in FY '25 and beyond. So I think there is a great runway for us that we are seeing in the European market.

Shyam Srinivasan: Got it. Just a second question on Ryaltris. I think you called out like INR20 million, INR25 million of annual sales from the first year '23. You guided that to double let's assume. So what - so Glenn and team, what are some of the lessons we have learned because this has been our first large product and its global -- you're filing it in many places. So anything that we have Glenmark Pharmaceuticals Limited

May 22, 2023

picked up, understood is that there's some challenges. So just you

learnings from Ryaltris so far?

Management: I think Ryaltris, obviously, the biggest challenge has been the regulatory side of things, right, understanding the regulatory requirements in different markets, actually putting together some kind of a launch runway, reference pricing in different markets and how do you make sure you launch the products in the right time.

So I think these are some of the big learnings for us on Ryaltris. However, the product continues to do exceedingly well overall. In fact, it's beating all our estimates, right, in all the markets that we are selling it in. And we still haven't -- even this INR40 million, INR35 million that we're guiding to doesn't include markets like China, markets like Brazil, many of the big markets, right, are not even -- we've not even launched in these markets, right? And in the U.S., we are just -- launch is still going.

Shyam Srinivasan: Just going?

Management: Exactly. So it's very early days. Even this year, it will be very early days for Ryaltris. And wherever we've launched, the product seems to be doing exceedingly well.

Moderator: Thank you. The next question is from the line of Nitin Agarwal: from DAM Capital. Please go ahead.

Nitin Agarwal: Mani, on the interest cost. How should we look at interest costs from here on, given the fact we are in [inaudible 1:00:23] gross is up, and we are in rising interest rate situation. So what is it that we should work with this number?

V. S. Mani: So broadly, in the last quarter, if you look at Nitin, we looked at about INR109 crores. So plus/minus 5%, 7% is what we will look at. So I think broadly, that is where we look at next year end. And as we obviously bring down our loan component, it will definitely come down.

Nitin Agarwal: And almost all of our INR4,000-odd crores debt which is there in U.S.?

V. S. Mani: Yes, broadly, barring some INR300-odd crores, which is short term in nature, rest of it is all dollar -denominated, yes.

Nitin Agarwal: So our expected cost comes to about 10% on the gross debt.

V. S. Mani: Yes, that's the reason why. Because of now today, LIBOR has gone up and a few are in fixed rates. Some of them are in -- most of them are in floating. So obviously, you have a higher cost outgrow now.

Nitin Agarwal: And again on the U.S., how many products do we see launching this year? What is happening on the remediation of the various sites?

Brendan O'Grady: Yes. So I think that we'll probably launch somewhere in the range of 12 to 15 products this year in the U.S., could be slightly more, depending upon approvals and so forth. But probably in the 12 to 15 range for new product launches in the U.S.

Glenmark Pharmaceuticals Limited

May 22, 2023

Page 20 of 20

Management: And also, I think to add to what Brendan is saying, there are -- we still have Monroe will recommercialize right, hopefully, in the second half of this year. We also have some site transfers that we're doing for some of the Baddi products which should kick in the second half. So I think we have a reasonable runway to the U.S. pipeline for the year.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi: for his closing comments.

Utkarsh Gandhi: Thanks. We will just read the disclaimer before we end the call. The document and the results discussion has been prepared by Glenmark Pharmaceuticals Limited. The information, statements and analysis made in the documents describing the company or its affiliates' objectives, projections and estimates are forward-looking statements. These statements are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially from these statements depending upon economic conditions, government policies and other incidental factors.

No representation of warranty either expressed or implied is provided in relation to this document. The document should not be regarded by recipients as a substitute for the exercise of their own judgment. The company undertakes no obligations to update or revise any forward-looking statements, whether as a result of new information or future events or otherwise. With this, we can end today's call. We thank you for joining us today.

Moderator: Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

Page 1 of 17

"Glenmark Pharmaceuticals Limited Q 1 FY'24
Earnings Conference Call "

August 14, 2023

MANAGEMENT : MR. GLEN N SALDANHA – CHAIRMAN & MANAGING
DIRECTOR , GLENMARK PHARMACEUTICALS LIMITED .
MR. V. S. MANI – EXECUTIVE DIRECTOR & GLOBAL
CFO, GLENMARK PHARMACEUTICALS LIMITED .
MR. BRENDAN O'G RADY – CHIEF EXECUTIVE
OFFICER , GLOBAL FORMULATIONS BUSINESS .
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS , GLENMARK
PHARMACEUTICALS LIMITED .

Glenmark Pharmaceuticals Limited
August 14, 2023

Page 2 of 17

Moderator : Good morning , ladies and gentlemen. Welcome to the Q 1 FY'24 Earnings Conference Call of
Glenmark Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen -only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call , please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi - General Manager , Investor Relations
for Glenmark Pharmaceuticals. Thank you , and over to you sir.

Utkarsh Gandhi : Good morning everyone and welcome to the Q 1FY'24 Results Conference Call of Glenmark
Pharmaceuticals Limited .

Overall Performance Review of 1st Quarter FY'24

Let us review the overall performance of the Company for the first quarter of FY'24. Glenmark's
consolidated revenue from operations for the first quarter of FY'24 was at Rs. 34,106 million as
against Rs. 27,773 million in the corresponding quarter last year, recording an overall year -on-
year growth of 22.5%. We will review each of the businesses of Glenmark Pharmaceuticals
Limited, starting off with India. Sales from the formulation business in India for Q1 FY'24 were
at Rs. 10,643 million as against Rs. 10,352 million in Q1 of FY'23 which means recording YoY
growth of 2.8%. The lower growth was mainly on account of the full impact of divestment of
few non -core brands last year as well some impact of the NLEM price revisions.

The India business contribution was at 31.3% in Q1 of FY'24 compared to 37% in Q1 last year.
Glenmark's India Business continued to significantly outperform industry growth rates . As per
IQVIA Q1 FY'24 data Glenmark's India Formulation Business recorded a growth of 10.7%
compared to industry growth rate of 8.1% , furthermore as per the IQVIA MAT June data
Glenmark's India Business grew by 13.1% compared to an industry growth of 10.3%.
Glenmark's India Business continues to be ranked 14th with the market share of 2.12%. The
Company also continues to have nine brands in the IPM Top 300 brands in the country as per
IQVIA MAT June data.

In Q1 and MAT June 2023 contribution from the chronic therapeutic segments of Glenmark's
was at 47% and 45% respectively. In terms of key therapeutic segments, Glenmark's is rank
second in both Respiratory and Dermatology segments. In addition, Glenmark's is ranked 5th in
the Cardiac segment and 17th in the Diabetic segment.

During the quarter, Glenmark's India Business also considerably improve that's market share in

this key therapeutic areas, as per IQVIA MAT June data the dermatology market share increased to 7.42%. The Glenmark's share in the respiratory market increased to 5.65%, while Glenmark Pharmaceuticals Limited
August 14, 2023

Page 3 of 17

Glenmark's share in the Cardiac market increased to 5.23%. Glenmark's share in the diabetes was at 2.21%. These market share gains have been led by higher than industry growth rates for Glenmark across most of the core therapeutic segments.

Glenmark is expecting business growth to remain stable in spite of a recent slowdown in certain acute segments of the industry such as respiratory and anti-effective. The Company has launched multiple lines in extensions during the quarter and continues to gain marketshare in some of the key launches across the core therapeutic segments. And the Company continues to have a healthy pipeline of differentiated products which it will launch in the market going forward.

Consumer Care Business

The Consumer Care business in India, primary sales for the Glenmark Consumer Care in Q1 FY'24 worth Rs. 781 million with a growth of 21.3 which was mirrored by a strong double-digit secondary growth of 17%. The company flagship brand Candid Powder delivered

revenue

growth of 29% in Q1; La Shield portfolio delivered 2% growth in Q1 which was low primarily due to our high base last year and the Scalp portfolio recorded growth of 58% in the first quarter of FY'24.

North America

Moving on to North America, the North America business registered revenue of Rs. 8,085 million which is about USD \$98.4 million for the first quarter of FY'24 as against Rs. 6,628 million which is about \$86.1 million for Q1 FY'23, which translates into year-on-year growth rate of 22%.

The North America business contribution was at 23.8% compared to 23.9% in Q1 last year. In the first quarter Glenmark launched Clindamycin Hydrochloride capsules which was approved in the previous quarter. Additionally Glenmark filed two ANDAs in the first quarter of FY'24. The Company plans to file two to three applications in the forthcoming quarter and a total of 10 to 12 ANDAs in FY'24.

Glenmark's marketing portfolio consists of 183 generic products which are authorized for distribution in the U.S. market and the Company has 50 applications pending at various stages of the approval process.

Europe

Europe business, Glenmark's Europe operations for Q1 FY'24 were at Rs. 5,732 million as against Rs. 3,300 million in Q1 last year recording a year-on-year growth of 73.7%. The Europe business contributed 16.9% of the total revenues in the first quarter of FY'24. The strong growth
Glenmark Pharmaceuticals Limited

August 14, 2023

Page 4 of 17

in the region was driven by an uptick in the base business as well as new product launches during the first quarter.

The Western European business recorded high double-digit growth for Q1 with markets like the UK and Spain growing significantly. Amongst the key markets the UK recorded strong growth on the back of key launches particularly in the generics business and key markets in Central and Eastern Europe such as Czech and Poland also recorded strong secondary sales growth.

Glenmark's Respiratory portfolio in Europe has also been a key factor for the strong performance in Q1. The Company has seen a strong uptake across all four Respiratory brands that it has launched particularly brands like Ryaltris and Soprobece, Ryaltris continues to exhibit strong growth across markets in which both Glenmark and partner Menarini have launched the product. And Salmex and Esthemax also continue to sustain its market share across the CEE markets both in terms of value and volume.

In addition the Company mentioned in the last earnings call that it has filed four additional respiratory products for the EU markets. And which would be launched over the next two to three years. And Glenmark has also entered the Italian market and will be expanding across the country in the forthcoming quarters.

ROW

ROW region which consists of Asia, Middle East, Africa, Russia, CIS and Latin America, for the first quarter of FY'24 revenue from the ROW region was Rs. 5,512 million as against Rs. 4,226 million for Q1 last year, recording a year-on-year growth of 30.4%. For Q1 FY'24 the ROW business contribution was at 16.2% compared to 15.2% last year.

The Company witnessed healthy growth in the base business across all sub details of the ROW market, starting off with Russia, as per IQVIA, June and MAT June data Glenmark's Russia

business recorded growth of 34% and 17% respectively in value. This has been driven by all key brands including Ryaltris, Ascoril and Montlezir.

Amongst the Dermatology companies, Glenmark ranks 10th as per MAT June 2023 data and amongst the company's presence in the expectorant market in Russia, Glenmark continues to maintain its strong second rank as per the MAT June data. In June, Glenmark also launched Ascoril LS which is a combination to further consolidate its leadership position in the expectorants market.

The Asian region recorded 14% secondary sales growth which is driven by markets like Philippines and Vietnam.

Dermatology and Respiratory are the key therapeutic areas in which Glenmark is present in Asia and contribute significantly to the overall sales. In addition, Ryaltris was launched by Glenmark in the Malaysian market in Q1 FY'24 we have seen good demand so Glenmark Pharmaceuticals Limited

August 14, 2023

Page 5 of 17

far post launch. And Ryaltris continues to hold (18%+) value market share in Australia across the top allergic Rhinitis products. The product has also received strong response in South Korea post launch in Q3 of last year by partner Yuhan Corporation.

Middle East Africa region recorded (20%+) growth in sales during the first quarter, Glenmark continues to be ranked third in the overall Kenya market. Further the Company continued to achieve strong secondary sales growth in South Africa, UAE. Ryaltris again was a key product, it was launched in Saudi Arabia in Q1 and is expected to drive the further growth in the Respiratory segment, as a product will get launched across other NEA market in FY'24. Latin America region witnessed strong growth in Q1, Respiratory portfolio was the key contributor for Glenmark in the Latin American markets. The Brazil business for Glenmark achieved 25% plus growth in its covered market. Company maintains its rank amongst the top companies in the covered market for chronic respiratory segment in Brazil as per IQVIA MAT June data.

And secondary sales growth also remain strong in Glenmark's other key market which is Mexico. Glenmark's business in Mexico grew by 25%, then 15%, 25% in value and 15% in units as per IQVIA MAT June data.

Key Highlights for Ryaltris

We will cover some key highlights for Ryaltris as of the end of Q1 FY'24 marketing applications for Ryaltris have been submitted in more than 70 countries across the world. The product has been commercialized in 29 markets including major markets like the USA, Canada, markets in Europe like the UK, Australia, Russia, South Africa, South Korea and Saudi Arabia.

Menarini Glenmark's partners in the EU intends to launch the product in additional European markets in FY'24 and consolidate its position in the market where the product has already been launched. In addition, the markets in which Glenmark is selling, we continue to do well in Ryaltris in Europe.

Hikma Glenmark commercial partner in the U.S. continues to see strong prescription, new prescription and repeat prescription growth as the allergy season progresses through the country. Grand Pharmaceuticals is Glenmark's partner in Mainland China, they aim to complete the ongoing Phase III study in the country and submit the marketing authorization application in the second half of FY'24. And we have mentioned some key market shares for Ryaltris, value market shares across a few markets where Glenmark and their partners have already launched Ryaltris. So, Australia, we have (+18%) market share, South Africa 15%, Czech Republic 25%, Poland 8% and Italy 10%.

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 6 of 17

In terms of other key Respiratory products, clinical trial is ongoing for the generic Flovent pMDI filing and we expect to file the product in FY'24 and as mentioned before we plan to file at least one more generic Respiratory pMDI in the U.S. in FY'24 and then continue our momentum beyond that.

GRC 54276

Covering some highlights on Glenmark's innovative R&D pipeline starting off with GRC 54276. GRC 54276 is a novel HPK1 inhibitor being developed as an orally administered immunotherapeutic agent for patients with solid tumors. GRC 54276 is currently being evaluated in the first two human study, Phase I clinical study, Part 1A Monotherapy phase of the study is ongoing in India since July 2022 and no known limiting toxicities have been observed so far. Based on the Phase I ANDA approvals, which were received from DCGI as well as the USFDA in Q4 of FY'2

3 the Phase I, Part IB combination study of GRC 54276 with Pemrolizumab and Atezolizumab was initiated in India in the first quarter of FY'24. And initiation of this study in the U.S. is planned in the second quarter of FY'24.

GRC 39815

GRC 29815 is a RORyt inhibitor and company's Respiratory pipeline asset being developed as an Inhale therapy for mild to moderate COPD. It is currently in Phase I development.

Glenmark Life Sciences

Moving on to Glenmark Life Sciences, revenue from operations including captive sales were Rs. 5,785 million as against Rs. 4,899 million for Glenmark Life Sciences recording a YoY growth of 18.1%. Generic API revenues for GLS in Q1 increased by 13.3% and the business also witnessed a strong growth in the CDMO revenues. Detailed engineering work has also started in the new manufacturing site for GLS in Solapur. External sales for GLS in Q1 of FY'24 were at Rs. 3,769 million as against Rs. 3,251 million, recording a growth of 16%.

ICHNOS SCIENCES

Moving on to ICHNOS SCIENCES, Glenmark has invested Rs. 1,417 million which is about USD \$17.2 million in the first quarter of FY'24 compared to Rs. 1,682 million which is USD 21.8 million in Q1 last year, and Rs. 1,906 million which is USD 24 million in Q4 of FY'23. For further updates on the pipeline of ICHNOS, please log on to their website, the pipeline update for the first quarter has been uploaded.

Key Objectives for FY'24

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 7 of 17

We want to reiterate our key objectives for FY '24 which we stated earlier consolidated revenue growth of 10% to 11%, consolidated R&D investment of 8% to 8.5%. Consolidated EBITDA margin of 19% to 20% plus consolidated CAPEX of Rs. 600 crore to Rs. 700 crore. And we prioritize free cash generation as well as closing out one out licensing deal.

Highlight on Results

Before we open the call for Q&A we just want to highlight some notes to the results. EBIT DA for the first quarter of FY'24 was Rs. 631.2 crore with an EBITDA margin of 18.6%. FOREX loss for the quarter was Rs. 16 crore which is recorded in other expenses, excluding this the EBITDA margin for Q1 was at 19%. Total R&D expenditure in Q1 FY'24 was around Rs. 284 crore which is 8.3% of revenue for the first quarter. As mentioned before ICHNOS investment in Q1 was at \$17.2 million.

Inventory for the period ended June 30th was at Rs. 3,319.8 crore as against Rs. 2,977.8 crore as of March. Receivables as of June 30th, 2023, was at Rs. 4,183.7 crore as against Rs. 4,098.6 crore as of March and payables as of June 30th was at Rs. 2,508.1 crore as compared to Rs. 2,391.9 crore as of March.

Total asset addition in the quarter was Rs. 127.5 crore of which tangible assets addition was about Rs. 108 crore and intangible addition was about Rs. 19.5 crore. Gross debt for the period ended June 30th, 2023, was at Rs. 4,443 crore as against Rs. 4,348 crore in March. And net debt for the period ended June 30th was at Rs. 2,947 crore as against Rs. 2,905 crore in March.

I would like to introduce the management of Glenmark Pharmaceuticals on the call today. We have with us Mr. Glen Saldana - Chairman and Managing Director ; Mr. V .S. Mani - Executive Director and Global Chief Financial Officer and Mr. Brendan O'Grady - Chief Executive Officer , Global Formulations Business.

With that we would like to open the floor up for Q&A.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Damayanti Kerai from HSBC . Please go ahead.

Damayanti Kerai : My first question is you have booked exceptional item for remediation cost related to India and Monroe sides. So, with it are you broadly done with the cost which you will be incurring for remediation or you expect like substantial cost to come in ahead also?

Glenn Saldana ha: So, I think we are broadly

done with most of the remediation cost. And going forward what we expect as of now is very minimal cost not very significant both at U.S. and India.

Damayanti Kerai : And what will be timeline for say completion of remediation work at both the sides?

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 8 of 17

V.S. Mani : So, I think Damayanti a little bit of remediation will continue, but from a cost perspective it will not reflect in the numbers.

Damayanti Kerai : So, cost broadly done and maybe once you complete then you can ask the FDA to come and re-inspect the plant?

V.S. Mani : That's correct.

Damayanti Kerai : My second question is, can you update on your stake sell for the Glenmark Life Sciences

business, which will come in for you. So, any timeline for it?

V.S. Mani : So, right now all we can say is you know we have 7% to 8% sell down required by law, right and we are working on it. I think there is a deadline --

Glenn Saldanha : Yeah, we can do it till next August, because we did it in August of '21, so three year timeframe is given, so we have time till next August, yeah.

Damayanti Kerai : Till August 2024 you have this 7% to 8% sell down?

Glenn Saldanha : Yes.

Damayanti Kerai : And my last question is on your spend on ICHNOS which is down to 17 million for the quarter. So, is this the new spend base which you are looking for this business or like it came down from 21 million, 22 million earlier. So, how should we look at spend for ICHNOS in coming quarter. And if you can also update on some of the key pipeline assets for ICHNOS where we are expecting data readout etc?

V.S. Mani : So, as far as this spend base is concerned this is the new basically territory in which we are working. As we had guided even during our Investor Call that we are pruning down our spends from to about 60 million or so in a year, so broadly this is where we will spend on a quarterly basis.

Glenn Saldanha : In terms of the pipeline as we have said right there are three active Oncology programs which are underway, so 1343, 1442 and 2001. We think all of them will read out or will reach some inflection point this year, in terms of possible POC for 1342 and 1442 and some evidence on 2001 this year. So, I think this year is a critical year in terms of the Oncology portfolio by ICHNOS.

I think in parallel as you know Almirall continues to progress well on 880 in their Phase I clinical trial. And on 830 we are actively in discussions for potential partnerships on the portfolio. So, I think these are the five assets in ICHNOS which are of relevance which I think this year is an important year for ICHNOS.

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 9 of 17

Damayanti Kerai : And for any partnering etc., most likely we will first release data, any data read out and then there is more likelihood of getting into any partnership?

Glenn Saldanha : Not necessary, actually so 830 we have already, the Phase II data, Phase IIB data is already out in the public domain. On the Oncology assets, we have a bunch of presentations at ASH for both 1342 and 1442 this year. So, we have at least three different poster presentations at ASH. We constantly keep releasing data at medical conferences, so some of that is in the public domain.

Moderator : Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan : First one on the run rate for the North America business, right. We saw like sequential improvement in fourth quarter, but again in Quarter 1 it's come off is there some seasonality linked issue here or how should we look at the growth going forward and your comments on the pricing environment there as well?

Brendon O'Grady : I think if you look at the North American business typically Q3 and Q4 are stronger quarters than Quarter 1 and Quarter 2. So, as we have said in the past we see

the U.S. is basically around

a \$100 million business a quarter give or take. A lot of that depends on new product launches.

Again Quarter 1 we had some launches that split out a little bit later into the year so that's the reason that it would slightly under a 100, but in general we see good, sustained growth in the U.S. in the mid single digits as we have said before. So, I think if we go through the year you will see as the numbers come up closer to a 100 and in some quarters over 100, some quarters maybe a little under 100, but overall continued good growth in the U.S. as we launch the new products this year.

Shyam Srinivasan : The pricing, U.S. generic pricing environment, how does it look for you on your base business?

Brendon O'Grady : Yeah I mean I think the U.S. pricing environment is, we are generally in line with the market, right now it's a mid-single digit as far as price erosion, it can change a little bit, depending upon your portfolio in the products you launch, but we are relatively in line with the market.

Shyam Srinivasan : Just a second question on the India business, for like growth like integrated new practice is there 13%, how should we look at the India business growth and maybe outlook for the remainder of the year?

Brendon O'Grady : I think we will see the India business grow in the single digits for after the year. And I think we have a good solid business across India as you know we rank #2 in Derma and Respi and 5 in Cardiovascular. So, we see continued good growth in the India business but I would put it in the single digit.

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 10 of 17

Glenn Saldanha : And also, Shyam for Q1, if you correct for some of the divestments and all that that we did, it is about 8%.

Shyam Srinivasan : So, Glenn just on the outlook and we did much better growth , I know it's on a low base of last year, but reasons to just hold on to our guidance rather than change or upgrade our guidance, anything that's stopping us?

Glenn Saldanha : So, look the business overall continues to do exceedingly well across all the geographies. I mean India as Brendon mentioned you are looking at a single digit this year, because we are witnessing some slowdowns particularly in the Acute segment and Glenmark has some big brands in Acute. But outside of India, I mean I think Europe is clearly doing exceedingly well for us, rest of the world markets are doing well. The U.S. we will definitely do our guidance for the U.S. right. So, mid single digit could be ahead of that also. So, I think all -in-all the business is doing well and given where we see things, we should be able to meet our guidance or even exceed our guidance this year.

Moderator : Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee : Just on India you mentioned 8% growth this is excluding the divestment and NLEM or is it just the effect of divestment?

V.S. Mani : Saion, so excluding both divestments as well as NLEM, the growth was 8%.

Saion Mukherjee : And are you see any headwinds in the sector in India, the volume growth are quite low and we are sort of hearing about the police moves to, asks doctors to prescribe using generic names , we are seeing companies getting into trade generic . So, are you seeing these headwinds building up or the industry is bringing down the volume growth ? And for this 8% growth that you mentioned if you can take it down between the volume and price increases.

Glenn Saldanha : So, I think Saion, on the policy side it's all very new right it's just come out a few days ago, we are still trying to understand what are the implications of that, but outside of that I think the sector in India will continue to do well, I mean just given the growth that you are witnessing across the board, between branded products, generics, OTC, as a platform , institution so I

mean

there is enough of opportunity for companies to take advantage of the India platform if they are able to look for deep growth.

I think so all -in-all, India should continue to do well. But there could be some ups and downs here and there like we are facing some short -term seasonality issues in the Acute segment. So, those kind of things will keep happening, but I think on an ongoing basis India should be a solid business, in the years to come.

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 11 of 17

Saion Mukherjee : And again, for Glenmark what is the kind of initiatives we are taking in India to sort of help grow ahead of the market, I am just thinking from an OTC perspective or let's say trade generic which many of the companies have entered, if you can throw some light, why would sort of Glenmark be able to grow ahead of the market?

Glenn Saldanha : Look, I mean we have had a stellar India business Saion over the last decades , we have consistently grown, we have had great brands, we have always been among the fastest two to three players in terms of growth so it's been a great build out . I think from here on, from an opportunity set there are multiple areas which could drive our India growth, right. We have a good OTC platform that we launched maybe about five, seven years ago. And some of the brands whether it's Candid Powder or Scalp, La Shield continue to do exceedingly well. So, I think that I am pretty optimistic that the OTC platform will do well.

We have a small GX business which is very insignificant. But I think overall for Glenmark, our franchises in Dermatology we are ranked #1, #2. Respiratory we are now #2 so very strong franchises, right. Cardiovascular with brands like Telma, we are ranked #4. Diabetes is an area which continues to be challenging , but I think across all the therapeutic areas that we operate and we have built a strong franchise. So, India remains a strong business for us. And will continue to do well, that's the only visibility I can give you at this point, Saion.

Saion Mukherjee : And also on the U.S. market, if you can give some color on let's say how many launches we should expect or what's the number of filings and launches and any key product that you can call out which can sort of have a material impact or you think we should sort of remain at around \$100 million mark a quarter, more or less for some time now, what should we sort of think about it?

Brendon O'Grady : So, I think if you think about the U.S. market in addition to the comments that I said we will continue to launch new products as we got through the year. Probably in the range of 8 to 10 new products, we have already launched Clindamycin in the first quarter. We are in the middle of the Sitagliptin launch right now , we just started shipping so I think we are one of three or four on the market right now. So, we will see how that launch turns out. We have a couple others this quarter that we will launch . And as far filings we will file 8, 10, 12 products this year .

So, like I said I think continue build up of U.S. market we should see a 12 in mid single digits, I think price erosion has come off a little bit it stabilized in the mid single digit range. So, I am optimistic that we will continue to see the U.S. business grow, as Glenn said, I think we will achieve our guidance and our numbers for the U.S. market this year. So, --
 Glenn Saldanha : I think also to add to what Brendon just said right, Saion, I think the key is for us it's important to get past Monroe so we get those injectable products which will further accelerate the growth in the U.S. And if you go back to our Investor deck we clearly mentioned three to four areas where we are heavily focused one of them is Respiratory, the other is Injectable, some complex
 Glenmark Pharmaceuticals Limited
 August 14, 2023

Page 12 of 17

injectables. So, these are so

me of the areas where we see some good opportunities which we continue to strive forward.

Near term, I think we are doing some good things, you will see some exciting launches coming through in this quarter and probably next quarter which will help fuel the growth for the U.S. right, near term. And if I look out longer term, it's all about some of these pipeline products in Respiratory, complex injectables and other areas that we are continuing to work on. But a critical event for us obviously is to get past Monroe and get that going.

Brendon O'Grady : And that will lead into growth this year.

Glenn Saldanha : Exactly.

Saion Mukherjee : And one last question on Ryaltris though you have mentioned market share data in various markets. Is it possible to share what in your estimate would be the sort of in-market sales for Ryaltris if you add up all the markets where you currently launched the product?

Glenn Saldanha : So, that's a tough one Saion, we don't have the in-market sales across all markets. But I think we guided to 40 million to 45 million for the year, we are clearly well ahead of that on Ryaltris sales for this year. And I think given the fact that this is still in the launch phase this could be a very big product for us. I mean we still haven't launched the product in major markets like Brazil, Mexico, China. Some of the major European markets are yet to launch the product. And in the other markets it's still in the early phases of launch. So, it's a good launch for us, and that will be a big driver for us, both in terms of contributions across both margins as well as top-line growth across the board, so that's a good build out for us.

Saion Mukherjee : Just one clarification this \$ 40 to \$45 million for fiscal '24 this is revenues to Glenmark or are you mentioning in-market sales --?

V.S. Mani : This is revenues to Glenmark.

Saion Mukherjee : And it would have been how much last year in FY'23?

Glenn Saldanha : 20 million maybe.

Saion Mukherjee : And this is what I think you have guided would sort of go to \$150 million overtime right?

Glenn Saldanha : That's correct.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 13 of 17

Nitin Agarwal : Glenn, on the European business we have seen very dramatic sharp growth on the last few quarters, I mean if you can just highlight what is really working and how should we look at now Europe from this base to when you look to the next two, three years?

Glenn Saldanha : So, clearly Nitin, Europe will be a big driver for us, we have done very well. We still see at least a 25%, 30% growth coming on a full year basis out of Europe, so it will almost be a \$300 million business for us this year. So, that's pretty substantial given the fact that our U.S. business is about \$400 to \$420 million. And we have taken so long to build it out, so it's a great build out for us. I think Europe on a sustained basis given all the different things that we are working on will continue to grow around 15%, 20% on our sustained basis going forward. So, that's the kind of build-out that we are working on.

Nitin Agarwal : And Glenn on your profitability front, how different is it from our corporate profitability, right now?

Glenn Saldanha : So, obviously the margin profile has improved dramatically as we are gaining more scale it continues to improve, but Mani --

V.S. Mani : Yeah, but still Nitin to the point it will be little lower than the overall profitability, but much, much better. Also with the kind of products that we have launched and Respi, Ryaltris all that, so all that should take the margin --

Nitin Agarwal : Over a period of time as a business, and in what scale does it start to become inline with corporate profitability, or does it get there actually in the first place.

V. S. Ma

ni : See obviously there are some market which are clear outliers like India etc. which are way a head all of others. But to be fair this businesses as they grow higher and higher and the benefit of margin comes in and it comes as close to it as possible. But its grown substantially, it used to be single digits at one time, it's well very well, much higher now.

Nitin Agarwal : On the working capital front, how are seeing Q1 and how do we see the remaining part of the year any pressure easing on receivables and inventory for you?

V.S. Mani : Yeah, I will brief you so like Utkarsh shed out the number so if you look at inventory it's more or less number of let's look at it because the business grew 22% and we are seeing a good year this year. So, if you look at the number of days inventory it is like more or less there is 84 some 85 days. Receivable in the last year, March, it was 115 days it has come down to 107. So, broadly I see while overall inventory went up by about Rs. 300 crore odd but also you have to factor in the fact that we are looking at good growth in many of the businesses. So, I think all in all, the number of days of working capital, which was about 132 last year end it's 120, I think it will improve as it goes along only, will chip away --

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 14 of 17

Nitin Agarwal : Do you have any numbers that we are probably aspiring to get towards by the end of the year?

V.S. Mani : I am hoping it will come to lower I mean it will come to closer to 120 or so which is where we were at sometimes back.

Moderator : Thank you. The next question is from the line of Kunal Randeria from Nuvama. Please go ahead.

Kunal Randeria : Glenn Just want to get your thoughts around this ISB 830, see this is the most advanced product in your ICHNOS pipeline in Phase II B yet it is not partnered, so just, can you run your thoughts around it.

Glenn Saldanha : Well I think, I mean we have put out our Phase II B data, so with some of the recent activity on the OX40 antagonist which has recently come in the global environment has brought about renewed excitement around 830. So, we are hoping that we will be able to partner this asset at some point.

Kunal Randeria : So, is this maybe one of the candidates that you are looking to partner this year, is that the one that you are factoring your guidance?

Glenn Saldanha : I mean, I am not giving any specifics, I mean we have partnering discussions across the various assets between 54276 on the GPL side, the Oncology assets on ICHNOS and 830 so there are multiple discussion on going it's hard to predict what will close out.

Kunal Randeria : Secondly on Flovent you maintain that you will be filing it this year, so can you run us through what the competitive scenario could be, I believe there is (Inaudible) 40.51 in the market, but what's the kind of competition you expect, you know maybe by the time the launch gets late next year?

Glenn Saldanha : So, we believe there is one other filer right now on Flovent. And other than that we have no visibility to any additional filings. I mean keep in mind this is a large development, I mean you are talking of clinical trial which runs into 1000s and 1000s of patients so it's not an easy development. So, we are hoping this will be a limited competition launch for us.

Kunal Randeria : In this quarter in the EU was there any benefit from, better than expected seasons or was it a normal quarter?

Glenn Saldanha : I think it was a normal quarter overall.

Moderator: Thank you. The next question is from the line of Sameer Deshpande from Fair Deal Investments. Please go ahead.

Sameer Deshpande : I would like to know last quarter we had a big settlement of around Rs. 800 crores which was provided, so what is the timeline for the payment of that during the year?

Glenmark Pharmaceuticals Limited

August 14, 2023

Page 15 of 17

V.

S. Mani : So, Sameer this will be paid over two years broadly, we had a \$87.5 million settlement which will be paid over the current year and next year.

Sameer Deshpande : So, that will add to our debt which is currently at Rs. 3000 crores net. So, will we offset it by selling this Glenmark Life Sciences stake ?

V.S. Mani : No I think our internal generation of cash over the current year should also help us take care, so therefore we should be able to broadly take care of it from our internal funds.

Sameer Deshpande: But is there any target to reduce the gross and net debt for the current year?

V.S. Mani : Absolutely I mean as I said one of our key endeavor is to bring it down . Obviously two years back we brought it down substantially , but over the last two years because of currency etc. those are the reasons why it went up but I am hoping that this money will definitely get paid out by our internal generation of funds. And as our business continues to grow and do better we should definitely see the debt also come down.

Sameer Deshpande: Because currently if you see the quarterly interest run -rate, it has gone up substantially and it

has almost doubled if you take it year-on-year, so Rs. 112 crores versus Rs. 60 crores so?

V.S. Mani : So, last two to three quarters you see it has gone up, because as you can see LIBOR which was one year back 1.5% today 5.5% okay. So, obviously if you have dollar denominated loans, it has gone up, yeah that's the reason mainly. There is nothing to do with the quantum of debt, it has got more to do with the interest rate scenario that changed dramatically over the last one year.

Sameer Deshpande: So, there is no plan to sell a big stake in Glenmark Life Sciences to clear off the debt?

V.S. Mani : No, I think what we explained earlier also that we have to do 7% to 8% we will do that. And as far as the debt is concerned, I think with our EBITDA being where it is and overall business doing better we are hopeful that we should be able to take care of it.

Sameer Deshpande: But actually the perception of the market, always continues to be better for the companies which are having very low debt or having cash, because in our case we have managed it well there is no issue on that front. But if a pharmaceutical company, we are in a position to reduce our debt, because we have good cash --?

V.S. Mani : Sameer we are working towards that leave it to us yeah, we will do that.

Moderator : Thank you. The next question is from the line of Sharad Ratnakumar from Eila Consulting Private Limited. Please go ahead.

Sharad Ratnakumar : My first question was again regarding the stake sell in Glenmark Life Sciences , so can you address in terms of two fold, one the cashflow requirements as the previous participant asked Glenmark Pharmaceuticals Limited
August 14, 2023

Page 16 of 17

and second can you give some comfort to the minority shareholders in terms of what percentage we are looking to sell, because it looks like Glen Life is -- cash generating company at the moment right?

V.S. Mani : So, Sharad I will respond to that, so basically as per law we have to bring it down public shareholding overall by up to 25% so there is a 7% to 8% so that's what we are working on today. And as far as the cashflow requirements are there, we are broadly managing everything, we are generating enough funds, business is doing well, so I think that will take care of it.

Sharad Ratnakumar : So, I think in the previous quarter call we had mentioned that we have spent about Rs. 200 plus crores in consultancy charges for the remediation. And despite that we have received a warning letter from USFDA, so can you throw some light on what possibly went wrong, is it the choice of consultant? Is it that we were not -- the requirements of the consultants sufficiently? What went wrong there?

V.S. Mani : So, I think what will be helpful yes, I think you need to understand it a little better how it works.

So, obviously the USFDA had come and they give us observations etc. and they work with us, so obviously we have to start working on the remediation cost. I mean on the remediation and that will cost money okay. And as far as they take their time in giving the letter, so it's not that big, I mean in spite of doing there is a warning letter, the warning letter happened because of the earlier this, so you have done the remediation and that is why now it will help us to get back in business okay, that's what I am saying, in from that plant.

Sharad Ratnakumar : So, we are saying that we are going to probably continue a little bit more of the remediation without incurring any major cost?

V.S. Mani : Minimal cost that's what we said, minimal cost yeah because obviously it will have its I mean while they are doing work a lot of it is already done, we are hoping. And this is across the pharma industry okay, so there are other peers also who spent similar money whenever they have any kind of this okay. So, this is the way it is.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi , for his closing comments.

Utkarsh Gandhi : Will just read the disclaimer before we end the call . This document has been prepared by Glenmark Pharmaceuticals Limited , the information statements and analysis made in this document and during the call describing company 's or its affiliates objectives, projections and estimates are forward -looking statements , these statements are based on current expectations, forecast and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially from the statements , depending upon economic conditions, government policies and other factors. No representation or warranty either expressed or implied is provided in relation to this document and this document should not be Glenmark Pharmaceuticals Limited
August 14, 2023

Page 17 of 17

regarded by recipients as a substitute for the exercise of their own judgment. The company undertakes no obligation to update or revise any forward -looking statements whether as a result of new information , future events or otherwise.

With this we can end the call thank you all for joining us today .

Moderator : Thank you members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

Page 1 of 15

"Glenmark Pharmaceuticals Limited Q2 FY24 Earnings
Conference Call"

November 15, 2023

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN & MANAGING
DIRECTOR , GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR & GLOBAL
CHIEF FINANCIAL OFFICER , GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS , GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
November 15 , 2023

Page 2 of 15

Moderator: Good morning, ladies and gentlemen. Welcome to the Q2 FY24 Earnings Conference Call of Glenmark Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi – General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you. And over to you, sir.

Utkarsh Gandhi: Good morning, everyone. Welcome to the Q2 FY24 Results Conference Call of Glenmark Pharmaceuticals Limited.

We will just review the overall performance of the Company for the 2nd Quarter of FY24. For the 2nd Quarter of FY24, Glenmark's consolidated revenue from operations was at Rs.35,879 million as against Rs.33,752 million in the corresponding quarter last year, recording an overall year-on-year growth of 6.3%.

For the six months ended September 30th, 2023, Glenmark's consolidated revenue was Rs.69,895 million as against Rs.61,525 million, recording an increase of 13.6%.

Some Key Updates on the Formulations Business starting with India :

Sales from the formulations business in India in the 2nd Quarter of FY24 were at Rs.11,217 million as against Rs.10,916 million in the corresponding quarter last year, recording a year -on-year growth of 2.8%. The lower growth was mainly on account of the impact of the divestment of few non -core brands and some impact of the NLEM price revisions as well as an overall slowdown in the acute respiratory and dermatology therapy areas in the first six months of FY24. The India business contribution was at 31.3% in the 2nd Quarter of FY24 compared to 32.3% last year.

The Indian pharma market witnessed a slowdown in the acute segment, particularly on the respiratory side. Volume growth in the key therapy areas such as respiratory and dermatology were hence impacted in the first six months.

Accordingly, as per IQVIA data for the 2nd Quarter , Glenmark India's formulations business recorded a growth of 5.4% compared to overall market growth of about 6.9%. In the 2nd Quarter , Glenmark's growth remains strong in the cardiac segment, but was impacted in other therapy areas.

Glenmark Pharmaceuticals Limited

November 15 , 2023

Page 3 of 15

Glenmark India business continue to be ranked 14th, with the market share of 2.11% as per IQVIA MAT September data. The Company continues to have nine brands in the IPM top -300. And in terms of key therapeutic areas. Glenmark is ranked second in both dermatology and respiratory and 5th in cardiac segment and 17 in the diabetes segment as per IQVIA MAT September data.

Glenmark has improved its market share marginally in spite of the challenging environment in Q2. And if you see the IQVIA MAT September data, we have improved our market share in most of the key therapy areas.

In August 2023 , Glenmark also announced that it had joined with OMRON Healthcare India, the Indian arm of the Japanese global leader in home blood pressure monitoring and solutions for cardiovascular disease to raise awareness on measuring blood pressure at home from the age of 18. This collaboration is named as "Take Charge @18 Initiative" and comprises of generating effective communication to enhance awareness about blood pressure monitoring in India. The Company continues to have a healthy pipeline of differentiated products, which it plans to launch in the market going forward.

In terms of the Consumer Care business in India, primary sales for the GCC business in the 2nd Quarter were Rs.634 million with a growth of 15%. Our flagship brand, Candid Powder delivered revenue growth of 10% in the 2nd Quarter.

LA Shield portfolio delivered 23% growth and the Scalp portfolio recorded about 29% growth. Scalp also recorded 41% growth in new brand orders and it is also amongst the leading anti-dandruff shampoos in large e-commerce channels such as Amazon , and recently Candid Dusting Powder was also recognized with The Economic Times Iconic Brand Awards in 2023.

The North America business registered a revenue of Rs.7 ,392 million which is about US\$89.4 million for the 2nd Quarter as against revenue of Rs.7,533 million , which is about US\$95 million for the 2nd Quarter of FY23 . This translates into a YoY decline of about 1.9% . For the 2nd Quarter , the North America business contribution was about at about 20.6% compared to 22% last year .

In the 2nd Quarter , Glenmark launched the previously approved Norethindrone Acetate and Ethinyl Estradiol Capsule and Ferrous Fumarate Capsule, the generic for Tytella. Glenmark received approval and launched Saxagliptin Tablets and Tacrolimus Ointment 0.03%. Glenmark also launched Varenicline Tablets through a partnership . These launches are expected to contribute to the overall sales growth for the region starting the 3rd Quarter of FY24. Glenmark filed two ANDAs during the 2nd Quarter and the Company plans to file a total of 10 to 12 ANDAs for FY24 .

Glenmark 's marketing portfolio through September 30th consists of 185 generic products authorized for distribution in the US market , and the Company currently has 51 applications Glenmark Pharmaceuticals Limited

November 15 , 2023

Page 4 of 15

pending at various stages of the approval process with the USFDA, of which 21 are Para -IV applications.

In August 2023, Glenmark Pharmaceuticals, Inc . announced that it had entered into an agreement with the US Department of Justice Antitrust Division to resolve all of its court proceedings with the DOJ involving historical pricing practices by former employees relating to the generic drug Pravastatin between 2013 and 2015. The Company has entered into a three - year deferred prosecution agreement and the Company adheres to the terms of the agreement, including payment of \$30 million payable in six installments, the DOJ will dismiss the pending superseding indictment.

Glenmark 's Europe operations revenue for the 2nd Quarter of FY24 was at Rs.5 ,997 million as against Rs.3 ,785 million, recording a year -on-year growth of 58.4%. Europe business contributes 16.7% to the total revenues as of Q2 FY24 compared to about 11% last year.

Glenmark European operations continued the strong trajectory given by robust uptick in the branded business and a sustained growth in the generics business as well. The western European business clocked strong 30% growth for Q2, mainly led by the key markets , such as UK, which recorded strong growth on the back of generic business as well as uptake from the respiratory pipeline.

The Czech and Poland markets in the central and eastern European region also recorded strong double -digit sales growth during the quarter. Glenmark continues to outperform the Czech market in terms of growth as per IQVIA MAT September data .

The respiratory portfolio launched by Glenmark in Europe continues to do well. Some of the key brands such as RYALTRIS and Salmex continue to sustain their market share both in terms

of value as well as volume particularly across the CE market.

During the 2nd Quarter, Glenmark also launched RYALTRIS in Slovakia, which is another key CE market for us. And Menarini, Glenmark's partner for RYALTRIS in the European market recorded strong growth across multiple markets where it has launched the product. In Q2, a subsidiary of Glenmark, Ichnos announced the signing and distribution agreements for Winlevi which is Clascoterone Cream, 1% in Europe and South Africa. Under the terms Glenmark will receive the exclusive right to commercialize the Winlevi in 15 EU markets

as

well as South Africa and the UK. CASSIOPEIA, which is a subsidiary of Ichnos shall be responsible for the marketing authorization submission at the EMA and Glenmark will undertake the registration for the product in the UK and South Africa.

ROW Region for the 2nd Quarter of FY24. Revenue from the ROW region was at Rs.7,324 million as against Rs.6,154 million for the corresponding quarter last year, recording a growth

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 5 of 15

of 19%. For the 2nd Quarter, the ROW business contribution was 20.4% compared to 18% last year. The Company continues to witness strong growth in the base business across the sub-regions of the ROW market.

In Russia, as per IQVIA Q2 and MAT data, Glenmark business recorded 16% and 17% growth in value respectively. This has been driven by key brands, including Ascorbic, Montaseri, and RYALTRIS. RYALTRIS has sustained its momentum and continues to gain market share even during the 2nd Quarter.

In terms of key therapeutic areas, Glenmark recorded 21% of growth in value in the dermatology segment versus the overall dermatology market growth of about 9.6% as per MAT September data. And amongst the dermatology companies, Glenmark is now ranked 8th as per the MAT September data. And amongst the companies present in the Expectorant market, Glenmark maintains a strong position, ranking second. Key recent launches in Russia include Ascoril LS and Femistar, which is the Demelan.

The Asia region recorded about 10% growth in secondary sales, driven by markets like Philippines, Sri Lanka and Vietnam. Dermatology and respiratory continue to be the key therapeutic areas contributing significantly to the overall sales in Asia. RYALTRIS which was launched by Glenmark in Malaysia in the first quarter of FY24 has seen a strong pickup in the market. RYALTRIS also in Australia launched by a partner continues to hold about 18% share across the top allergic Rhinitis product. And in South Korea, where the product was launched recently by our partner, Yuan Corporation, RYALTRIS is now ranked first in the combination prescription market and fourth in the overall prescription market for Inhale Nasal Sprays. So that it has seen a strong start in South Korea as well.

The Middle East Africa region recorded about 15% growth in sales during the 2nd Quarter of FY24. Glenmark continues to be ranked third in the overall MEA market and has recorded 25% growth in secondary sales. Further, the Company continues to achieve strong secondary sales growth across other key markets in the region like South Africa, UAE and other African markets. Respiratory and dermatology again are the key therapeutic areas in this region and RYALTRIS which was launched in Saudi Arabia in the first quarter of FY24 and product has received good response in the market. The product will be launched in other Middle East Africa markets in Q3 and Q4 as well.

Latin America achieved double-digit growth in 2nd Quarter of FY24. The respiratory portfolio remains the key contributor for Glenmark in this region. Glenmark Brazil achieved about 20% growth in the covered market as per IQVIA YTD August 2023 data, and it continues to maintain its rank amongst the top companies in the covered market of chronic respiratory segment in Brazil. And secondary sales growth has remained strong in Mexico as well and Glenmark is

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 6 of 15

growing at about 18% value in terms of the covered market as per IQVIA YTD August 2023 data.

In terms of our respiratory pipeline "

Some key business updates for the global respiratory business. Starting with RYALTRIS, as of the end of 2nd Quarter of FY24, marketing applications for RYALTRIS have been submitted in more than 70 markets. The product has been commercialized in 29 markets, including all the major markets that we

alluded to earlier. Glenmark's partner in the EU, Menarini intends to launch the product in other additional EU markets in FY24. Hikma, Glenmark's commercial

partner in the US continue to see strong prescriptions in the 2nd Quarter and Glenmark's partner in Mainland China, Grand Pharmaceuticals has successfully completed the phase -III clinical trial with the product meeting the primary endpoint, and the NDA submission to the National Medicines Product Administration is targeted for December 2020. We've provided some key market shares for RYALTRIS across the key geographies.

In terms of other key respiratory products:

The clinical trial is ongoing for the generic Flovent p MDI. We expect to file it in FY24, and we plan to file one more respiratory p MDI in the US in FY25 and continue the momentum beyond that.

A Quick Update on our Innovative R&D pipeline:

GRC 54276, which is the HPK1 inhibitor, this is a novel, orally active HPK1 inhibitor that demonstrates standalone efficacy and enhances current immunotherapy efficacy. It is being evaluated in a First in Human Phase 1 study. Part 1a of the monotherapy phase is ongoing in India since July 2022. Additional subjects are being recruited in the 50 mg monotherapy backfill cohort. Phase 1, Part 1 b combination study with pembrolizumab and a tezolimab was initiated in India and the US in the first quarter of FY24 and 2nd Quarter of FY24 respectively. And as of the 2nd Quarter, two dose cohorts have been completed and the study is ongoing.

GRC 39815 is the Company's respiratory pipeline being developed as an inhaled therapy for mild-to-moderate COPD. It is currently under Phase 1 development in the US.

External sales for GLS in the 2nd Quarter were at Rs.3,930 million as against Rs.3,744 million in Q2 last year, recording a YoY growth of 5%.

In September 2023, Glenmark announced that it had entered into a definitive agreement with Nirma Limited to diversify 75% stake in its subsidiary Glenmark Life Sciences at a price of Rs.615 per share for an aggregate consideration of Rs.56,515 million, subject to closing adjustment.

Glenmark would continue to own 7.84% in GLS after the divestment. The transaction is subject to Glenmark Pharmaceuticals Limited

November 15, 2023

Page 7 of 15

to some customary closing conditions precedent, including receipt of regulatory and shareholder approvals. For further updates, you can log on to the GLS website.

A quick update on Ichnos:

Glenmark invested Rs.1,613 million, which is about 19.6 million in Ichnos in the 2nd Quarter of FY24 compared to about 22 million in the corresponding quarter last year. For the first six months, Glenmark invested Rs.3,030 million, which is about US\$36.8 million compared to about US\$43 million which was invested in the previous year.

Some Additional Notes to the Results:

FOREX loss for the quarter was about Rs.43 crores, which was recorded in other expenses. If you exclude this, the EBITDA margin for the consolidated business was at 18.8% in the 2nd Quarter. Exceptional item in the quarter and for the half year respectively comprises of the US DOJ to the settlement and remediation cost for the manufacturing facilities in India and the US. "Some Key Figures for the Consolidated Business":

R&D expenditure in the 2nd Quarter was around Rs.324 crores, which is 9% of the revenue from operations and the Ichnos investment as we noted earlier was 19.6 million for the 2nd Quarter. Consolidated total asset addition in the quarter was Rs.249.7 crores, of which tangible assets was about Rs.162.8 crores and intangible assets was about Rs.86.9 crores. Consolidated gross debt for the period ended September 30th was at Rs.4,921 crores as against Rs.4,348 crores as of March 31st, 2023. Net debt for the period ended September 30th was at Rs.3,355 crores as against Rs.2,905 crores as of March 31st, 2023. The increase in

net debt was mainly on account

of the settlement payment for the generic litigation and payment related to the settlement agreement with the US DOJ.

In terms of working capital:

At the end of September, inventory was at Rs.3,319 crores as against Rs.2,978 crores at the end of March. Receivables were at Rs.3,679 crores as against Rs.4,099 crores at the end of March and payables were at Rs.2,289 crores as against Rs.2,392 crores at the end of March.

Given the changes in the organization, mainly the GLS divestment, we would just like to provide some key comments on how we see the way forward for Glenmark before we start the Q&A.

So, the first important point is that we are expecting the GLS transaction will get recognized in Q3 FY24 after receiving the required regulatory and other approvals. We are considering this year as a transition year on account of the GLS divestment, which has obviously been a big event.

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 8 of 15

In FY25, the GPL core EBITDA margins will go up by approximately 2% due to the lower R&D spend, primarily on account of the lower innovative R&D expenditure. Additionally, we are expecting further margin expansion in FY25 to come from RYALTRIS and operating leverage kicking in across markets like Europe and Latin America. And we expect significant PAT margin growth in FY25 mainly on account of the lower interest, depreciation and tax expenses once we consume it GLS transaction. So, with that we can open the floor up for Q&A.

I would just like to introduce the Management on the call today; we have Mr. Glenn Saldanha - Chairman and Managing Director, Glenmark Pharmaceuticals, Mr. V.S. Mani, Executive Director and Global CFO, Glenmark Pharmaceuticals.

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is on the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: So, the first is on the bookkeeping part. Rs.325 crores is an exceptional loss. Even if I exclude 30 million from that settlement payment, still the remaining amount is considerable. Is it largely to do with remediation measures?

V.S. Mani: So obviously, one is the remediation is only about Rs.26 crores in this quarter; 20 crores in India and about 6 crores in the US. Earlier also, we all had sort of guided that as we go along, these costs are coming down and they've come down in this quarter. So, the balance is basically about the DOJ settlement of 30-plus million and the allied legal cost that we provide with that which will be part of that. So that is the reason why it is about Rs.325 crores.

Tushar Manudhane: Derma is a therapy in India has witnessed good slowdown. So, any particular reasons to highlight here?

V.S. Mani: In the 2nd Quarter, right, we saw slowdown in two of our core therapies, right. There was a slowdown in the acute business in the 2nd Quarter which impacted our respiratory sales and in derm there has been a slight slowdown in the 2nd Quarter. However, we are seeing a strong recovery in the 3rd Quarter; so, in the month of October, we grew 19%, right as per IMS. So, India business, we think from here on, right, will come back strongly. And I think respiratory has been a big dampener in the 2nd Quarter which is coming back strongly in the 3rd Quarter. So, I think overall, we continue to believe that India will do well this year and going forward.

Tushar Manudhane: Thirdly, the US sales have been gradually slipping from 100 million now. So, when do we see this segment re-viving?

V.S. Mani: So, US, 2nd Quarter was a tough quarter for us because we had some supply disruptions because of some of the remediation work that is ongoing in the 2nd Quarter. However, in the 3rd Quarter, we've resolved all that and we are back with full supply in the 3rd

Quarter. Additionally, I think
Glenmark Pharmaceuticals Limited
November 15, 2023

Page 9 of 15

in the 3rd Quarter we have almost four or five good launches. I think the Varenicline partnership that we did with Mankind, the product we in-license, we've got some good market share there, and I think we have almost 3 injectables getting launched in this quarter through some partnerships. So, that coupled with some of our in-house launches. So, I think from the 3rd Quarter you should see US sales come back to the original levels, right? So, 2nd Quarter we think was an aberration.

Tushar Manudhane: This upfront payment of \$5 million to Cassiopea, this would happen in this 3rd Quarter or how to think about it?

Glenn Saldanha: Yes, it will happen in the 3rd Quarter.

V.S. Mani: But I think 3rd Quarter against, we also have an income coming from Astria, right, almost \$15 million we've already received from Astria in Ichnos, right? So, there is some income also on the innovation side.

Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: I just need some more clarity on margins. So obviously, you mentioned '24 will be a transition year and then for FY25 you mentioned 200 basis points better margins on the core business part.

But for the quarter, say if I look at the numbers, 14.4%, I'm excluding the FOREX part, so that is anyway I think looking much lower than what we had seen previously. So, can you specify whether the slower performance in India and US contributed majorly towards it and maybe in 3rd Quarter and fourth quarter as India and US comes back, we'll see better margins?

V.S. Mani: First and foremost, obviously, if you factor in the currency loss, you will come to almost 15.7%. What we are saying is that this being a transition year, we've already guided in the past also, we look at about a 2% improvement because of reduction in the R&D cost... in the initial commentary we gave that we are also looking at improvement in the margin expansion from RYALTRIS as well as from across other geographies like Europe and LATAM. So, therefore this should significantly take our margins in terms of whatever been guiding in the past, would be closer to 19%, okay, that's what we are working towards. Even in the second half, I do agree with your point that as India and the US kicks in better, so obviously you should see it improve.

So, I think this is the trajectory we're looking at.

Damayanti Kerai: So, you maintain that 19% margin trajectory for your business?

V.S. Mani: As we've already alluded, that is a transition here, but over the years, we're trying to improve that, yes.

Damayanti Kerai: My second question is in the US business. So, you mentioned some supply challenges which you have resolved now. But can you comment a bit on the pricing part also because I guess what

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 10 of 15

others, or your peers have commented that prices are more or less stable. So, how was it for your portfolio and how do you see it for next say for the coming quarters?

V.S. Mani: So, the pricing environment seems to be stabilizing. However, we are still seeing standard price erosion of roughly mid-single digit, around 5%, 5%-odd across the portfolio.

Damayanti Kerai: Can you also share update on Monroe regulation part because if I remember correctly, you mentioned somewhere in the second half of the fiscal we should be seeing some notable update there?

V.S. Mani: So, in Monroe, we are pretty much done with most of the remediation. We are taking engineering batches this month and followed by validation batches and commercial batches. So, the remediation is pretty much done. Obviously, we would have a dialogue with the FDA before resuming commercial sales either by way of a meeting and we are also expecting an

inspection

at some point.

Damayanti Kerai: Any timeline where do you expect like FDA can likely reinspect the facility?

Glenn Saldanha: It's extremely hard to predict that, but we've started the work where we've started taking batches, first with engineering batches followed by validations and then commercial batches.

Damayanti Kerai: In terms of cost also, you mentioned 26 crores was the remediation cost, that was specifically for the US plant or -?

V.S. Mani: No, no, India was about 20 crores and US was about 6 crores, US is much lower.

Glenn Saldanha: I think remediation we are mostly done with everything at this point in terms of expenses and I don't think going forward we would have an exceptional item as a remediation going forward.

Moderator: The next question is from the line of Vikas Sarda from NT Asset Management. Please go ahead.

Vikas Sarda: Two questions. One is that the Ichnos spend in the first half has been higher than full year run rate guided of \$60 million. So, how should one look at that in the second half? And secondly, this 200-basis point margin expansion next year is only from R&D or you're building in the RYALTRIS and the operating leverage in that?

V.S. Mani: So, good morning, Vikas. Thanks for the question. So, as you can see in the current year in the first half, we spent about 36 million, which last year was almost 43 million. So, in the 36 million also we have in the first half of the year normally we pay out bonuses and there are some severance costs as we are going about restructuring the operations out there. So, we still are pretty much guiding close to 60 plus is what we had said, will be there about. So, we're not expecting that to substantially go give and take a few million here or there. So, as far as Ichnos,

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 11 of 15

that's where we are. And as you know, this year in the 3rd Quarter, we also received 15 million on licensing. So those are other incomes that will keep coming in. And as far as the margin expansion is coming, 2% is basically from basically from Ichnos, that is innovation and the balance is when we say that we'll take a trajectory from where we are today, almost a 3% plus, 2% is here plus a 1% will come from all the margin expansion that we'll get from increasing our businesses, operating leverage in Europe, LATAM. So those are the things. What we have not specifically even called out here, is that as Monroe goes live, today we have a 25 million operating cost which is also baked into our numbers. As we go along even that will kick in next year. So, I think all in all that's how we are trying to run the run rate closer to where we are.

Vikas Sarda: How much of the Zetia payment has already been made and how much is pending? And also, in the balance sheet, there's one item called other current asset which has gone up in six months by almost 400 crores. So, what is that for?

V.S. Mani: One is obviously we have paid more than 35 million plus for the Zetia and we also paid about one installment of the DOJ that came in. So, these are all that went in. As far as the other current asset is concerned, receivable going up almost 190 crores, that is largely on account of... as you know, when we make these payments outside India, we have to pay GST on that, which we can take credit against that, but as of now, that money is gone. So, that is one money that has gone. Also, the other thing is that we have in the other current assets PLI which we accrued about 80 plus crores in the current year which we are yet to get money from the government. I think they will plan somewhere in the second half to give us money. Also, apart from that, we also had

some increase in our prepaid expense of about 60 -70 crores, some advance payment to supplier. So that is why it looks like 400 crores jump. But I think as the second

half goes by, at least the

input tax, some of those credits we can take, and it will come off. So, I think overall with the improvement in the business in the second half also, we should see cash coming back in the business.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Can you help us understand the guidance for FY25 a little better in terms of what EBITDA levels we are looking at?

V.S. Mani: Currently, obviously this quarter we're a little less than 16%, but we gave a glide path how we'll go there. We said 2% will come basically from innovation R&D spend reduction and 1% from the expansion in the various markets, also, obviously as Monroe goes live, we'll also get some benefit. I have not put that in this. So overall, based on this, we are looking at a trajectory close to 19%.

Nitin Agarwal: 19% for FY25?

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 12 of 15

V.S. Mani: Yes, 19% for FY 25. This is a transition year, Nitin. I think we'll have to check it as the year comes.

Nitin Agarwal: Secondly, on the remediation costs, what kind of positive impact do we see on account of that next year?

V.S. Mani: You're talking of remediation costs further in the next year, is that what you're saying?

Nitin Agarwal: Because you are saying it's going to be almost zero this year from here on, so, how much will be spent for this year?

V.S. Mani: So, this year so far we have spent about 77 crores. So, that will not be there next year. But in any case, I'm calling it out separately.

Nitin Agarwal: That is an additional lever which is probably there for us?

V.S. Mani: Yes, there are additional levers in terms of profit.

Nitin Agarwal: Glenn, on the India business now, how are you looking at India from again a two, three-year perspective here on?

Glenn Saldanha: Our view, Nitin is our India business continues to remain very strong, right. I think between the RX business mainly driven by the respiratory, cardiac is doing exceedingly well for us, dermatology and then diabetes, right. I mean, we are pretty much leaders in three out of the four, right. We're among the top two, three players in three out of the four segments. So, India business RX continues to be strong. OTC, we are doing exceedingly well. So that's another growth lever going forward, which will contribute significantly to our India business. And then we have some reasonable institution business, that's doing well in terms of hospitals and institutions. So that will come up as a new growth lever. So, I think all in all, India will do well for us, I mean on a sustained basis, we feel very comfortable with like a 12 to 15% growth coming out of India, right, for the next three years.

Nitin Agarwal: And likewise, on the US, Q2 you mentioned is a soft year, things will bounce back from Q3, but with Monroe and all probably beginning to come back from next year, how should one think about US, there has been some improvement in the outlook which happened in general for other players on the US side?

Glenn Saldanha: So, I think the US business next year will be mainly driven by bringing back Monroe, some of the new launches that we have next year, right. And I think our respiratory play will start hopefully from next year. We're hoping to get our first approval in the respiratory space and then we'll keep getting approvals from there every year. So, I think a lot of our US build out is primarily driven by respiratory and some complex products that we are working on. So, it's hard

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 13 of 15

to predict specifically in terms of numbers, but I mean, we have a good portfolio of products that we are filing, right, and assuming they all get approved, and things are on track, right, the US business should look strong right in the year

to come.

Nitin Agarwal: On that, Glenn, when are you looking to file the Fluticasone in India?

Glenn Saldanha: Fluticasone MDI, right, between Q4 and Q1, right, we will file the fluticasone MDI.

Nitin Agarwal: There's been very strong growth in both ROW and Europe now. Is it largely RYALTRIS driven or there are more things which are sort of driving it?

Glenn Saldanha: I think Europe is more broad-based beyond RYALTRIS. RYALTRIS is a big contributor, but we also have four or five respiratory products that we are selling there, are doing exceedingly

well. And I think going forward we still believe that Europe will continue to outperform, right, I mean 15%, 20% is the minimum growth trajectory that we are seeing for our European business. ROW also is doing extremely well. We got a big approval in Brazil of Salmeterol Fluticasone MDI, it's the first generic approval. The rest of ROW, which is Asia, Latin America, Middle East, Africa, Russia, CE, all these geographies are doing well. Russia also, we got Ascoril LS a big approval which will be a big driver. In most of these geographies, they continue to do exceedingly well. So, I think these two geographies will be significant growth drivers for us in the years to come... and of course, India continues to do well. So, the US is a big unknown. We are doing the right things in terms of portfolio but given the uncertainties we really struggle to put any number for the US business.

Nitin Agarwal: The scale up which you're talking about in Europe and ROW, what kind of margin operating leverage to be seen playing out in this business? And at some level, are these businesses below corporate level margins or have they now passed it?

Glenn Saldanha: So, Europe obviously was below corporate level till last year, right. I think this year it has come up closer to corporate level, and I think further margin expansion is coming out of Europe, right as we go forward. ROW, most geographies were almost at corporate level, Latin America was way down, right. I think that is adding almost 3%, 4% every year from here on in terms of their EBITDA margin. So, that itself is giving you some significant leverage coming through, right, as we go forward.

Moderator: The next question is from the line of Krishnendu Saha from Quantum AMC. Please go ahead.

Krishnendu Saha: Coupled with the margin question, just trying to understand Glenmark Life Sciences revenue, which is right now currently in the consol account will not be there from FY25 onwards. So just trying to understand what kind of contribution they do at the current level on the –

Moderator: Audio is not clear again.

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 14 of 15

Krishnendu Saha: Just wondering on the accounting part and on the margin part, Glenmark Life Sciences will not be in the numbers from FY25 onwards, how does the margin look because they do contribute something to the margins of the consol level.

V.S. Mani: As per accounting standard, this is how you see the margin today. And the earlier questions are also for the same. We have a continuing business, and we have a discontinued business. So, on the continuing business taking FOREX loss, we have a current quarter EBITDA margin of about 15.7% which we have given a clear trajectory and a glide path how we'll go to 19%, 2% from innovation R&D and from –

Krishnendu Saha: But I'm just wondering if it is the consol when Glenmark Life Sciences is consolidated and in FY25 when they are not, does it not impact the EBITDA margins?

V.S. Mani: So, that impact is only we're absorbing, no. I can't hear you clearly, but I'm just gathering what you're saying, it's hard to hear you out. From what I understand, you are telling that GLS margin will not be there. I agree that is what we are doing by virtue of these measures by which we are reducing our innovation

R&D spend and we are looking at other markets which are doing better and growing, whose margins are expected to improve. So, both put together that is how we are expecting and also with some support from as we go along with Monroe, etc., we're very confident we'll come closer to 19%.

Utkarsh Gandhi: I think over and above that, the key is to take notice of is the PAT margins because in next year, you will see a significant improvement in the PAT margin. So, not only are we getting to that 19% plus EBITDA margin, right, but we're also expecting a significant improvement in the PAT margin compared to where we've been right along with GLS. So, that should drive the next year.

Krishnendu Saha: Just trying to understand, this is nothing to do with your guidance or whatever. Is there a 100% consolidation on the PAT margin for GLS on the consol level because we're not selling 100% so how does the consol do, do we have 100% of the profit of GLS in the consol?

V.S. Mani: The entire 100% of the EBITDA margin all is removed of GLS, there is nothing of GLS left back in the continuing business, it's completely out. In future, whatever we buy, we buy at arm's length.

Krishnendu Saha: No, I'm talking about historically, FY' 22-23 numbers which are getting consolidated, do they match total 100% of the profit of creation into the consol, is it like if they earn 100, does it reflect 100 in the EBITDA margin, is it like that on a historic basis?

V.S. Mani: The entire margin of GLS is removed from here. It's not there in the continuing business.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Glenmark Pharmaceuticals Limited

November 15, 2023

Page 15 of 15

Utkarsh Gandhi: We quickly read the disclaimer before we end the call , the documents prepared and discussed during the call today including information statements and analysis describing the Company or its affiliates, objectives, projections or estimates are forward -looking statements. These are based on current expectations, forecast and assumptions, and are subject to risks and uncertainties which could cause actual outcomes to differ materially from these statements depending upon economic conditions and other incidental factors. So , no representation of warranty is provided in relation to this document, and it should not be regarded by recipients as a substitute for the exercise of their judgment . The Company undertakes no obligation to update or revise any forward -looking statements, whether as a result of new information, future events or otherwise. With that, we can close the call. Thank you everyone for joining us today.

Moderator: Thank you, members of the management team . Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Page 1 of 15

"Glenmark Pharmaceuticals Limited
Q3 FY'24 Earnings Conference Call "
February 16, 2024

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
February 16, 2024

Page 2 of 15

Moderator: Good morning, ladies and gentlemen. Welcome to the Q3 FY '24 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Utkarsh Gandhi, General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi : Thank you, Lizann. Good morning, everyone. Welcome to the Q3 FY '24 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, we'll review the overall performance of the company for the third quarter of FY '24.

For third quarter of FY '24, Glenmark's consolidated revenue from operations was at INR29,096 million as against INR34,639 million in the corresponding quarter last year, recording a Y -o-Y decline of 16%. The lower sales in the current quarter was mainly on account of a one -time impact on the company's India business. And excluding this impact, the approximate growth over previous year have been around 9%. For 9 months of FY '24, Glenmark's consolidated revenue was at INR98,991 million as against INR96,164 million, recording a growth of 2.9% Y-o-Y.

We'll just give some key updates on the formulation business across the regions. We'll start with India. Sales from the formulation business in India for the third quarter of FY '24 were at INR2,622 million as against INR10,745 million in the corresponding quarter last year. During the third quarter, Glenmark implemented changes in its overall distribution model through consolidation of stock points and rationalization of some channel inventories, which has led to a one -time impact on sales for the India business in this quarter.

However, this will help Glenmark in improving our operating margins and overall working capital in the future, and the changes will also help accelerate some anti -counterfeiting packaging roll -out and ensure that it reaches faster to the patients.

In terms of secondary sales, we continue to outperform the overall industry in terms of growth. As per the IQVIA data for December 2023, Glenmark's India business has actually recorded a growth of about 12% in the third quarter and about 11.5% as of MAT December.

In comparison, the overall market grew at about 8% in the third quarter and about 9.5% as of MAT December. We, obviously, again, clearly continue to outperform the market in terms of our key therapy areas such as cardiac, dermatology and respiratory.

And Glenmark business continues to be ranked 14th with a market share of about 2.13 %. We continue to have nine brands in the top 300 brands of the Indian pharmaceutical market. And in terms of key therapeutic areas, Glenmark is ranked second in both respiratory and dermatology.

And ranked fifth in cardiac and 17th in the diabetes segment . Because of our higher growth, we've obviously improved our market share further in these key therapy areas.

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 3 of 15

In October 2023, Glenmark launched in India, the first triple -drug formulation of the widely used DPP4 inhibitor Teneeligiptin, SGLT2 inhibitor Dapagliflozin and Metformin SR under the brand name Zita DM.

In January, Glenmark also became the first company to launch a biosimilar of the popular anti -diabetic drug Liraglutide, in India, under the brand name Lirafit. This launch will sharply lower the daily cost of therapy by around 70%, making Liraglutide more accessible to a large number of patients in the country.

In terms of our Consumer Care business for India, the

primary sales in Q3 was at about INR482

million with a growth of -- Y-o-Y growth of 18%. Our flagship brand Candid has delivered 20% growth in Q3. La Shield has also delivered about 20% growth, while Scalpe also witnessed double -digit 12% growth in Q3.

Moving on to North America. The North America business registered revenue of about INR7,629 million, which is around USD91.6 million for the third quarter. This was against a revenue of INR8,373 million, which was about USD102.3 million for the third quarter of last year, translating into a Y -o-Y decline of about 9%.

Q3 sales were impacted mainly on account of lack of significant new product launches in the preceding quarters. However, in the third quarter, Glenmark has launched about 7 products. So we launched Prochlorperazine Maleate and Fluphenazine tablets as well as Benazepril, Hydrochlorothiazide tablets. And the upcoming quarter, we plan to file new NDA.

During the quarter, we have significantly expanded our injectable portfolio through exclusive product partnerships. We've launched around four products in the injectable segment, including Fosphenytoin, Octreotide Injection, Posaconazole, as well as Ketorolac Injection. We now have five injectable products commercialized in the markets, and these launches are likely to positively impact the U.S. business from Q4 FY '24 onwards. Company is also hoping to restart commercialization of further injectable products from the Monroe manufacturing site from FY '25.

Glenmark has also leveraged its strong development capabilities in the Respiratory therapeutic area to build a portfolio for the U.S. market. We have already filed 2 ANDAs for generic nasal sprays, which are awaiting approval. And in addition to that, the ongoing clinical trials for generic Flovent pMDI has been completed, and we expect to file the ANDA for the same in the first quarter of FY '25. We are also planning to file at least one more generic respiratory pMDI for the U.S. market in FY '25, and then continue filing momentum across the respiratory product segment beyond that as well.

Moving on to Europe. Glenmark's Europe operations registered revenue of INR6,357 million as against INR4,932 million, recording a strong growth of about 29% Y -o-Y. Our Europe operations continue the strong growth trajectory, driven by a robust uptick in the branded business and also sustained growth in the generics business. The Western European business continue to clock 20% growth for Q3 mainly led by all key markets like the U.K., Germany and Spain.

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 4 of 15

Multiple product launches have also aided the growth in Q3. And across markets in the CEE region which is -- where our branded business is primarily sold, we have recorded strong double -digit growth. Like the Czech market recorded about 40% growth in secondary sales, and Poland also recorded about 20% growth in secondary sales.

Respiratory portfolio, which has been launched by Glenmark in Europe continues to do well.

And key brands such as Ryaltris , Salmex, continue to sustain their market share both in terms of value as well as in terms of volume across the European markets.

Moving on to ROW. For the third quarter of FY '24, revenue from the ROW region was INR7,250 million as against INR6,541 million for the corresponding quarter last year, recording a Y-o-Y growth of 10.8%.

We continue to witness growth in the base business across all subregions of the ROW market.

For Russia, as per IQVIA Q3 and MAT data, we recorded 7% and 18% growth in value, respectively. In terms of our key therapeutic areas, in Russia, we continue to do well in dermatology, where we recorded 20 % growth as compared to the overall market growth of about

8%, as per the IQVIA, MAT December data.

We are ranked 9th in the dermatology market in Russia. And in the Expectorants market in Russia, we continue to be ranked second.

And we've launched a few key products in Russia in the first 9 months, which are also aiding our growth, and Ryaltris continues to gain market share as of 9 months of FY '24.

The Asia region also recorded 20% growth in secondary sales, driven by markets like Philippines, Malaysia, Sri Lanka and Vietnam. Top contributing brands, both in dermatology and respiratory segments, have contributed to the strong growth in the third quarter. And we've also received around 10 new product approvals across markets in this region, mainly in Dermatology, Respiratory and Oncology. Ryaltris, which has been launched in the Asian markets like Australia, South Korea, Malaysia, continues to do well across these markets. Middle East, Africa region also recorded about 15% growth in sales during the third quarter. The company continued to achieve strong double-digit secondary sales growth in Kenya, South Africa, Saudi Arabia and other markets. Ryaltris has been launched in Saudi Arabia in Q1 of this year -- in Q1 of FY '24, and product has done well. It has received good response in the market.

And Ryaltris continues to be the leading nasal spray for allergic rhinitis in South Africa, where the product was launched about 18 months back, and is already the leading product there in terms of allergic rhinitis. We've also launched Ryaltris in four additional Middle Eastern markets during the third quarter.

Latin America witnessed strong growth of 30% in Q3. Respiratory, again, is a key contributor for Glenmark. Across the key markets like Brazil and Mexico, we continue to maintain our rank amongst the top-10 markets in the covered market of the chronic respiratory segment in Brazil and Mexico.

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 5 of 15

Moving on to Ryaltris. So as of the end of third quarter of FY '24, we have signed marketing applications for Ryaltris in more than 70 markets. Product has been commercialized in 31 markets, including the major markets that we spoke about previously.

Further, product has also been approved in 18 other markets, where it will be launched over the course of the next 3 to 6 months by either Glenmark or our partners. Glenmark's commercial partner in the U.S., Hikma, continues to see strong new prescriptions and with a full strength field force focusing on high prescribing physicians.

Our partner in Mainland China, Grand Pharmaceuticals, is progressing the application and registration process and expects to launch the product in mid-2025. We also provided some market share data for Ryaltris across our key geographies in the MD&A document. Moving on to the Glenmark Life Sciences. External sales for GLS in Q3 FY '24 were INR4,129 million as against INR3,756 million in Q3 last year, recording a Y-on-Y growth of 10%.

We announced, in September, regarding the definitive agreement with Nirma to divest 75% subsidiary. The transaction is ongoing and subject to customary closing conditions, including receipt of regulatory and shareholder approvals.

Moving on to Ichnos Glenmark Innovation. So recently, Glenmark and its global fully integrated subsidiary -- biotech subsidiary Ichnos Sciences, announced the launch of their alliance - Ichnos Glenmark Innovation, or IGI, to accelerate new drug discovery in cancer. This alliance combines Glenmark's R&D proficiency in small molecules with those of Ichnos in novel biologics to continue developing cutting-edge therapy solutions to treat hematological cancers as well as solid tumors.

The newly formed IGI features a robust pipeline of three innovative oncology molecules targeting multiple myeloma, acute myeloid leukemia and solid tumors, and all 3 are undergoing clinical trials.

Two of these molecules have also received Orphan Drug Designation from the U.S. FDA.

Additionally, IGI has two autoimmune disease assets that have been out-licensed to leading companies. Going forward

all of Glenmark Group's investments on innovative assets will be channelized through the IGI alliance.

And just a quick update on GRC 54276, which is part of the IGI portfolio now. This is being developed as an orally administered IO-adjuvant therapy for patients with solid tumors. This is an HPK1 inhibitor. Part Ia monotherapy phase of the study is ongoing in India since July 2022. Additional subjects are being recruited in the 50 mg monotherapy backfill cohort.

And the part -- Phase I, Part Ib combination study of 54276 with pembrolizumab and atezolizumab was initiated in India and the U.S. in Q1 and Q2 of FY '24, respectively. As of the

third quarter, two dose cohorts of GRC 54276 with these molecules have been completed. And patient recruitment and dosing is ongoing for the third cohort.
Glenmark Pharmaceuticals Limited
February 16, 2024

Page 6 of 15

Just some notes to the results before we open the Q&A. Forex loss for the quarter was at INR16.8 crores. Also, we had a INR48 crores impact due to hyperinflationary accounting in Argentina. Both of these are recorded in other expenses. Exceptional items for the quarter comprised of legal costs associated with the U.S. litigation as well as remediation costs primarily in the manufacturing site in India. R&D expenditure in Q3 was at around INR308.8 crores. The consolidated asset addition for the quarter was at INR236.8 crores, of which, tangible asset addition was about INR178 crores and intangible was at about INR58.8 crores.

Gross debt for the period ended December 31 was at INR4,953 crores. Net debt for the period ended December 31, 2023, was at INR3,523 crores. In terms of working capital, at the end of December 2023, inventory was at INR3,402 crores. Receivables was at INR3,056 crores. And payables was INR2,301 crores.

We have the management of Glenmark Pharmaceuticals on the call today, Mr. Glenn Saldanha, Chairman and Managing Director; and Mr. V.S. Mani, Executive Director and Global Chief Financial Officer. With that, we can open the call for Q&A. Over to you, Lizanne.

Moderator: Thank you. Ladies and Gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on India business restructuring. So Glenn, can you elaborate a bit more like what has prompted you to take this restructuring? And what are the key points which you want to achieve through this process? And after this process, do you think India business is now in good shape to cater to your requirements? So that's my first question.

Glenn Saldanha: Sure. So I think the primary reason we did the one-time restructuring was because we had certain inefficiencies in the distribution channel, which we wanted to correct, right? And what we did is by consolidating all the stock points, right, we are -- we're reducing the inventory substantially in the channel. We are -- which is also helping us with regards to our working capital management, helping us in terms of margins.

Also, a lot of the secondary sales that IQVIA reports will be very close to where -- what we report going forward. So we really -- in the inventory in the channel, it's an inefficiency that we had for really since our inception, which we are now correcting. And this is a one-time thing. So you will -- obviously, Q4 will be back on track in terms of our normal sales, which trends at around INR1,000 crores a quarter for India. And I think going forward, you will see India growth coming strong, right, very similar to what our secondary sales are reporting as per IQVIA.

Damayanti Kerai: Just wanted to understand, was your distribution model very different from what your peers have in India market?

Glenn Saldanha: So I mean we've had a different distribution model all throughout, right? And we continue to maintain the model. However, we are

-- by reducing the stock points, we are just reducing the stock in the channel.

Glenmark Pharmaceuticals Limited
February 16, 2024

Page 7 of 15

Damayanti Kerai: Okay. So it will definitely lead to better working capital management as you highlighted?

Glenn Saldanha: Absolutely. Absolutely.

Damayanti Kerai: Okay. And the sales which were lost due to this restructuring process during the third quarter, that's gone. But as you said, fourth quarter onwards, things should be back on normal trajectory?

Glenn Saldanha: That's correct.

Damayanti Kerai: And so India business, then how should we look at sustainable growth after all clearing up of channels, etcetera -- like also if you look at the business ahead?

Glenn Saldanha: I mean India, for us, if you take our regular run rate, right, India continues to grow at around 12 - odd percent, 10%, 12%, right, on a sustained basis, right? And that will continue to be there. We continue to outperform the market. If you look at all the IQVIA data and all third-party data sources, we continue to outperform the market. So I think that will now start reflecting more closely in our reported numbers, right, as we go forward.

Damayanti Kerai: Sure. My second question is on this IGI -- Ichnos Glenmark alliance, which you disclosed a few days back. So what is the primary reason, again, for this kind of entity formation? Because I thought like you already have entity Ichnos is heavily focused on novel R&D and then you have your old set of some products. So now my question is why not take every innovative asset to

one entity than keeping some in parent's book....

Glenn Saldanha: So I think IGI is basically an alliance between the two -- between Glenmark and Ichnos, where effectively, we are pulling all the oncology assets, right, under one umbrella, right? It was sitting -- small molecules was sitting in Glenmark. Biologics were sitting in Ichnos. So we are pulling it all under one asset.

So Cyril Kotto will run it. And basically, we'll derive significant synergies, right, out of the two entities. There will also be a huge -- from a cost perspective, right, I mean, we -- this year, we are spending almost \$75 million to \$80 million, will go down next year to \$45 million, \$50 million. There's a massive flow through that's coming into the R&D cost, and that will go to the bottom line in terms of EBITDA margin.

So we've done a lot of restructuring, right? This is all part of the overall restructuring that we are doing in terms of our innovation across the company, right? And with this heightened focus and synergies that will come out of this alliance, we believe there will be a significant improvement in terms of our bond, right, on innovation. So almost a \$30 million plus -- \$30 million, \$35 million flow through right to the bottom line in terms of tangible numbers.

Damayanti Kerai: So this R&D spend 75 million, 80 million going down to 45 million -- sorry, 40 million a year?

Glenn Saldanha: 45 million, 50 million, in that ballpark.

Damayanti Kerai: Okay. So the entire 45 million, 50 million R&D savings would be reflected in R&D -- or sorry, EBITDA number?

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 8 of 15

Glenn Saldanha: Absolutely. So next year's EBITDA number, right, you'll see a significant bump up. This is one of the key drivers, but in addition, also, because of Ryaltris and some of the other operating leverage that we are seeing in geographies like Latin America, Europe.

Europe, which has always been a low-margin business for us, now with the scale that we are gaining in Europe and Latin America, right? All that should help drive EBITDA strong next year.

Damayanti Kerai: Okay. So how should we look at EBITDA numbers, say, for the next 2-years from current level? What kind of improvements should we see?

Glenn Saldanha: So we think -- I mean, I don't want

to give a number on this call because we typically guide at

the end of Q4. But if you take the R&D flow-through that we just discussed and you assume Ryaltris improvement, all the synergies that we are seeing in the operating leverage, that you'll see in various geographies, right, it will be a significant step up in terms of overall EBITDA.

And then from there on, every year, the EBITDA margins, we should improve on a consistent basis, right? Every year, you will see an improvement in terms of EBITDA margin from here on, purely because of the operating leverage and some of the branded products getting launched and commercialized, right, and Ryaltris is getting more scale, right, in the various geographies.

Damayanti Kerai: My last question. Can you update us on Monroe Plant's status?

Glenn Saldanha: So on Monroe, we have now -- we've put in a meeting request to the FDA. We've completed all our remediation works. And now we are ready for inspection. We've also started manufacturing at the Monroe site. So process validation batches have started. And I think post FDA's inspection and meeting, we should -- we hope to start commercial production, right, in the Monroe site. So we're pretty much done with all the remediation work that we needed to do.

Moderator: We'll move on to the next question. That is from the line of Krish Mehta from Enam Holdings.

Krish Mehta: I just wanted to ask on the domestic rationalization inventory you have done in the last quarter.

So, if you could just quantify what will be the subsequent working capital release expected from this?

V. S. Mani: Krish, I mean broadly, we already have seen some improvement in the working capital as we had guided, like if this were there, our growth would have been almost 9%. So we're talking about INR850 crores, INR870 crores of sales. So obviously, you already see an improvement in the working capital of about INR530 crores or so thereabouts already in place.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Yes. So just on the India business again. So with this rationalization, just wanted to understand that how does the channel inventory look like now as compared to where we were a year ago or 6-months ago? And going ahead, how is the inventory level going to be maintained in the market?

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 9 of 15

V. S. Mani: Yes. As we have already told you that the -- going forward, the secondary sales reported by

IQVIA will be closer to our reported sales because of this channel inventory, whatever was there.

So post this correction, it will be as per industry norms, okay?

And obviously, there will be no further action required in the channel as it will lean. And we'll leave it at that because obviously, inventory also from location to location, depending on the turnout, it keeps changing. But I think broadly, this correction will help us to be very lean and manage our working capital better. And as I've already answered in the previous question, this will help improve our working capital also.

Abdulkader Puranwala: Sure, sure. Understood. And secondly, sir, on the Monroe plant, so once that becomes operational in next fiscal, I mean, what is the sales benefit in terms of that plant could add and the number of products which could be relaunch into the market?

Glenn Saldanha: So I think there will be a ramp -up in Monroe, right? Next year, we are expecting about two products to get commercialized, right, out of that, right, in FY '25. But thereafter, every year, you'll have a host of products coming through on the injectable side. So I think there will be a ramp in terms of the facility, right, and in terms of the scale -up, right?

Today, obviously, the biggest advantage is today, we have a significant operating cost of Monroe sitting on our books, right, which obviously,

from next year, once we start commercializing and selling these -- selling products, right, that will help further with the leverage -- operating leverage, right, that we will gain in terms of margin improvements overall.

Abdulkader Puranwala: Got it. And final one, if I may. So if you could provide the net debt number for the end of Q3 and where do you see the numbers say, FY '25 or '26? some color on that would be helpful.

V. S. Mani: So I'll just answer. So we just -- in read out, it is about INR3,523 crores. And as we have said that due to this divestment of GLS, we should be net cash positive at the end of this year itself. And as we said, going forward, we should be improving more and more. So I think, yes, that's where the trajectory would be.

Moderator: The next question is from the Kunal Randeria from Axis Capital.

Kunal Randeria: Glenn, so while I hear your explanation on this India restructuring, so it seems like almost 70 days of inventory have been sort of like extinguished, or 70 days of sales have not been made. And since you are not going to do more channel filling in the coming quarter, I'm just wondering how did we arrive at a situation where we had probably more than 100 days of inventory in the channel?

Glenn Saldanha: So I think historically, Kunal, because we've had a 3-tier distribution system, right, we've always had a higher inventory level in the channel, right? So we've used this opportunity to correct some of these inefficiencies and take the benefits in terms of working capital improvement and in terms of margin improvement.

Glenmark Pharmaceuticals Limited
February 16, 2024

Page 10 of 15

V. S. Mani: Also, as we -- Kunal, as we already explained that we had multiple stock points, so we reduced quite a few of them. So obviously when you do that, it automatically helps you to consolidate. So all these are the measures that we have taken to bring down.

Kunal Randeria: Sure. Okay. Okay. And this has been sort of slowly built over the years or this kind of elevated inventory levels have been present for several years?

V. S. Mani: It's built over the years, and it's not that we've built it over a period of time, obviously, when you have multiple stock points and you have, you know, extra tier in the systems, obviously, all this added to the inventory. But now we realize it is the right time as we're doing well and we're growing it, we should do that.

Kunal Randeria: Okay. The second question is on these 4 or 5 injectables that you have been marketing, including Octreotide and other ones. What's the kind of commercial arrangement you have -- is there a marketing part now? Or is there a profit share arrangement? How will it be?

Glenn Saldanha: So Kunal, I can't get into the details of the arrangement, but these are exclusive agreements with certain injectable players, right? So we have exclusive distribution of these products in the U.S. And currently, we have 4 or 5 commercial, and we have host additional products coming through. I mean the whole idea is our U.S. business is predicated around 2 big levers, right, 2 or 3 big levers. One is our Injectable portfolio. And once Monroe comes on stream, that will further drive the whole injectable business.

The second is, obviously, our Respiratory portfolio. We are hoping, in FY '25, we'll have these 2 nasal sprays launched and they are pretty big products. And then followed by Flovent, right, generic in FY '26. So I think the whole -- these are the two big platforms, and then we have some drug device products, right, which we are hoping to commercialize over the next year, 2 years and 3 years.

So these are the 3 platforms that we've built, in addition to, of course, we always remain strong in dermatology, so that stays, and oral contraceptives. These are the 2 original platforms that we operate in. So that's the basis for our -- for some of these partnerships, right, is it

o further build

the whole injectable platform, right, and the institution business in the U.S.

Kunal Randeria: And one more, if I can. On Ryaltris, you know, I have achieved good idea from market share lot of countries. Just wondering what will be the aspiration of market share you are aiming?

Glenn Saldanha: So I mean, Ryaltris is a huge product for us, right? I mean next year, we anticipate sales of close to about 80 -odd million. So it's a very large product already in a short time. And we still haven't launched in many of the major markets. For example, China, Brazil, many of these markets, we still have not yet commercialized the product, right?

So I think from a from peak sales, this will be a substantial product for us, right, over the next 5 years. And in terms of market share, if we end up with like 15%, 20% right off the market, I think we would have done really well with this product.

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 11 of 15

V. S. Mani: Just to add to what Glenn said in our commentary, the MD&A, we have given all the current markets that we are selling and the market share, it is all given there. Most of the key markets, we are already at 18% to 19%.

Kunal Randeria: Yes, I got that. So actually, I was asking, Mani, on where it can go there -- can that 18%, 20% go to 30%, 35%? So that was my question. Okay. Just one clarification then, when you say...

Glenn Saldanha: Sorry, Kunal, there are many markets where we're still at still at single digits. So there is a big sensing across the board, right? If we get to 15%, 20%, that will be a big number, right -- the Allergic Rhinitis, Respiratory market. Yes, go ahead.

Kunal Randeria: Sure, sure, sure. And just one clarification. When you say \$80 million, is this the sales that you would be booking? Or is it the end user sales? Because in some countries, you would be a big partner....

Glenn Saldanha: No, it's ours. It's sales that we would book. End user sales will be much higher.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, two three things, one is on just continuing on Ryaltris, the \$80 million that you talked about, I mean, typically will be a very high margin contribution because a lot of it should be profit share?

Glenn Saldanha: Yes, Nitin. The margins will be huge. And that is exactly why we are talking about EBITDA for next year going up significantly, right? So Ryaltris, in addition to the R&D flow-through, right, that we are getting, IGI, Innovative R&D reduction, Ryaltris will be a big driver to the margin profile.

Nitin Agarwal: And secondly, staying on the topic, you've talked about this licensing of the specialty oncology molecule. Can you just provide your perspective on how do you see that playing out?

V. S. Mani: Sorry. Are you talking about...

Glenn Saldanha: Nitin, we can't hear you.

Nitin Agarwal: I'm saying the Chinese molecule that we licensed, the oncology molecule...

Glenn Saldanha: Yes. So yes, so I mean Envafolelimab, we are very excited about. It's a PD-L1 operating in a market. I mean, KEYTRUDA is a giant player. Even in our market, KEYTRUDA is almost -- we have emerging market, right? And there itself, KEYTRUDA is almost \$3 billion, \$4 billion in sales. So in emerging markets alone, right?

So this is a very large opportunity for us, and we're very excited about it. We think this will be the next Ryaltris for the company. So the next year, or 3, 4 years, we think Ryaltris will dominate and thereafter Envafolelimab can be the next Ryaltris for us, right? especially operating in a very large market.

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 12 of 15

Nitin Agarwal: And secondly, Glenn, on the U.S., in terms of the products that you're looking to launch in FY '25, '26, I mean would it be possible to give a broad market value

that you are looking to target

or which products will be launching in '25? Some rough sense of...

Glenn Saldanha: I don't think so, Nitin. I think -- I mean, we've given you enough of thoughts on how we are thinking about the U.S. business, right? I mean Respiratory, Injectables, these 2 platforms will be major contributors in FY '25, right, along with some oral solids and some drug device products, right? But I think the focus is clearly on these areas, right, to build these areas over time.

Nitin Agarwal: Secondly, on oncology and the Innovation part of oncology, what are the timelines for the milestones to sort of track over the next few quarters now?

Glenn Saldanha: I mean 2001 and 1442 should read out in the current year, right, in FY '25, basically. Both these assets should read out in -- and of course, 54276, the HPK1, all 3 should read out in FY '25. So

that will be pretty significant, right, for the IGI pie ce, right?

And we clearly recognize that all 3 will not move forward, right? But even if 1 or 2 of these go forward, they are all blockbuster potential, right, all these 3 assets. So that will give a good runway in terms of our pipeline going forward.

Nitin Agarwal: Is it fair to assume, Glenn, that whatever moves forward will move through a licensing route only, in a sense you will not be doing the entire forward sort of trials -- future trials on your own on whichever product moves forward?

Glenn Saldanha : That's correct. I mean, partnerships are a given for us, right? All these assets, I mean, we will partner at some stage.

Nitin Agarwal: Right. And lastly, Mani, what should be the working capital level we should work with now for FY '25?

V. S. Mani: I think we can work at about 100 days.

Nitin Agarwal: 100 days...

V. S. Mani: Yes, it's already come out, so it will be closer to 100 days.

Nitin Agarwal: Okay. And last thing, Glenn, for the India sales, we should look at what annualized number of what, INR1,100 crores, INR1,200 crores per quarter for next year, right? They should not that ...

Glenn Saldanha: Yes. So I mean, the run rate right now is about INR1,000 crores a quarter. That will grow by about 10%, 12% next year.

Moderator: The next question is from the line of Viren Deshpande from Alphapeak Investments .

Viren Deshpande : I would like to know the -- what is the -- out of this one -time impact which we have taken, what is the write -off of the stock?

Glenmark Pharmaceuticals Limited

February 16, 2024

Page 13 of 15

V. S. Mani: There is no write -off of the stock, Viren . As we just explained that there was such inventory in the channel. All we have done is we have not supplied to the channel. That is why if you look at it, even IQVIA continuously report at about 11.9% growth in the last quarter. So the secondary sales are very healthy and doing well. It was just the channel inventory was there., we were not supplied more. That's it, as simple as that.

Viren Deshpande: Okay. So that supply will get postponed in the next quarter?

V. S. Mani: Not postponed, obviously, in a way, if you look at it, now going forward, your secondary and your reported all will be in line, okay? So there was some inventory built over years in the channel, which are used up now to supply for this quarter. So secondary sales are good. That is why you see the improvement in the working capital also. That is how the debt was going down. So that's the way to look at it.

Viren Deshpande: Okay. And with respect to the stake sale, we expect to get about INR5,600 -odd crores Is it correct?

V. S. Mani: Yes, yes. And obviously, net of whatever taxes, et cetera, we should get about INR5,000 crores.

Viren Deshpande: You should get around INR5,000 crores. And I think we have to pay that U.S. liability out of that, say about INR700 crores, INR800 crores?

V. S. Mani: No. For your information, in the current year, we already paid off almost

-- currently, I mean,

beyond even -- the third quarter, almost 60 million, we have paid off. Only 30 million remains.

I think we would be able to manage that.

Let me explain. That money will go purely to pay off the debt which we have in our books , which is close to what about INR4,900 crores , So that's why we're guiding that we'll be net cash positive at the end of the year.

Viren Deshpande: By March end we hope to be debt -free?

V. S. Mani: Yes, obviously, because this transaction should get culminated in the month of early March. So once we are done with that, the money comes in -- that is a net cash positive, that most of the debt could get repaid, but some because of approvals, et cetera, because the receipt is short -term. So therefore, we may take some time to pay. But broadly, net cash would be positive.

Viren Deshpande: In the last call, you had mentioned that excluding GLS, that is this Glenmark Life Sciences, after that, we will -- currently, we have the operating margins of around 15.8% or 16% odd. And we hope to reduce our R&D cost by about 1% to 2%. And so the margins should be in the range of about 17%, 18%. Is it correct?

V. S. Mani: Yes, it is better than that, so I'll guide you. So there is a trajectory to that. Obviously, I'll tell you later on, but what I would like to tell you is that the improvement in the margin will come through the reduction in the innovative spend, Ryaltris , some of the expansion in the market, all this will add together to obviously improve our margins.

Moderator: The next question is from the line of Harsh Kothari from Mizuho Bank.

Glenmark Pharmaceuticals Limited

February 16, 2024

Harsh Kothari: My question is that you mentioned that in your commentary that excluding this one-time India rationalization, the growth in revenue would have been about 12%. So I just wanted to get some information, that's on what basis? Are we saying that excluding this event, do you mean to say that this quarter would have been about INR1,200 crores if the rationalization wouldn't have been done?

V. S. Mani: It would happen closer to INR1,100 crores because India, we report about 260, what I'm saying, would return about INR850-odd crores. So about INR1100 crores. So that would have been -- I think India would have been a growth of around 6% or so.

And that IQVIA sales about 12%. Obviously, there were some disruptions like this, so we wanted to take a one-time correction. That's why we did. If you add that, then take it from the last year, arithmetic simply gets to 12% on a year-to-date basis.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : Sir, just a clarification on the R&D spend, particularly for 4Q FY '24. And then you had already highlighted about FY '25 R&D spend going down by \$30 million, \$35 million. But let's say, for 4Q, how much do we consider?

V. S. Mani: So broadly, the run rate will be the same. We've been doing at about 290 to 300. It will be around the same. So obviously, we have guided this will be to over 8.5. Subject to this correction, it would have been around 8.5.

Moderator: The next question is from the line of Ramana Murthy Malla from Ramana Murthy and Co.

Ramana Murthy Malla : The company has taken a lot of steps to improve the working capital management, tenders, inventory management. Now from the finance side, I have a very -- thank you for giving an update on stake sale with the Glenmark Life Sciences. Money is expected to be received sometime in the month of March '24 or so. Now my point is the dividend distribution has been very low. Now what is the company's policy to pay dividends to the shareholders?

Second thing is one-time gain. Whatever you're going to make on the stake sale, there are two interim dividends were declared, one in the month of March, and in the recent past also.

o. So are

there any policies passing on the dividends to the shareholders with Glenmark, basically that will help you to save taxation?

Number one. Otherwise you end up in paying tax on the amount whatever dividend you would receive from the subsidiary. So I just want to know, from the taxation point, what is the company policy?

V. S. Mani: So two things. First of all, this money doesn't come to me from the subsidiary. This company has held the stake. So obviously, get a long-term capital gain from the acquirer. And as far as the dividend policy is concerned, obviously, we've been frugal over the years, but we'll discuss it appropriately at the year-end Board meeting, okay.

Glenmark Pharmaceuticals Limited

February 16, 2024

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi : Thanks, Lizanne. Before we end the call, we'll just read out the disclaimer. The discussion during this call, including information, statements and analysis describing the company or its affiliates' objective, projections and estimates are forward-looking statements. These are based on current expectations, forecasts and assumptions, and are subject to risks and uncertainties, which could cause the actual outcomes to differ materially depending upon economic conditions, sovereign policies and other incidental factors.

So all this document should not be regarded by recipients as a subject -- as a substitute for the exercise of their own their judgments. And the company undertakes no obligations to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

With that, we can close the call. Thank you, everyone, for joining us today.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

Page 1 of 15

"Glenmark Pharmaceuticals Limited Q4FY24 Earnings
Conference Call "

May 27 , 2024

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN & MANAGING
DIRECTOR , GLENMARK PHARMACEUTICALS LIMITED
MR. V. S. MANI – EXECUTIVE DIRECTOR & GLOBAL
CHIEF FINANCIAL OFFICER , GLENMARK
PHARMACEUTICALS LIMITED
MR. ASHISH MUKKIRWAR – GROUP VICE PRESIDENT &
HEAD, STRATEGY , GLENMARK PHARMACEUTICALS
LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS , GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
May 27, 2024

Page 2 of 15

Moderator: Good Morning, Ladies and Gentlemen. Welcome to the Q4 FY '24 Earnings Conference Call of Glenmark Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi – General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you. And over to you , sir.

Utkarsh Gandhi: Good Morning, Everyone . Welcome to the Q4 FY '24 Results Conference Call of Glenmark Pharmaceuticals Limited.

Before we start the Q&A, "We will review the Overall Performance for the Company for the 4th Quarter and the Full Year 2024."

For the 4th Quarter of FY '24, Glenmark 's consolidated revenue from operations was at Rs.30,630 million as against Rs.30,005 million in the corresponding quarter last year, recording an overall year-on-year growth of 2.1% .

For the 12 months of F Y'24 Glenmark 's consolidated revenue was at 1,18,131 million as against Rs.1,15,832 million , recording a YoY growth of 2%.

In terms of key highlights for the Fiscal Year '24, so across businesses, there were some key highlights . In the 4th Quarter , Glenmark gained two positions to be now ranked as the third largest Company in the cardiac segment of the Indian pharma market as per IQ VIA March Data. Glen mark 's Europe business registered a strong growth of 33.7% for the full year and the R oW business also recorded a robust growth of 16.1 %.

RYALTRIS was launched in seven additional markets across the globe, either on our own or through a commercial partner , and as of March 2024, RYALTRIS has now been launched in 34 markets across the world.

The Company also enhances global branded portfolio through the in -licensing of Envafolima b for India and R oW markets and WinLevi for some European Markets , UK and South Africa .

Ichnos Sciences announced the worldwide out -licensing agreement for its O X40 portfolio, including IS B 830 with Ast ria Therapeutics.

Glenmark Pharmaceuticals Limited
May 27, 2024

Glenmark and Ichnos entered into an alliance -- Ichnos Glenmark Innovation to accelerate new drug development in cancer . And Glenmark completed the divestment of 75% of its stake in Glenmark Life Sciences to Nirma Limited .

In terms of our performance across regions starting with India, so sales for the formulation s business in India for the 4th Quarter of FY '24 were Rs.9,391 million as against Rs.8,316 million in the corresponding quarter last year, recording a growth of 12.9%.

In terms of secondary sales , Glenmark 's India business continue to outperform the overall industry in terms of growth as per IQ VIA March 2024 Data . Glen mark 's India Formulation business recorded a growth of 11.4% in the 4th Quarter and about 10% growth as of mat March '24. In comparison, the IPM grew at 5.6% in the 4th Quarter and about 7 .5% as of MAT March '24.

Glenmark continues to outperform the market in terms of its key therapeutic areas of cardiac , respiratory dermatology. We have provided a table in terms of our Q4 and MAT growth in the MDA .

Glenma rk's India business continues to be ranked 14th with a market share of 2.16%. The Company continues to have nine brands in the IPM Top 300. And in terms of key therapeutic areas, Glenmark is ranked second in both in dermatology and respiratory segments . As mentioned before, Glenmark is now ranked third in the cardiac segment and is ranked 17th in the diabetes segment.

As noted in the MDA, Glenmark has also improved its market share across some of the key therapy areas.

In Jan '24, Glenmark and Pfizer joi

ned hands to launch JABRYUS , which is Abrocitinib, which

is the first of its kind oral advanced systemic treatment for moderate -to-severe atopic dermatitis in India. Developed by Pfizer, JABRYUS has received marketing authorization from the CDSCO in India and is also approved by the USFDA, the EMA and other regulatory agenc ies. So, Abrocitinib which is the molecule is being co-marketed by Glenmark under the brand name , JABRYUS and CIBINCO and by Pfizer respectively.

In terms of our consumer care business in In dia, the primary sales in Q4 were about Rs.673 million, with a growth of 3% for the full year. The GCC business recorded a growth of Rs.2,570 million with a growth of 14% . The Company 's flagship brand delivered growth of 15% for the full year , Candid Powde r and La Shield portfolio delivered a YoY revenue growth of 8% while Scalpe grew by 23% in full year FY'24.

During the year, various line extensions were launched and performed well, particularly a couple for La Shield and Scalpe.

Glenmark Pharmaceuticals Limited

May 27, 2024

The North America business registered revenue from the sale of finished dosage formulations of Rs.7,557 million which is about US\$91 million for the 4th Quarter of FY'24 as against Rs.8,628 million which was Rs.105 million for the 4th Quarter of FY '23 and Rs.7,629 million, which is about Rs.91.6 million for the third quarter FY'24. This translates into a YoY decline of 12.4% and a Q oQ decline of about 0.9%. The overall business remains challenging on account of lack of any meaningful product launches and del ay in scale up of some recent launches.

In FY '24, Glenmark was granted final approval on three ANDAs, Saxagliptin Apremilast and Tacrolimus 0.03%. In the 4th Quarter , Glenmark launched Levocetirizine Dihydrochloride. Glen mark also launched several products under the licensing agreements, including some of the injectable products as mentioned in the last call.

The Company filed six ANDAs with the FDA throughout the year, and two ANDAs in the 4th Quarter .

Glenmark also leveraged its strong capabilities in the respiratory area to build a portfolio for the US market. As mentioned in the Q3 call, Glenmark has filed two ANDAs for the generic nasal sprays and is awaiting approval for the same.

In addition, happy to report that the Company has filed the ANDA for generic gFlovent 44 mcg PMDI in May 2024. Glenmark also plans to file another generic respiratory P MDI for the US in FY'25 and will continue filing momentum beyond that.

In terms of another updates, there's a change in leadership for the North Ameri ca business ; Marc T. Kikuchi will be joining the Company as President and Business Head, North America, effective 28th of May. Marc joins us from D r. Reddy's Laboratories , where he was CEO of the North America business since 2019. Overall, he has more than three decades of experience across the pharmaceutical industry.

Moving on to Europe, Glenmark 's Europe operations revenue for the 4th Quarter of FY '24 was Rs.6118 million as against Rs.6,118 million as against Rs.6,078 million in Q4 FY'23, recording a YoY growth of about 0.9%.

The European operations continued to remain strong in terms of overall business performance . The branded market has performed well. The growth in the 4th Quarter was impacted due to some softness in the tender markets . Key branded markets across the CEE such as Poland, Slovakia recorded double -digit growth . The respiratory portfolio that we have launched in Europe continues to do well. So, key brands like RYALTRIS and SALMEX continue to sustain their 15 %-plus market share across some of the markets, both in terms of value and volume. The Company is continuing to focus on
Glenmark Pharmaceuticals Limited
May 27, 2024

Page 5 of 15

sustaining the increasing contribution from the branded markets in Europe . It is awaiting approval of four respiratory products

which were filed in the 4th Quarter of FY '23 and we are also planning to launch WINLEVI which we licensed in this year in some markets of Europe starting FY '26.

Moving on to the ROW region, for the 4th Quarter of FY '24, revenue from the ROW region was Rs.7,528 million as against Rs.6,864 million for the corresponding quarter last year, recording a YoY growth of almost 10%.

As per the IQVIA data , Glenmark Russia business continues to perform well both in terms of Q4 as well as MAT March Data .

In terms of our key therapeutic areas, Glenmark continues to record strong growth and we are ranked 9th in the Dermatology market of Russia and in the Respiratory Expectorants market, we have grown in line with the overall market and continue to be ranked second as per the IQVIA MAT March Data .

RYALTRIS continues to gain market share in the allergic rhinitis market in Russia.

Latin America witnessed strong growth in Q4. Respiratory portfolio doing well . Glenmark Brazil achieved high single -digit growth in the covered market and the Company maintained its rank amongst the top ten companies in the covered market of the Chronic Respiratory Segment .

Glenmark launched the First Generic Salmeterol + Fluticasone MDI in the Brazilian market in Q4 FY '24.

And across the other big market, Mexico secondary sales growth continued to be strong.

RYALTRIS has been approved in Mexico and will be launched soon.

In Middle East and Africa region, Company achieved secondary sales growth in some of the key markets like Kenya , South Africa . RYALTRIS continues to be the leading nasal spray in the allergic rhinitis market for South Africa , and the product was launched in markets like Kenya and Saudi Arabia in FY'24. It is also expected to be launched in other key Middle Eastern markets such as the UAE in the forthcoming quarters.

The Asia region recorded slightly subdued growth in terms of secondary sales across its key markets due to some macroeconomic challenges in some countries. Top contributing brands across the key therapeutic areas have continued to do well and Glenmark has received some good approvals in the region, mainly in the dermatology, respiratory and oncology segment and RYALTRIS again continues to do well across the Asian region.

Glenmark Pharmaceuticals Limited

May 27, 2024

Page 6 of 15

In terms of our endeavor to create global brands starting with RYALTRIS , as of March 2024, marketing applications for RYALTRIS have been submitted in more than 80 markets. Product has been commercialized in 34 markets.

Glenmark 's commercial partner in the US, Hikma recorded substantial increase in the last quarter performance on a QoQ basis. This is backed by strong demand and increasing coverage across major pharmacy chains.

Menarini, Glenmark 's partner in the EU witnessed steady increase in market share across markets,

Glenmark 's partner in Mainland China, Grand Pharma has received acceptance of the NDA in February 2024 . The Company expects approval to be received in . Sometime in FY'26. And in the MDA , we have provided the market share across the top 15 -markets in terms of IQVIA December 2023 Data.

Moving on to Envafolimab , in Jan 2024, Glenmark announced the signing of the license agreement with Jiangsu Alphab Biopharmaceuticals and 3D Medicines , Beijing for Envafolimab for India and ROW markets. Envafolimab under the brand name ENWEIDA has been approved in China by the Chinese NMPA in November 2021, as the global -first subcutaneous injection PD -L1 inhibitor for the treatment of adult patients with previously treated MSI-H or Deficient MMR advanced solid tumors . 30,000 patients have already benefited from

this innovative treatment in China, where it has officially been included in the list of breakthrough medicines. Envafohimab is also being currently developed in the USA by Traccon Pharma in a pivotal trial in soft tissue sarcoma subtypes, including some specific subtypes, and

Glenmark plans to file Envafohimab in more than 30 markets in FY '25. And the first market launch is expected in FY'26.

Lastly, WINLEVI in Q2 of FY '24 Glenmark and Cosmo Pharmaceuticals announced the signing of signing of distribution and license agreements for WINLEVI, which is Clascoterone cream 1% in 15 European markets as well as the UK and South Africa. Glenmark plans to launch WINLEVI in its licensed markets starting FY'26.

Glenmark Life Sciences in September 2023, Glenmark had announced that it had entered into a definitive agreement with Nirma Limited to diversify 75% stake in its subsidiary Glenmark Life Sciences. Subject to closing adjustments, the consideration was Rs.56,515 million. In March 2024, the Company completed the closing formalities of the divestment and Glenmark continues to now own 7.84% in GLS after the divestment.

Ichnos Glenmark Innovation, the Company had recently announced the launch of their alliance with its subsidiary, Ichnos Sciences, called Ichnos Glenmark Innovation or IGI to accelerate new drug discovery in cancer. This combined Glenmark's R&D proficiency in small molecules with Glenmark Pharmaceuticals Limited

May 27, 2024

Page 7 of 15

those of Ichnos in novel biologics to continue to develop cutting edge therapy solutions for hematological malignancies and solid tumors.

Going forward, all of Glenmark's group's investments on innovative assets will be channelized through IGI. Idea is to in autoimmune acids that have been outlicensed to leading companies.

And apart from that, we have a robust pipeline of three innovative oncology molecules, targeting multiple myeloma and acute myeloid leukemia and solid tumors. These are all undergoing clinical trials. We have some further updates on the IGI pipeline on the website.

In terms of our key objectives for FY'25, consolidated revenue target is Rs.1,35,000 to 1,40,000 million. R&D investment for FY'25 is targeted to be around 7-7.25% of the total revenue.

EBITDA margin target is close to 19% for full year FY'25.

Consolidated capital investment would be Rs.7,000 million for FY'25 and we are targeting double-digit PAT margin for the full year FY'25.

Some notes to the results before we open the Q&A. Other income primarily includes the mark-to-market value of 7.84% stake in GLS. Exceptional item in the consolidated and the full year result is a loss of Rs.446.78 crores and a loss of Rs.900.95 crores on account of a few items which are listed in the P&L, R&D expenditure in Q4 FY '24 was around 265 crores. Consolidated total asset addition in the quarter was Rs.280 crores, of which tangible was around 159 crores and intangible asset addition was about 121 crores. Gross debt for the period ended March 31st, 2024 was at Rs.990.6 crores and net cash for the period ended March 31st, 2024 was at Rs.667.7 crores. In terms of our working capital, at the end of March '24, inventory was at Rs.2,513 crores. Receivables was at Rs.1,858 crores and payables was at Rs.2,535 crores.

We have the management of Glenmark pharmaceuticals on the call today, Mr. Glenn Saldanha – Chairman and Managing Director. Mr. V. S. Mani – Executive Director and Global Chief Financial Officer, and Mr. Ashish Mukherjee – Group Vice President and Head of Strategy.

The Management will be presenting its long-term vision and outlook during the upcoming Investor Day. So, today's call will be more focused on the Q4 Results.

With that, we can open the floor for Q&A.

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: So, my first question would be on the exceptional items that you have. So, firstly on this write-off that we had for Rs.2,180 crores, if you can give some color what is this

is related to?

V. S. Mani: So, you're talking about this write-off that we have given in our notes for the US, right?

Glenmark Pharmaceuticals Limited

May 27, 2024

Page 8 of 15

Saion Mukherjee: Yes.

V. S. Mani: So, one was the impairment of assets in Monroe and the balance was basically the working capital rationalization that we did in terms of some provisioning for rebates, etc., and also inventory write-down.

Saion Mukherjee: So, this is mainly working capital and -

V. S. Mani: No, it's mainly impairment of assets in Monroe. As you knew that we had three lines there, right;

we had the nebulizer, we had the oral solids and lastly, we had the injectable. So, now we decided we are working only on the injectables as we have given also in the note and the other two lines we wrote down. That is the major one or more than 50% of that, the balance is basically on inventory write-down and some rationalization of provisioning, etc.,

Saion Mukherjee: But sir, this number is \$263 million. If I recollect the total CAPEX that Monroe was at a lower number, right, this appears much higher.

V. S. Mani: So, about almost 127 million is basically the Monroe part of it what assets that we wrote off, the balance about 130 million is basically inventory and provisioning both of them put together under bids.

Saion Mukherjee: And sir, I also notice that the receivable number has come down significantly by almost 1,800 crores. So, is that part of this write-off and then we should see this number higher going in the next quarter?

V. S. Mani: So, as you know, in the balance sheet, there is a reduction of almost 1,800 crores. So, there is a cash flow impact also, almost about 970 crores. So, basically this is on account of two reasons, Saion. One is obviously as you know third quarter also we did some work on the India piece which gave us some benefit. So, that would be closer to 600-plus crores. Obviously, there are two more reasons, like in this quarter there was not so much growth, but going forward we expected to be about 3,400 to 3,500 per quarter sales. So, automatically debtors would go up and therefore you would see it stabilized by about 10-12 days more, it could stabilize by about 70-72 days in the medium-term.

Saion Mukherjee: The other one is intangible, which is \$133 million. Again, if you can talk about what led to this intangible number, write-off, what is the -?

V. S. Mani: Just to give a little color, as we went about this GLS transaction, we decided to have a good look at some of our businesses across especially the key ones. So one, I just spoke to you earlier about the US piece. The second was obviously intangible that we have. So, over the years we have been in -licensing products, etc., So, obviously we felt some of those which probably are not looking that good. So, we decided that will impair them. So, those are the reasons. We used to
Glenmark Pharmaceuticals Limited
May 27, 2024

Page 9 of 15

have a book almost of 2,000 plus crores of intangibles. We reduced by about 133 million. These are all non-cash write-off.

Saion Mukherjee: This gross margins is very high in the 4th Quarter, so material cost to sales I see is around 32%-odd. What's the steady sustainable number we should see on a gross margin going forward?

V. S. Mani: On going forward, it should be around by these levels give and take plus/minus 1%, Saion, because obviously this quarter we had the benefit of India being a little higher. But in the coming year also, if I look at it with RYALTRIS is expected to sort of grow substantially or almost double up from where we are, it should automatically help us to do better.

Saion Mukherjee: So, there is no one-off in this number?

V. S. Mani: See, mix also keeps changing, no, sometimes the sales mix also changes, but on a broad basis, we will be very close to these numbers,

as I said, give and take plus/minus 1%.

Moderator: The next question is from the line of Gaurang Sakare from HSBC. Please go ahead.

Gaurang Sakare: I had a couple of questions. Firstly is on Monroe. What is the status update from US FDA? When can we expect reinspection and how is our remediation going?

Glenn Saldanha: So, on Monroe, we are pretty much done with all the remediation, right, and we're requesting FDA for a meeting and a possible inspection. So, we are hoping that in the first quarter they will come in the next couple of months I am guessing. So, all of these we are now taking batches of product and some exhibit batches for the rest of the year.

Gaurang Sakare: And second one, actually, at the start I missed the comment on this other income being higher. So, can you please repeat what you said?

V. S. Mani: So, we still continue to have a 7.84% stake in Glenmark Life Sciences. The mark-to-market of that was almost 750 crores.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Sir, I just want to reconcile this net cash number. So, H1 you are on 3,300 crores and today you are on 700 crores net cash. From the cash flow statement, it seems that you've got around 5,450 crores and then there was some tax of 900 crores. But your working capital also was 1,600-odd crores and incremented CAPEX is 500 crores. So, I am just wondering, I would have thought maybe the net cash now would have been slightly higher. If you? Can just run us through how you arrive with this number?

V. S. Mani: Sure. I will try to be as helpful as possible. So, obviously we got about 5,450 net of the transaction cost. The tax is about 17.5%. So, we get about 4,500 crores, you're right. At the end
Glenmark Pharmaceuticals Limited
May 27, 2024

of December, we had about 3,960 plus as you can see now our cash has also increased by 500 crores. That kind of balances each other. On the other side, if you look at my business, we had an EBITDA of almost 1,195 crores and we had a cash interest of about 517 crores. The cash tax there is less because most of the taxes this year were for this. So, if you take 80,90 crores tax also, still we get about 580 crores or so. But if you take the other side, there is assets acquired, there is dividend, there are some other exceptional items in terms of the litigation and remediation cost what you have there. But the big piece is the litigation that we paid on the Zetia piece, almost 498 crores. I think that could probably be the difference that you're looking for.

Kunal Randeria: But is my understanding wrong that you're working to also improve around 1,500 crores, sir?

V. S. Mani: As you can see even in my cash flow statement, improved by about a little less than 800 crores, 796 crores.

Kunal Randeria: I am just looking at H1 numbers your receivables and inventories was around 800-odd crores higher than what you have given in the presentation now. So, now your inventory is around 1,200 crores, it was around 3,300 crores if I am not wrong.

V. S. Mani: No, I will explain to you that in the receivable piece, as we explained in the previous question, there is a write-down of almost Rs.837 crore s. So, that's the piece. There's some rebate provisioning across most geographies, especially the US. So, that could be a difference.

Kunal Randeria: Secondly, on generic Flovent so since you have filed it, I am just wondering when do we expect approval and what is future in the year s because I believe GSK had discontinued the product and now there is only AG in the market. So, your thoughts on this product?

Glenn Saldanha: We believe that we are the first filer on this product. I mean it's launch on approval basically, right? And since we filed now, so sometime next year, we are hoping we can launch the prod

uct

in FY' 26, right. It's a big product, about \$400-plus million in sales, just this one SKU as per IQVIA and we're working on the subsequent SKUs, right, which is the 110 and 220 crores. So, I think collectively it's a \$1.6 billion drug with just the AG out there. GSK has launched an AG, right?

Kunal Randeria: Lastly, is on RYALTRIS. See, in a lot of markets you have reached double-digit share. So, I am wondering now from FY '24 to let's say FY'26, which are the markets where you expect the growth from?

Glenn Saldanha: We have just started the launch phase of RYALTRIS. So, RYALTRIS we think I mean our peak sales now will look more like \$200 million to \$300 million over the next three to five years. And if you look at the markets, we have just started launching as Utkarsh mentioned, Mexico, we just got approvals, so we're launching. There are some very big markets where we still don't have a presence, right. Mexico is one. Brazil, we are hoping to get approval either this year or next

Glenmark Pharmaceuticals Limited
May 27, 2024

year. So, FY'25 or '26, then of course China, which will be a big launch for us, right, starting FY'26. So, there are a host of markets where we still don't have the product itself and among the markets where we have the product, right, the uptick is rampant, right? So, first three years you will see very substantial growth, right, almost 80%, 100%, right, till the brand gets established. Post three years it will start slowing down, right? So, I mean we are in that phase right now where sales are doubling basically. So, this year we anticipate RYALTRIS will be over \$80 million in sales. We are in that launch phase right now. Also, we are expecting better performance from the US market from our partners, Hikma this year and next year. That will further help the brand grow substantially.

Ashish Mukkirwar: Kunal, just to add, even if you take the top markets, right, I mean we have about 15 %-plus in only three markets as of now. So, even in the markets where we have launched, there is still significant scope for us to expand and obviously this is also a value or a factor of when the product has been launched. As Glenn mentioned, some of the launches have happened more recently. So, the market share uptick will be visible in the next few quarters.

Kunal Randeria: And you still expect the emerging markets to be a key growth driver, right?

Glenn Saldanha: I think we're seeing growth across markets, not just emerging markets. Europe is doing exceedingly well, right, for RYALTRIS. The US, we still have some ground to cover, right, as I mentioned. But Europe, emerging markets, it's a big product.

Kunal Randeria: This 700 crores of CAPEX for next year, if you can just outline your plans on how it will be spent?

V. S. Mani: So, basically this 700 crore s CAPEX, obviously till last year we had GLS also in the CAPEX, going forward, it will not be there but on a on and off we obviously required to invest in additional lines as you know business is growing well also, and we see some lines for that. And also we are looking at sometimes in-licensing some good products. While we may not do a big bang M&A, but we will do definitely in-licensed products as and we require. You already seen us in the last year. So, I think we will add to it.

Kunal Randeria: Sorry, just to push you on this, because I would have believed that with the US not doing very well at this point in time, your capacity might not be optimum fully utilized. So, just wondering why you would need so much CAPEX?

Glenn Saldanha: So, I think, I mean, we're seeing substantial growth across the business, right? I mean, every year we are adding a substantial amount, right? And FY '26 will be a big year for the Company. That's what we believe, right, in terms of overall top line growth. So, in order to plan for FY

'26,

right, we are putting up the CAPEX this year, right? So, we're adding additional lines across our portfolios, for example, RYALTRIS and multiple other areas. Now with generic Flovent band
Glenmark Pharmaceuticals Limited

May 27, 2024

Page 12 of 15

coming in, so I think there's a significant amount of front ending CAPEX required this year to get to the FY '26 performance, right?

Moderator: The next question is from the line of GVK Choudhary from PD Investments. Please go ahead.

GVK Choudhary: My question is about the legal settlements in US. What is the further payment required for the two settlements that you have already entered and what would be the liability on that account?

V. S. Mani: Obviously, for these two, we have to pay about 30 million for the criminal one and 25 million for the civil one and in the next coming year we have to pay about 300 crores. Some payments are still due of the Zetia that was there. Most of it was paid last year but some are still there. Plus, as you know, we pay these settlements over the five years. So, the year after that it will be lower.

GVK Choudhary: So, next year, FY'25, the liability is to be about 700 crores?

V. S. Mani: Liabilities will not be there, sir. Liabilities are all already taken. I am saying the payouts in terms of cash.

GVK Choudhary: I am asking you whether it has been provisioned?

V. S. Mani: It is already provisioned, sir, like Zetia and there will be no impact on the P&L.

Ashish Mukkirwar: The cash outflow will be about 300 crores in FY '25.

GVK Choudhary: Monroe, is there any possibility of you being able to use the facility at all in future, other than injectables?

Glenn Saldanha: No, the other two lines we have already embed. So, it's basically the injectables that we will commercialize. We are hoping to start this year, right, commercialization of the products.

GVK Choudhary: Is there any possibility of you being able to dispose those two lines to someone else?

V. S. Mani: It's basically we're impairing it. So, we can't use it much. So, that will be more of scrap.

Moderator: The next question is from the line of Aditya Thakur from 5G Capital. Please go ahead.

Aditya Thakur: As you told FY'26 will be a better year for Glenmark Pharmaceuticals. You have already given guidance for FY'25. If you could do the same for FY'26 like an y ballpark guidance for in terms of sales and profitability?

Glenn Saldanha: I think it's too early to guide on FY '26. I think at our Investor Day, which is coming up later this week, we will provide a much more longer-term horizon on the business. So, that should give
Glenmark Pharmaceuticals Limited

May 27, 2024

Page 13 of 15

you a clear idea of where the business is going. At this point, specifically FY'26, we wouldn't guide, it's too early.

Moderator: The next question is on the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: So, I just wanted to ask that around two years ago, we had kind of guided that Ichnos R&D and cash spend would be nil. So, on that basis and that backdrop, could you please tell us for FY'25

Ichnos cash R&D spend will be from Glenmark?

Glenn Saldanha: So, the IGL spend in '25 will be about 50 million. We have brought it down substantially, right, over the years, and now this year will be about 50 million and I think going forward, we will make sure it stays at 50 million or comes even further below that.

Moderator: The next question is on the line of Vikas Sharda from NTA Asset Management. Please go ahead.

Vikas Sharda: Two questions. With receivables is down sharply this quarter, could you explain I mean is it because of the provisions for rebates that you have made or how should one look at it? And also what is the nature of this provision that we made, I mean what was the need of making this provision and how should one look at that

?

V. S. Mani: I explained earlier but I will do again. So, obviously the reduction in the receivable is on account of two reasons. One is obviously there was a better cash flow as we explained earlier. In Q3, we had sort of brought down our inventory in the channel. So, that added to reducing the receivable by about 600-odd crores. Besides the growth in this quarter was a little less. Therefore, obviously the cash flow was a little better on that count also. Now going forward, the way to look at it is

that if we are going to have a sale of almost 3,500 crores, if we add 500 crores more, obviously debtors will go up ; so that should go up by 10 -12 days. And your second question on the provisioning, obviously , you have to provision for various deductions, including rebates, etc. , So, as we said earlier, after we did the GLS, we looked at across all the businesses and we saw that we could sort of looked at the provisioning and therefore we saw that it could be increased. So, that's the reason why we did that and that's the reason why it looks lower.

Vikas Sharda: So, this like 1,100 plus crores of reduction in the debtors, so 600 crores is because of India and what would be the remaining 500 crores for?

V . S. Mani: No, I will put it this way. Almost 900 plus crores is cash flow , about 800 crores is basically the provisioning increased. You saw the debtors have come down by almost 1,800 crores, right? I am giving you a breakup of that.

Ashish Mukkirwar: Year-on-year basically.

Moderator: The next question is on the line of Saion Mukherjee from Nomura. Please go ahead.

Glenmark Pharmaceuticals Limited
May 27, 2024

Page 14 of 15

Saion Mukherjee: Just one . This 300 -odd crores of exceptional that you have, which includes the remediation cost and UG settlement , can you just give a broad break up for this quarter of this 300 -odd crores ?

V . S. Mani: In this quarter, there is not much remediation . Till last quarter altogether for the full year, we had about 98 crores , is about 30 -plus crores in US and almost 70 crores in India. And as far as the settlement is concerned, that's a separate line item, almost 60 million of that. Besides that, we obviously had to spend something on extra on the litigation cost that came to less than 200 crores. We have to pay for all the legal bills.

Saion Mukherjee: So, I was just looking at this 300 crores for the quarter. So, you're saying there is not much remediation there in that 300 crores .

V . S. Mani: No, there's not much remediation in this quarter . It is more of the bills for the legal settlement , mainly that's one of the key reasons.

Saion Mukherjee: The legal settlement is \$30 million, right, sir?

V . S. Mani: Yes, 25 million in this quarter, civil.

Moderator: The next question is on the line of Vivek Tulsiyan from Newmark Capital. Please go ahead.

Vivek Tulsiyan: My question is to Mani sir. What I was asking was, if you look at the exceptional item, there's a loss of about 447 crores. Could you take us through the bridge from the income that we would have made from sale of GLS to how do we get to 447 crores of loss?

V . S. Mani: So, the sale of GLS was about 5,500 crores. Obviously , there was the GLS reserves which are there, this is clear accounting , so about 2,200 crores. And apart from that, as we have provisioned for DoJ the civil part of it this time and then there were exceptional legal fees and remediation cost... remediation is not much in this quarter, about 60 crores only and then impairment of assets, which I already explained to you in Monroe about 1,052 crores , we also spoke of working capital rationalization , we also said about Europe intangible impairment of 1,100 crores . Broadly , these are the breakups to reach to 445 crores.

Vivek Tulsiyan: So, on the standalone, there is an exceptional gain of 5,000, but on the consol the number might be lower

, is that the way to -?

V . S. Mani: Exactly because most of the write -downs are outside.

Vivek Tulsiyan: The second question is on R&D. So, our R&D target for FY '25 is about 7%, 7.5% on our guidance of 13,500 crores of revenue. If I do the math, that's about 1,000 -odd crores, which is not very different from the amount we spent in FY'24. So, is that the steady state R &D going forward ?

Glenmark Pharmaceuticals Limited
May 27, 2024

Page 15 of 15

Glenn Saldanha: I mean clearly the generic R&D spend is going up and IG I is coming down, right? So, you're right . Going forward, we will have a similar run rate on R&D . As a percent , you should take the R&D spend going forward also around 7 %-odd in that ballpark in subsequent years.

Vivek Tulsiyan: And just one final question is on Monroe. So, like you mentioned, we have taken a little bit of impairment of our assets. So, what is the remaining value of the assets at Monroe now ?

V . S. Mani: Yes, it's about \$150 million still, that is the injectables and the utilities.

Moderator: The next question is from the line of Utsav Jaipuria from DAM Capital. Please go ahead.

Utsav Jaipuria : Just a couple of questions from my side. Firstly , on this working capital bit, you've said that receivables are expected to increase by 10-12 days. So, can you give like a similar guidance for the inventory and payables?

V . S. Mani: Inventory means marginally go up, but to that extent you will make up with your creditors, okay. So, I am just saying overall, if I take the net working capital, it should be about 70 to 75 days.

Utsav Jaipuria: And secondly is on the tax rate . So, from next year onwards, what kind of ETR and also cash

taxes we can expect ?

V . S. Mani: So, the E TR would be roughly around 25 % to 27% and the cash tax would be very close to that only.

Moderator: Ladies and gentlemen, that was the last question. I now ha nd the conference over the Mr. U tkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Before we end the call, we will just read out the disclaimers. The discussion during this call, including information , statements and analysis describing the Company or its affiliates, objectives, projections and estimates are forward -looking statements. These are based on current expectations, forecasts and assumptions, and are subject to risk s and uncertainties, which could cause the actual outcome to differ . So, the discussion should not be regarded by recipients as a substitute for their own judgements and the Company undertakes no obligation to update or revise any forward -looking statements, whether as a result of any new information , future events or otherwise. With that , we can close the call. Thank you , everyone for j oining us today.

Moderator: Thank you , members of the management team . Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your line s.

Call: Jun 2024

Mr. Utkarsh: Good evening, everyone, thank you. Thank you for joining us today here in-person and quite a few of you have joined us virtually, as well. I am Utkarsh. I lead the investor relations at Glenmark Pharmaceuticals Limited. And on behalf of the management, I welcome you all to the 2024 Investor Day. It gives me great pleasure to meeting you again after a couple of years since we last did our last Investor Day in November '22. I think, as we mentioned in our recent interactions, the last year has been a transitional year for the company, and today the management is here to provide a more detailed outlook on the future and some key priorities for the organization as we move forward. There will be an opportunity to interact with the management team during the Q&A session, which is followed following the completion of the presentation. So participants who are joining us virtually, please ask your questions through the question box or the chat box. A quick and kind request to everybody present here in the room, please keep your cell phones and all other devices on silent mode so that it does not disturb the presenters. Before we start, just a reminder that the document and discussion today will comprise of certain forward looking statements which will concern the company's plans, objectives, strategies. These are obviously based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, and actual outcomes may vary. So the document should not be regarded as a substitute for the receiver's judgment. Just a disclaimer before we start. In terms of our agenda today, so we have from our management team, Glenn Saldanha, Chairman and Managing Director. Glenn will cover Glenmark's journey up until today and the strategic outlook for the future for the organization. Christoph Stoller, he heads our Europe and Emerging Markets Business. He will cover all 4 key geographic regions of Glenmark in more detail including our current presence and our future growth drivers. Cyril Kontos is president and CEO of Ichnos Glenmark Innovation or IGI. He'll walk us through our pipeline on the innovative assets and our road map for IGI. And V. S. Mani is Executive Director and Global CFO. He'll take us through the various measures the company has taken to strengthen, the balance sheet, to strengthen the organization and some long term targets for the company. As mentioned before, post the presentation we'll have a Q & A session. So the 4 speakers will be joined by Ashish Mukerwar, Group Vice President and Head of Corporate Strategy for the Q & A session, as well. With this, I would like to invite Glenn Saldana, Chairman and Managing Director on the stage to start the presentation.

Mr. Glenn: Good evening, friends, and welcome to the Glenmark Investor Day presentation. So I want to start by saying, you know, our vision for Glenmark has always been to be a leading, research-based global pharmaceutical organization. If you look at where we are today, we're about one-and-a-half billion dollars in revenues. We have 10 manufacturing facilities, about 60% of our contribution comes from our branded markets. 80 countries, so very broad global presence, footprint in many countries, 4 research facilities, and we are focused on 3 therapeutic areas globally. So we work in dermatology, respiratory, and oncology. In India, we also have cardiovascular, which is a big segment, and diabetes, but our global presence is in these 3 therapeutic areas. We are unique in that. We've we have over 300 million dollars that we've earned in out-licensing income through our NMEs. And today we have 4 innovative clinical assets in development, mainly under IGI, which Cyril will cover. About 15,000 employees worldwide. So that's the footprint, today. If you look at Glenmark, you know. So I've been running Glenmark now 25 years, right, and the last 5 -

6 years was super challenging for us, because we got hit with 4 or 5 different areas, right. The first was, you know, the slowdown in the US generics business. Clearly, the US generics over the last 5-6 years, was very challenging, and continues to remain a challenging environment. Glenmark's approach to working around that was to enhance our branded capabilities and and strengthen our branded business, which we did pretty successfully. We launched RYALTRIS, which is our first global branded product, which today is a very strong brand for Glenmark and growing from strength-to-strength every year. And we initiated some in-licensing activities of branded products to move up the value chain. The second area which adversely impacted us over the last 5-6 years was the whole US FDA, adverse audits that we faced in some of our sites, right. Today, we've pretty much done with all the remediation work in both Monroe and Goa. And we're waiting for the FDA to come and reinspect. Also, we've, you know, over the last couple of years, we've totally overhauled our entire quality organizations, invested heavily in building systems through the strengthen management oversight. So that's a big area which we've addressed. And I think going forward we should come out stronger. The 3rd area which hit us pretty badly was, you know, we were spending a lot of money on innovation. Clearly, we are the poster child of innovation in India, you know, with over 300 million dollars of revenues that we've earned over the years, you know, throughout licensing our own intellectual property. But I think, you know, at one point we were spending almost up to a 120 million dollars in innovation which was way beyond the size of the company. So what we've done today is we've scaled it back. Now our innovative spend this year is down to about 50 million dollars right. So we've pruned some of our programs, been much more judicious, and we've done some great partnership deals. So we have 2 partnership deals which Cyril will talk about. But that's the, that's the other area we've addressed. Then on the litigation side, as you know, in the last 5 years, we faced 2 or 3 big litigations. Primarily, Zetia was a big one - the DOJ litigations. So on that front we've actually done a good job in settling many of these, and I think going forward we have very little exposure on the

litigation side. And then of course the last point is the high leverage that we were carrying in a very high interest rate environment as an organization. I mean, today, you know, we've substantially delivered the balance sheet and we are net cash positive as of March. So these are some of the challenges we faced as an organization if you just look back over the last 5-6 years. And today, we've overcome, I would say, all these 5-6 challenges as a firm, right. And we are well poised to propel the firm forward from here on. Glenmark's goal as an organization is to continuously move up the value chain, right. And we've been working on this for years for decades now, right, as an organization. And if you look at the 3 therapeutic areas that we work in, so dermatology, respiratory, and oncology on the branded side, we made substantial progress in these three areas. So, in dermatology, as most of you are aware, we are among the leaders in India. We recently in-licensed Pfizer's product abrocitinib, and we are commercializing that in the derm space. We also did a great deal in Europe with in-licensing our product called Winlevy. Sun Pharma has the US rights. We have the European rights. So Europe, UK, South Africa, these are some of the areas. All this is helping us strengthen our derm franchise, not just in India, but, in most parts of the world, right. So given the significant strengths that we have in dermatology. So the goal, of course, is to continue to build on these therapeutic areas. The

second area is respiratory.

In the respiratory space, you know, we are ranked now number 2 in India. In the respiratory space, we're also number 2 in the Russian market with Ascoril as being among the leaders there. And then, of course, with the launch of RYALTRIS which has been transformational, right, we filed this in over 80 countries...we have 34 markets globally where we have a presence. To add to that, you know, which we recently filed, you know, we have almost 4 products in Europe commercially on the branded respiratory side and we continue to expand in the respiratory area, right, as a company, globally. And then the last segment is oncology. In oncology, you know, if you see most of our business was mainly in generic oncology, cytotoxic drugs, you know, with the launch of Akynzeo in India. That was our first branded product in India. And now we've gone on to in-license a few more products. So we in-licensed a product called envafoleimab, which is a PD L1. The unique thing about envafoleimab is it's a subcutaneous injection. The only PD 1, PD L1 in that space with a subQ injection. Almost a 4 billion dollar market in India, and emerging markets. So a very large market and the leader of in that space, immuno oncology particularly is, which is a very large product, among the largest products in the industry. So envafoleimab will be a big competitive advantage for us in India and emerging markets. We also did a deal with Beijing recently. Beijing is among the leading Chinese players with strong presence in most parts of the world, including US and Europe, where we, in-license 2 of their products for the Indian market, where we have the exclusive rights. And then, of course, with IGI, right, the strength that we've built in IGI, the capabilities, the technology, the BEAT platform, you know, gives us a very strong footprint in the oncology space. And IGI, you know, has 2 very exciting assets which Cyril will talk about, right. Which we think eventually can get commercialized as we go forward. So these are the 3 areas where we're very focused on continuing our efforts, right, and building as we go forward. The 4th pillar for us is the generic space. As you know, the US generics market has been extremely challenging for everyone. And we believe will continue to remain challenging. Here our strategy as an organization is basically to focus on leveraging our respiratory capabilities that we've built over decades, you know, across the world. And, you know, we launch we believe we launch our first two nasal sprays this year in the US market. And, of course, we filed generic flovent, right, the 44 MCG, and we have the other strengths we are working on, which, we believe we have a very exclusive position on that particular product. So respiratory is a big area. And then, of course, injectables, you know, we have 5 or 6 injectables on the market we're launching. Once we are hoping Monroe will get back on stream and we will start commercializing some of the other injectables. So that's the other big lever for growth for the US. And then we have some complex generics and some FTFs which have been settled and which are slated for launch as we go forward. So these are the different levers that we have as an organization, you know, by which we are moving up the value chain and continuing to add value if I look at, you know, the global brand so far. Right, so we have 3 brands that we classify as global brands, right, the first is, of course, RYALTRIS. So RYALTRIS, we think, you know, it's about 40-50 million dollars in last year. We think that this year could be 80 plus million dollars in revenues. And this will go on to become a major brand for us, right, over the next 2-3 years. So it's, it's scaling up pretty nicely as we go forward. envafoleimab, is the oncology product we just talked about, so we start la

unching in FY 26. And Winlevy is

the product we, clascoterone, which we are launching in Europe, South Africa and the UK, right. We think total estimated sales for our branded portfolio alone will be 300-400 million dollars over the next 5 years, if not more, right. That's a key platform that that we are, expanding as we go forward. So just to show you the transition, right, FY19 - 55% of our business was branded. FY 24 - 60. We think it'll go up to 70-75 percent in by FY 29, and this is despite having some great launches on the generic side and despite the respiratory build out the injectable build out on the generic side which should help, starting this year propel the business forward. So the branded presence will go up significantly. So this is, what I call as Glenmark 2.0, right, I mean, if you see historically as a company, we've, you know, we've always been a high growth company, right, and that's what's got us to the one-and-a-half billion dollars as an organization. However, you know, we had a lower focus on return on capital

employed and our overall margins. And and, of course, we built up a lot of leverage, right, in the Glenmark 2.0 era, right, the way we see the company going forward, right, basically there are 4 pillars for us, right, as an organization, going forward. So the first is focus on revenue growth. We will continue to be a high growth company, right, and you will see some of the projections, right, you will continue to see strong growth from Glenmark. However, you know, we will continue to drive capital allocation basis ROCE, right, so you know, we are very focused on return on capital employed for every investment that we'll make going forward. The second area for us which is important is to further improve our operating efficiencies and to drive continuous margin improvements, right, you know, our move into the branded space, right, will give us a big lever in terms of margin improvements as you go forward. Clearly, RYALTRIS will be a significant contributor to the margins as we go forward. But even with even despite RYALTRIS there are certain geographies like Latin America and Europe till last year, right, which were under the company average. Those now will continue to accelerate. So, you will see substantial improvement in the overall GCs and margins as you go forward, right, over the next 3 to 5 years. The third point, is important. It's a big change and shift in mindset at Glenmark. So stay debt averse, right, and we will make sure that whatever we will remain free cash positive net of post any Capex dividend and M&A that we do, right, we will continue to stay free cash positive from here on. So we will not leverage up again going forward. And the 4th area is, you know, drive shareholder wealth creation, right, by increasing our payout ratios now, you know, historically our payout ratios have been very low. But our goal is from FY 26, right, we will increase our payout ratios, why we are dividend and or share buybacks, right, so these are the 4 areas we've said we're gonna concentrate on as a company going forward. And you'll see through the rest of the presentation that, you know, the growth trajectory is significant and, you know, the runway is pretty significant as a company as we go forward. So with this, I'd invite Christoph Stoller who Heads Europe and Emerging Markets to present our entire global formulations business, for all the geographies. Christoph.

Mr. Christoph: Ladies and gentlemen, good afternoon. A very warm welcome from my side, as well. It's a great pleasure to be with you here this afternoon. Glenmark has a true global commercial footprint. We have a diversified business from a portfolio point of view, generics, OTC, novel branded molecules, and from a geographical point of view. Therefore, we have a very robust and derisked business. As laid out

by our chairman earlier on, Glenmark's core therapeutic areas are respiratory, dermatology, and oncology. In our Indian market, we focus, in addition, on cardiac and diabetes. In our more tender driven markets, such as some European countries or the US, for instance, we are more therapeutic area agnostic and focus more on dosage forms such as oral solids, injectables, and devices. In India, our largest market, we have consistently and continuously outgrown competition in recent years. Glenmark is one of the fastest growing companies in India, which represents 31% of our global net revenues. One of our key levers is there that we have been able to build very strong brands. Emerging markets and Europe are growth engines for Glenmark as well. In the last 2 years, we have been able to grow our business in Europe by 50%. In the US, as mentioned earlier by our chairman, we have seen some significant challenges in recent years. We are convinced that we have hit the bottom and that things will only be better going forward. As mentioned earlier on, Glenmark is one of the fastest growing companies in the Indian pharmaceutical market. We have continuously and sustainably been able to outgrow competition. This is being reflected in our ranking in the various therapeutic areas. We are number 2 in dermatology. We have improved our ranking to being number 2 in respiratory and number 3 in cardiac. Glenmark is well known for creating mega brands. We have now brands, 9 brands, in India's pharmaceutical market in the top 300. 9 brands have a turnover of more than 1 billion rupees and 15, a turnover above 500 billion rupees. Launch excellence is one of our key strategic levers and growth drivers. Roughly, 4 to 5 percent of our growth is coming from new product launches. For instance, Glenmark has been the first company in India to introduce Lirafit. Lirafit is indicated for type 2 diabetes. The launch is a success. We see, months on months, higher sales. Another example of being first is Zeta DM, a triple dark fixed dose combination in the area of diabetes 2 as well. In line with our global strategy to move up the value chain, we focus as well to in license novel therapies for the benefit of patients in India. Last week, we announced in licensing of Tevimbra and Brukinsa in the field of oncology from Beijing. Another example is in license for India and the emerging markets. In addition, we keep adapting our go to market model. In our OTC, DTC franchise, we have been able to increase our sales fivefold to 3 billion rupees most recently. In line with our strategy, we will continue to grow our core areas to manage our current brands and to build new strong mega brands. Furthermore, we keep extending our geographical footprint in India. We will add 500 sales representatives in India alone in this current fiscal year. We will continue to excel in launch management and we will keep adding novel medicines, also through way of in licensing. As mentioned earlier, we're also very successful with our OTC, DTC franchise, and we will continue to focus on that area and exploring new alternate channels. Glenmark has a real global commercial footprint. We are active in many high potential emerging markets in Latin America, Asia Pacific, Russia, CIS, and Middle East and Africa. The overall market growth opportunity in these markets is huge. Please allow me to call out a few highlights across these emerging markets. Glenmark is the 2nd largest Indian pharma company in Russia. We are the number 2 expectorant market in Russia and number 9 in the dermatology market. As in India and all our emerging markets, we have

been able to build very strong brands such as Ryaltris, Ascoril, and Candibiotic. In Latin America, we have businesses in Brazil and Mexico and many more countries, but Brazil and Mexico, which are key in Latin America as they account for more than 50% of the overall Latin American phar

maceutical market. We

are amongst the top 10 respiratory, in our covered market in these countries and we have very ambitious growth plans in this year and in the years to come to strengthen our market position in these countries. In Middle East and Africa, we have both our own presence in key markets, such as being the number 3 player in Kenya and strong partnerships with distributors in other markets, as we speak, we are strengthening our positioning our position and are expanding in Saudi Arabia. Our key markets in Asia Pacific are Malaysia, Philippines and Vietnam. We are the number 1 in our covered market in dermatology and we have been able to build realtress very successfully in Asia Pacific as well. The launch of Envafoleimab, the new biological entity, will strengthen our market position further going forward. We plan to grow our business in the years to come with a CAGR, a compound annual growth rate, of 15 to 20 percent. We will use the following strategic levers to achieve these growth targets. We have a very strong foundation, our commercial infrastructure in these territories. We will use that foundation to continue to increase market shares, for instance, for one of our key brands, Ryaltris, and to launch novel molecules such as Envafoleimab successfully. In line with our strategy, to move up the value chain, this will allow us to increase profitability further. We will expand our geographical footprint selectively and we will continue to expand our product offering. As laid out when discussing our Indian market, we will as well add novel therapies to our pipeline and portfolio. And, of course, it goes without saying, in a growth company, launch excellence remains a key value driver for us. And last but not least, we will continue to build local partnerships in order to grow our business sustainably and in order to enhance our offering. Europe has been the fastest growing region of Denmark. As mentioned earlier, we have been able to outgrow competition and to grow our business in Europe by more than 50% in 2 years, while increasing profitability significantly. We have our own presence in key markets, such as the UK, Germany, Spain, Italy, and we work with key market leaders in select markets in which we are not present ourselves, such as, for instance, France, where we do, in these markets, we use the model of out licensing. Again, in line with our strategy to move up the value chain, we have been able to strengthen our non-generic business segments. We have increased the share of our branded business by 10 percentage points in 5 years to, today, a level of 30%. This share will keep going up as we add novel therapies to our pipeline and our portfolio. As we have demonstrated in the last 2 years, we have a great foundation. By adding more branded products, more novel therapies, we will be able to benefit from that infrastructure even further and this will lead to increased profitability. A key driver of our growth has been in the past and will continue to be our respiratory franchise. We will launch 4 key brands in the coming 12 to 18 months. We are very happy with the success of one of our key brands, Ryaltris, indicated for allergic rhinitis. In Czech Republic, to quote just one example, for instance, we have a market share of today 25%, and we are very happy with our market shares in Poland as well and in Slovakia, which is the most recent country in which we have launched that brand. And last but not least, we will expand our geographical footprint further. We have recently entered the Italian market and just a few months ago, we have started operations in Austria. This will also support our intention to increase profitability further, albeit changing our geographical footprint in Europe. In a nutshell, summarizing what I just mentioned, we will continue to grow our core business and to excel with launches. While respiratory remains a core therapeutic

area, we will add novel molecules, such as

Winlevy, plus catering to indication for acne, the first NCE new chemical entity launch in the history of Glenmark in Europe. Winlevy will be the cornerstone of our dermatology franchise in Europe, which will be a key growth driver for us. We have a clearly defined plan how to expand our geographical footprint in Europe, and, as just mentioned, we keep executing that plan, most recently our expansion into Austria. We have a very strong agile team in Europe which will continue to identify opportunities and to execute these opportunities. All of this put together will allow us to continue to outgrow competition and to increase profitability further, in line with our global strategy to move up the value chain. As mentioned earlier, we have seen challenges in our US business in the most recent time, which has led to a decline of our top line over the last 5 years. The key reasons being competition and price erosion, a lack of meaningful product launches, and the FDA audits. We are convinced that we have now achieved the inflection point and that the situation will improve going forward, meaning that we will return back to growth. We have a very diversified portfolio. Our top 5 products in the US account for only 25% of our revenue in that country. Glenmark has been able to maintain leadership positions in key products. In 27% of our portfolio, we are ranked number 2. Excuse me. In 27% of our portfolio, we are ranked number 1, and we are ranked number 2 in 33% of our portfolio. Our recent approvals and our pipeline, we have filed 47 products and have received approval for 51 products in the last 5 years. And we have launched 57 products. That number includes 6 in licensed products. We have worked very hard and focused to continuously and rigorously work on quality improvements. The remediation at both our Monroe and our Goa sites have completed. We have engaged to resolve the warning letters at the earliest. Last but not least, 2 days ago, Marc Kikuchi has joined Glenmark as President, North America, another milestone to strengthen our position in our US market. The key driver to be back on the growth

path in the US are our differentiated launches. We will continue to strengthen our injectable portfolio. Today, we offer 6, 7 molecules. By fiscal year 26, we will have a portfolio of 15 molecules, which includes 4, 5 coming from our Monroe site. In respiratory, we have already launched 2 nasal sprays. By adding more files, we are building a very solid respiratory portfolio with nasal sprays and MDIs. Complex generics and approved, settled first two files will be 2 other key pillars of our growth strategy. We have 3 first two file products in our pipeline. Due to confidentiality reasons, I'm not in a position to call these out. And last but not least, OTC and our institutional business will further support our growth ambition as well as our Canadian business, where we intend to continue to grow our market share. Thank you very much for your attention. And with that, I would like to ask Cyril, President and CEO of IGI, to join me on stage. Thank you.

Mr. Cyril: Ladies and gentlemen, it's a pleasure to be back and present the progress made towards the last update 18 months ago. My name is Cyril. I'm the president and chief executive officer of ICHNOS Glenmark Innovation. So we launched, IGI, in January to combine forces from ICHNOS Sciences Incorporation and, Glenmark, the innovation medicine unit. With that, we achieved a robust pipeline combining biologics. And you may remember, last time I presented the BID platform, a protein platform for building new molecules, multispecific molecules. And now we're also integrating small molecules out of the Mahape, Glenmark Research Centre. And this will enable developing drugs in both hematological malignancies and solid tumors. We are leveraging experts from different parts of the world.

Our clinical

development group is located in New York, led by Lida Pacaud. We have biologics capability, including pharmacology and protein engineering in Lausanne, Switzerland. And now have a small molecule research capabilities in Mumbai. We're also leveraging landmark footprint in India. We have both our lead asset, ISB 1442 and ISB 2001, approved by the DCGI in India, so that we can increase speed of patient recruitment and, at the same time, leverage cost efficiencies. I'm glad to report that we treated our first patient with ISB one 442 in India yesterday. Lastly, when I joined here, Ichnos Sciences was burning a lot of cash. Glenn mentioned a 120,000,000. We've been cost efficient to a point that we expect to spend \$50,000,000 in fiscal year 25, while we continue to grow the portfolio. Few words in our portfolio, made of, a diversity of immune cell engagers and now a small molecule across different type of cancer indication. I'll start with ISB 2,001. This is our award renowned, trispecific, BCMA, CD38, CD3, T zone engager that we are developing in the Relapsed/Refractory Multiple Myeloma setting. When phase 1 with this asset, it has received orphan drug designation by the FDA, and we expect to disclose proof of concept clinical data at the American Society of Hematology annual meeting later this year. ISB 1442 is an innovative drug. Again, multispecific with 2 CD38 Biparatopic binders and 1 CD47 binder, engaging myeloid cells. We're developing this asset in multiple myeloma, with plans to, initiate clinical trials in AML later on. The key differentiating factor of this asset is the fact that it engaged myeloid cells in a crowd of T cell engagers. So it's different, subset of immune cells, which could translate into a competitive advantage. Again, this drug has received orphan drug designation by the FDA. We are now embarking in small molecule coming from the Glenmark Innovation pipeline. And I'm glad to report that the CBLB inhibitor, or GRC 65327, is expected to treat its 1st patient in early 2025, with a DCGI submission scheduled later this year. This will be our first asset with the solid tumor pen solid tumor indications. You may remember last last time I came here, I reported a recent deal with Almirall Therapeutics, a Spanish pharmaceutical company, and our ISB 880 asset. I'm glad to report the progress of our alliance partner with this anti IL-1 α Rap monoclonal antibody in inflammatory disease. We also, in the meanwhile, licensed our telazolimab phase 2b asset and its follow on molecule, ISB 830x8, to AstraZeneca Therapeutics. And they have the plan to file the IND for the follow on molecule with theirYTE modified version before the end of this year. This is very important for us because those are the intellectual property revenues Glenn mentioned earlier, with, I'd say, world class, type of, out licensing deal. And lastly, I wanna leave you with our roadmap. It's a simple simplified roadmap, to highlight the key information. We formed IGI as part of our cost efficiency model. We will deliver clinical proof of concept with ISB 2,001 and or ISB 1442 this year. At the same time, we have expanded our bid platforms the protein platforms that Ichnos Science fully own. With that, in parallel, we're also expecting to divest our manufacturing plan to remain even further cost efficient. We will, on the basis of all these elements, set a partnership with, one of our lead assets, at least, in fiscal year 26. All combined, plus the recovery of the biotech market in the US, we shall expect to go to, the Nasdaq for a capital raise in fiscal year 27. Thank you for your attention. I'm now, welcoming on stage, V. S. Mani, our executive director and global chief financial for Glenmark Pharmaceutical.

Mr. Mani: Good evening, everybody. Welcome to Glenmark Investor Day. I'm V. S. Mani. So Glenn had earlier articulated our transition through various uncertainties

and all the mitigation measures that we

took to emerge stronger. One of the key objectives in the past 5 years has been to derisk the business. And we took a number of measures to derisk the business and the critical ones are, you know, I would like to sort of list out. One is obviously you all are aware that the US benchmark interest rates in the last 2 years went from half a percent to almost 5 and a half percent. So therefore it was imperative for us to kind of reduce our gross debt which we could do very substantially. 2nd was also on the substantial

progress in closing of key US litigations. And obviously, we had cases for Zetia, one of our products, as well as some of the cases, the DOJ. I think we have managed to settle some of these cases and obviously de risks substantially. This is very critical in terms of the operational efficiency. And you know that, if you want to improve your EBITDA etcetera, I need to do a lot of work on the GNA side which includes R & D as well. As you can see, our other expenses over the last couple of years have come down. And that's due to the continuous focus on the operational efficiencies. And last but not the least, we have done a lot of work in terms of and you'll see in the next couple of slides in terms of the work that we've done on the Cap ex as well as the r and d allocation. I mean, all this is, probably obviously helps us to improve our ROCs and minimize the risk. Okay. Over the last 5 years, we have taken a number of initiatives to actually strengthen the balance sheet, which is very important. Okay. And, I would like to bucket these initiatives into 3 slots. Okay. 1 is obviously the SG and a operational excellence program that has really helped us to shore up our margins much better in a very, challenging environment. 2nd is obviously we did, sort of, divest some of our non -core portfolios. And third was we actually spun out 2 of our divisions. 1 was API into Glenmark Life Sciences and the innovation into basically Ichnos. And at a very opportune time we could actually list Glenmark Life Sciences. And now we could actually find a strategic buyer as, it was already explained that we are now looking more at a branded business. So it made a lot of sense. And it absolutely helped us to deliver a balance sheet. Also now with IGI, we are looking at sort of being more, rationalizing or optimizing our further R&D spends. All this will help us. What you can see is that because of this, our, net debt to EBITDA has improved substantially. We used to be about higher than 2 times in 19. Now we are a net cash positive company. Okay. That made a lot of makes a lot of difference. Also, if you can see over the last 5 years, the rating agencies have also upgraded us, across the board. Okay. Thank you. This slide will critically show you how we have managed to sort of optimize our r and d investments and rightsizing the capex. In 19, our r and d spend was almost 13.2%. And we were at almost 12,980,000,000 rupees. So it's really substantial. And now we're looking at something like a 7 to 7 and a quarter in the coming year. So this brings down it substantially. And as earlier Cyril had pointed out our innovation spend would be about 50,000,000 And, as far as the capex goes again in 19 we were at almost 12,372 1,000,000 rupees. And now we are talking about, 7,000,000 rupees. And this has been the ballpark in which we have been spending our capex in last 3 to 4 years. So I think these are achievable numbers. Okay. So what does all this do? Okay. So in a way if you really look at it, our estimated earnings and also obviously the kind of balance sheet that we have today, if you take put it all together, you can see that our ROCs and our ROEs are, better than, on an on an average basis. If you look at it compared to the peer average, we are definitely will look better. In terms of our ROCEs, we'll we're looking at almost 19%. And i

nterms of the ROEs, we're looking at almost 15%. I think both this should help us, you know, very important. So this is a very, critical slide as far as I look at it. So in number of 22, we met you all and we gave you guidance on 7 key metrics. And I would like to now show you what we had guided in 17, in a number of 22 and where are we today. Okay. So in terms of revenue growth etcetera, we have spoken about 10 to 12 percent growth over the next 3 to 4 years. Today we are saying in FY 25 we'll be at about one lakh 35,000,000 or 1 lakh 40,000,000 depending on how growth happens. R & D expenses we are guided to about 8 and a half to 9% from FY 24. And we're now talking about 7 to 7.25% in the next year. And the EBITDA margin we said would be 23% by FY 27. And now we are saying that coming year will be 19, and we are expecting to improve it by 1 to 2% over each year. And obviously as we had already articulated earlier that we have a number of products that are going to come up in the market. We the ultra is growing or the number of other branded products that will come. So obviously growth will fuel this improvement in the EBITDA margins. And obviously rightsizing some of our expenses will also help us to reach there. Okay. In terms of capex, we have guided to about 7,000,000 over the next 4 years and we pretty much were there most of the times give and take some small changes. We had said that would be a 0 debt company net debt by 26. Be happy to say that we are net cash positive at the end of this year. ROCE we had guided to about 23% in, FY 27. And we are pretty much on track there. Okay. As you can already see, it's very easy. And on terms of the payout ratio we said that we'll evaluate you know enhancing dividend payout ratio buyback over the next 4 to 5 years. What we would like say is that we're looking at a 15 to 20% minimum payout from FY 26. And this would be via dividend or share buyback. Earlier, Glenn had spoken about Glenmark 2.0 and the evolving ideologies. What I would like to bring out here is that how the long term targets are now very aligned with the evolving ideologies. So one was focus on revenue growth and continue to drive capital allocation basis, ROC. So obviously, with the, 12 to 15% revenue growth on CAGR and the focus so much on the terms of the ROC. I think in terms of the capital investment of water, I think we should see it growing further. We are looking to generate further operating efficiencies to drive continuous margin improvement. We are looking at a long term of 7 to 7 and a half percent in terms of our R&D spends. And obviously we already guided to about 19% in the next year in terms of EBITDA and a further improvement each year by 1 to 2 percent. This is important. Stay averse to debt and remain free cash positive post any dividend, capex, and many etcetera. Obviously there'll be a 7,000,000 spend on capex which is very important in terms of looking at the growth and what we are ambitions that we have. But we will look to drive further improvement in ROE and ROC in the next 4 years. And and the most important, we would like to drive shareholder wealth creation, 15 to 20 percent payout over the next few years. With that, thank you very much. We'll now be ready.

Mr. Utkarsh: Thank you to all the presenters in the management team. So I would request Glenn, Mani, Cyril, Kristoff, and Ashish to come on the stage so that we can start with the Q&A session. As mentioned, our participants joining virtually can also ask questions through the chat box or the question box, on the webcast or on the Zoom link. We'll first give the opportunity to the people present in the room. Anybody has a question? I think we have a few people who can, help you with the mics. So I have a few questions coming virtually. So let's start with those. So one question is on the capex guidance. So while we have said that 700 crores is the guidance

in terms of future capex, How do you see this in terms of fixed asset addition and and, and any licensing that we do? Are we planning to add any more, new manufacturing sites? Or, where is the fixed asset addition specifically, focused on?

Mr. Glenn: Well, clearly, I think, you know, given our rollout. Right? And the 15% to 12% to 15% top line growth CAGR. Right? I think it'll be important for us to invest in, capex, particularly in terms of building our manufacturing capabilities and capacities mainly on the respiratory area, as a big driver for the company going forward. Additionally, I think in licensing is something we will continue doing. We did enzalutamide, recently, which will commercialize in FY 26. We'll continue to look for novel assets which can further help, you know, accelerate our vision to be a branded company while remaining disciplined in terms of the overall Capex. Right? And, so that we don't impact the overall return ratios and and, the other parameters.

Mr. Utkarsh: So we have another question on IGI. So maybe you and Cyril can both chip in. So question is, so in there are 2 parts basically. 1 is, in terms of the pipeline, what's the most exciting asset that, that you are looking forward to? And, maybe Glenn, you can address this. So, how are we looking at investments into YGI beyond FY 25? So obviously, there is a roadmap, but, how are we looking at the investments and what's your take on that?

Mr. Cyril: In terms of excitement, they're all my babies, and they are only, sourced from our proprietary multi specific platform. I said based on the clinical data available and the recent approval of t cell engagers, we know the t cell engager works. And, and ISB 2,001 being our leading t cell engager and targeting 2, myeloma, targets, is by default my favorite asset. That being said, I also believe that there is so many t cell engager we need something else than a drug that engages the t cells because they they're gonna be exhausted in those patients. So if we can demonstrate the value of a myeloid cell engager or in down in our pipeline and a NK cell engager against solid tumor, that would be also a great, competitive advantage. I think this is also the overall strategy we're building in IGI. We're leveraging different type of immune cells against hematological malignancies and select tumors. Now with regards to further funding, I will turn to the chairman.

Mr. Glenn: So I think, look, we've said that, you know, we will be at \$50,000,000 this year. Next year, you know, the path forward is we will I don't see us crossing 50,000,000. We will get additional revenues coming out of partnerships. And subsequently, we are looking at a capital raise. So we believe that, from a funding perspective, there's a strong possibility from FY 26, Ichnos will self fund itself, right, going forward. So that's the journey forward, from a funding perspective that we are hoping to achieve. Right? As we go forward.

Audience: Hi. Good evening all. So my question is slightly backward looking. You sold off GLS. How did you arrive at this decision? Now that you also had an output I mean, you also could have contemplated shutting down the US business or selling it out at whatever 1.2 times, sales, whatever the valuation you would have bought. Because it seemed that you are sold off a business which was cash generating, higher margin to kind of keep on funding a business which is structurally challenged. So and and did you take the help of any external advisors? Any consultants were engaged? Who kind of recommended this kind of a strategy? So slightly backward looking question because, it's important to understand, how the decision making will happen in the coming years.

Mr. Glenn: I think the GLS asset, decision was purely based on the fact that, you know, if you go back in time. Right? We entered the API space. Right? Back in 2,005. Primarily with a vision

that we would be

a vertically integrated company with the lowest cost structure in the generics business. Right? Thinking that the US generics business was supposed to be this pot of gold. Right? Where, you know, being vertically integrated would be important to, to succeed in that marketplace. Right? The operating landscape has changed significantly over the last 5, 6 years. Right? So that thesis doesn't hold true. Right? Where you can actually, be a major player and having the best cost structure means the, the most successful company in the US generics market. So given that thesis change. Right? Holding GLS, holding an API platform. Right? Which where Glenmark was using only 30% and 70% of the API platform was being sold to external customers. Right? Made very little sense for us to keep it within the umbrella. So that's the reason we spun it out. And eventually, we, we recently sold the asset. The rest of the business is a pure branded formulations business while, obviously, running a formulations business has its own challenges. Right? But if you look at our presentation, it's a well diversified business. Right? Coming from multiple geographies. So with very little exposure to any one geography. We've done a lot of hard work in building our capabilities in rest of the world markets. We have some unique positioning. Right? And rest of the world markets. Where we've got all the, you know, we've got a ready platform,

particularly in the area of dermatology, respiratory and oncology. Right? And we are an ideal partner of choice because of the platform that what we bring to the table. So I think, you know, being in the formulation space, being a branded company has a completely different connotation. Right? As we go forward for us. So I don't know if that answers your question. Right? But the API, the the sale of GLS and the the spin out of GLS was purely because our ambitions were very different way back in the day, right, when we built GLS. Right? And, today, the US generics market, there are lots of players. There's lots of competition. There are a lot of guys vertically integrated. And, as you clearly know. Right? The the challenges are very different.

Mr. Ashish: And even for the US business, right, as Christophe mentioned in his presentation, we believe that we have hit the bottom. So with the pipeline that we have on nasal sprays, MDIs, injectables, I think we should be able to grow at a much faster clip from here onwards. So that gives us confidence that even on the generic side, the growth will come back on track.

Mr. Glenn: So so that the vertical integration aspect doesn't hold good anymore. Right? We are working more on respiratory products, on injectable products, on various complex dosage forms.

Audience: And in terms of the margin guidance we're talking about in FY 25 and beyond, no, FY 24 also benefited from a lot of costs that have come off. Right? I mean, you talk about various base chemicals, APIs, intermediates. Those costs have kind of eased out a bit. In fact, quite a bit in FY 24. So when you are giving a 19% EBITDA margin guidance, in FY 25, does it incorporate some bit of cost escalation as well? Or, I mean, how do you see the cost panning out and whether they can be a risk to your margin guidance or not?

Mr. Mani: So when we talk of 19% EBITDA margin, obviously, there is a benefit of some of the R&D expenses, etc. And also the advantage of number of products that we have launched or the products that are going to come. So the expansion of some other markets, all that taken together will take the margin to a 19 plus. Okay. That's how we look at it.

Mr. Glenn: And of course, Ryaltris is a big driver there also in terms of improving the overall margin.

Audience: Right. And one final question on cash generation for FY 25. Now the data have come off sharply, as of end March balance sheet. I believe India sales reset in 3Q

had a role to play in that. So with

Aetas likely to go up again, in FY 25, would you still be in a position to be net cash by end of this year?

Yeah. Sure.

Mr. Mani: So I'll answer that. So obviously, the debtors or overall working capital may go up by 10 to 12 days. But even taking all that into account and including our capex, etc, we also see some payout in terms of, you know, for our litigation also. We have, what, 300 crores that may come up, which we have given in our call also. We'll still have a small, at least a decent 200 to 300 crore cash generation this year. That's what we're looking at.

Audience: Hi. Good evening. Just one quick question on your R&D. So you are expecting a revenue to grow at 15 to 20%, but maintaining your R&D spend at around 77 and a half percent of revenues. Of this, your item IGS spend should be flat at around 400 crores. So this means that your R&D is actually going up very, very fast in the next 3 to 4 years. So can you just guide us on where exactly you're spending money or the kind of assets that you are looking at on spending on this money?

Mr. Glenn: So I think we've been a little conservative in guiding. Right? I mean, our R&D spends could even be lower than 77 and a quarter. Right? Going forward. At this point, as we've said. Right? Our biggest spends are on respiratory development. Right? As we go forward. So, building the portfolio of respiratory products, building some branded products that we are developing to commercialize as we go forward. That's where the bulk of our R&D spends would go. Right? Going forward.

Audience: So it's just Respiratory or you have something else in mind on to go or any of these other products?

Mr. Glenn: So look, respiratory is the biggest driver for us. Right? In terms of R&D spends. But additionally, of course, you know, we have oncology. We have some clinical trials that we'll run envafolelimab, you know, some of the others. Right? To get the products registered. But you're right. It's clearly a conservative view. Right? 77 and a quarter. There's a strong possibility we could be below that. Okay. As we go forward.

Audience: And just one more. So how many of your US launches today are contingent on your plant approvals? Because your 3 plants under regulatory, scanner for now. Sorry. How many of the US launches, approvals or launches that you expect in the next couple of years, are dependent on your plants getting cleared?

Mr. Glenn: So today, you know, we have, if I look at the US business. Right? We basically have 4 plants which are supplying the US. Right? So we have our indoor and our own about facility, which are clear right now. We have Goa, which is under a warning letter. And Monroe, which is under a warning letter. Right? Most of our filings are all coming out of indoor and our own about. Right? So we are hoping that, you know, the there won't be any major impact on any of the approvals. Right? Going forward.

Audience: Yeah. So, in FY 24, what was the drag because of the wardrobe facility, the overall EBITDA both in terms of remediation cost as well as the fixed cost? And what type of Can you just repeat? I can't hear you well. What was the impact of, the Monroe facility on the EBITDA in FY 24 because of the remediation cost as well as the fixed cost? And what type of delta swing can we see this year sort of reduction in in 26, hopefully, when it comes on stream, what type of upside we can see?

Mr. Mani: Sure. We spent about 25,000,000 in Monroe. So, that's the OpEx that we have. And in the last year, the remediation costs are much lower. It's about 4,000,000. We spent about 30 crores there.

Audience: And secondly, in terms of India, on the productivity front, how do you see the numbers in the next 2, 3 years? On the product? Sorry. Productivity per ML. Hello.

Mr. Glenn: India business, you know, we are clearly among

g the fastest growing companies. Right? In the

Indian space. So I can't give you a specific number on productivity of MR, but clearly, it's up there.

Right? We have about 5,000 reps today in the India business. It's about a 4,000 core business, Right? In this year. So you can do the math. Right? On the productivity per MR. Right? But that's something which if you're able to run the, you know, continued on this trajectory, right, of the pace at which we're growing in India, I think, you know, we're pretty comfortable and confident that the India business will continue to fire going forward.

Audience: And then one last thing on your remedial stake in Glenmark life. So what are your thoughts on that? When would you look to monetize the remaining stake that you have? The remaining stake in Glenmark life, what are the thoughts on that? We have some more stake left in Glenmark life. So are we looking to monetize that?

Mr. Mani: So, we have the stake. We'll we'll, I mean, currently it is there, so we'll take at an opportune time. We'll look at what we have to do next. Yeah. Thank you.

Audience: So my question is, what is the share of in licensed products with the total revenue currently and where do you see going forward? And the follow-up, whether the in license, in license contribution will affect the margins?

Mr. Glenn: It's really the in license product share is very very small today. Right? I mean, we've just done these deals. Right? But, I mean, the margin profile of the license products is pretty good. Right? At the gross margin level. So very significant. So I don't think the overall margins will get negatively impacted by the in licensed product.

Audience: The second question is, what is the current share of those 3 brands? Ryaltris, Winlevy, and, envafolelimab up to the total revenue? And, where do we seek, going forward?

Mr. Glenn: Ryaltris, as I said, was 40, \$50,000,000 last year. This year, about 80 odd million, in terms of revenues. The other 2 are yet to launch.

Audience: In the future, where do you see?

Mr. Glenn: So we if you see my presentation. Right? We said that 3 of them will be almost 300 to 400,000,000 in the next 5 years.

Audience: Thank you. Yeah. Good evening. Good evening, everybody. So, my question was related to Ichnos. Ichnos, you know, we indicated in FY 26 some capital raise, may be considered. If you give some clarity what kind of, capital raise we are talking, it is about, out licensing funding we are talking about or for us capital raise we are talking about?

Mr. Cyril: We are advancing the portfolio and, we're gonna reach a point where we will get prepared for our pivotal phase, which is expensive. So that's where we don't have the definitive, digit figure, but we know that this will require further support than in addition to Glenmark. So, in replacement to Glenmark, I should say. So that's that's, our plan here. We're we have a growth estimate of, minimum of \$100,000,000, in term of capital rates to help us get the funds to run through the pivotal trial execution and prepare the launch of our first asset.

Mr. Glenn: So That that that that I think I think to answer your question. Right? The thinking is more in terms of partnership, which will help fund the FY 26 and capital raise in 27. And, you know, it's hard to predict, you know, what the amount is and what the situation will be like, right, as we go forward. Right? In terms of IGA capital raise.

Audience: Yeah. So in this context, like, in our R&D expenses, towards innovation, we have reduced the expenses there in a total R&D. So it is it would have been funded internally. So instead of doing this, what we are thinking that going forward will raise money, that is what the strategy we are working.

Mr. Glenn: Yeah. So look, Glenmark has invested substantially on innovation. Right? Over the last decade or 2 decade

s. The goal is at some point, IGI should be self self funding. Okay? Right? I hope that makes sense to you. Right? So from in that perspective, next year, we're hoping to do a big partnership, which will help IGI, to fund its expenses. And the following year, we will do a capital raise. From there on, IGI will be self funding. Does that answer your question?

Audience: Yeah. Understood. Understood. Some clarity. And and and, now the balance sheet is in a good shape. So are we thinking of some M&A opportunity or something? We are scouting something?

Mr. Glenn: Currently, we have nothing on M&A. Right? I mean, we for the kind of growth that we are seeing as an organization for the next 2 or 3 years, you know, we may do some small tuck in acquisitions, but really our focus is to continue growing the business organically. Right? And to continue to scale the business organically.

Mr. Utkarsh: I think we can take some questions from the Yeah. Virtual audience. So one question is on Europe. So, obviously, we've seen phenomenal growth in the last, 2 years, particularly. So how do we see in terms of a growth percentage or a CAGR for Europe going forward? Can we expect a percentage which is similar to the last 2 years or something some guidance that we can

provide basis the initiatives that we are working on.

Mr. Christoph: So, the the first part of the answer would be the the growth in Europe came from different countries. So it was really well well well spread. Now to to be able to maintain a growth of 50%, that is, of course, is, of course, a a challenge. See, the beauty in Europe is it's quite a complex region, many different cultures, many different languages. Right? But we have a very strong team, and we are able to find the opportunities and to to maximize. We have, of course, will grow further with Ryaltris. We will grow further with Winle vy, our new chemical entity in Acne, Clascoterone. Right? So, certainly, the the growth will be be there in in Europe to maintain a 50% growth over 2 years that I think is, is a challenge, especially the bigger we get. Right?

Mr. Utkarsh: And, on the India business. So, compared to the rest of the large players in the industry, we are much more focused in terms of our therapy areas. So we are strong in 4 or 5 therapy areas. So, obviously, we have grown substantially over the last couple of years, and we've grown faster than the market. Are we confident that we can sustain, this market beating growth only through these 5 areas? Or do we feel the need to expand into maybe therapy area number 6 in the near future?

Mr. Glenn: I think there's substantial growth in the in the India segment. Right? In the 4 or 5 areas that we currently operate. So derm, we are ranked number 2. We will continue to gain market share in the respiratory area. We're now number 2. We still have a good runway in terms of market share gains. Cardiovascular, now we are number 3. And there also, I mean, there are various areas where we still don't have a presence even within the segment. Right? For example, lipid lowering drugs, you know, heart failure. These are areas where we're clearly not up there. And then, of course, diabetes, which is the 4th segment. You know, we've got a number of launches coming in in the diabetes obesity segment. Right? With all the GLP one, products which are out there. So I think, there is enough of a runway in in the 4 segments that we operate. And, of course, now oncology, which we were historically just selling cytotoxic oncology products with the the 2 in licensed products, both envafolemapimab and the Beijing assets. Right? That should help, you know, help us launch more differentiated oncology products. So I think we've got our work cut out for the next 4, 5 years in India. Right? With these 5 segments that we operate in. Right? And we think there's enough of growth levers and growth

opportunities in the 5

segments that we're operating. Besides that, of course, our OTC DTC segment continues to gain a lot of scale. So we are now almost up to 400,000,000, 3.50, 400 crores in revenues in OTC DTC. So that's a substantial piece, and it's growing very nicely. So that will continue to drive, India growth. So I think the the India business across these 4 5 levers. Right? Will will will do exceedingly well over the next 3 to 5 years.

Mr. Utkarsh: One more question. Again on the business. So ROW, obviously, we again, slightly different than, our peers because we have a pretty broad, presence across various markets. So what risks do you see in terms of the growth going forward? As a region, not individual markets, but as a region.

Mr. Christoph: Well, I think, emerging markets are, of course, different, because by default. Right? You do not have the political stability that you would have in in a region such, such as Europe. So there will be inherent risks, which can be, currency risks, or it can be, political risks, by itself. But at the same time, of course, emerging markets offer also offer huge growth opportunities. Right? I've shown this on the slide. When we look at these four regions, LATAM, Asia Pacific, Middle East, Africa, Russia, CIS, the the potential of the markets there there are huge. Now when we talk about, you know, what we can influence as a company. Right? Then we are very well positioned, now to we have a very strong foundation, and now we by adding more products, by adding new model novel, molecules, right, by strengthening our brands, by growing the core, by adding new molecules that we will be able to to outgrow competition, significantly in these in these markets.

Audience: Yeah. On ROC, while the oral target is 19% as a company, do we internally also have a minimum threshold that each of the business segments have to achieve? You know, because while we all understand that the India has much higher OC. So, it looks overall 90 looks at it because is there a minimum threshold ROC that each of these segments have to achieve in FY 25 or a medium term period? And secondly, when you are now being capital allocation every year of 700 per year, what is the minimum threshold there that you look at for any large CapEx?

Mr. Mani: So obviously, when you look at the ROC, each business will have a different ROC. But that is how the capital allocation over the years also have changed. Earlier, as I explained, we were almost at 12,000 odd 1,000,000 rupees we are spending now at 7,000,000 or 700 crores. Obviously, we looked across the board and looked at each business and how we look at the capital allocation. So we'll try our best to ensure that we get to a minimum threshold. It's not good to tell each number for a minimum threshold, but obviously there could be businesses which will grow in future, so we'll look at it. But on an overall basis, we will try to be as careful as possible in terms of, allocating CapEx or working capital or anything to ensure we get to our ROACE.

Audience: That is on the incremental basis, but overall as a business, overall as a business, is it that in the medium term, once this business plan works out, is it like minimum 12% or 15% ROC each business division has to earn?

Mr. Mani: So we'll try our best to be very close to the number that we just indicated. We said 19, not all of them will be 19, but many of them will be slightly higher also. But at the same time, there are some businesses which are pretty high. So obviously, you cannot, today stop doing anything there. We will

obviously try our best how to optimize and improve the profitability there. That's how you get to the number.

Mr. Glenn: But to answer your question, yes. Of course, we have internal thresholds. Right? In terms of how we are allocating capital. Right? But it's impossible to publicly state. Right? What what they are.

Audience: Thank

you for the opportunity. Glenn, you mentioned scaling up of priorities will be a big contributor for your, margin expansion ahead. So with 40, 50,000,000, sales currently, is the margin profile substantially ahead of your corporate average? And say, like, we move from 40, 50 to 80 next year. So what kind of delta can come in there?

Mr. Glenn: So there's a substantial delta that we are gaining out of Ryaltris. Right? I think at the, you know, at the company wide level, right, it is having an influence on the overall EBITDA. Right? So there is it's definitely moving the overall EBITDA needle. Right? So when we're guiding this year, 19 percent, Ryaltris has a big role to play in that. I can't give you any specifics beyond that. So, obviously, it's ahead of the company, average. Right? But it's and every year that we scale this brand, be rest assured that a big chunk of the EBITDA is coming out of the the Ryaltris, branded presence that we're building out. Yeah.

Audience: And with, product launched in so many markets, how do you book, like, is it booked at the sales or you have different arrangement? Like, sometimes it will be, like, booked at the net profit level.

Mr. Glenn: So when we are giving you the number, right, of 40, 50,000,000, that includes sales. It includes licensing revenues. It includes it's a mix of various different pieces. Right? So I don't know if that answers your question. Right? There's some markets we are selling on our own. Some markets is through a partner. So you've got licensing revenues. You've got royalties. You've got all kinds of things build baked in there.

Mr. M ani: So I don't so I don't think that is the revenue that we derive from the sales. Okay? So partners may sell sometimes a little higher. So we are present in multiple ways. Somewhere we are our own presence. Somewhere we're doing through partners. And obviously, there are somewhere where there is a royalty or a profit share. So all that breaks in and comes to

Audience: And, what kind of spend do you do for this brand, to further expand? Like, do you spend on, marketing or it's done by partners?

Mr. Glenn: So in the markets where we are present, of course, we spend on marketing. Right? But the the good news is we continue to leverage the infrastructure we've already built in respiratory. Right? So in most of the emerging markets, markets in Eastern Europe, and multiple other markets. Right? We have already an existing infrastructure and respiratory. So we have field forces on the ground. All that in place. So we're not adding so we're just leveraging that infrastructure much more effectively. Right? In terms of cost. Right? So we're getting a lot of operating leverage in the markets where we are selling. Obviously, in the markets where the partners are selling, it's their responsibility. Right? So they invest in all the marketing spends and and feel force and and so on and so forth.

Audience: Sure. And my, second question is, like, what gives you confidence to say that US bottom, US business is finally bottomed out? Because I guess, we have been, waiting for this business to recover for, last few years, but, things have been shifting, quarter after quarter.

Mr. Glenn: So I think, you know, the US business clearly has been challenging. Right? For us. And, we think we've hit the bottom, purely because, you know, we've now finished most of the remediation work. Some of the plants now are, the productivity output is going out, up from some of the plants. In addition, we've started to get some new product approvals like was a good approval we got. You, the next quarter also we are expecting a couple of good approvals. We've launched a number of in licensed injectable products, almost 5, 6 injectable products, which are doing very well. Right? So I think and that coupled with the nasal spray launches, hopefully, at this year, right, that we will do. That can be quite

substantial.

So we all these factors make us believe that the US has bottomed. Right? The increased productivity, increased volumes, increase, you know, new product approvals, some new businesses that we are picking up, the launch of the injectable portfolio, the nasal sprays, all these things make us believe that we've hit the bottom in this year. And, of course, subsequent years, you know, with the launch of not just the nasal sprays, but generic flow and, you know, getting launched. Hopefully, we'll be able to commercialize sometime next year, and then, you know, then we've got the first to file products. So it's a full runway of products, which are highly differentiated and and high value added. Right? Which will help grow the US business going forward.

Mr. Utkarsh: Maybe I can squeeze in a couple of the virtual questions. So, so on envafole mab, we have a question. So obviously, this seems like a, an important opportunity for the future. So, what so there are 3 parts to the question. So basically, what are the differentiating factors of envafole mab and why we are confident about the opportunity? What is the overall size of the market or the opportunity that we are targeting, and what kind of investments will be required in the next, few years to to for us to realize that.

Mr. Glenn: So, the overall market size of these products. Right? Between Keturah, Nivolumab, and various other products. It's almost a \$20,000,000,000 market worldwide. Right? Of which 4,000,000,000 is just emerging markets. Right? For which we have the right. So Indian emerging markets is almost

\$4,000,000,000. Right? And, you know, given that, you know, we have a huge differentiation, which is a subcutaneous injection, which can be given in a home setting compared to, you know, the the infusion, which has to the patient needs go into the clinic and take the infusion or go into the hospital and take the infusion. Right? So, the sub q injection can be a significant differentiator, coupled with, of course, you know, we we expect to use pricing as a strategy also, right, to gain market share. So these are the 2 big drivers for Envafo limab. Our belief is that, you know, FY 26, we will start the rollout in some of the emerging markets. But the real traction will be FY 27, and beyond. Right? As we go forward. A lot of the investment is leveraging our current oncology infrastructure. So we already have the infrastructure where we have sales reps calling on the oncologist, selling cytotoxic drugs and, some age old products. Right? And that we can further leverage by now putting some novel drugs in the in the bag. Right? In the, to form a promotion perspective. So that will drive, pretty similar to what we're doing with Ryaltris . Right? Where we are continuing to leverage the existing infrastructure that we built out in emerging markets in India. We're doing the same the model is the same for Envafo limab .

Mr. Utkarsh: One question on the the two sites, Goa and Monroe. So given that they've said that we are the remediation is concluded. So, when are we expecting the reinspection and the warning letter to be, lifted?

Mr. Glenn: So we can't give a concrete timeline. We've already in, you know, we're ready to we've informed, requested the FDA for a meeting on Monroe. So hopefully, that should come through quickly and we can restart manufacturing on. Goa, you know, we are ready. We're done with the remediation. And we'll wait to see when the agency comes.

Mr. Glenn: Maybe take one more from the virtual audience. So, what is the, expected revenue or expected income, from the respiratory device based products? So we have obviously quite a few. We have Ryaltris , we have, the the generic products in the US. But, globally, how do you see the whole respiratory device, and and the contribution, to the revenue in the next 4 to 5 years?

Mr. Glenn: I think that's a little too granular. I I do

n't think we can give that kind of visibility on the specific device based products. But again, if you see x India. Right? India, we have a big acute business, along with chronic acute driven by Ascor il and Alex, 2 big brands, right, in India. If you see outside of India, most of our business is device based. Right? So almost all our respiratory business, whether it is Europe or in Latin America. Right? Or in in most of the markets is all device based. So, it's it's hard to give a specific number there.

Mr. Utkarsh: Sure. Any questions from the audience? Go ahead.

Audience: Glenn, just, one question for you. You mentioned earlier that, I mean, we have been a poster child of innovation within pharma in the country. Now, given that you have had a vision of creating and sees and bees out of India, do you think IGA in its current shape and form, with barely \$50,000,000 of annual spends and possibly, which could come down further going forward, do you think you can realize that vision of creating n c's and b's out of India?

Mr. Glenn: So I feel, you know, IGA has 3 or 4 very exciting assets. Okay. 2 of them are partnered out. Right? So there's always the possibility we'll continue to get milestones and royalties from the 2 assets. Additionally, the 2 assets that, Cyril mentioned. Right? 2,001,442. Very exciting assets. Right? And even if one of these play out. Right , Alankar , We all it takes is one asset. Right? In this game. Right? Because you're talking of highly differentiated opportunities. Right? In the oncology space. So all it takes is one of these to work for us to be transformational. Right? Both for Glenmark, IGI, and for innovation as a whole. Right? So we've, you know, we've done this for a long time . We've invested substantial amount of capital. Right? And the journey for us from here on is to be disciplined about take very concentrated bets. Right? With 1442, 2001 being being, the key ones. Right? And I also think that, you know, IGA will be self sustaining, right, from next year. So it's not like we won't have any exposure to innovation going forward. So even if IGA does partnerships, subsequently, they do a capital raise. Right? We will Glenmark will still have exposure to IGI by way of equity. It's just that we won't need to invest more capital. That's what I believe. Right? In the years to come.

Audience: And, just one follow-up there, on 1342, what's the status ? The 1342. The trial has been stopped. Right? So what's happening there?

Mr. Cyril: Thank you. And, I will add to what Glenn said, the opportunity to in license a bit protein platform. And we have the capability within IGI to create new molecules for a partner interested in building their multi specific out of our proprietary bit platform. Your question is about ISB 1342, our CD 38, CD 3, T cell engager. We decided to pause the development of this asset after we demonstrated the clinical proof of concept, the good tolerability, and also the lack of immunogenicity of this, protein. And we presented the results at the ASH annual meeting last December. The reason why we pause the, the development of this, 1st generation bispecific, that we already have 2 innovative assets in relapsed refractory multiple myeloma. And, in our cost efficiency model, we decided to focus on the most innovative asset and to leave this asset for licensing. So we're actively looking for partners willing to take on ISB 1342 for oncology , but also non oncology assets, indications.

Audience: My question was on on the US business. So you mentioned that we are ready at, Monroe and Goa for the FD audit. We are expecting a favorable outcome, but just in case the outcome is not favorable, does it derail our our plans there and, you know, what is the plan of action in case there is, unfavorable outcome.

Mr. Glenn: So Monroe is a non operational site. Right? There's not there's no commercial product being sold out of Mo

nroe. So, frankly, you know, other than the cash that we are burning there. Right? Which we'll have to decide depending on how the the agencies, how the inspection goes. Right? Goa, you know, is under a warning letter. We are hoping we've done a lot of remediation. We've done tremendous amount of work. So we'll wait to see how the agency views the work that we've done.

Mr. Utkarsh: Couple of questions I'll again squeeze in. So, in line with the last question. So one question has come, what is the preparedness level on the other sites, basis the learnings that we got from Monroe and and, and Goa.

Mr. Glenn: So as I said, you know, it's been a great learning for us as an organization. Right? And I think over the last 2 years, we've worked really hard in in the whole building the whole quality organization. Right? Rebuilding the quality organization. Right? We have a new quality leader who took over a couple of years ago. And since then, we've been transforming the whole quality organization throughout the organization. So lots of systems, lots of electronic systems that we've invested in. So all that makes us believe that, you know, the learnings we've actually, you know, that we've whatever we've learned from Monroe Goa out now we've, you know, implemented a lot of those changes in the other sites too. So we're much better prepared as an organization.

Mr. Utkarsh: And, on the IGI pipeline, so while we mentioned that we have the POCs coming up, in FY 25, Is there a more specific timeline that we can give in terms of, when are the, and a Iso given the fact that we are now using some of the India sites for the trials?

Mr. Cyril: Timeline, it will be, the data disclosure at the, first in the hash abstract, which will be disclosed close to November, and then during the presentation in December, which will leave us even more time to continue our dose escalation, mature the data, and present a more robust data set in December at the ASH annual meeting. So I'll, invite you to join us at the ASH meeting to wedge those data together.

Mr. Utkarsh: Any questions from the audience? So I have one more which just came in. So, in terms of an EBITDA margins, so we've give guided to a 19% EBITDA margin for FY 25, which is about a 2, 2 and a half percent improvement from our last run rate, basically. So, obviously, this year, a lot of it is coming from the optimization of r and d expenditure, in in IGI. But we also said that we are, in going to target 1 to 2% improvement. So where is the that improvement going to come from in the subsequent years?

Mr. Mani : Okay. As we already explained that, you know, Ryaltris and some of the other brands that we're going to launch, especially Ryaltris has a very good margin, and it's going to grow quite fast. And we already seen it happening. So I think that would obviously help us to grow it further. And as we grow further, there'll be some economies of scale as well. And this whole, how we're working on the SG and a, we'll continue to work on that. But I think with newer markets and more respiratory products being launched everywhere, I think we're going to see some improvement because of that.

Mr. Ashish: I think that the improved growth rates that we have, as we mentioned, right, our growth for the next few years will be around 12 to 15%. Obviously, our cost will not grow by the same rate. So we will have a much higher EBITDA growth and a much higher PAD growth. That gives us confidence that there will be a 1 to 2% improvement in EBITDA margin going forward on a year on year basis.

Mr. Utkarsh: Any other questions from the audience? We have a few more, but I think we have answered those as as a part of the discussion. So I won't, probably take those up. So I think, if there are no other questions from the audience, then, I think we can conclude, the investor day session today. Thank you all again for joining us, and interacting with the

management team. And, we look forward to further interactions in the near future. Thank you so much.

Call: Aug 2024

Page 1 of 10

"Glenmark Pharmaceuticals Limited
Q1 FY '25 Earnings Conference Call "
August 16, 2024

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
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MR. ASHISH MUKKIRWAR – GROUP VICE PRESIDENT
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MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
August 16, 2024

Page 2 of 10

Moderator: Ladies and gentlemen, good morning, and welcome to the Q1 FY '25 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi, General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Lizanne. Good morning, everyone. Welcome to the Q1 FY '25 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, we'll review the performance of the company for the first quarter of FY '25. For Q1 FY '25, Glenmark's consolidated revenue from operations was at INR32,442 million as against INR30,361 million in the corresponding quarter last year, recording a Y -o-Y growth of 6.9%.

In terms of our overall performance across regions , starting with India. So for India, our formulation business recorded revenue of INR11,962 million as against INR10,693 million in the corresponding quarter last year, recording a growth of 11.9%. India business contributed 36.9% of the consolidated revenue for Q1.

In terms of secondary sales, Glenmark's India business continued to outperform the industry. As per the IQVIA June 2024 data, Glenmark's India formulation business recorded growth of 16.9% in the first quarter and 11.3% as of MAT June 2024. In comparison, the IPM grew at 8.7% in the first quarter and 7.5% as of MAT June. Glenmark continues to outperform the market in terms of the key therapeutic areas of cardiac, dermatology and respiratory. Our growth is almost doubled, especially in cardiac and dermatology compared to the market.

Glenmark India business continues to be ranked 14th with a market share of 2.19% as of IQVIA MAT June 2024. The company continues to have nine brands in the IPM Top 300 on the basis of IQVIA MAT June 2024. Glenmark has also improved its market share across key therapeutic areas.

In May 2024, Glenmark and BeiGene entered into an agreement for marketing and distribution of Tislelizumab and Zanubrutinib in India. Under this strategic collaboration, Glenmark will be responsible for locally required development, registration and distribution, providing access to BeiGene's innovative oncology medicines for cancer patients across India. This is Glenmark's second differentiated product in the oncology segment after Akynzeo IV. Glenmark has also successfully launched differentiated products in other key therapeutic areas over the last six months and has seen good market traction for these launches.

In terms of our consumer care business in India, primary sales in Q1 was around INR870 million with a growth of 11.3%. The company's flagship brand, Candid Powder delivered revenue growth of 22% for Q1 and recorded its highest monthly market share of 58.8%. La Shield portfolio delivered Y-o-Y secondary sales growth of 12.1% while Scalpe portfolio witnessed a strong uptake for one of its variants, Scalpe PRO.

Glenmark Pharmaceuticals Limited
August 16, 2024

Page 3 of 10

Moving on to North America. The North America business registered revenue of INR7,808 million for the first quarter of FY '25 as against INR7,557 million for the fourth quarter, which translates onto Q-o-Q growth of 3.3%. North America region contributed 24.1% of the consolidated revenues in Q1.

In the first quarter of FY '25, Glenmark received approval for and launched Acetaminophen and Ibuprofen Tablets and Brimonidine Tartrate and Timolol Maleate Ophthalmic Solution. In addition, the company added a couple of products

sizes to its existing products.

Glenmark filed one ANDA in Q1 FY '25 and plans to file two ANDAs in the upcoming quarter.

Glenmark has also leveraged its strong development capabilities in respiratory to build the portfolio. We have mentioned this in the past. The company has already filed two ANDAs for generic nasal sprays and is awaiting approval for the same. In addition, the company has also filed the ANDA for generic Flovent 44 mcg. This is a pMDI. This was filed in May 2024.

Glenmark is also working on the ANDA filings for the other two strengths.

As of June 30, 2024, Glenmark's marketing portfolio in the U.S. consists of 196 generic products authorized for distribution. The company currently has 50 applications pending at various stages in the approval process, of which 21 are for Paragraph IV applications.

Moving on to Europe. Glenmark Europe operations' revenue for the first quarter of FY '25 was INR6,957 million, as against INR5,732 million in Q1 FY '24. This translates into a Y-o-Y growth of 21.4%. Contribution from the Europe region to the consolidated revenue was 21.4% for Q1.

Glenmark's Europe operations continues to remain strong in terms of overall business performance. All the key markets for Glenmark in the European region recorded healthy growth in the first quarter. In CEE markets like Czech and Poland recorded high double-digit growth, aided by strong performance across key segments. Branded respiratory portfolio, including Ryaltris continues to do very well in the CEE region. Growth was also aided by new product launches during the quarter.

Western European market also performed well. The generic/tender business returned to growth during the first quarter. The company continues to focus on sustaining the increasing contribution from branded markets and branded products in Europe. It is awaiting approval of 4 additional respiratory products, which were filed in the fourth quarter of FY '23. And the company is also planning to launch Winlevi in select markets in FY '26.

Moving on to ROW region, which consists of Russia, CIS, Latin America, Middle East, Africa and Asia Pacific. For the first quarter of FY '25, revenues from the ROW region was INR5,708 million as against INR5,528 million for the corresponding quarter last year, recording a Y-o-Y growth of 3.3%. The ROW region contributed 17.6% of the consolidated revenues in Q1.

Moving on to market regional data. So as for Russia, as per IQVIA data, Glenmark's Russia business recorded growth of 15% to 16% in Q1 as well as MAT June 2024. In terms of key therapeutic areas, Glenmark recorded very strong growth in the Dermatology segment, especially versus the market. Glenmark continues to be ranked 9th amongst Dermatology

Glenmark Pharmaceuticals Limited
August 16, 2024

Page 4 of 10

companies in Russia and continues to be ranked second in the Respiratory expectorants market in Russia as per IQVIA MAT June data.

Latin America region also witnessed strong growth in Q1 with the respiratory portfolio being the key contributor. Glenmark maintains its strong position amongst the top companies in the covered market of the chronic respiratory segment in Brazil. Glenmark also launched the first generic for Salmeterol + Fluticasone MDI in the Brazilian market. And secondary sales growth is also very strong in the other key market in Latin America, which is Mexico. Ryaltris has also been approved in Mexico and will be launched soon along with other respiratory products.

In Middle East Africa, the company continued to achieve secondary sales growth in key markets such as Kenya, South Africa. Glenmark continues to be ranked third in the overall pharma market in Kenya. Ryaltris continues to be the leading nasal spray for Allergic Rhinitis in South

Africa, and the product was also launched in other key markets, such as Kenya and Saudi Arabia in the last couple of quarters.

The Asia Pacific

region for Glenmark recorded slightly subdued growth in terms of secondary sales across key markets, such as Malaysia, Philippines, Sri Lanka. Glenmark received approvals for multiple new products during the quarter, mainly in the respiratory and dermatology segment. And Ryaltris continues to do quite well in Asia region.

Moving on to the -- some of our key global brands, starting with Ryaltris. As of June 2024, marketing applications for Ryaltris have been submitted in more than 90 countries across the world. Product has been commercialized in 40 markets. It has received approval and will be launched in 10 to 11 additional markets over the next 1 year.

Glenmark's commercial partner in the U.S., Hikma, recorded better performance on a Y-o-Y basis, backed by strong demand and increasing coverage across pharmacy chains and online platforms as well as other awareness events. Menarini, Glenmark partners in the EU has witnessed steady increase in market share across all its licensed markets. Glenmark's partner in Mainland China, Grand Pharma, has received acceptance of the NDA in Feb 2024. The company expects approval to be received sometime in FY '26.

As per IQVIA March 2024 data across markets, Ryaltris has seen robust performance in terms of both value and unit market shares. The product has achieved high double-digit market share in markets like Australia, Czech Republic, South Africa, Italy, Poland. Further, Ryaltris continues to witness strong uptake in markets where the product was recently launched across Europe as well as ROW regions.

Moving on to Envafolelimab. So as mentioned in Jan 2024, Glenmark announced the signing of a licensing agreement with Jiangsu Alphamab and 3D Med for Envafolelimab for India, Asia Pacific, Middle East, Africa, Russia, CIS and Latin America. This product has been approved under the brand name ENWEIDA in China. It is the global first subcutaneous injection PD-L1 inhibitor for the treatment of adult patients with previously treated MSI-H or deficient Mismatch Repair or dMMR advanced solid tumors.

Glenmark Pharmaceuticals Limited

August 16, 2024

Page 5 of 10

More than 30,000 patients have already benefited from this treatment in China. It has been listed as -- officially included in the List of Breakthrough Therapies. And Glenmark plans to file Envafolelimab in more than 20 markets in FY '25 and the first market launch is expected in FY '26.

Lastly, WINLEVI, in second quarter FY '24 as we had announced that we had signed a distribution licensing agreement for WINLEVI, which is clascoterone cream 1%, in 15 European markets as well as the U.K. and South Africa. The company is currently awaiting approval in these license markets and plans to launch WINLEVI in FY '26.

At Glenmark Innovation, as we announced before, all our innovation efforts are being channeled through IGI. And as of June 2024, we have two biologic assets in Phase 1 clinical development and one small molecule in pre-clinic, all in oncology. The clinical assets are progressing well. We have an update, an August update for IGI, which includes some more details on the clinical assets. You can go through the web -- you can go through the same on the IGI website.

Some notes to the results before we open the call for Q&A. ForEx loss in the first quarter was INR22 crores, which was recorded in other expenses. Adjusted for this, the EBITDA margin was 18.8%. R&D expenditure in Q1 FY '25 was around INR241 crores, of which USD 13.8 million was spent for IGI.

Consolidated total asset addition to the block in the quarter -- in the first quarter was INR115 crores, of which tangible asset addition is around INR88 crores, and intangible asset addition is INR27 crores.

Net cash for the period ended June 30, 2024, was at INR359 crores. And in terms of working capital at the end of June 2024, inventory was at INR2,756 crores. Receivables was at IN

R2,059

crores and payables was at INR2,534 crores.

We have the management of Glenmark Pharmaceuticals on the call today, Mr. Glenn Saldanha, Chairman and Managing Director; Mr. V.S. Mani, Executive Director and Global Chief Financial Officer; and Mr. Ashish Mukkiwar, Group Vice President and Head of Corporate Strategy.

With that, we can open the call for Q&A. Over to you, Lizanne.

Moderator: The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is like you have seen a good pickup in India. So that, I guess, very comforting.

But looking at U.S., I guess, still remains a bit soft. So what are your expectations on U.S. sales recovery? And how do you see -- like do you have any visibility on FDA regulation for Monroe plant?

Glenn Saldanha: Sure. So the U.S. business continues to remain challenging. But I think the second half of this year, right, once we get our respiratory products approved, right, I think that's when you'll really see the recovery, right? As you know, we have a number of respiratory products, which are filed

Glenmark Pharmaceuticals Limited

August 16, 2024

Page 6 of 10

and we are waiting for approval. So as and when that happens, you will see a significant recovery for the U. S. business. As regards to the Monroe facility, the FDA has given us a meeting in September. So we are hoping that it will bear onwards, the facility will restart.

Damayanti Kerai: Okay. So better U.S. we should be assuming starting second half. So even if, say, Monroe takes some time, you mentioned you have a couple of respiratory products. If those come, those should be -- may contribute meaningfully and then see better U.S. sales?

Glenn Saldanha: That's correct.

Damayanti Kerai: Okay. And then a question on margins. So this quarter, obviously, you have delivered healthy margins. But moving from, say, close to 18% margin in 1Q, you have given guidance of 19% for the full year, which will be the key contributors, if you can just update us on those?

V. S. Mani: So thanks for the question, Damayanti. So obviously, we had in this quarter also adjusted for ForEx, we were almost 18.8%. We have guided to about 19%. Obviously, the key contributors will be -- obviously, India continues to do well. India is a high-margin market. Besides that, our product, Ryaltris, continues to do well. Last year, we have guided to almost \$80 million of sales this year. And as earlier we alluded, we already filed it in a number of markets and some key filings are also coming up across various geographies.

So I think -- and also a number of Respiratory products that we are hoping to get approved and launched in Europe as well. So I think all in all, all this put together, that gives us the confidence to come very close. Besides, as you see -- you can see on our R&D expenses are lower compared to last year as well. So all this should help us to reach close to 19%.

Utkarsh Gandhi: Sorry, just to add. So typically, our second half is a little better because of the respiratory products getting further uptick. So margin profile also will accordingly be slightly better than H2.

Damayanti Kerai: Okay. Just a question on your R&D spend for Innovation IG. So is this the label like, which will sustain? Or do you have further room to reduce it?

Glenn Saldanha: I think for this year, we will be around the same level, so around 55 million full year. Next year, if you look at our investor presentation, right, we're clearly guiding towards -- I mean, I think if we do a partnership, automatically, the numbers will further reduce substantially in FY '26. This year, our goal with IGI is to get to PoC, and we are seeing some very good data on 2001, which we'll present at ASH. And next year, you should see some partnership activity, right? I mean that's the road map for IGI.

Moderator: The next question is from the line of Tushar

Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So just extending on this U.S. FDA thing, if you could also highlight what's happening with respect to Goa and Baddi side?

Glenn Saldanha: So we've completed the remediation for Goa and we will be lobbying with the FDA to come and inspect us, right? I mean that's kind of where we stand with Goa. Regarding Baddi, for the time

Glenmark Pharmaceuticals Limited

August 16, 2024

Page 7 of 10

being, our focus for the U.S. market from the Baddi side is reduced. So it's not that significant for us.

Basically, the 4 major sites for the U.S. market for Glenmark are Goa, Indore, Aurangabad and now Monroe, right? These are the 4 sites which we supply the U.S. market. Also, keep in mind now U.S. market is 24% of total sales, right, for Glenmark, right?

And given the European performance, right, we are thinking that the European business could be as big as -- almost as big as the U.S. business by the end of this year. So there is a big shift in the overall revenues for the company if you look at the overall picture.

Tushar Manudhane: Understood, sir. So -- and further this, the gross margin, even on a quarter-on-quarter basis where our India, Europe sales has been higher, still the gross margin is sort of lower. If I think about it on a quarter-on-quarter basis, whereas even the raw material cost has been relatively subdued or soft at least as far as the industry-wide phenomenon goes. So if you could explain that.

V. S. Mani: Yes, so I mean, compared to quarter-to-quarter, it was almost 67% in the last quarter. I also

guided at that time. It can always be plus/minus 1%, depending on product mix, yield, etcetera. On an overall basis, we would like to guide that will always be close to 65% to 67%, give and take a percentage here or there. That's how we look at it.

Tushar Manudhane: Understood, sir. And if you could also call out how much has been the Ryaltris sales overall for the quarter?

V. S. Mani: It's closer to \$20 million in this quarter.

Tushar Manudhane: And how big this potential can be for China market?

Glenn Saldanha: So I think, look, Ryaltris for a full year, right, we anticipate close to \$80 million of sales, right?

We are pretty much on track to achieving that, right? I think China, some of the new markets, we are still not guiding towards but the launch is still a year or 2 away. So we have 3, 4 markets, which are still to be launched starting next year, which is mainly China, Brazil and a couple of other major markets, which will start contributing.

Tushar Manudhane: Understood. And sir, just lastly on WINLEVI, the launch still in FY '26. So anything -- any major milestones to be achieved before we go ahead with the launch? Given that it's taking almost 3, 4 quarters.

Glenn Saldanha: I mean it's just we're waiting for the approval from the European agencies, then we have price approval to be taken. That takes its own time. So it's all the pre-launch activities that we are working on. There's nothing beyond that to look at. And in some markets, we could launch end of this year. But conservatively, we are seeing FY '26.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: So first, on the India business, you launched liraglutide in January. I just want to understand how the launch has been progressing?

Glenmark Pharmaceuticals Limited

August 16, 2024

Page 8 of 10

Glenn Saldanha: So I think the liraglutide is a great opportunity. We are still challenged with some supply issues as and when we have sought that, it should be a good product to have in the portfolio. Currently, the initial offtake is very good for the product.

Kunal Randeria: But then, what's the market size, I mean pre-generic market size?

Utkarsh Gandhi: So Kunal, the whole GLP-1 market is -- it is about, I think, INR1,000-crores

as per IQVIA.

But I mean that's not a good reference point because it's still very much under-penetrated and...

Glenn Saldanha: And also, I mean, keep in mind, liraglutide is a daily injection, whereas semaglutide and some of the others are weekly injections and beyond. So it's a great product to have in the portfolio. It will do well. However, with semaglutide and some of the other GLP-1s, eventually, the focus will shift to the other GLP-1s over time.

Kunal Randeria: Sure. Sure. So then if I understand correctly, generics could increase the volume, but then it will be offset by some of the existing patients moving to semaglutide and others. So there -- I mean not really much from a revenue perspective to increase the market price.

Glenn Saldanha: No, there is scope, and that's something you will see in the second half of this year. We will continue to gain market share on liraglutide in the second half, right? But I think keep in mind that semaglutide goes on patent in '26. So there will be some shift, which will happen between semaglutide, liraglutide and some of the other anti-diabetic treatments, right, post '26.

Kunal Randeria: Yes. Got it. Okay. Second, again on India. So while 12% growth is quite strong. IQVIA showed somewhere around 15% to 16% over the last few months. So I just want to understand what there -- is there a discrepancy?

Glenn Saldanha: It's hard to -- I mean, look, our India growth is strong. The takeaway message is that we are outperforming the market consistently. And that will sustain, I think, going forward. So we're seeing strong growth in all our therapeutic segments that we operate in. And except for acute respiratory and diabetes, these are the 2 segments where there was a slight struggle in Q1, which we think will change over the course of the year.

India growth, all in all, is strong, right? But I think overall, you should peg us at 10% to 15%, right, 10% to somewhere thereabouts, right, on a full year basis.

Kunal Randeria: Sure. Sure. And just one for Mani sir, the depreciation and the tax was quite low in the quarter. So if you can just run us through what happened and what the expectations now for the rest of the year and next year, too?

V. S. Mani: So just to give you our guidance broadly, the depreciation and tax as well as interest, all this will be pretty consistent throughout the year what we see in Q1. And as far as depreciation goes, as you know, last year, we did have some of the write-downs, etcetera. So all that helped us to bring down the depreciation.

Plus, obviously, you can see in the Q1 also, there has not been too much addition to the block.

So I think we'll see how the year progresses, but broadly, this is where it should be. As far as the

Glenmark Pharmaceuticals Limited

August 16, 2024

tax, even last quarter, last year, I kind of indicated and guided that will be between 25% and 27%. That's where we will be. Yes.

Kunal Randeria: So what is driving lower tax? I mean U.S. would still be making losses, right? Perhaps Ichnos losses have come down, but what's driving this?

V. S. Mani: Yes. But some of the other -- like Ryaltris, etcetera, are doing well, some of them are based out of Europe, etcetera. So some of those places the tax rate are little lower now. So that helps us a lot. Yes.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on the Ichnos, what should we look forward to in Ichnos over the next 12 to 18 months? I mean any milestones? And by when you should expect them to play out?

Glenn Saldanha: So Nitin, as I mentioned, right, 2001 is doing really well for us, and we will do a presentation at the ASH conference, right, in December, right? At that conference, we will put out our clinical data, which should generate quite a lot of excitement in the community. So that's the near-term thing. And then after that, of course, the goal

is to do a partnership sometime next year around 2001.

Nitin Agarwal: And when is the readout for the other molecule expected, Glenn?

Glenn Saldanha: So currently, there are two, which are in active clinical trial, right? It's 2001 and 1442. 1442 is taking a little longer to get to PoC, but 2001 is ahead right now. So that will be the first followed by 1442. These are the two in clinical development. 1342, we are not doing any more clinical work, but we are actively looking for partnerships around 1342.

Nitin Agarwal: And are there any other assets which are any preclinical assets that you're looking to build out the sort of to grow through as we go along?

Glenn Saldanha: Near term, it's just these three that we are talking about, Nitin.

Nitin Agarwal: Okay. And secondly, Glenn, on the U.S. Now, obviously, you talked about the fact that it's become like a less than half quarter of the business now. Again, strategically, how do you look at U.S. now? What kind of investment in the generic part that you're looking to make? And where do you see opportunities, if any, in the U.S. business there?

Glenn Saldanha: I mean, clearly, on the U.S. business, the near term, the next 2, 3 years will be driven by our respiratory launches and the injectables coming out of Monrovia. These are the 2 drivers, right, that we have for the U.S. business. Following that, we have some sole FTFs like Gabapentin Enacarbil, Beta, Calci foam. So these are some of them.

We have a unique position on Axitinib. So I think these 2, 3, there are some very select products, but I think post H2 of this year, the U.S. business should start showing some good traction, right, in the second half of this year and beyond, right, mainly coming out of some of these unique launches, right, that we have for the U.S. business.

Glenmark Pharmaceuticals Limited
August 16, 2024

Nitin Agarwal: And, Glenn, what are timelines of some of these launches that you mentioned?

Glenn Saldanha: So H2 is broadly what I can give you, Nitin. I can't be more specific than that.

Nitin Agarwal: Okay. And lastly, Mani sir, on the cash flow, what is the outlook for the working capital last year? Where do we see ending the year end at?

V. S. Mani: So Nitin, as you recollect, even during the Q4 call, we had guided that we would be closer to 70 to 75 days. So as of now also, we are at about 62 days. So I believe that there could be some uptick because as you can see, the business is also growing, and we may have some little more increase in the working capital side, especially on the receivable side. Yes.

Nitin Agarwal: So all in all, we should 70, 75 days is what we should work through on a sustained...

V. S. Mani: Yes. 70 to 75 days would be ideal that you should work through. Yes. That's correct.

Moderator: As there are no further questions, I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Okay. Thanks, Lizanne. So before we end the call, we'd just like to state that the discussion materials provided during today's call, including information, statements and analysis made describing company's or its affiliate's objectives, projections and estimates are forward-looking statements. These are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause our actual outcomes to differ.

No representation of warranty, either expressed or implied, is provided in relation to these discussions, and this should not be treated by the recipients as a substitute for the exercise of their own judgment. The company also does not undertake any obligation to update or revise any forward-looking statements.

With that, we can close today's call. Thanks a lot for your participation.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited

d, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

Page 1 of 13

"Glenmark Pharmaceuticals Limited
Q2 FY '25 Earnings Conference Call "
November 18, 2024

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. ASHISH MUKKIRWAR – GROUP VICE PRESIDENT
AND HEAD OF STRATEGY – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – GENERAL MANAGER ,
INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED
Glenmark Pharmaceuticals Limited
November 18, 2024

Page 2 of 13

Moderator: Good morning, ladies and gentlemen. Welcome to the Q2 FY '25 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi, General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi : Thank you, Lizanne. Good morning, everyone. Welcome to the Q2 FY '25 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, we'll review the overall performance of the company for the second quarter of FY '25.

In Q2 FY '25, Glenmark's consolidated revenue from operations was at INR34,338 million as against INR32,074 million in the corresponding quarter last year, recording an overall year -on-year growth of 7.1%. For the 6 months ended September 30, 2024, Glenmark's consolidated revenue was at INR66,780 million, which is recording a Y -o-Y growth of 7%.

Let's review our overall regional performance, starting with India. Sales from the formulation business in India for the second quarter of FY '25 were at INR12,817 million as against INR11,252 million in the corresponding quarter last year, recording a growth of 13.9% Y -o-Y. The India business contribution was at 37.3% in the second quarter.

The Indian pharma market continued to witness a slowdown in the overall market. However, Glenmark continues to outperform the IPM in terms of Y -o-Y growth. Accordingly, as per IQVIA, Glenmark's India formulation business recorded a growth of 12.7% in Q2 of FY '25 and 13.1% as per MAT September '24 compared to the overall market growth of about 7.6% in both these timeframes.

In the second quarter, the acute respiratory market continued to witness a slowdown due to the seasonality factor. As a result, both the overall respiratory market and Glenmark's respiratory business recorded single -digit growth. However, Glenmark continues to outperform the overall market in dermatology and cardiac therapeutic areas.

Glenmark's India business now ranked 13th. So we've gained 1 rank from -- in terms of our overall ranking with a market share of 2.22% as per IQVIA MAT September data. We continue to have 9 brands in the IPM top 300 on a MAT basis. And in terms of key therapeutic areas, Glenmark is ranked second in dermatology, third in respiratory and fifth in the cardiac segment.

In terms of some key products, Lirafit, the company was actually the first to launch the biosimilar of liraglutide under the brand name Lirafit in India. It continues to be the only biosimilar in the market. Lirafit has seen strong traction in the overall GLP -1 market in India post launch. The company also plans to launch other GLP -1 agonists in the near future.
Glenmark Pharmaceuticals Limited
November 18, 2024

Page 3 of 13

JABRYUS, which is partnered with Pfizer. In Jan 2024, Glenmark launched JABRYUS abrocitinib, a first of its kind oral advanced systemic treatment for the treatment of moderate

-
to-severe atopic dermatitis in India in partnership with Pfizer. The company has initiated promotional activities and JABRYUS has been well received by dermatologists as a novel treatment for moderate to-severe AD, with improved efficacy and convenience to patients. Tislelizumab and Zanubrutinib, partnered with BeiGene. So Glenmark and BeiGene entered into an agreement for the marketing and distribution of 2 oncology products, Tislelizumab and Zanubrutinib in India. Under this strategic collaboration, Glenmark will be responsible for locally required development, registration and distribution, providing access to BeiGene's innovative oncology medicines for cancer patients across India. And these 2 products will be launched in the next 6 to 9 months post the receipt of the required regulatory approvals. Glenmark Consumer Care business in India recorded primary sales of about INR733 million with a Y-o-Y growth of 15%. The flagship brand, Candid Powder continued to deliver double-digit revenue growth in the second quarter. The brand continues to gain share and recorded 57.4% market share for the month of September. In Q2, the Scalpe portfolio also delivered a robust revenue growth of 40% and Scalpe -- the key variant there recorded double-digit growth.

Moving on to North America. The North America business recorded revenues of INR7,405 million for the second quarter of FY '25 as against INR7,498 million for the second quarter of FY '24. So this translates into a Y-o-Y decline of 1.2%. For the second quarter of FY '25, the North America business contributed 21.6% to the overall sales.

In the second quarter, Glenmark received approval for and launched Topiramate Capsules USP 15 mg and 25 mg. In addition, Glenmark launched 3 new over-the-counter products; adapalene gel, Cetirizine Hydrochloride tablets and Olopatadine Hydrochloride ophthalmic solution. Glenmark also acquired a previously approved ANDA for Acetylcysteine injection in Q2. This will be Glenmark's 8th commercial product in injectable portfolio for the U.S. market. Glenmark has also leveraged its strong development capabilities in the respiratory area to build a portfolio for the U.S. market. The company has filed 2 ANDAs for generic nasal sprays and is awaiting approval for the same. In addition, the company has filed the ANDA for generic FLOVENT 44 mcg of pMDI in May 2024.

During the second quarter, we filed 1 ANDA and we plan to file 2 more ANDAs in the upcoming quarter and the company also plans to launch 3 to 4 products in the upcoming quarter. Our Glenmark's marketing portfolio through September 2024 consists of 198 generic products authorized for distribution in the U.S. market. The company currently has 50 applications pending at various stages of the approval process of which 21 has Paragraph IV filings.

Moving on to Europe. Glenmark's Europe operations for the second quarter of FY '25 recorded revenue of INR6,874 million, recording a year-on-year growth of 14.6%. Europe business contributed 20% of the total revenues in the second quarter.

Glenmark Pharmaceuticals Limited
November 18, 2024

Page 4 of 13

Glenmark's European operations continued their strong growth trajectory, driven by a robust uptick of the branded business and sustained growth across all key markets. Glenmark continues to outperform the overall pharma market in key Central and Eastern countries like Czech Republic, Poland and Slovakia. Growth in the CEE region was also aided by 3 product launches. The Western European business also clocked double-digit growth for Q2; branded respiratory portfolio continues to have a strong trajectory in these markets.

Glenmark is now ranked 14th in the generic market of Germany as per the IQVIA MAT August data. Some of the key respiratory products, RYALTRIS, Salmex continue to sustain their market share across the region. Glenmark continues to focus on sustaining the increased

contribution from the branded markets and the branded portfolio in Europe. It is awaiting

approval for 4 additional respiratory products, which were filed in the fourth quarter of FY '23. And the company is also planning to launch WINLEVI in select markets of Europe starting FY '26.

Moving on to the RoW region. For the second quarter of FY '25, revenue from the RoW region was INR7,041 million as against INR7,339 million for the corresponding quarter last year, recording a decline of 4.1%. For the second quarter, the RoW business contribution was 20.5%. In spite of the lack of growth in the first 2 quarters of FY '25, Glenmark anticipates to finish the year -- for the full year FY '25 with a high single-digit Y-o-Y growth in RoW on a constant currency basis.

As per IQVIA, second quarter and MAT September data, Glenmark's Russia business recorded secondary sales growth of 16% and 19% in value. RYALTRIS continues to do well in the Russian market and gained further share during the quarter. Glenmark ranks 9th amongst the dermatology companies in Russia and 2nd amongst the companies present in the expectorant markets of Russia.

In Latin America, the respiratory portfolio continues to be the key growth driver. Glenmark launched the first generic Salmeterol + Fluticasone MDI in the Brazilian market. In the first quarter, the product has done well post launch. RYALTRIS was also launched in the Mexican market in the second quarter and is expected to be launching one to other markets in the region over the next 6 months, along with other device-based respiratory products.

In the Middle East and Africa, the company continued to achieve secondary sales growth in key markets. Glenmark is now ranked 2nd in the overall pharma market in Kenya. RYALTRIS continues to do well particularly in South Africa where it's the leading nasal spray for allergic rhinitis and has seen strong pickup in other markets also post launch.

In the Asia region, there were some markets witnessing slowdown due to the ongoing geopolitical challenges. However, new product launches in dermatology and respiratory are expected to contribute to growth in the upcoming quarters. RYALTRIS has continued to do well and significantly outperformed the overall market in the region, particularly in markets like Australia and South Korea.

Glenmark Pharmaceuticals Limited
November 18, 2024

Page 5 of 13

Moving on to our global brands, starting with RYALTRIS. So as of September, marketing applications have been submitted in more than 90 countries across the world. And the product has been commercialized in 41 markets. Further, it has received approval and will be launched in another 10 to 11 markets over the next few quarters.

As per IQVIA June -- MAT June data, RYALTRIS has seen robust performance in terms of both value and unit market shares. The company has -- the product has achieved high double-digit market share in Australia, Czech Republic, South Africa, Italy, etcetera. Glenmark's commercial partner in the U.S., Hikma, recorded consistently better performance on a Y-o-Y basis in the second quarter, backed by strong demand and a stable supply.

Menarini, Glenmark's partner in the EU, has witnessed steady increase in market share across its licensed market and the Grand Pharmaceuticals, Glenmark's partner in Mainland China has received acceptance of the NDA and the company expects approval to be received sometime in FY '26.

Moving on to Envafolelimab. So in Jan '24, Glenmark had announced the signing of a license agreement with Jiangsu Alphamab and 3D Med for Envafolelimab for India and most of the RoW markets. Envafolelimab, under the brand name ENWEIDA has already been approved in China by the Chinese NMPA in November '21 as the global -first subcutaneous injection PD-L1 inhibitor for the treatment of adult patients with severe MSI-high advanced solid tumors. In China, it's already included

as a breakthrough therapy by the Chinese regulatory authority, and it has been dosed to multiple patients in the Chinese market. Glenmark plans to file Envafolelimab in more than 20 markets in FY '25 and the first market launch is expected in FY '26.

WINLEVI, as mentioned earlier, in Q2 FY '24, Glenmark and Cosmo announced the signing of distribution and licensing agreement for WINLEVI in 15 European markets as well as U.K. and South Africa. The company is awaiting approval in its licensed markets and plans to launch WINLEVI in FY '26.

Moving on to IGI. So IGI today features a robust pipeline of innovative oncology molecules targeting multiple myeloma, AML and solid tumors. Two of the molecules have received orphan drug designation. And multiple myeloma remains a devastating and fatal disease with no current cure available. And the market for multiple myeloma is projected to grow from 23.5 billion to approximately 33 billion by the year 2030, driven by the aging population and the increasing incidence.

ISB 2001, our lead asset represents a groundbreaking approach in the fight against multiple myeloma. It is a trispecific T cell engager that targets BCMA, CD38 on the multiple myeloma cells, while engaging CD3 on the T cells to harness the body's immune system. This targeting mechanism enhances the tumour cell destruction and offers a new pathway to address the challenges faced in treating relapsed/refractory multiple myeloma. ISB 2001 is amongst the first trispecific antibodies developed for the use of multiple myeloma. In July '23, ISB 2001 received orphan drug designation for the -- from the FDA for the Glenmark Pharmaceuticals Limited. November 18, 2024

Page 6 of 13

treatment of multiple myeloma. The Phase I first-in-human study of ISB 2001 was divided into 2 parts: a dose escalation and dose expansion part.

The first patient was dosed in November '23 just about a year back. And the trial is now active in the U.S., Australia and India. Dose escalation is currently underway, and expansion is scheduled to initiate sometime in calendar year 2025.

ISB 2001 data, we recently announced that IGI will be presenting the first-time data from the Phase I study of ISB 2001 in an oral presentation at the 66th American Society of Haematology or ASH Conference in San Diego. The oral presentation will detail results from the dose-escalation portion of the study.

The abstract features data as of July 2024, including: An overall response rate of 75% in efficacy-evaluable patients, including 1 stringent complete response; a very favourable safety and tolerability profile that showed no dose-limiting toxicities and only 1 adverse event above Grade 2 and no treatment discontinuation so far.

The more updated data presentation will be available at ASH2024. And IGI aims to initiate partnering discussions post ASH2024. For any further updates, you can log on to the IGI website and go through the most recent quarterly update on the pipeline.

Some notes to the results before we open the Q&A. ForEx gain in the quarter was about INR7 crores, which was recorded in other income. R&D expenditure in Q2 FY '25 was around INR227.9 crores, which is 6.6% of sales of the second quarter. Total asset addition to the block in the quarter was INR79 crores, of which tangible addition was about INR59 crores and intangible addition was about INR20 crores.

Net cash for the period ended September was INR259 crores. And in terms of working capital at the end of September, inventory was at INR2,840 crores. Receivables were at INR2,860 crores and payables were at INR2,360 crores.

We have the management of Glenmark Pharmaceuticals on the call today, Mr. Glenn Saldanha, Chairman and Managing Director; Mr. V.S. Mani, Executive Director and Global Chief Financial Officer; and Mr. Ashish Mukkirkar, Group Vice President and Head of Strategy.

With that, we can open the call for Q&A.

Over to you, Lizanne.

Moderator: The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai : My first question is on India business. So you mentioned respiratory has seen some slow seasonal pickup, etcetera. So can you update how things have moved so far? And in terms of Q3, whether you expect respiratory to see a comeback?

Glenn Saldanha: So as you know, Glenmark, our India business has always been a very strong business for us, right? We continue to outperform the industry. Growth is almost 1.5x, 2x of the IPM growth. Glenmark Pharmaceuticals Limited. November 18, 2024

Page 7 of 13

consistently. We've seen some slowdown in the external environment in the last couple of months, right, and we believe that there's a possibility that this could continue for some time. So I think Q3, while at the secondary level, we will continue to outperform the IPM. I think the overall pharma market will continue to witness maybe low double digit -- low single-digit growth, basically, right, or mid-single-digit growth, right? So that's kind of where I see the overall pharma market 5% to 7%, 8% growth, of which we will continue to outperform.

Damayanti Kerai : Sure. My second question is, can you update us on status of Monroe plant in terms of any feedback or anything you have heard back from the FDA? And what is the timeline now you are looking for this particular plant in terms of GMP clearance?

Glenn Saldanha: So on our facilities per se, right, as you know, we had a very successful FDA inspection at our Aurangabad facility. We have zero observations coming out of that inspection. And we've done a lot of work in the remediation of Monroe and some of our facilities overall.

We had a meeting with the agency and on the Monroe facility specifically, and we are pretty

positive about the agency visiting us and reinspecting. And we think by the -- before the end of this year, there's a strong possibility we may reinstate commercial production.

Damayanti Kerai : So you already have a meeting date with the FDA, and you are ...

Glenn Saldanha: We've completed the meeting. We've already completed the meeting, and we are now waiting for the agency's next steps. We believe before the end of the year, there's a strong possibility that we will initiate commercial sales and production.

Damayanti Kerai : Sure. And can you also remind us like what kind of operating spend is currently there for this Monroe plant?

V. S. Mani : Yes, Damayanti. So I think we do about INR25 million to INR26 million a year as the operating expenses in Monroe plant, yes.

Damayanti Kerai : Okay. And my last question is on the Ichnos spend, you have already, I guess, done a lot of improvement and maybe it's down to, say, 60 million of annual run rate at this point of time.

But I guess progress in some of the assets, how do you see R&D holding up for Ichnos?

Glenn Saldanha: So we've -- on the innovation side, right, Ichnos, IGI is our innovation engine, right? So as you know, we spun it out with to bring in a strong focus in oncology and immunology. And now we've -- over the years, we brought down our spend quite dramatically, right? And now we're about -- at about 60 million, 70 million this year.

With the great data that we are seeing for 2001, we believe 2001 can be transformational, right, for both Glenmark and IGI and globally can be one of the most sought-after assets, right, in the multiple myeloma space with the kind of safety and efficacy data that we are seeing, which we will present at ASH.

So what we've done is a lot of our focus now is on 2001 as a single asset. We've actually curtailed some of our spends on the other assets. So I think going forward, you should

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 8 of 13

anticipate that we continue to remain in the 60 million, 70 million spend base, right, for IGI going forward.

Moderator:

The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Glenn on -- just a couple of housekeeping questions. First, I'm remembering how -- on the working capital, there has been a pretty sharp increase in net current assets trending higher than what you guided for the year. So what is your outlook for the balance part of the year on this?

V. S. Mani : So thanks for the question, Nitin . Mani here. So I'll try and put a few things together. So first of all, our debtors are at about 78 days, and this is in line with the industry benchmarks. And if you recollect, the guidance that this will go up during our earlier calls as well. During the last year, we have taken certain corrections due to which our debtors were lower, 57 days. This is now steady state, so we see it remaining at current levels, okay? And obviously, this quarter, even our payables were a little lower. So all in all, it looks like that. But I think broadly, working capital should be around these levels.

Nitin Agarwal : So for the year, where do we see the money working capital ending up typically on a sustained basis now?

V. S. Mani : Sorry, can you repeat the question, Nitin?

Nitin Agarwal : I mean earlier, we said 75 to 80 days on a net working capital. Are we seeing sticking around there -- around those levels or it's going to be a little higher than on a sustained basis?

V. S. Mani : It should be slightly around that level. And see, another thing if you look at it, the payables also came down sharply. So to that extent, the debtors will more or less what I had kind of guided to. Payables came down a little more. So it depends on the timing, everything put together. So I think broadly, it should be around 80-plus days, yes. That's where...

Nitin Agarwal : Okay. And secondly, on the other expenses, there's been a pretty large sharp move on a Q-o-Q basis, Y-o-Y, I'm not sure if you can really compare them. But irrespective of whichever you look at it, anything specifically which drove other expenses?

V. S. Mani : There's no one-off as well, but let me explain again there. Broadly, it's basically higher spend in sales and marketing. As you can see, our R&D is more or less where it was. Basically, sales and marketing promotion, particularly in our branded markets, okay? So as you can see, we have stepped up our sales of branded. There is more of a one-time spend in the business. A little bit of freight costs also have gone up marginally because of the -- basically, Middle East, etcetera. During the course of the year, it will stabilize and will normalize at about 26%, which has been our historical trend over the last couple of quarters or years.

Nitin Agarwal : Okay. And Glenn, on the ISB 2001, at what stage do you think we are from a license -- from a discussion perspective on the licensing? And how much time do you think this kind of things normally take?

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 9 of 13

Glenn Saldanha: So I mean, Nitin, we've been doing this for almost 25 years now, right, innovation. And I think this is the first time we have a real world -class asset, right, which can be transformational in the multiple myeloma space. So I think if you look at the journey, we will initiate discussions post-ASH. But clearly, this -- we won't be in any hurry to close something quickly. So we are giving ourselves most likely FY '26 is when you can anticipate something happening, right, on the partnership side.

Nitin Agarwal : Okay. And ex of the partnership, I think we should assume that IGI will keep spending about \$60 million to \$70 million per annum on innovation?

Glenn Saldanha: That's correct. I think -- I mean, the way to think about this is, we believe that post partnership, we will not need to fund IGI beyond that, okay, right? They will go on their own independent journey after that, right, through the proceeds of the partn

ership as well as a possible IPO that we've always guided to.

Nitin Agarwal : On that, Glenn, because as you mentioned, IGI right now is -- your focus is largely on a single -- so largely in 2001. I mean does IGI with a single molecule focus become hypothetically, assuming all goes well, IPO -based candidate only a single molecule?

Glenn Saldanha: I mean, Nitin, there are -- all it takes is 1 asset, right? I mean look at KEYTRUDA and some of the large assets, right? That's all that it takes. Remember that in the innovation space, it's not a matter of numbers. It's just having 1 world -class asset. And I think after 25 years, this is possibly the one, which we think can be transformational.

Nitin Agarwal : And if I take the last one, again, on the U.S. from an increment when you're working on the pipeline for the future years, what are the focus areas for the pipeline incrementally for you? I mean, respiratory, obviously is one. Beyond that, what are the areas that you're focusing on apart from respiratory?

Glenn Saldanha: I think most of our efforts are on respiratory and injectables. Those are the 2 areas which we are pushing aggressively on, right, for the U.S. portfolio. And I think -- I mean we are expecting the first respiratory launch in the next 6 to 9 months, right? And from there on, you should see continuous launches of respiratory products. And these are both in the MDI and nasal spray area, right, initially. So that's a big area for us.

And then injectables, as you know, we've got 8 injectables on the market. We are hoping to launch a few more in the next 3 to 6 months. And then post that, the Monroe products will start coming to market from later this year or early next year, right? So we have a full slew of rollout in the injectable and the respiratory space.

Moderator: The next question is from the line of Ankit Minocha from Adezi Ventures Family Office.

Ankit Minocha : Looking at your operating margins and EBITDA margins I think you're already kind of touching the 18%, 19% level this year. Kind of looking at other things on the market, pricing trends, etcetera, what do you think this number could be for next year?

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 10 of 13

V. S. Mani : So if you recollect, we have guided during our Investor Day also that current year, we should be closer to 19%. And going forward, we'd see a percentage or 1.5 percentage improvement over the years. I think that's what we'll continue to guide to.

Ankit Minocha : Okay. Understood. And in general, there was some degrowth that was seen in North America and the rest of the world market. What was primarily the reason for this? And how do you see these trends moving forward?

Glenn Saldanha: So the U.S. market has been a huge struggle, right, for us over the last few years. I think Q3 is looking like a much better quarter, just given the fact that we'll be launching 3, 4 new products. And then Q4 onwards, you should see the numbers go up even further. And I think the runway is once we get these respiratory products approved, right, which should happen in the next 6, 9 months, the U.S. should come back towards a strong growth trajectory.

As regards to RoW, we think it's -- we're coming off a high base last year. So I think on a full year basis, we'll grow high -single digit. And then going forward from next year, we'll be back to the 15%, 20% growth levels.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : Sir, just a clarification, this first respiratory launch timeline, what did you highlight, sir, if you could repeat?

Glenn Saldanha: We've given ourselves 6 to 9 months to get the first launch. It could be earlier, but that's the outer timeline that we give ourselves.

Tushar Manudhane : And this product -- does this product also have any litigation aspect as well or i

t's just the

approval and then we are good to launch?

Glenn Saldanha: It's just approval and good to launch.

Tushar Manudhane : Right. And just on other expenses, again, like this 26% of sales is something, which is sort of a -- is it like 3Q onwards? Or it's going to be more like over a period of time, this other expenses to come down to 26% of sales?

V. S. Mani : I couldn't get your question fully, correct. Can you please repeat again?

Tushar Manudhane : Sir, other expenses for this quarter has been higher, including, let's say, R&D. But as you highlighted in the earlier comment that this should stabilize at 26% of sales, which is more like 3Q onwards? Or this is more like a medium- to long-term target?

V. S. Mani : No, I guided for the full year being closer to 26%. And R&D, by the way, is lower, okay? It's about 7% for the first 6 months. So as I already explained, this is broadly in terms of sales and marketing and promotional expenses, and some amount of freight costs that have gone up. So I think during the course of the year, this should stabilize, yes.

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 11 of 13

Tushar Manudhane : Got you. Because the first half, the sales has been more or less at such spread out and it's literally half of what we are talking for full year. But first half EBITDA margin is broadly 18%. So just trying to understand what will drive the EBITDA margin so that we end full year at 19%?

V. S. Mani : Sure. So as you can gather that we're close to 18%. And I think in the second half with a couple of good launches as well as RYALTRIS getting approved in some more geographies.

Overall, we see the trajectory going closer to 19%.

Moderator: The next question is from the line of Neha Kharodia from Abakkus.

Neha Kharodia : Sir, 2 questions from my side to understand the industry point of view for U.S. market. One is on the U.S. price erosion scenario currently? And how do we look at it going forward? And secondly, if Robert F. K. Jr. becomes the next U.S. Health Secretary, how do we look at it in terms of do we expect more ANDA approvals? Or do we expect price erosion to increase going forward?

Glenn Saldanha: I think, Neha, this is a very tough question, and nobody knows how it's going to play out, right, from here on. But all I can say is just given our experience during the last Trump administration, right, I think price erosion was pretty high. But I think now over the last 10 years, the industry has also changed significantly, right, and given that there are lots of new approvals, so every product is super competitive.

So there's -- margins are always under pressure. Return on capital employed is not the greatest in the U.S. business. So given all these pressures, right, I honestly don't see a room for further price deflation, right, in that market, right? So that's the current scenario for the U.S. business.

Neha Kharodia : And currently, what is the level of price erosion that we are seeing for us and also for industry in general in the U.S. market?

Glenn Saldanha: I think it's low single digit now.

Moderator: The next question is from the line of Ankit Minocha from Adezi Ventures Family Office.

Ankit Minocha : You were speaking to an earlier participant about progress happening on Monroe. So just from a top-level picture, how does sales Monroe does read some sort of positive impact moving forward? What sort of impact does it have on the P&L? And what are the kind of triggers that drive the business?

Glenn Saldanha: So look, so Monroe, our -- clearly, as and when we -- as Mani mentioned, right, they're already burning \$25 million, \$26 million every year, which is baked into our numbers, right? So I think going forward, as we start launching products from there, right, they will -- we will see those flowing into the margins, right, and will give us a margin expansion and improvement, right.

right, over the next few years. I mean that's the way to think about Monroe.

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 12 of 13

Ankit Minocha : Okay. Okay. And my second question is about RYALTRIS. I mean, do you see any price erosion kind of coming in there as well? And how does it work with that particular product in terms of margins and growth moving forward?

Glenn Saldanha: So RYALTRIS is a branded product, right? So there's no price erosion per se. I mean if anything, there is price increases that you get basis inflation, right, for most of the branded

products. And we believe that this will have a long runway, right? So this is our second or third year of launch. And we're tracking at about \$80 million annual sales, and this will keep growing rapidly, right, to becoming a \$200 -plus million product over the next 3 to 5 years.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Glenn, on the -- just taking the specialty point forward, when do you see the launches of Enva and WINLEVI coming through? And are you looking to sort of get into more of such licensing deals for the specialty portfolio for RoW market?

Glenn Saldanha: So WINLEVI will launch, Nitin, over the next maybe 9 months from here in the European market, right? We're hoping to get approval before the end of this year and then commercialization will happen early part of next year. As regards to Envafolelimab, we filed in 20 markets. We think we can start launching as early as Q4 in 1 or 2 markets. And then thereafter next year, we will see a number of launches. And from there on, it will take us at least 2 or 3 years to get to a certain scale for Envafolelimab, if not longer, right?

Regarding your question, Nitin, on additional in-licensing opportunities. I mean, we keep doing deals on in-licensing. I mean, for example, we did abrocitinib with Pfizer. We did BeiGene. We got 2 of BeiGene's assets for the India market. So this is a constant build-out for us. Clearly, we've defined that over time, we want to keep moving up the value chain, right? And that's the journey we are on, right? And hopefully, if all goes well, this will finally end up with a 2001 launch, right?

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : So just on the Lirafit, if you could share your experience now since launch in January '24, how has been the acceptance both in terms of the medical community as well as the patient community?

Glenn Saldanha: So as you know, Lirafit is the first GLP -1 product that we have launched in India, right? And the acceptance is fairly good from the market. We struggled a little bit in terms of supplies. But I think now from December onwards, we are hoping that the supply situation should improve. And thereby, we will continue to scale the brand in the diabetes space. So being the first GLP -1, we are seeing the feedback pretty positive from the medical community.

Tushar Manudhane : And the supply issue was -- if you could elaborate further on this supply cost?

Glenmark Pharmaceuticals Limited

November 18, 2024

Page 13 of 13

Glenn Saldanha: Well, it's a complex product, right? It's a biological origin, right, peptide, right? So I think given that it's -- there have been challenges in scaling it up. But now I think we are in a much better place.

Tushar Manudhane : Good. This is more like from a CMO organization you would be procuring, right?

Glenn Saldanha: Sorry, I can't hear you very clearly.

Tushar Manudhane : So sorry. This is more from a CMO organization, which you would be procuring this drug, right?

Glenn Saldanha: Yes, that's right. I mean we have some partnerships for supply.

Moderator: As there are no further questions, I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi : Thank

you, Lizanne. Before we end the call, we would just like to state that the discussion materials provided during today's call, including information, statement and analysis made describing company's or its affiliate's objectives, projections or estimates are forward-looking statements. These are based on current expectations, forecasts and assumptions and are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially. No representation of warranty, either expressed or implied, is provided in relation to this discussion and should not be regarded by recipients as a substitute for exercise of their own judgment. The company undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise. With that, we can close today's call. Thanks a lot for your participation.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

Page 1 of 14

"Glenmark Pharmaceuticals Limited
Q3 FY '25 Earnings Conference Call "
February 17, 2025

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN
AND MANAGING DIRECTOR – GLENMARK
PHARMACEUTICALS LIMITED
MR. V. S. MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. ASHISH MUKKIRWAR – GROUP VICE PRESIDENT
AND HEAD OF CORPORATE STRATEGY – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
February 17, 2025

Page 2 of 14

Moderator: Good morning, ladies and gentlemen. Welcome to the Q3 FY '25 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Lizan. Good morning, everyone. Welcome to the Q3 FY '25 Results Conference Call for Glenmark Pharmaceuticals Limited. Before we start the Q&A, we'll review the overall performance of the company for the third quarter of FY '25.

In Q3 FY '25, Glenmark's consolidated revenue from operations was at INR33,876 million as against INR25,067 million in the corresponding quarter last year, recording an overall Y-o-Y growth of 35.1%. For 9 months of FY '25, Glenmark's consolidated revenue was at INR1,00,655 million as against INR87,501 million, recording a Y-o-Y growth of 15%.

We'll cover the -- each of the regions in a little bit more detail, starting with India. Sales from the formulation business in India for the third quarter of FY '25 were at INR10,637 million as against INR2,658 million in the corresponding quarter last year, recording a growth of about 300%. The India business contribution in this quarter was 31.4% to the overall revenue. In terms of our overall secondary sales, Glenmark continues to outperform the Indian pharmaceutical market in terms of Y-o-Y growth. As per IQVIA, Glenmark's India formulation business recorded a growth of 9.6% in Q3 of FY '25 and 12.3% as per MAT December 2024 compared to the overall market growth of 7.2% in Q3 and 7.4% in MAT, respectively. Glenmark continued to perform well in its overall -- in its key therapeutic areas, particularly in dermatology and cardiac. Glenmark's India business is now ranked 13th with a market share of 2.23% as per IQVIA MAT December 2024 data. The company added 1 brand to the IPM Top 300, so we now have 10 brands in the IPM Top 300 brands.

And in terms of our key therapeutic areas, we are ranked second in dermatology, third in respiratory and fifth in the cardiac segment as per the IQVIA MAT December data. So

obviously, we have improved our market share in some of these key therapeutic areas as well, some of which has been provided in the MD&A.

We have some key launches in the last few quarters in our key therapeutic areas, products like LIRAFIT, which we launched as the first biosimilar of Liraglutide. It has seen good traction in the market post launch. We are also planning to launch other GLP -1 agonists in the near future.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 3 of 14

And in the dermatology segment, we launched JABRYUS, which is Abrocitinib. This is in partnership with Pfizer. It's an oral systemic treatment for moderate -to-severe atopic dermatitis. And again, this product has also been received well by dermatologists.

We also have two oncology products, which we had partnered with BeiGene: Tislelizumab and Zanubrutinib. We will be responsible for locally required development, registration and distribution of these products in India. And Glenmark plans to launch these products over the next 3 to 4 months once we receive the required regulatory approvals.

In terms of our Consumer Care business in India, primary sales for the GCC business in Q3 was INR566 million with a Y -o-Y growth of 13%. The company's flagship brand, Candid Powder, gained market share as per IQVIA data, and our brand market share now is at 5

5%. In the third

quarter, the Scalpe portfolio also delivered robust growth as well as La Shield, which delivered growth of 13.5% as per IQVIA MAT December data.

Moving on to North America. The North America business recorded revenue in Q3 of INR7,813 million for the third quarter as against INR7,705 million for the third quarter of FY '24, which translates into a Y -o-Y growth of 1.4%. For the third quarter of FY '25, North America business contribution was at 23.1%.

Glenmark U.S. business continued to remain challenging due to lack of meaningful launches during the quarter. However, the company expects an uptick in the business, particularly from FY '26 onwards on the back of potential launches in the respiratory and injectable segments. Glenmark expects to launch some of its respiratory ANDAs from H1 FY '26 onwards. And the company continues to augment its commercial portfolio in the meantime through partnered product launches to help the business growth in the near term.

In the third quarter of FY '25, Glenmark launched Travoprost Ophthalmic Solution and Lacosamide Oral Solution. We filed one ANDA during the quarter and plan to file one more ANDA in the upcoming quarter. We have eight commercial products in the -- 8 commercial injectable products in the U.S. market.

We have also leveraged our strong development skills in the respiratory area. Glenmark has filed two ANDAs for generic nasal spray and is awaiting approval for the same, as well as we mentioned earlier that we have filed the ANDA for generic Flovent 44mcg MDI in May 2024.

Glenmark is also working on filing the other -- ANDAs for the other two strengths of Flovent as well as other respiratory products which are currently in the pipeline.

Glenmark's marketing portfolio through December 31, 2024, consists of 201 generic products authorized for distribution in the U.S. The company has 51 applications pending at various stages in the approval process along -- of which, 22 are Paragraph IV applications.

Moving on to Europe. Glenmark's Europe operations revenue for the third quarter of FY '25 was at INR7,297 million as against INR6,357 million, recording a Y -o-Y growth of 14.8%. Europe business contributed 21.5% to the total revenues in the third quarter of FY '25. The branded business in Europe -- in Glenmark's European operations continued its trajectory, driven by sustained growth across all key markets.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 4 of 14

Over all, CEE region did face some challenges due to seasonality, however, RYALTRIS particularly has done very well. It continues to gain market share across the countries where the product has been launched. And branded respiratory portfolio in the Western European business also has sustained its growth momentum with key brands like RYALTRIS, Salmex continuing to sustain and gain the market share in terms of value and volume.

Glenmark is now ranked 13th in the generic market of Germany as per the IQVIA data. Going forward, we continue to focus on sustaining the increased contribution from branded products and branded markets in Europe. Glenmark is awaiting approval of four respiratory products, which were filed in Q4 FY '23. And recently, the company announced that it has received approval from the MHRA to market WINLEVI in the U.K. The company is planning to launch WINLEVI in the U.K. as well as other select markets of Europe in FY '26.

Moving on to the ROW region, which consists of Russia, CIS, Latin America, MEA region and the Asia Pacific countries. For the third quarter of FY '25, revenue from the ROW region was INR7,491 million as against INR7,271 million for the corresponding quarter last year, recording a Y-o-Y growth of 3%. For the third quarter of FY '25, the ROW business contributed 22.1% to the overall sales. The reported growth for the ROW region during the quarter was impacted due to the adverse currency

movements in some of the key markets.

As per IQVIA MAT December data, Glenmark's Russia business recorded secondary sales growth of 16.6%. RYALTRIS sustained its momentum and gained further share during the quarter in the Russian market. In dermatology, Glenmark demonstrated strong growth of 20 - plus percent in value versus overall retail market growth of around 16%, as per the IQVIA data. Glenmark continues to be ranked ninth amongst the dermatology companies in Russia as well as second amongst the companies present in the respiratory expectorant market in the Russian country.

For Latin America, the respiratory portfolio continued to be a key growth driver. Glenmark launched the first Salmeterol + Fluticasone MDI in the Brazilian market in Q1. The product has done well post launch. The company also received approval for Salmeterol + Fluticasone DPI in Mexico, and RYALTRIS was also launched in Mexican market in Q2 and since has gained share in that country.

In the Middle East, Africa region, the company continues to achieve good secondary sales growth in key markets. Glenmark continues to be ranked second in Kenya. And RYALTRIS, which is a major product in the South African market, continues to be the leading nasal spray for allergic rhinitis there.

In the Asia region, key markets like Malaysia and Sri Lanka recorded double-digit growth. RYALTRIS continued to drive the, again, the significant outperformance in the Australian market. And we have some new product launches in dermatology and respiratory, which will contribute to growth in the upcoming quarters.

Quickly covering some of our key global brands. So we talked about RYALTRIS. As of December '24, marketing applications for RYALTRIS have been submitted in more than 90 countries.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 5 of 14

and the product has been commercialized in 43 markets. Further, we expect to launch in another 12 to 15 additional markets over the next few quarters.

As per the IQVIA data, we have -- RYALTRIS has seen robust performance in terms of value and unit market shares, particularly in some of the markets we covered during the earlier part of the commentary. Glenmark's commercial partner in the U.S., Hikma, recorded decent performance on a Y-o-Y basis in the third quarter.

Menarini, Glenmark's partner in the European region, has also witnessed steady increase in market share across its licensed markets. The product also does well in the South Korean market where Yuhan Corporation, our partner, is marketing on our behalf. And Glenmark's partner in Mainland China, Grand Pharmaceutical, expects to receive the product approval sometime in FY '26.

So moving on to Envafolelimab. We had announced earlier in Jan 2024 the signing of a licensing agreement with Jiangsu Alphamab and 3D Meds for Envafolelimab for India and the ROW regions. Envafolelimab is already marketed in China. It has already been included in the list of breakthrough therapies by the Chinese regulatory agency.

And Envafolelimab is -- along with its key indication of being a PD-L1 for treatment of adult patients with previously treated MSI-high biomarker, Envafolelimab is also being investigated in clinical trials for additional oncology indications like non-small cell lung cancer. Glenmark plans to file Envafolelimab in more than 20 markets in the current year, and the first market launch is expected in FY '26.

WINLEVI. In Q2, we announced the licensing of WINLEVI with Cosmo. As mentioned earlier, the company recently announced the approval from MHRA in the U.K., and we are planning to launch WINLEVI in FY '26 in some of our licensed markets.

Lastly, covering IGI. IGI, Ichnos Glenmark Innovation, features a robust pipeline of three innovative oncology molecules targeting multiple myeloma, AML and some solid tumors. Two of the molecules have received orphan drug designation. In addition, IGI

also has two

autoimmune disease assets that have been out-licensed to companies: ISB 880, which has been out-licensed to Almirall; and ISB 830, which has been out-licensed to Astria Therapeutics.

In terms of ISB 2001, this is a trispecific antibody for oncology and immunology. It is a BCMA CD3 -- CD38 trispecific T cell engager that targets all the three biomarkers to harness the body's

immune system against cancer. It is amongst the first trispecific antibodies developed for use in multiple myeloma, and it received orphan drug designation in July 2023 from the U.S. FDA. The Phase 1 trial, first-in-human trial for relapsed/refractory multiple myeloma was initiated in November '23. That's when the first patient was dosed. The trial is now active across centers in the U.S., Australia and India. Dose escalation is currently underway.

And in December '24, we announced the first-time data presentation at the American Society of Hematology Conference in San Diego. The oral presentation was circulated to the investors as well, and it detailed out the dose escalation part of the study. ISB 2001 has shown a very

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 6 of 14

favorable safety profile with a very strong efficacy, overall response rate of 83%, along with 22% complete response or better and 50% very good partial response.

The overall response rate was 75% in patients pretreated with CAR-T or bispecific T cell engagers. And 80% of our patients remain on the treatment at the time of the data cutoff. IGI has initiated partnering discussions post the ASH conference, and the company aims to conclude a partnership in calendar year 2025. Further data from the Phase 1 dose escalation study will also be presented at the American Society of Clinical Oncology, ASCO, Conference in June 2025.

Before we start the Q&A, just a quick update on the notes to the results. Forex gain in this quarter was INR23 crores, which was recorded in other income. R&D expenditure in Q3 was around INR225 crores, roughly 6.6% of sales for Q3. Investment in IGI was USD 13.8 million. The total asset addition to the block during the quarter was INR143 crores, of which tangible asset addition was around INR72 crores and intangible asset addition was around INR71 crores.

In terms of working capital, at the end of December '24, inventory was at INR3,090 crores, receivables was at INR2,914 crores and payables was at INR2,212 crores. Net debt for the period ended December '24 was at INR109 crores.

We have the management of Glenmark Pharmaceuticals on the call today Mr. Glenn Saldanha, Chairman and Managing Director; Mr. V.S. Mani, Executive Director and Global Chief Financial Officer; and Mr. Ashish Mukkirwar, Group Vice President and Head of Corporate Strategy.

With that, we can open the call for Q&A. Over to you, Lizan.

Moderator: The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question was India business. So in some of the key therapies, you have definitely grown much better than the market. But just want to check your diabetes profile, it seems -- the growth profile for diabetes seems weaker than the market. So can you explain what is happening there? And how should we look at this?

Glenn Saldanha: Sure. So let me just talk about the entire India business. And then I'll come specifically to your question on diabetes. So if I look at our India business, we started the year by guiding to around INR1,100 crores per quarter, which is about a 9%, 10% growth. If I look at the first half, we did exceedingly well. We outperformed those numbers. And Q3, we've seen some slowdown in the respiratory space. But I think on a full year basis, we are pretty confident that we'll be able to meet our guidance, for the India business.

If I look at specifically each of the segments, cardiovascular, dermatology continue to do

exceedingly well. Respiratory, acute respiratory, we've seen some slowdown, although we are growing faster in the chronic area. And diabetes, we've had some challenges in terms of stock levels for LIRAFIT. But every month, we're getting better in terms of the supply of LIRAFIT. So I think LIRAFIT, once we come into full supply, which should be in the month of -- in this month or next month, in this quarter, then you'll see the diabetes growth coming back.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 7 of 14

The other thing to keep a watch out for is, obviously, once the GLP-1s -- this is the first GLP-1, but once the subsequent assets come to market, that will further enhance our diabetes sales. So across the four therapeutic areas that we operate in India, and of course, oncology, we are looking at a good FY '26 primarily because of the BeiGene products, Tislelizumab and Zanubrutinib, which should contribute pretty significantly to the oncology business in India, so these five segments will continue to do well for the company going forward.

Damayanti Kerai: But the stock level problem which you mentioned for LIRAFIT, is it specific to that particular product? And in other part of the portfolio, how is the performance? Because market has grown, but you seem to be in...

Glenn Saldanha: So in diabetes, we've traditionally had two molecules, remogliflozin, with the new -- remogliflozin and teneligliptin. With the new DPP -4s and SGLTs that have come into play, we've lost some share on both these molecules. But some of it has been offset with the launch of LIRAFIT, and LIRAFIT continues to do well. So I think across the board, the segment continues to do well and will continue to grow every year from here on.

Damayanti Kerai: Okay. Got it. My second question is on your U.S. business. So again, if you can share the status of Monroe plant because I guess we have been waiting for like quarter after quarter, but if you can share the latest status, that would be helpful?

Glenn Saldanha: So let me start with just giving a broad overview on the U.S. business, before I go to Monroe. So if I look at the U.S. business, I mean every quarter, things are getting better. I mean I think Q4, we have some interest from some good launches, which will ensure that we have Q-on-Q growth in the fourth quarter.

If I look out to FY '26, we have 2 major launches in the first half of FY '26. One is, of course, fluticasone 44 MDI, Flonase, where we believe we have an exclusive position. We also have fluticasone nasal spray, getting launched in first half of FY '26. Both these are very big products, so should contribute pretty significantly to the growth.

In addition, we have the other strengths of fluticasone MDI getting filed in FY '26 and one other respiratory MDI product getting filed in FY '26. I mean all this put together, in FY '27, if you see the market potential of this entire franchise, the filings and the launches we are doing this year, you're looking at almost \$600 million, \$700 million of franchise coming to market in FY '27.

In addition, we have 3 sole 180-day exclusivities/180-day first-to-file/exclusivities coming up in FY '27 and '28, which is another \$800 million market. So I mean, the next 2, 3 years, FY '26, '27 and '28 should be strong years for the U.S. business.

Now with that backdrop, Monroe, we are still waiting for the FDA to come in and inspect us at Monroe, but we continue to take batches, and we continue to file some of our products out of Monroe. So -- and these are mostly injectables, complex injectables. So I think longer term, given the geopolitical situation, I mean we think Monroe should have a significant benefit, as we go forward. So it's only a matter of time. We think Monroe should pay back and start playing out as we go forward.

Glenmark Pharmaceuticals Limited
February 17, 2025

Page 8 of 14

Damayanti Ker

ai: Sure. And when did you have your last communication with the FDA regarding Monroe plant?

Glenn Saldanha: So we did a meeting with them, I think it was a couple of months ago. And since then, we give -- we send in constant updates to them on the status of our remediation.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on ISB 2001, is there any more update post the ASH data that you presented? And how should we look at this asset now going forward?

Glenn Saldanha: So clearly, ISB 2001 is a super-exciting product, and has the ability to be a transformational asset for Glenmark and probably the entire multiple myeloma space, given the data we put out at ASH. And subsequent to that, we've opened partnering discussions. So we were at JPM. We did a number of meetings with a lot of companies, and there is tremendous amount of excitement about the potential of this asset.

So we are clearly on course to finding a partner to drive ISB 2001. So I mean, we've given ourselves till the end of this year, but it could be earlier. But there is a tremendous amount of interest in the asset from a partnering perspective.

And the trial continues. I mean we continue dosing patients. We are hoping to start the dose expansion cohort in the next 3 to 6 months. So I think that process continues. So we'll have a significant number of patients before the end of this year. We'll have an update at ASCO on ISB 2001. So the rest of the process continues.

Nitin Agarwal: And from a partnering perspective, again, are there any specific data points which are make-or-break data points that incrementally that you are waiting? Or how should...

Glenn Saldanha: No, go ahead, Nitin.

Nitin Agarwal: I'm saying, so is there any trigger or anything, any milestone that will probably enable or accelerate the whole licensing part? I mean, what will take licensing to go through or not go through from here?

Glenn Saldanha: So we don't think that we are waiting on anything as of now, Nitin. So it's only -- I think it's all procedural from here. So we've just opened discussions in Jan. So it's going through the process.

Nitin Agarwal: I mean the point I was trying to ask is the data that you've got so far is enough for us to conclude the deal?

Glenn Saldanha: Yes, it is.

Nitin Agarwal: Okay. So how should one think about now depending upon when the licensing happens on the

innovation R&D spend for us going forward?

Glenn Saldanha: Our view is FY '26 will be the last year where Glenmark will have to put capital into IGI. I mean, IGI, given the partnering interest that we are seeing and the excitement around the asset, we are pretty confident that we'll be able to close a deal, which will fund IGI going forward. And then,
Glenmark Pharmaceuticals Limited
February 17, 2025

Page 9 of 14

of course, the long-term goal for IGI is then to IPO the company in the U.S. So that's the journey for IGI. So we believe FY '26 will be the last year of investment into IGI from Glenmark.

Nitin Agarwal: Right. And secondly, on the balance sheet, there has been this buildup of net working capital again. I think we are a little away from what we guided to at the start of the year for FY '25. So any thoughts on that? Where should we end the year at? And what is driving this increase right now?

V. S. Mani: Yes, sure. So Nitin, we are already -- I mean, in the beginning of the year, we did sort of guide that the working capital will go up. And some of the working capital items are pretty much close to what the industry levels are. In this quarter, obviously, there is some increase in the inventory based on the -- we already read out the numbers.

So we had to buy some -- as you know, we had also earlier discussed about some critical launches coming up in the next couple of quarters. So we had to build up some inventory for that. So Nitin, I

expect it to sort of normalize in the coming quarter and the first quarter. So I think broadly, that will help us to sort of improve our working capital.

Nitin Agarwal: And sir, if you could remind us what working capital days should we work with on a sustainable number?

V. S. Mani: So we are -- so maybe last quarter, we were at about 90 plus. So I think those are the levels at which I would expect to be there, yes.

Nitin Agarwal: Okay. And then lastly on -- you mentioned about Fluticasone MDI. What -- when are we looking at an approval? What's your assessment on when the -- what is sort of -- when does the approval come through for that for the first time?

Glenn Saldanha: So we've given ourselves till H1, Nitin. It could be earlier in the -- right? But H1 is when we anticipate first half of next year, 44 -- Fluticasone 44 will get approved.

Nitin Agarwal: Okay. And last one on the -- Glenn, for the guidance for the year, we'll keep tracking a little below on the EBITDA number -- EBITDA percentage number that we had earlier...

V. S. Mani: I'll take that, Nitin. So obviously, we are almost at about 18% for the 9 months so far. And as we had already sort of given during our commentary that we had some currency hits during the third quarter, especially. If we adjust for that, we would be close to 19%. So we almost had about INR71 crores coming out of some of the emerging markets in LAT AM and also in South Africa, etcetera, and Russia as well.

So I think if we were to take for that, we should be close to what we guided in the beginning of the year. Also, our turnover is also at about INR10,000 -plus crores. So Q4 is generally a good quarter. So we should close to be about INR3,500 crores. So I think broadly, we would be able to meet the numbers that we gave you and barring for this adjusting for some of the currency.

Glenn Saldanha: So on the full year, Nitin, we will hit both our top line as well as EBITDA guidance, adjusted for currency.

Glenmark Pharmaceuticals Limited
February 17, 2025

Page 10 of 14

Nitin Agarwal: And this is going to be my last one, on the overhead, staff costs, other expenses, there has been a reasonable control which has come through in the first 9 months in terms of Y-o-Y growth. I mean, do we expect -- I mean, these are now more sort of sustainable trends on these overhead increases?

V. S. Mani: Yes, absolutely. So as I told you, even in the last quarter, slightly, the other expense picked up. But I did tell you that full year would be about 27%. And broadly, we are there only. We are not going to exceed that. And obviously, the expenses don't happen, and sometimes a little bit comes here and there in terms of how we want to do sales and marketing, but I pretty much see where it is.

Moderator: The next question is from the line of Ashish from JM Mutual Funds.

Ashish: Sir, any update on respi and injectable segments for the U.S. market? Especially you guys are there on the ground, any update regarding the tariff discussions possibly in the U.S. market?

Glenn Saldanha: So respiratory, I have pretty much given you the road map. Between the three fluticasones, fluticasone 44, 110 and 220 put together is almost 500 million. In addition, you have fluticasone nasal spray, which can be a substantial product, and we have one more respiratory MDI filing

this year, which is another \$200 million product. So I think we are on a good track to get these 5 or 6 key respiratory launches, over the next few years .

On the injectable side, Monroe, we are continuing to file products. We're continuing to take batches, and we have some exciting filings going out this year and next year out of Monroe. We are just waiting for the FDA to come in and audit us in the interim. So these 2 segments, we continue to move forward nicely as a company.

We also -- in the near term, especially in Q4, you should see some good in -licensing product

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coming to market. We have some good launches coming up in Feb and in March, which should help this quarter partially, but help the next quarter in a significant manner. So I think all in all, it looks pretty good.

As far as the tariffs go, it's extremely hard to predict for anyone. What we've heard is that some of these are getting postponed, but it's extremely hard to predict how this will all play out in the long run.

Ashish: Fair enough. And any update on the entire GLP -1 category? You did mention about one of the biosimilar launches. But going forward, from a 2 - to 3-years perspective, as and when the GLP market in India opens up, how are we positioned? And yes, any update on this will be very helpful.

Glenn Saldanha: So in the GLP -1 Liraglutide, LIRAFIT, Glenmark was the first to launch the GLP -1 in India, injectable GLP -1. And we are well positioned to also launch semaglutide injectable and eventually oral also. So I think -- although I think it will be a crowded market, I think we are well positioned to launch the products in India.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 11 of 14

Ashish: And how about -- in terms of integration , obviously, we might be sourcing the drug substance and other products, other fill/finish opportunities from the other parties. But in terms of the MRs, the field force, our front end, would we have to deploy incremental capital or resources?

Glenn Saldanha: We already -- at Glenmark, we already have a strong diabetes franchise . So we won't need any additional resources. So we have all the necessary capabilities to commercialize these products.

Ashish: Fair enough. Sir, lastly, obviously, adjusted for currency, you did mention that 18%, 19% EBITDA margin run rate that we are already clocking. But going into FY '26, with India coming back, U.S. also a lot many launches coming into picture, any guidance on EBITDA margins you would like to give?

V. S. Mani : Yes. So if you recollect, even during our investor presentation, we had said that year -on-year, we expect a 1% to 1.5% improvement. So I think if things go well, we should definitely -- with these critical launches that we expect to come through, we expect to be improving by 1 percentage and 1.5 percentage.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Glenn, I heard your commentary on domestic business, but I'm afraid I'm not fully...

Moderator: Sorry to interrupt, Kunal, can you speak a bit louder? We're not able to hear you.

Kunal Randeria: Yes, sure. I hope this is better. Glenn, yes, I heard your commentary on the domestic business, but I'm not completely sure I fully understand this. See, the IQVIA growth was around 9.5% for Q3, while your reported growth -- I mean, reported would be on a decline, I guess, on a year -on-year basis. So why such a big delta? And even after I were to assume that primary sales were higher in H1, that still does not explain such a big delta. So if you can just...

Glenn Saldanha: Yes. So Kunal, as I said, look, we had guided to INR1,100 crores in the beginning of the year, which is a 9%, 10% growth. If you see the 9 months, we are at 6.3% growth, okay? Yes, Q3 was a soft quarter for us . And we discussed it's primarily because of acute respiratory, which is a big part of Glenmark's portfolio, okay . And we had a very good H1 . So I think we will meet our guidance, of 9% to 10% and the INR1,100 crores per quarter on an average, that we've guided towards.

Kunal Randeria: But then how would 4Q pan out? Because if I were to assume you'd be around INR4,400 crores for the last -- for the full year, last quarter would be, what, around INR900 crores, I guess, which would be, what, flat to slightly declining?

Glenn Saldanha: It could be better than that. Look, this is what we guided at the beginning of the year, Kunal. That's the way to think about

it . We could definitely be better than that. We will be better than that.

Kunal Randeria: Sure, sure. Okay. Got it. Secondly, on Indore plant, just can you talk a bit more about the observations and how critical this plant is in terms of revenue contribution and outstanding filings?

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 12 of 14

Glenn Saldanha: Sure. So I think the Indore plant got audited after 6 years. That's -- it's been a long time since we got audited. We had a very thorough inspection from the agency. There were no DI observations, and we're pretty confident we'll be able to address the observations. So I think from a revenue perspective, it's probably around 25% -- or 25% to 30% of total U.S. revenues comes from there, from that facility.

Kunal Randeria: Sure. And in terms of outstanding filings?

Glenn Saldanha: We have probably about four or five outstanding filings, but none of the products I mentioned are coming from Indore.

Utkarsh Gandhi: So it's more of our base OSD portfolio that's essentially filed from Indore. So we have some four, five-odd pending filings from there in the more near term. But none of the respiratory products or the injectable ones are coming out of Indore.

Kunal Randeria: So the injectable one would be from Nagpur.

Utkarsh Gandhi: Injectable is from Monroe.

Glenn Saldanha: Monroe.

Moderator: The next question is from the line of Anil Shah from Insightful Investments.

Anil Shah: No, most of my questions have been answered. Thank you so much.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just with respect to generic Flovent, just want to understand if you have additional queries here.

Glenn Saldanha: No, we've responded to all the deficiencies from the agency, and we are waiting for them to respond.

Tushar Manudhane: So I mean, has this happened recently and that's the reason why the approval is sort of indicated in first half FY '26?

Glenn Saldanha: I can't give more visibility than that. We've responded to everything. We're just waiting on the agency to -- for the approval.

Tushar Manudhane: Okay. Sir, secondly, on these three products which you highlighted about FTF 180-day exclusivity, where are we in terms of sort of filing approval cycle for these products?

Glenn Saldanha: So to the best of my knowledge, all the three are tentatively approved and are ready to get launched.

Tushar Manudhane: Okay. So more of -- so there's no litigation angle to these products?

Glenn Saldanha: No, they've all been settled.

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 13 of 14

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Glenn, just a follow-up from the previous question. There is this product Axitinib or Inlyta brand name in which you have a tentative approval, and I believe you are one of the first to file. Are you the first to file? And is that a launch we can expect in the next 1 or 2 years?

Glenn Saldanha: Bino, I cannot comment on the status of Axitinib. But clearly, we will -- you will see us launching this product as we go forward.

Bino Pathiparampil: In the next 12 to 24 months or beyond that?

Glenn Saldanha: I can't give you any visibility around that.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on the respiratory business, barring the set of filings you've talked about for this year, both on the -- I mean, can you give us more color on how is the -- is there anything more from a pipeline perspective in respi for the U.S.?

Glenn Saldanha: Nitin, we are constantly working on respiratory being a focus area for us. I think our current focus is even if we can get these products approved, Nitin, I mean you can imagine the kind of

sales potential, between the three strengths of Flovent, \$500 million market, the one extra MDI we are filing this year, another 200 million, and the nasal sprays put together.

So you're looking at a very large market potential. So I think even if we are able to get all these approved, the next 3 years should look very strong on the respiratory side for us.

Nitin Agarwal: Which I entirely get, Glenn. I'm just curious, is there more beyond this because...

Glenn Saldanha: Of course, we are working, Nitin, on the next set of products. But I mean now, we can't give any visibility.

Utkarsh Gandhi: More near-term opportunities, obviously, we have outlined here.

Nitin Agarwal: And secondly, if you can just give us a little more color on how RYALTRIS is faring? Any sense on the size it has got to? I mean, what size are you extending for the year on this?

Glenn Saldanha: So RYALTRIS, this year, we will be close to about \$80 million, second year of launch. We're

already tracking last quarter's almost \$19 million, \$20 million of sales. So almost \$80 million product for us. And we still -- next year, we still have some major markets to launch next year and the year after that, like Brazil, China and many more smaller markets where we are still waiting to launch the product. So I think RYALTRIS, over time, we are pretty much on track to achieving \$200 million, \$300 million of sales -- peak sales over time.

Nitin Agarwal: And from an accounting perspective because I presume a lot of -- is there a large proportion of the \$80 million which is coming in form of your royalties or profit share? How should one think about that number?

Glenmark Pharmaceuticals Limited

February 17, 2025

Page 14 of 14

V. S. Mani : Sorry, come again?

Nitin Agarwal: Is there \$80 million on royalty that you're booking? Is it a large chunk of it coming in from a profit share, which has a lot of more flow-through to the EBITDA?

V. S. Mani : No, no, no, that's not the case. It's quite stable. I don't think there is any royalty only. There's no major royalty in that. It's all sale of -- I mean we have what we have sold to partners or what we are selling directly. In a lot of markets, as you know, we have put our own field force. We have almost launched it now in 43 countries, Nitin. So it's not a question. So there's no major -- any royalty or anything in this.

Nitin Agarwal: Sir, what I really meant is, is there a much higher -margin business overall for us in the -- as a product than...

V. S. Mani : Yes, yes, it is a better -margin product, Nitin. It's because in a lot of geographies, we have launched it ourselves. So that's how it works.

Moderator: As there are no further questions, I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Thanks, Lizan. Before we end the call, we would just like to state that the discussion materials provided during today's call, including the information, statements and analysis made by the company or its affiliates, objectives, projections and estimates are forward-looking statements. These statements are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, and actual outcomes could differ materially from these statements depending on the economic conditions, government policies and other factors.

No representation of warranty either expressed or implied is provided in relation to the discussion and the documents, and it should not be used as -- by recipients as a substitute for the exercise of their own judgment. The company undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

With that, we can end today's earnings call. Thank you for joining us.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals

Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Page 1 of 18

"Glenmark Pharmaceuticals Limited
Q4 FY '25 Earnings Conference Call "
May 26, 2025

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. V.S. MANI – EXECUTIVE DIRECTOR AND GLOBAL
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. ANURAG MANTRI – PRESIDENT, FINANCE –
GLENMARK PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
May 26 , 2025

Page 2 of 18

Moderator: Good morning, ladies and gentlemen. Welcome to the Q4 FY '25 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi: Thanks, Liza nn. Good morning, everyone. Welcome to the Q4 FY '25 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, let's review the overall performance of the company for the fourth quarter and for the full year FY '25.

For the fourth quarter of FY '25, Glenmark's consolidated revenue from operations was at INR32,562 million as against INR30,630 million in the corresponding quarter last year, recording an overall Y -o-Y growth of 6.3%. For the 12 months of FY '25, Glenmark's consolidated revenue was at INR1,33,217 million, recording a Y -o-Y growth of 12.8%.

In terms of some of the key highlights for the fiscal year '25, in the third quarter, Glenmark assumed leadership position in some of its key therapeutic categories in India, ranking second in dermatology and third in the cardiac segment for the fourth quarter specifically.

Glenmark's Europe business continued its strong performance, growing at close to 18% for the full year FY '25. RYALTRIS continues to do well. It was launched in more than 10 markets in FY '25 and is now commercialized in 45 -plus markets globally. WINLEVI, our specialty product in Europe was received approval from the U.K. MHRA in the fourth quarter. And IGI, our innovation entity, presented first -time safety and efficacy data in 20 heavily pretreated patients from its Phase I study for ISB 2001 at the ASH conference in December last year.

Going through each of the regions -- regional performance, starting with India, sales for the formulation business in India for the fourth quarter was at INR9,430 million, recording a Y -o-Y growth of about 0.4%. India business contribution to the consolidated revenue in FY '25 was at 33.7%. Reported sales in the India region during the fourth quarter were impacted mainly due to 3 factors: continued weak growth in the acute respiratory market, mainly due to a low seasonal pickup. A highly competitive diabetes market, which resulted in a 10% decline for Glenmark in the fourth quarter and discontinuation of select noncore low -margin brands in the hospital and trade generics segment to improve overall business margins.

Despite the reported -- lower reported growth, Glenmark continued to significantly perform the IPM in terms of secondary sales as per IQVIA. Glenmark's India formulation business recorded a growth of 10.3% in the fourth quarter and 12% as per MAT March 2025. This is compared to

the overall market growth of 6.9% in Q4 and 7.7% for the MAT March period. In terms of its key therapeutic areas, Glenmark continued to outperform in dermatology and cardiac. In the respiratory area, growth was mainly driven by our chronic portfolio, which Glenmark Pharmaceuticals Limite d
May 26 , 202 5

Page 3 of 18

actually grew by 20 -plus percent in the fourth quarter. Glenmark continues to be ranked 13th with a market share of 2.25% as of MAT March.

The company has 10 brands in the IPM top 300 list. And as mentioned before, in terms of key therapeutic areas, Glenmark is ranked second in dermatology, second in respiratory and third in the cardiac segment as per IQVIA Q4 data. In terms of key launches, particularly in the fourth quarter, we launched empagliflozin in March. It's a widely recognized SGLT2 inhibitor.

The product was launched under the brand name Glempa, along with its fixed -dose combinations with linagliptin and metformin. We launched Lirafit last year. The product has seen good traction in the market with the doctors.

We partnered with Pfizer last year to launch JABRYUS, which is abrocitinib, a first of its kind oral treatment for moderate -to-severe atopic dermatitis. Again, this product has been well received. And tislelizumab plus zanubrutinib are 2 oncology partnered products with BeiGene. These 2 products will be launched in the first quarter of FY '26, and these will be transformational from the oncology point of view in India. In terms of India's Consumer Care business, the sales in the GCC business in the fourth quarter were INR852 million with a Y -o-Y growth of 23.5%. The flagship brand, Candid, Scalpe, La Shield all continued to deliver strong growth in the fourth quarter as well as for the full year.

Moving on to North America. The North America business recorded revenue of INR7,146 million for the fourth quarter of FY '25. This translates into a Y -o-Y decline of 5.4%. For FY '25, the North America business contribution was 22.6%. The U.S. business continued to remain challenging due to lack of meaningful launches.

And most of the launches that we did were back -ended towards the fourth quarter, so the full impact was not visible in the quarter. However, the company expects an uptick in the business from FY '26 onwards, particularly on the back of potential launches in the respiratory and the injectable segment.

Glenmark has already built out a large commercial portfolio in injectables through partnerships. And in respiratory, we have mentioned we are leveraging our capabilities. We have filed the ANDA for generic Flovent 44 MCG. And we have also filed a couple of nasal sprays.

We are working on filing the ANDA for the other 2 strengths of generic Flovent as well. And we have some other respiratory products in the pipeline. Glenmark is expecting some of these products to be launched from around H1 or mid of FY '26. And in the meantime, we continue to augment our commercial portfolio through partner product launches.

In FY '25, Glenmark was granted approval for 8 ANDAs, and we launched around 13 products, consisting a mix of oral solids, semisolids and injectables and oral contraceptive as well. Our marketing portfolio through March 31, 2025, consists of 206 generic products, and we have 51 applications pending at various stages of the approval process.

Glenmark Pharmaceuticals Limite d
May 26 , 202 5

Page 4 of 18

In Feb 2025, Glenmark entered into a settlement with 3 plaintiffs, Humana, Centene and Kaiser for a total of USD7 million. This settlement was with respect to the ongoing litigation related to Glenmark's generic Zetia launch. These plaintiffs had opted out of the original settlement signed by Glenmark in 2023 with the 3 main plaintiff groups. And the recent settlement also makes it clear that Glenmark denies each and every one of the allegations against it and settlement is not based on Glenmark having conceded or admitted any liability or illegality.

Moving on to Europe. Glenmark's Europe business for the fourth quarter was at INR7,335 million, recording a growth of almost 20%. Europe business did well in FY '25, now contributes about 21.4% to the consolidated revenues as of FY '25. The strong growth in Europe continued on the back of its branded business in all key markets.

The Central and Eastern European region witnessed double -digit growth across all markets. And the branded portfolio -- the branded respiratory portfolio in CE as well as in Western Europe has sustained its momentum.

RYALTRIS continues to gain good share across the countries where the product is launched. Going forward, Glenmark continues to focus on increasing the contribution of branded products

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and the branded portfolio in Europe, mainly in the respiratory and the dermatology areas. As we announced, we have received approval from the U.K. MHRA to market WINLEVI in the United Kingdom, and Glenmark is planning to launch WINLEVI in the U.K. in FY '26. Moving on to the ROW region. For the fourth quarter of FY '25, revenue from the ROW region was INR7,898 million, recording a growth of 4.9%. The reported growth in the ROW region during the quarter continued to be impacted due to adverse currency movements in key markets. In terms of contribution for FY '25, the ROW business contribution to the total revenues was 21.1%. Our Russia business continues to do well. As per IQVIA MAT March data, Russia -- Glenmark's Russia business recorded secondary sales growth of 10.2%. RYALTRIS is one of our key products there, again, continues to gain market share. In dermatology and in the expectorant markets in Russia, Glenmark continues to be amongst the leaders. We are ranked ninth in dermatology and second in the respiratory expectorant markets. Glenmark LatAm business recorded strong double-digit growth on the back of some key launches in the respiratory portfolio. The first generic for salmeterol, fluticasone MDI was launched by Glenmark in Q1 of FY '25 in Brazil and continues to gain share. And Glenmark continues to be ranked amongst the top 5 companies in the respiratory and dermatology areas in the Mexican market as well. In MEA, again, the company continued to achieve good secondary sales growth in key markets. RYALTRIS, again, is a strong growth driver, continues to be the leading nasal spray in allergic rhinitis in South Africa and has seen strong pickup post launch in some of the other markets. And finally, Asia, again, key markets like Malaysia, Philippines recorded double-digit secondary sales growth and continued to grow faster than the covered market as per the IQVIA data. And once again, RYALTRIS continues to be a significant outperformer, particularly in markets like Australia and Korea. Just covering some of our key global brands. Glenmark Pharmaceuticals Limited
May 26, 2025

Page 5 of 18

So again, starting with RYALTRIS, as mentioned, I think we -- RYALTRIS as a product continues to do well. We have submitted application in more than 90 markets. And as mentioned before, the product is commercialized in 45-plus markets. We expect to launch in 10, 12 additional markets over the next few quarters. As per the IQVIA available data, RYALTRIS market share has been very strong, particularly in markets like Australia, South Africa, Czech Republic and some of the other European markets. Menarini, Glenmark's partner in the EU has continued to witness a steady increase in market share. And in terms of Mainland China, Grand Pharmaceutical's, our partner there, expects to receive the product approval sometime in FY '26. Envafolelimab, Glenmark has filed Envafolelimab in around 15 markets in FY '25. The first market launch is expected in FY '26. The company has already received authorization for supply of Envafolelimab to Kenya via some early access programs. And we also plan to initiate a multi -- global multicenter Phase III study in some of the key indications like neoadjuvant, adjuvant and NSCLC in FY '26. WINLEVI, as mentioned before, Glenmark received approval from the U.K. MHRA in Jan to market WINLEVI in the U.K., and we'll launch the product in the U.K. We are awaiting approval in the other European markets. Moving on to IGI. IGI as mentioned before, we have a robust pipeline in IGI covering -- in oncology, covering multiple myeloma as well as solid tumors. We have ISB 2001, our lead asset, which is in clinical development and 2 additional clinical assets in immunology, which have been partnered out, ISB 880 and ISB 830. In terms of ISB 2001, this is a trispecific antibody that targets BCMA, CD38 on multiple myeloma cells, while engaging C

D3 on the T cells.

As mentioned before, 2001 is amongst the first trispecific antibodies developed for use in multiple myeloma. It received orphan drug designation from the FDA in July '23. And in fact, recently in May 2025, the U.S. FDA also granted Fast Track designation to ISB 2001 as a treatment for patients with relapsed refractory multiple myeloma, specifically patients who have received 3 or more prior lines of treatment. IGI also completed the enrollment of the Phase I dose escalation, which is a Part 1 of the study in March and also initiated and dosed the first patient in the dose expansion phase, which is a Part 2 of the Phase I study in April. In December, we presented -- IGI presented data for ISB 2001 in an oral presentation at the ASH conference in San Diego. This detailed out results from the dose escalation portion of the study in 20 heavily pretreated patients. The presentation is available on the IGI website as well. We have laid out the data and some of our earlier updates. And ISB 2001 will also -- data will also be presented by IGI at the upcoming ASCO conference in an oral presentation. So we'll have some additional data coming through in the next couple of weeks. A quick update on IGI's manufacturing facility. In March 2025, IGI announced its plan to seize all CMC development and clinical supply manufacturing at its manufacturing facility in La

Chaux -de-Fonds, Switzerland. As IGI is progressing its pipeline, it is anticipated that higher quantities of finished product will be required for future clinical programs and IGI CMC development and ongoing future clinical programs -- manufacturing of ongoing clinical Glenmark Pharmaceuticals Limited
May 26 , 2025

Page 6 of 18

programs will be moved to a network of well-established global contract development and manufacturing organizations.

Some key notes on the P&L and balance sheet. Forex loss during the quarter was around INR11 crores. R&D expenditure during Q4 was around INR236.7 crores, which was 7.3% of sales for the fourth quarter. For the full year, the R&D expenditure was around INR930.5 crores, which was 7% of the FY '25 sales.

Investment in IGI in the fourth quarter was \$13.8 million and for the full year was around \$61 million. But during the fourth quarter, there was also an exceptional loss associated with the closure of the La Chaux -de-Fonds manufacturing facility as well as associated with the generic Zetia litigation. This was detailed out in the P&L note as well.

Adjusted for this exceptional loss, the PAT was INR346.6 crores with an adjusted PAT margin of 10.6%. Total asset addition in the quarter was INR309 crores, of which tangible asset addition was around INR226 crores and intangible was around INR84 crores.

For the full year, the total asset addition to the block was INR698 crores. Net debt as of March 2025 was around INR489 crores. As of March 2025, net working capital in terms of number of days of sales was 104. Before we start the call, I just want to lay out some key targets for FY '26 in terms of our guidance for FY '26.

Revenue growth guidance is 10% to 12%. EBITDA margin guidance is 19% to 20%. We are guiding to a cash generation of around INR300 crores to INR400 crores in FY '26. And in terms of more granular guidance, including region-wise growth, the management will provide the same during an Investor Day in July, which will detail out some additional points on each of the regions and each of our other businesses.

We have the management of Glenmark Pharmaceuticals on the call today, Mr. Glenn Saldanha, Chairman and Managing Director; Mr. V.S. Mani is on the call. As previously announced, Mr. Mani will be retiring from his role as Executive Director and Global CFO. We extend our gratitude to him for his contributions. And Mr. Anurag Mantri is on the call as well. Anurag has recently assumed the position of Executive Director and

Global CFO. He brings with him over

30 years of leadership and management experience. So we warmly welcome him to the organization.

With that, we can open the floor for Q&A. Liza, over to you.

Moderator: The first question is from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Just a couple of questions from my side. Given the ANDAs and executive order in the U.S., have you told by the global pharma that valuations for all the originated products might recalibrate.

So any update on this, sir?

Glenn Saldanha: Well, I think the -- I mean, given the executive order towards the most favored nation clause, I think there's still -- clarity still needs to evolve on that whole thing. But our view internally is that the major impact will be for brand pharma as compared to generics.

Glenmark Pharmaceuticals Limited

May 26 , 2025

Page 7 of 18

Harshit Dhoot: Okay. Nothing on the products like -- the companies like IGI are working on that, something like ISB 2001 that we are working on?

Glenn Saldanha: IGI is still at a very early stage. They're not commercial. So there's a long way to go for commercialization.

Harshit Dhoot: Okay. So you don't foresee any impact going backward to the chain where basically big pharmas are doing licensing deal and all, keeping in mind the pricing going ahead?

Glenn Saldanha: No, we don't see any impact.

Harshit Dhoot: Okay. And second question, sir, how do you see the investment going forward? So as we know that you are basically working on the licensing deal in IGI. So the investments going forward will be led by the partner or you will also put in some money? How should we see that?

Utkarsh Gandhi: We didn't get the question...

Glenn Saldanha: Yes, there's a lot of -- the voice is not clear. But I'm guessing your question is towards investment...

Utkarsh Gandhi: In IGI going forward.

Glenn Saldanha: So we've clearly said that post closing a deal, we will -- IGI will be self-sustaining at least for

the next 3, 4 years. And we will not need to invest anything in IGI post -closing a deal.

Harshit Dhoot: Utkarsh, I missed the guidance part. I heard that EBITDA margin guidance...

Moderator: Sorry to interrupt, Mr. Harshit. Sir, may we request that you use the handset mode while speaking and not the speaker phone?

Harshit Dhoot: Utkarsh, I missed the guidance part. I heard that 19%, 25% EBITDA margin guidance. Anything else that you have said?

Utkarsh Gandhi: No, sir, I'll just say that again. So in terms of FY '26, we are guiding to a revenue growth of 10% to 12%, EBITDA margin of 19% to 20% and a cash generation of INR300 crores to INR400 crores.

Moderator: We move on to the next question that is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on your diabetes portfolio in India. So Glenn, we understand it's a space where competition is definitely rising up, but the kind of weakness we are seeing in the portfolio, it's a bit difficult to understand. If you can help explaining what is leading to such muted performance there?

Glenn Saldanha: Sure. If you look at the history in diabetes, Gl enmark was a nonexistent player in this space. And we launched 2 major molecules. One is remogliflozin and the other one is teneligliptin. Remo was the first time globally that we launched a molecule in the SGLT2 class and teneligliptin in the DPP -4 class. We were able to make significant headway in both -- with both these molecules
Glenmark Pharmaceuticals Limited

May 26 , 202 5

Page 8 of 18

till dapagliflozin went generic and sitagliptin went generic. And at that point, we were unable to sustain the growth.

So these 2 molecules were a big part of our diabetes port folio. What we've done now is we've transitioned from there to launching Lirafit, which is liraglutide. We also have sitagliptin. We also have empagliflozin, the 3 main molecules i

n diabetes. And the next step will be the launch of semaglutide. So I think that will help us stabilize and grow our diabetes franchise going forward.

Damayanti Kerai: Okay. So apart from these 2 products, remo and teneligliptin, can you say like your base products are broadly stable or we are seeing...

Glenn Saldanha: So the base is stable. At one point, these 2 products contributed almost 60% of the diabetes franchise, just to tell you how big they were, these 2 molecules. So the erosion that we saw was not -- we were struggling to sustain that.

Damayanti Kerai: Okay. So say with a couple of big launches -- good launches coming up in the portfolio, you are hopeful that this should go back to the growth trajectory?

Glenn Saldanha: That's correct.

Damayanti Kerai: Okay. And any indication like how lira is doing because Lirafit has b een launched for now a couple of months, right? So any initial number or indication which you can share?

Glenn Saldanha: So I think Lirafit, overall, the growth is good. The molecule is doing well. I mean we've had some challenges in supply. And we still c ontinue to face some challenges. We are hoping that in Q1, some of those will be behind us, and we will get full supply, and then we'll be back in terms of sales. But the molecule is doing well for us.

Damayanti Kerai: Okay. And Lirafit, you are doing in -house manufacturing or you're sourcing it from some partner?

Glenn Saldanha: No, we have a partner.

Damayanti Kerai: Okay. And right now, like the supplies are not yet fully optimized?

Glenn Saldanha: Correct.

Damayanti Kerai: Okay. My second question is on your ISB 2001 asset. So you mentioned you have started dose expansion studies in April. So earlier, I thought you were looking for the deal closure before we start this part of the study. But just like want to understand how many patients you are planning to recruit for this part of the study? And what kind of cost you are looking for this? And can you complete this phase without any deal, if it takes some more time?

Glenn Saldanha: So I'll just give you a color on 2001. So while we are doing the dose expa nsion, look, the clinical development doesn't stop. This is a -- speed is of the essence. So basis that, we started the dose expansion. We already have some patients already being dosed as part of the dose expansion.

Glenmark Pharmaceuticals Limited

May 26 , 202 5

Page 9 of 18

And it's progressing really well. We wi ll present -- we'll have an oral presentation at ASCO, which will give you full color on the scientific side of ISB 2001.

In parallel, we are in advanced discussions with multiple partners, all big pharma partners. And

the discussions are progressing real ly well, and we anticipate a positive outcome very quickly. We think a deal for 2001 will really be transformational for Glenmark. And it will overshadow anything else that we are doing in the near term. So I think you should see some visibility around a licensing deal pretty quickly. That's the only comment I can make as far as 2001 goes.

Damayanti Kerai: Okay. And just in terms of how many patients you are looking for this part of the study and maybe cost?

Glenn Saldanha: The expansion phase is 80 patient s in total, 3 different dosing groups that we've initiated. And it's being run in multi -geographies. So U.S., Europe, Australia are the 3 main geographies where we are running the trials. And you'll get further visibility at ASCO.

Damayanti Kerai: Okay. And my last question is on your Pithampur plant. Anything to share in terms of resolution part or anything you heard from the FDA?

Glenn Saldanha: So we are still in discussions with the agency on what this means and how this will play out. But from a comm ercial perspective, we have no launches coming out of Pithampur, a minimal amount. So there's no real impact on the business. And most of our launches, as you know, is coming ou

t of Aurangabad, mainly the respiratory launches. So for the near term, there's no real impact on the U.S. business.

Moderator: The next question is from the line of Saion Mukherjee from Nomura Securities.

Saion Mukherjee: Firstly, on -- is there any target action date for the nasal spray or generic Flovent? Or are there any pending CRL that we are addressing? If you can throw some color on the time lines here.

And we have also seen some delay in the filing of the remaining 2 strengths for Flovent. Any color there would be helpful.

Glenn Saldanha: So Saion, as you know, Flovent is an extremely difficult product, okay? I mean I think a lot -- most of the industry has struggled to develop this product. So on the 44 strength, we are expecting approval towards the end of Q2. And there has been some slippage, but that's pretty normal in thi s environment.

On the nasal spray, we expect in the second half, we will launch the product, second half of FY '26. So that's the only visibility we can give. The remaining 2 strengths, 110 is likely to get filed in the first half of this year, towards in Q2 sometime. And 220 maybe following that towards the end of second half of this year.

Saion Mukherjee: Understood. The next question is on the guidance, Glenn, 10% to 12% revenue growth. We are seeing a slowdown in India and also the U.S. probably will st art growing towards the second half. And I know you would probably give more color on geographies later. But isn't it like 10 to 12 look stretch given the fact the way the U.S. and India is currently positioned?

Glenmark Pharmaceuticals Limite d

May 26 , 202 5

Page 10 of 18

Glenn Saldanha: So overall, the business con tinues to do well. ROW is strong. Europe, we are seeing strong growth. These 2 geographies are strong. I mean ROW corrected for currency grew 10 -plus percent in this year -- in FY '25. And we expect it to accelerate even further in this coming year with so me big launches.

And particularly RYALTRIS also contributing in markets, the 10, 12 markets where we haven't launched yet. So I think all in all, these 2 geographies will be strong. U.S., some of the in - licensed products, which we launched in Q4 are now be ginning to -- we're beginning to get some good shares around it.

For example, mixed amphetamines and some pretty big products, right, which we launched in Q4. So that will -- you will see some of that impact coming in Q1 in some of the launches. Even -- so I think all in all, India continues to be a strong market for us. I think India growth, we pretty much bottomed out on the diabetes space. The other 3 segments are doing very well for us, cardio, derm and respiratory. So all in all, we feel pretty comfor table with the 10% to 12%.

Saion Mukherjee: Okay. And just one last question, if I can. Glenn, you talked about ISB 2001 and potential licensing agreement. Assuming that you're able to do a licensing deal, which sort of gives you significant cash flow, wha t's the next step? What's the vision you have for the entire innovation piece?

Will you sort of step up investments in IGI to develop more assets? How are you -- or you would sort of reinvest in some other businesses or give out dividend? How should we thi nk about ISB 2001 licensing deal and the nature or the investments that you plan after?

Glenn Saldanha: So the only visibility I can give you right now, Saion, is that we will cover -- I mean, from the licensing deal at least the next 3 years of IGI expend iture will get more than covered. So we are burning about \$70 million a year. And we'll keep it around the same level over the next 3 years. That's the way we are thinking about it as far as IGI goes. And that will fully get funded.

And then after that, o bviously, IGI, we've always said that they have -- the vision is eventually to IPO that company. So they will have tremendous access to capital, once we close this deal. So that changes t

the whole trajectory for IGI and for Glenmark. Obviously, by IGI covering its own cost, our margins will go up significantly over the next 3 years. I mean that's the way to think about it. And then beyond that, Saion, once the deal gets done, we'll give more visibility around.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Just a couple of questions. On the India business, what would be the contribution of remo and teneli to the Glenmark's current diabetes portfolio in FY '25?

Glenn Saldanha: So as I said, I don't have the precise numbers, but teneli and -- about 60% should have come from these 2 assets, right, along with their extensions.

Tarang Agrawal: It used to be 60%, you said, right? So it must have come down now.

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 11 of 18

Glenn Saldanha: It's come down. But it's the change -- we just launched Lirafit, last year or year before last, right? Then last year, we launched sitagliptin, and we're launching empagliflozin last quarter, actually. So it will still take time for that transition to happen, okay? And that's why the diabetes business has struggled last year.

Tarang Agrawal: Okay. But essentially, the share of these 2 products remain in the same ballpark that you suggested at the opening?

Glenn Saldanha: They've begun to come down. See, I don't have the accurate numbers. We can come back to you with that, yes.

Tarang Agrawal: Okay. Second, what would be the global sales for RYALTRIS from Glenmark's perspective, primary sales in FY '25 versus '24?

Glenn Saldanha: So we did \$80 million last year. And this year, we are expecting to cross \$100 million in sales for RYALTRIS.

Tarang Agrawal: And what was it in FY '24?

Utkarsh Gandhi: It was around \$40 million.

Tarang Agrawal: Got it. On the Aurangabad plant, what's the status of compliance here? When was the last inspection?

Glenn Saldanha: Less than a year ago, it got inspected.

Utkarsh Gandhi: So Aurangabad was inspected in September 2024, and we got 0 observations essentially. So...

Tarang Agrawal: Okay. And on GHSA, what's the loan to GHSA and the equity contribution to GHSA as on 31st March '25?

V. S. Mani: So the -- on the overall basis, the loans are about INR2,180 crores. The one that we have about long-term loan, about INR500-odd crores is that's the one that is there in GHSA.

Tarang Agrawal: So loan to GHSA by Glenmark?

V. S. Mani: Loan to GHSA from Glenmark, as you can see in the balance sheet, we have about \$600 million, that's it. That's the investment that we have.

Tarang Agrawal: And equity contribution?

V. S. Mani: I'll come back to you on that.

Moderator: The next question is from the line of Anil Shah from Insightful Investments.

Anil Shah: Yes, just a clarification, the guidance that you've given on margins and particularly the cash generation, I'm presuming that's not factoring in any IGI deal that one would do, right?

Glenn Saldanha: That's correct. This is only the core business.

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 12 of 18

Anil Shah: Core business? Okay. And what would be our tax rates going forward?

V. S. Mani: Yes, it will be about 21%, 22%. As you can see, Anil, last year also, we came down to 25%. So we anticipate to go down.

Anil Shah: Okay. And last question from my side. On the working capital side, particularly last 2 years, we've seen the balance sheet, again, not being able to throw any kind of free cash flows.

Obviously, working capital last year had gone to pretty low levels, particularly receivables.

But again, when we look at this year, it seems to have got elongated further. So what would be an ideal where you think you'll settle down? And will this year be -- we'll start seeing some shrinkage in working capital?

V. S. Mani: So Anil, thanks for the question. Let me set the context

for you. Overall, if you look at it, last year,

as you rightly said, our working capital days were much lower and especially the receivables.

Actually, if you look at it in this year, our overall net working capital comes to about 104 days.

This very much is in alignment with all our peers, who are like global companies, okay? So like our inventory is about 83 days and peer is about 75 to 80 days. Working out -- debt receivable is about 92. Peers are about 85 to 95.

So I think all in all, I think these are the levels at which it settles down. So you wouldn't see too much of an uptick from here. But number of days will obviously be the same days in terms of number of days.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on the guidance of 19% to 20% EBITDA margins, what will be the drivers for the margin improvement that we're looking at without the licensing deal?

Glenn Saldanha: So obviously, RYALTRIS is a big driver. I mean, RYALTRIS will be a big driver. R&D, we can get some efficiencies out of R&D. I think these 2 are the immediate things that of course -- and we have some big products, whether it's Flovent, whether it is the nasal spray that we will launch in the U.S. All these will help drive up the overall margins of the business.

V. S. Mani: Just to add, Nitin, in the current year, it looks a little bit lower, obviously, on the back of not so many great launches in the U.S. So that's primarily one of the key reasons. Otherwise, we probably have been closer to what we thought.

Nitin Agarwal: Okay. And secondly, Glenn, what is -- how do you explain the deviation which is there between the IQVIA numbers and our primary sales for the India business? I mean where does the disconnect come through? I mean we undertook the inventory correction last year. So that shouldn't have played a role this year, I presume.

Glenn Saldanha: I think the -- we've listed out 3, 4 different things including taking out some tail-end brands, which are low margin based. All that is impacting the reported growth in Q4. But I think going forward, the overall India will be a strong -- the growth will be strong.

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 13 of 18

V. S. Mani: Nitin -- just to add Nitin, see, in the beginning of the year, we guided to about 4,500, okay? 1,100 plus -- I mean, 1,000 plus, a 10% growth. So we more or less achieved the numbers that we said. The first half was pretty much -- pretty strong compared to the -- what we have done. So I think we take it from the Q4 where we have a couple of reasons as to why we probably didn't get to where we wanted to. But I think going forward, some of the improvements will kick in, I think.

Nitin Agarwal: Secondly, Glenn, just pushing on the India part. Going forward, apart from strengthening the diabetes portfolio, what other strategic areas you have in mind to grow this business?

Glenn Saldanha: See, obviously, the BeiGene launches, which are happening in Q1, maybe June or early July. Those will be huge launches. Both tislelizumab and zanubrutinib both should launch, early July. And that will be a big driver to the growth near term. In addition to that, we continue to file some good respiratory products, which we are hoping to drive our overall growth.

And then, of course, Telma and some of the big brands continue to do exceedingly well.

Dermatology also, OTC continues to do exceedingly well. It's almost a INR500 crore business now for us and continues to grow at 20% to 30%. So I think these are some of the main growth drivers for the India business.

Nitin Agarwal: Okay. And secondly, on the IGI deal with the ISB 2001 deal, based upon whatever conversations you've had -- you've been having, I mean, do you have a broad time line in terms of by when we can conclude this?

Glenn Saldanha: So all I can say, Nitin, is it should happen pretty quickly.

Nitin Agarwal: Okay. And last bit on -- I missed your comment on Flovent. What are we looking at for finalized Flovent for approval?

Glenn Saldanha: End of Q2 is when we anticipate we could get approval.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just with respect to the plant which is shut, so what is the sort of operational cost saving that will also sort of help in margin improvement in FY '26?

V. S. Mani: So just to set the context, Tushar, obviously, we have given this exceptional item in terms of what we have incurred in terms of the severance, et cetera. And obviously, at the end of the day, we also have transferred some of the CMC activities to a contract development and manufacturing organization. So end of the day, there could be some benefits out of that.

But as we guided already, we would be at about \$70 million close to where we are. There will be some benefit, but I can't really quantify a very big benefit out of this because it's doing well, and we actually want to -- there will be costs. So by saying that I saved something, but I have some other CMO cost, may not be the right way to explain that.

Tushar Manudhane: Got it, sir. And if you could on the India side, share number of MRs and where do we intend to take that in FY '26?

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 14 of 18

Glenn Saldanha: So the number of -- the sales force, we are not expanding. It's about 5,000 -- somewhere around 5,000, 5,500 reps.

Tushar Manudhane: Okay. So like the existing team as far as even for the semaglutide or the other products within the diabetes, obesity space, we should be good enough to sort of drive the productivity?

Glenn Saldanha: That's correct.

Tushar Manudhane: And just a clarification on RYALTRIS, we said we would be able to cross the \$100 million, right, for FY '26?

Glenn Saldanha: That's correct.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is on your plants, like where -- except Aurangabad, you have pending issues from the FDA in terms of GMP compliance, et cetera. So although, say, you mentioned Pithampur, not many critical launches are due, so should be okay. But what are you thinking on the resolution part? For example, Monroe, I guess, we haven't heard any update of late.

Glenn Saldanha: So I think Monroe, we should get inspected pretty soon, okay, anytime. So that's one update. On the Goa side, we did a meeting with the FDA, and we're waiting for them to come and inspect us, okay? So that covers all the 4 plants, right?

Damayanti Kerai: So Monroe, you have heard anything from the FDA? That's why like you're mentioning it should happen very shortly.

Glenn Saldanha: We did a meeting with the FDA, basis which we believe they should come any time.

Damayanti Kerai: Okay. And just on the Monroe, last year, you impaired part of the plant. I think you're just focusing on the injectable. So right now, what is the value which is remaining for the plant? I think you invested around \$250 million, right, in the plant?

V. S. Mani: So today, we would have an investment of about \$150 million. So we did -- if you remember, we did impair about \$100 million plus. So that's where we are in.

Damayanti Kerai: Yes. My second question was on your ISB trial cost. So I just want to understand when -- like you are in this dose expansion trial, which are the major cost components? Actually, we don't understand like in clinical trials, which are the major cost also, if you can explain that as well or update?

Glenn Saldanha: So I mean -- look, I mean, the trial cost is a trial cost, right? I don't think I can break it up for you, Damayanti. We are dosing 80 patients, and it will cost what it will cost. We've given a total number of \$70 million, right, for IGI.

Obviously, that includes the trial cost, okay?

Damayanti Kerai: Okay. My last question is on your interest expense during the quarter. I think after like last quarter's number, we have again seen some pickup there. So like what is happening there?

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 15 of 18

V. S. Mani: Yes. So Damayanti, like it's about INR66 crores or so, about INR5, INR6 crores is basically due to the -- whatever interest you get on the leases. So balance, it's gone up a little bit because of the increase in the debt. But I think coming year, what we have guided already. So based on that, we could see close -- it coming a little lower, yes.

Damayanti Kerai: Okay. So it should be lower than like what we saw in fourth quarter, right, in...

V. S. Mani: Yes, a little bit lower, yes. Yes, in and around that.

Moderator: The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund.

Harsh Bhatia: Just one clarification on the guidance part. And this is related to the cash generation. I think you mentioned INR300 crores to INR400 crores of cash generation. So if you could help us bridge the gap between the EBITDA margin and the cash generation. And I also missed the comment on the net working capital. You mentioned 100, 110 days.

Glenn Saldanha: So I think the bridge between EBITDA to cash, you could take offline, Harsh, because that will be a pretty detailed bridge. Net working capital will be -- I mean, it will be around the same level.

V. S. Mani: The number of days will be the same, just to put it in perspective. Obviously, we guided to about a 19% EBITDA. We could get into detail, but just to say that, that is one, then you'll have your cash tax, you'll have your working capital, you'll have some asset additions. So all put together, that's how we arrive at the numbers. Maybe...

Utkarsh Gandhi: You can take it offline. Harsh, we can get into details.

Harsh Bhatia: Just one clarification, the cash generation is the free cash generation that you're talking about.

V. S. Mani: Yes. Yes, yes. That's what we're talking about.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Sir, on this EBITDA margin guidance of 19% to 20%, I'm not pretty clear in terms of the drivers for this margin improvement. You talked about RYALTRIS. Now RYALTRIS is going to incrementally add USD 20 million of sales. And then if we look at IGI's investment as well, you are talking about \$70 million of investment going forward and some of these critical launches

for U.S. will contribute only from the second half of FY '26. So what exactly would help us to drive this margin improvement? And can you please lay it out again?

Glenn Saldanha: I think we've already discussed. See, RYALTRIS will give you some benefit. We discussed about the 2 launches in the U.S., which are the big drivers. Keep in mind, U.S. margins have been suppressed, right, because of the lack of any launches. Even the launches that we are making in Q4, the margin profile will start improving from Q1. So that is one thing.

Then after that, we discussed about R&D spends. Overall R&D spends, some leverage coming out of that towards the overall margins. So I think beyond that, I don't think I can give any more

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 16 of 18

visibility. And we have an analyst meet coming up. At that point, we can discuss -- give you much more granularity on how we're getting to those levels.

Rahul Jeewani: Sure, sir. On the R&D side, can you quantify in terms of what kind of an R&D spend you expect for FY '26?

Glenn Saldanha: Not at this point. We've given an overall number of 7% -- roughly around 6% to 7%.

Rahul Jeewani: Okay, sure. And just a clarification on this free cash flow guidance of INR300 crores to INR400 crores. This you are indicating before interest

and dividend payments or post interest and dividend payments?

V. S. Mani: No, no, post interest and dividend, yes -- post interest and dividend.

Moderator: The next question is from the line of Saion Mukherjee from Nomura Securities.

Saion Mukherjee: On Zetia antitrust, are there any pending litigation or any other contingent liabilities that we should consider?

V. S. Mani: So -- Saion, as I've given in the note, there were 4 opt-out cases, 3 have settled. There is just one more left, okay? That's it. One party is still left.

Saion Mukherjee: Okay. Understood. And then on the BeiGene assets that will be launched in India, what's the market size? How should we sort of map the market and sales potential?

Glenn Saldanha: So the current -- the PD -1, PD -L1 market is over \$200 million in India right now. So it's a very large opportunity. And we think we can actually get a good share of that in the near term with tislelizumab. And in addition, the BTK product that BeiGene, that we've in-licensed, is actually best-in-class, has got some great clinical data. So that can actually be pretty significant, much smaller than tisle, but could be significant. So these 2 products can make a reasonable impact to the overall performance.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the U.S., I think barring the Flovent 2 new filings that you're looking to do, I mean, how are you thinking about investments in the U.S. on a going-forward basis? Any specific areas or what kind of opportunities do you see?

Glenn Saldanha: So we are basically going -- investing in 2 areas. One is respiratory, and the other is injectables, right, out of Monroe. These are areas where the bulk of our research efforts are going.

Nitin Agarwal: And in the respiratory barring Flovent, when do you see the next set of filings coming through?

Glenn Saldanha: We have a host of filings. We have one more MDI getting filed in Q2 of this year outside of the 110 and 220 this year. So we'll have 3 MDI filings this year. We will have at least 2 or 3 nasal sprays getting filed this year.

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 17 of 18

Nitin Agarwal: Okay. Okay. And secondly, on the Monroe asset, Mr. Mani mentioned that we've got \$150 million of investment still there. So that is right now largely on the injectable and what nebulizer line or only the injectable line right now?

V. S. Mani: Mainly it's only injectable lines and the utilities along with that.

Nitin Agarwal: And sir, with whatever is going on in the U.S. around the local manufacturing, Glenn, is there a provision for us to -- is there a possibility at all to write back -- to get some write-backs on the expenses that we've written up for those plants or those lines that are really unviable that any situation?

Glenn Saldanha: Nitin, our goal is to get that plant up and running, functional and operational. We have some good filings coming out of there. And we truly believe that longer term, this portfolio will do well for us in the U.S. market. So I don't think there's any question of...

Utkarsh Gandhi: No, I think what he was asking is, can we write back some of the write-downs we did OSD line. But I think, Nitin, from a strategic point of view, injectables is what we are focused on from a U.S. manufacturing point of view. So I think we -- once the plant comes up and running, injectable -- all our injectable filings and injectable business for the U.S. will be out of Monroe.

So that's the way we'll continue.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Okay. So first question is in terms of your guide for the margins. So would it be fair to assume the...

Moderator: I'm so sorry, sir, but your audio is breaking up.

Utkarsh Gandhi: Abdul, we can't hear you. I think he has pr

obably dropped off. We can take the next question,

Lizaan.

Moderator: Sure. Ladies and gentlemen, we'll be taking the last question. That is from the line of Tarang

Agrawal from Old Bridge Capital.

Tarang Agrawal: Glenn, just to understand the PD -L1 market that you spoke of, currently, who are the principal players in that market? Is it -- and what gives you the confidence for the levels that you're looking at in this market?

Glenn Saldanha: So the 2 big players are, KEYTRUDA is the biggest there, which pretty much dominates the market. And then we have nivolumab of Bristol. These are the 2 big players in the market.

Tarang Agrawal: Okay. And how about the similar dynamics for the subsequent product?

Glenn Saldanha: So the BTK market is small because it's a relatively niche indication. But even there, being best-in-class, we have a good opportunity to gain some market share.

Tarang Agrawal: Got it. Last, I mean, I think to an earlier -- to Nitin's question basically, I mean, would you be open to using the Monroe plant to probably expand in light of the U.S. requirement for domestic

Glenmark Pharmaceuticals Limited

May 26, 2025

Page 18 of 18

manufacturing? Or would your interest in the plant be limited to only injectables manufacturing that you're focusing on right now?

Glenn Saldanha: So currently, we want to first get the plant cleared and reinitiate manufacturing of the injectables. That's our first goal. And we have some good filings currently underway from that facility in addition to the products already filed and approved. So I think the goal is first to get the injectable portfolio up and running before we look at expanding into other areas.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Yes. Thanks, Lizan. So just to read out the disclaimer before we close the call, the discussion information, statements and analysis made describing the company or its affiliates' objectives, projections or estimates are forward-looking statements, and these are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties.

No representation of warranty either expressed or implied is provided in relation to the discussion, and it should not be regarded by recipients as a substitute for the exercise of their own judgment.

And the company undertakes no obligation to update or revise any forward-looking statements, whether based on new information, future events or otherwise. With that, I think we can close today's call. Thank you, everyone, for joining the Q4 call. Thanks.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

Page 1 of 13

"Glenmark Pharmaceuticals Limited
Q1 FY '26 Earnings Conference Call "
August 18, 2025

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. ANURAG MANTRI – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
August 18, 2025

Page 2 of 13

Moderator: Good morning, ladies and gentlemen, welcome to the Q1 FY '26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals Limited. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Lizanne. Good morning, everyone, and welcome to the Q1 FY '26 Results Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, we'll review the overall performance of the company for the first quarter of FY '26. In Q1 FY '26, Glenmark's consolidated revenue from operations was at INR32,644 million, recording a Y-o-Y growth of 0.6%. We'll take you through our regional performance, and then we'll talk about our IGI business as well before we introduce the management and open the floor for Q&A. Starting with India sales for the formulation business in India were -- for Q1 FY '26 were at INR12,399 million, recording a growth of 3.7%. While Glenmark continued to deliver robust growth across the cardiac, respiratory and dermatology therapy areas, reported growth for the quarter was impacted on account of the discontinuation of some tail -end brands announced earlier and underperformance in the diabetes segment. Glenmark India business continued to outperform the overall industry in terms of secondary sales growth. As per IQVIA June 2025 data, Glenmark India Formulation business recorded growth of 15.1% in the first quarter and 11.8% as of MAT June 2025 compared to 8.5% and 7.7%, respectively for the Indian pharma market. As mentioned before, Glenmark continued its robust growth and outperformance in terms of key therapy areas like cardiac, dermatology and respiratory. Glenmark's India business continues to be ranked 13th with a market share of 2.3% as per IQVIA MAT June data. The company is ranked second in dermatology, third in respiratory and fifth in cardiac segment as per IQVIA MAT June 2025 data. And we continue to have 10 brands in the IPM top 300. Glenmark has improved its market share as well in -- especially in its core therapy areas. In terms of key launches, Glenmark and BeOne Medicines have entered into an agreement for the marketing and distribution of Tislelizumab and Zanubrutinib in May 2024. Glenmark launched both these products towards the end of the first quarter under their respective brand names, TEVIMBRA and BRUKINSA. These launches mark an important milestone in expanding the innovative oncology portfolio in India and providing access to patients across multiple solid tumors as well as hematological malignancies. The company expects these 2

brands to gain momentum and meaningfully contribute to the India business over the next 2, 3 years.

Glenmark also had launched Empagliflozin towards the end of Q4. This is a widely recognized SGLT2 inhibitor in India. The drug was launched under the brand name GLEMPA, GLEMPA L and GLEMPA -M. And of course, LIRAFIT has been an important product launch for us in Glenmark Pharmaceuticals Limited

August 18, 2025

Page 3 of 13

the diabetes segment. Glenmark was the first to launch the biosimilar of Liraglutide under the brand name LIRAFIT. It has seen a strong traction with more than 50% market share in the molecule, and the company plans to launch other GLP -1 agonists as well.

Moving on to India's Consumer Care business. The Consumer Care business of the company operates in the Indian consumer health care market with a primary focus

on dermatology and

over-the-counter products and leading brands such as Candid, La Shield, Scalpe, Episoft and Elovera.

The business is well positioned for sustained growth, supported by rising consumer awareness and increasing adoption of self-care solutions. Primary sales for GCC in the quarter recorded a Y-o-Y growth of 20%. Candid Powder continued to lead its category with 60-plus percent market share and the other 2 key brands, La Shield and Scalpe also delivered a high growth in Q1.

Moving on to North America. The North America business registered revenues of INR7,780 million, which is about USD91 million for the first quarter of FY '26. This is a Y-o-Y -- sorry, a Q-o-Q growth of about 8.9%. Despite a relatively challenging environment, the company recorded Q-on-Q growth on the back of gaining share in its injectable product launches and other partnered products.

In the first quarter of fiscal year '26, Glenmark also launched 3 products, Mixed Amphetamines IR Tablets, which are generic to Adderall, Epinephrine Injection and Olopatadine Hydrochloride Ophthalmic Solution, OTC. While the company did not file any new NDAs in the Q1, Glenmark does plan to file 1 application in the forthcoming quarter and about 5 to 6 applications for the full year.

Glenmark is building out a large commercial portfolio in injectable products. We've mentioned this before. We already have 9 or 10 injectable products in the market today. The company expects approval of its generic respiratory NDAs as well starting H2 FY '26. And we are also working on filing the NDA for the other 2 strengths as well.

And the company continues to augment its commercial portfolio through partner product launches. Glenmark's marketing portfolio through June 30 consists of 208 generic products authorized for distribution. The company has 52 applications pending in various stages of the approval process, of which 24 are Para IV applications.

The company's subsidiary, Glenmark Pharmaceuticals Inc. USA was named in the multi-district -- multiple antitrust and consumer protection lawsuits, including class actions consolidated in the Eastern District of Pennsylvania. These relate to the industry-wide allegations concerning price-fixing, market allocation and related anticompetitive conduct. Plaintiffs include reputative classes of direct purchases, and payers and indirect purchases of generic drugs as well as numerous private direct-action plaintiffs.

Glenmark USA continues to deny all allegations and has been defending these matters vigorously. With a view to resolve this dispute and avoid uncertainties, Glenmark USA has agreed into -- enter into a settlement with the putative direct purchaser class for a total of USD Glenmark Pharmaceuticals Limited

August 18, 2025

Page 4 of 13

37.75 million. The settlement is subject to approval by the court overseeing the litigation. The settlement makes it clear that Glenmark USA denies each and every of its allegations against it, and the settlement is not the basis of Glenmark USA having conceded or admitted any liability or illegality.

Moving on to Europe. Glenmark's Europe business has recorded more than 25% CAGR over the last 3 years and has gained significant scale across its branded products, particularly in the respiratory segment. Glenmark Europe operations revenue for the first quarter was INR6,678 million, recording a Y-o-Y decline of 4%. The company anticipates the Europe region returning to double-digit growth from the second quarter onwards and expects to record double-digit growth in FY '26.

During the quarter, branded business growth, particularly in the respiratory segment remains

strong. Branded respiratory products, including RYALTRIS, continued to grow on a month -on-month basis across owned and partner markets. The company continues to focus on sustaining the increasing contribution of branded products

and portfolio from -- in the European markets, particularly from the pending respiratory product launches.

We've recently gotten approval for 2 additional respiratory products. And we have also launched WINLEVI in the U.K., and we are planning to launch it in other European markets as well by the end of this year, FY '26. Moving on to emerging markets. Glenmark's emerging market business has recorded 10% CAGR over the last 3 years and has recorded strong performance across all EM regions, particularly in the dermatology and the respiratory segment.

For the first quarter of FY '26, revenue from the emerging markets region was INR5,721 million, recording a Y-o-Y growth of 0.2%. While the first quarter was affected by lower seasonal demand in some Latin American markets, the rest of the EM regions grew 9% in the first quarter. The company anticipates double -digit growth in FY '26 for the emerging markets on a constant currency basis.

Talking about the individual regions in EM, as per IQVIA, Glenmark Russia secondary sales recorded growth of 21% in Q1. In terms of key therapeutic areas, Glenmark recorded 17.4% growth in value terms in dermatology versus overall market growth of 15%. Glenmark continues to be ranked ninth amongst dermatology companies and second in the Respiratory expectorants market in Russia. Key brands such as RYALTRIS, ASCORIL and CANDIBIOTIC have continued to gain and sustain high market share in their respective categories.

Glenmark's LatAm region, as mentioned, witnessed some challenges in Q1, mainly due to lower seasonal demand in key markets. Glenmark does maintain its top 10 rank amongst the companies in the covered market of chronic respiratory segment in Brazil. RYALTRIS has launched multiple differentiated products in the respiratory segment in the region, which will help business growth in future quarters. And RYALTRIS has been launched in Mexico and is awaiting approval in Brazil.

In Middle East, Africa regions, the company witnessed double -digit growth in secondary sales across major markets. RYALTRIS continues to be the leading nasal spray for allergic rhinitis in Glenmark Pharmaceuticals Limited

August 18, 2025

Page 5 of 13

South Africa and has seen successful launch in other key markets of the region. And Glenmark continues to be ranked third in the overall market in Kenya. Asia Pacific region recorded subdued performance in first quarter. Key markets such as Philippines, Malaysia recorded high single -digit secondary sales growth in the first quarter. RYALTRIS continues to do well in the Asia region. We recently received approval for Thailand as well. And Glenmark remains one of the leading players in the dermatology segment in the APAC region.

In terms of our key global brands, RYALTRIS, as of June, marketing applications for RYALTRIS have been submitted to more than 90 countries and product has been commercialized in more than 45 markets. It is expected to be launched in 10 to 12 additional markets over the next few quarters. As per IQVIA data, RYALTRIS continues to see robust performance in terms of both value and unit market shares across the key markets where the product has been launched, either by us or by our partners.

As mentioned before, Menarini has witnessed -- Menarini is our partner in the EU, has witnessed a steady increase in market share across all its licensed markets. Yuhon Corporation, Glenmark's partners in South Korean market also continues to perform well. And Glenmark's partner in Mainland China, Grand Pharma, expects to receive approval for RYALTRIS in China in FY '26.

QINHAYO, which is Envafoimab. Glenmark has filed QINHAYO in 15 markets in FY '25.

First market launch is expected in FY '26. The company has received authorization from regulatory authority in Kenya for supply of QINHAYO in -- via some early access programs.

And we have also initiated a global multicenter Phase II

I study in neo -adjuvant as well as

adjuvant NSCLC. WINLEVI, which is partnered with Cosmo, Glenmark announced its approval for WINLEVI in the -- from the MHRA to market it in the U.K. Glenmark has launched WINLEVI in the U.K. and is expecting approval in other European markets by the end of FY '26.

Talking about IGI, IGI features a robust pipeline of innovative oncology molecules targeting multiple myeloma and solid tumors, of which ISB 2001 is in clinical development. Additionally, IGI has 2 autoimmune assets, which have been out licensed to leading companies and are also in clinical development currently. During the quarter, IGI presented promising full dose escalation results from its Phase 1 TRIgnite -1 study of ISB 2001 in relapsed/refractory multiple myeloma.

This data was presented as a rapid oral presentation at the ASCO 2025 Annual Meeting, demonstrating a sustained overall response rate of 79% and a high complete/stringent complete response rate of 30% across the 7 active doses in heavily pretreated patient population with a very favorable safety profile.

Recently, IGI also announced its global commercialization strategy for ISB 2001 following its landmark partnership with AbbVie under the terms of the agreement, IGI partnered with AbbVie and granted exclusive rights to globally develop and manufacture and commercialize ISB 2001 across North America, Europe, Japan and Greater China, while Glenmark will develop, manufacture and lead commercialization activities of ISB 2001 across emerging markets. This

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 6 of 13

partnership validates IGI's multispecific platform technology and positions us as a leading biotech company in the forefront of innovation in oncology, while also helping Glenmark to further expand its oncology franchise, particularly through innovation in emerging markets. We have the management of Glenmark Pharmaceuticals on the call, Mr. Glenn Saldanha, Chairman and Managing Director; and Mr. Anurag Mantri, Executive Director and CFO. With that, we can open the floor up for Q&A. Over to you, Lizanne.

Moderator: Thank you. The first question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on India business. So this antidiabetic portfolio, which is undergoing some pressure, I think we discussed earlier. But it seems despite launch of Liraglutide, we are yet to see any meaningful release there. So can you talk about it, like how long do you think it will take to really get over this antidiabetic portfolio drag?

And then this difference between your secondary data, which is 15% against 8% IPM, there is huge difference between the 15% and around 4% reported growth. Like how we can assume this will converge and when that will likely happen? That's my first question.

Glenn Saldanha: So Damayanti, Glenmark now with the ISB 2001 deal and our move towards becoming more of a branded company. I think going forward, our vision is to focus more on high-margin products, right? So a lot of the tail-end brands we are moving out of, right? Like a typical branded company, the idea is to keep moving up the value chain and focus more on the margin profile of the high-value products and the branded products. So I think going forward, this quarter and maybe Q2, right, from Q3 onwards we expect the secondary sales growth of India, and the reported growth will be very close, right, from then onwards.

The other thing about India is you talked about diabetes. So now we have full supply for the first time of LIRAFIT. So from Q2 onwards, you should see diabetes sales improving significantly.

In addition, the launch of both TEVIMBRA and BRUKINSA, right, the 2 big products happened in July, right? So this quarter, you should see good uptake of these 2 products since both of them are commercially launched now.

So I think these -- so overall

I, look, our India business, as you can see in IQVIA as well as

AWACS, right, the data is very strong. So our growth is very strong in the market. And if you take a slightly longer-term view, CAGR, India will grow between 10% to 15% CAGR, right, over the next 3 to 5 years. So we are very confident that the India business growth will be strong. The other segment is our OTC business, right, the Glenmark Consumer Care, which we spun out, right? The growth there also is upwards of 20%, right, on a CAGR basis. So I think overall, India will continue to be a very strong market for us, right? I think post Q3, you should see the numbers play out quite significantly.

Damayanti Kerai: Sure. If I can ask a related question, see, you are moving towards more profitable branded products, et cetera, which is in line with your long-term goals. But will that lead to a situation, again, you have a high dependency on a few products, a few big brands and again, that concentration risk will play out later as well?

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 7 of 13

Glenn Saldanha: No, that's not the case. I mean, see, if you see the GCs have already started improving, right, with the knocking off of some of the tail-end brands. And I think going forward, you should see continued improvement in the margin profile. With regards to your question on specific brands, right, look, we have -- Glenmark, we have very strong brand spread across different segments, right?

And even as we mentioned, our OTC, DTC brands, which are coming up now, EVIMBRA, BRUKINSA will be 2 big brands, which will help. LIRAFIT, right, which is Liraglutide, right, will become a strong brand. So it's much more broad-based than concentrated, right, given the

branded nature of our business.

Damayanti Kerai: I have 2 questions on the U.S. business. So you mentioned around 9 to 10 injectables out there in the market, some of which came through partners as well. So first, any update on Monroe?

And if Monroe gets clear, how many injectable products we can expect for, say, next 12 to 15 months in the U.S.? And then second question on the U.S. sales, how much of these litigation antitrust issues are still remaining for you? If you can have -- provide some color, there.

Glenn Saldanha: Sure. So on the U.S. business, right? I mean, so as you've seen, we grew Q-on-Q, right, in the first quarter. In the second quarter, we are launching 3 more injectable products through partnerships. That will drive the second quarter growth, and we expect a good second quarter also in -- form H2, right, we are hoping to launch some of the respiratory products, right, mainly generic Flovent, right, 44, right, which we think will be a big launch for us. And then in addition, some of the partnership products, we continue to commercialize even in Q3 and Q4. So I think all in all, U.S., there is a clear trajectory to see higher growth going forward, right, compared to what we've had historically. With regards to Monroe, as you know, we had 5 observations from our last inspection. We've responded to that, and we are waiting -- we are working with the FDA to resolve that, right? We are hoping that this year we will restart commercial manufacturing. That's our view on Monroe.

Damayanti Kerai: And the antitrust litigations, which are still like out there.

Glenn Saldanha: Yes. So on litigations, I mean, our view is we have just one major litigation, which is the multi-district litigation, which is ongoing. We settled with the DPPs as you've seen in the first quarter.

We've done a settlement with the DPPs. There are a couple of more classes, which we are continuing to litigate on. I can't give you any visibility on any time line.

Moderator: The next question is from the line of Saion Mukherjee from Nomura.

Saion Mukherjee: Can you provide the net debt number at the end of the quarter?

Anurag Mantri: So net debt,

Saion, in the quarter was around INR1,500 crores at the end of the quarter.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 8 of 13

Tushar Manudhane: Sir, just with respect to Monroe, have we started like in terms of the exhibit validation package for other facility -- I mean for the other products? Or do we need to wait till the observations gets resolved?

Glenn Saldanha: No, the facility is continuing to take batches. So we continue to take exhibit batches of products like iron sucrose and several others that we are working on. So that as and when we have resolution, not only could we start commercial manufacturing, but we will also accelerate some filings out of the facility.

Tushar Manudhane: And so as far as observations addressing observations is concerned, that is largely done from our side, right? It's now the feedback or the response from U.S. FDA, which is awaited?

Glenn Saldanha: That's correct.

Tushar Manudhane: Okay. And sir, so this partnered product strategy, if you could sort of elaborate while we do have our own facility, but -- so is it because we are diversifying in anticipation of these regulatory issues? Or is there something else to this?

Glenn Saldanha: I think strategically, we are primarily focused in 2 areas in the U.S., right? One is the respiratory products going forward, right? And the second is injectables. And on the injectable side, we are -- we have a two-pronged strategy of in-licensing products, right, which are -- which we think have approval or are significantly differentiated as well as filings out of Monroe.

So I think longer term, we will have a -- if you look at us in the next 3 to 5 years, we should have a strong injectable portfolio, right, which is evolving in the U.S. along with a number of respiratory products, right, which is filed and getting approved in the next 3 to 5 years. So I think these are the 2 segments which we are primarily focused on, right, in addition to a few OSDs and derm products.

Tushar Manudhane: But, sir, the pace of filing seems to be low as far as FY '26 is concerned, there's 5 to 6 filings expected in FY '26.

Glenn Saldanha: But that's in-house, okay? In addition, we do all these partnerships, right? So typically, we will launch about 10-odd products a year. That's the minimum run rate you should expect.

Tushar Manudhane: Got it. And sir, just secondly, on the gross margin front, like it's been decent for the first quarter, maybe year-over-year as well as quarter-over-quarter. Like is it more to do with the segmental mix, geography mix, if you could elaborate? And so the outlook for full year '26 as far as gross margin is concerned.

Anurag Mantri: So gross margin side, as we've mentioned is that the focus is on the branded markets and which will help us continue to strengthen the gross margin and also the well-diversified geographical portfolio, especially Europe and emerging markets in addition to India, will continue to drive the gross margin northwards. So that's how our focus on the business is.

Tushar Manudhane: So this number seems sustainable, 68%, 69% or...
Glenmark Pharmaceuticals Limited
August 18, 2025

Page 9 of 13

Anurag Mantri: Yes -- yes. I think we believe at this moment, because of our strategic thing and the launches which we have in pipeline, we believe that this number is sustainable and achievable.

Tushar Manudhane: And sir, subsequently, anything further to do with the increase in MRs or field force across these branded markets per se in FY '26?

Glenn Saldanha: I think we keep adding sales force, right, at every stage wherever required, right? A lot of it is basis the products and the product mix, right? For example, we recently got approval for RYALTRIS in Colombia and Thailand, 2 markets. We are expecting RYALTRIS ap

proval in

Brazil and China yet this year, right? All this should help drive our emerging market businesses, right?

In addition, we have QINHAYO launches, which will come up, right, which may need some additional field force. India, we keep augmenting some field force every year, right, nominal amounts depending on the product mix and the product portfolio. So I think we don't have any specific number that we can guide to in terms of field force additions, but it is something we keep doing depending on our products and product mix.

Tushar Manudhane: So any broad guidelines on the EBITDA margin front for full year?

Anurag Mantri: So as we earlier guided that Q3 onwards the EBITDA margin trajectory should stabilize close to a 23% plus range. So 23% is what we are guiding. Q2, I would say that it will be because of the IGI deal flow. It will not be really a presentable or the comparable number. But Q3 onwards as a business, we believe that 23% margin trajectory will stabilize for EBITDA.

Tushar Manudhane: This is including generic volumes, right?

Anurag Mantri: Including?

Tushar Manudhane: Generic volume?

Anurag Mantri: Yes, its overall business margin, right? It's at full business level.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Anurag, on the question on net debt, what has been the sequential increase in net debt and what is it driven by?

Anurag Mantri: See, in the first quarter, if you see on the business, there were -- obviously, there was an increase in some of the sales realization and all the things. Therefore, there was an increase in the gross debt. And the gross debt in the quarter was close to INR 3,200 crores.

Glenn Saldanha: I think the buildup -- go ahead, Nitin.

Nitin Agarwal: No, sorry. Go ahead, go ahead, go ahead.

Glenn Saldanha: The buildup is basically things like inventory debtors.

Glenmark Pharmaceuticals Limited
August 18, 2025

Page 10 of 13

Anurag Mantri: Yes, because...

Glenn Saldanha: Payment due to LCD F one-off severance payments, right, that we had, right, and plant closures.

Utkarsh Gandhi: I think we had -- also had a couple of launches in Europe, Nitin, particularly, which actually got pushed to Q2. So inventory buildup was in preparation of some of these launches. So I think over the course of the next couple of quarters, the numbers will stabilize.

Nitin Agarwal: And sir, just to conclude the point, where do we -- what we see a stabilized, normalized levels of working capital for us now going forward?

Anurag Mantri: So net working capital days, what we continue to monitor closely is that and then 110, 115 net working capital days, that's what we believe in a sustainable and long-term basis. We should continue to maintain to have -- to achieve the margin and the trajectory which we are targeting.

Nitin Agarwal: And secondly, on the -- in the quarterly numbers this quarter, there's a pretty large component of other operating income. A, can you state what is it about? And how is it booked across various segments?

Anurag Mantri: So other operating income consists of ongoing royalty income, some of the incentive income as well as some of the price -- debit note price adjustments. And this is across the various markets. So accordingly, then it gets -- it's a very common in the normal course of the business.

Nitin Agarwal: The bump up in the gross margin, there's no one-off bump up in gross margin because of this other operating income as you said gross margin around these levels?

Anurag Mantri: No, it's not a one-off sort of. It's very ongoing and very pertaining to the core business.

Nitin Agarwal: And again, on the IFC deal, when do you see a closure and the proceeds coming through?

Glenn Saldanha: September, we are hoping to close, Nitin.

Nitin Agarwal: Okay. And last one, you've transferred the consumer business in India to a subsid

iary. Any

thoughts on what is the game plan here? How does it help beyond a point?

Glenn Saldanha: So this is purely done to increase the focus, right, because we think that's a good segment to continue to focus on, right? So there's no plan to do any capital raise or anything in that subsidiary. It's just a matter of heightened focus in that business.

Moderator: The next question is from the line of Amlan Das from Nomura.

Amlan Das: My question is, sir, what was the gross addition for the quarter?

Anurag Mantri: Sorry, can you just repeat, please?

Amlan Das: Sir, what was your gross capex addition for the quarter, both tangible and intangible that you report every quarter?

Utkarsh Gandhi: Gross capex, capex addition.

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 11 of 13

Anurag Mantri: So capex addition for the quarter was around INR180 crores. And as we guided that the full year capex guidance, we continue to remain on track.

Amlan Das: And could you just give the split between tangible and intangible, sir?

Anurag Mantri: It is typically 65 -35. That's what the broad split of tangible and intangible in terms of overall percentage in the quarter.

Amlan Das: Okay, sir. And what was your R&D expenditure for the quarter? And how much of it was innovation R&D, sir?

Anurag Mantri: Around 7%. And so it's the same range what we've guided for the full year. R&D expenditure is to be around 7.5%. So in this quarter, it was around 7% and around half of it was in -- related to IGI.

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Can we get a little more clarity on the accounting of the upfront payment we get from AbbVie. From what you said, I understand we will start amortizing it in Q3. So what would be the exact amount that would come on P&L?

Anurag Mantri: So out of the overall upfront payment, basically, that upfront payment also it's onetime and non-refundable, but also it will cover the IGI expenditure for the next 3 years in terms of their own spend. So accordingly, as per the prudent accounting guidelines, we will split the accounting basically that leaving that IGI next 3 years to be accounted as per their own expenditure guidelines so that overall P&L doesn't get a fluctuation and onetime abnormalities. And the balance, we will actually book it in the quarter 2 itself.

Bino Pathiparampil: So how much would that be that amount which will come to the P&L?

Anurag Mantri: So broadly, last time we guided that our IGI expenditure for next 3 years are close to be around \$210 million, \$210 million to \$225 million. And balance, so you can expect to be then accordingly. Obviously, there would be a tax would be onetime, which will be upfront in the quarter 2. So accordingly, let the money come, I think then we will be able to give you the more specific one. But we are also in discussions with the auditors at both the levels, how we should be doing it so that investor's get a fair view of the P&L.

Bino Pathiparampil: Understood. And once that money comes in, at a consolidated level, where will our net debt go to?

Glenn Saldanha: It will be cash positive basis.

Anurag Mantri: Yes. So we are -- we will be surely cash positive post money, on the consolidated level.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 12 of 13

Damayanti Kerai: I have a question on ISB 2001 study, dose expansion study where you had started patient recruitment. So you mentioned the deal with AbbVie will get closed in -- will be closed in September. So are you continuing the study? Or how things will move there?

Glenn Saldanha: So currently, we are continuing to run the dose expansion. And obviously, once the deal consummates, we will sit down with AbbVie and decide the next steps.

I can't give you more visibility, but the dose expansion continues as we speak.

Damayanti Kerai: So you're running the clinical trials as of now and the related costs, et cetera, is part of your expenses, right? And only when the deal gets closed with AbbVie, things will move, isn't it?

Glenn Saldanha: Correct.

Moderator: The next question is from the line of Anubhav Goel from Cosma Ventures.

Anubhav Goel: Just wanted a question on Monroe, these 5 observations we have got. Any particular observation which can set us back tougher to resolve? Or are we broadly confident we should get through?

Glenn Saldanha: It's always hard to predict, but we think we are pretty confident that we should be able to restart

commercial manufacturing soon.

Anubhav Goel: Okay, sir. Okay, sir. And sir, just one more question on the Indian business. Our secondary sales is doing very well. So I think you mentioned from Q2 -- from Q3, we expect our India numbers to be strong. So 2Q should be soft for the India unit?

Glenn Saldanha: No, no. All we are saying is that the secondary sales will catch up with IMS, IQVIA and AWACS, right, starting from Q3 onwards.

Anubhav Goel: And sir, this divergence is largely because of the discontinuation of the tail -end brand?

Glenn Saldanha: That's correct. It's basically moving up to higher -margin products, right, and focusing on that and discontinuing some of the low -margin tail -end brands.

Moderator: Ladies and gentlemen, that was our last question. I would now like to hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Thanks, Lizanne. Before we close the call, I'd just like to mention the disclaimer that discussion, information, statements and analysis made describing the company or its affiliates' objectives, projections and estimates are forward -looking statements based on current expectations, forecasts and assumptions that are subject to risks and uncertainties which could cause actual outcomes and results to differ materially.

This discussion should not be regarded by recipients as a substitute for the exercise of their own judgments, and the company undertakes no obligation to update or revise its forward -looking statements because of new information, future events or otherwise . With that, we can close the call -- the Q1 call. Thank you, everyone, for joining. Thanks, Lizanne.

Glenmark Pharmaceuticals Limited

August 18, 2025

Page 13 of 13

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Page 1 of 20

"Glenmark Pharmaceuticals Limited
Q2 FY '26 Earnings Conference Call "
November 17, 2025

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. ANURAG MANTRI – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
November 17, 2025

Page 2 of 20

Moderator: Good morning, ladies and gentlemen. Welcome to the Q2 FY '26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Lizanne . Good morning, everyone, and welcome to the Q2 FY '26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. Before we start the call, a quick reminder to everyone that the information, statements and analysis discussed during this call describing the company's or affiliates' objectives, projections and estimates are forward -looking statements based on current expectations, forecasts and assumptions, which are subject to risks and uncertainties, which could cause the actual outcomes to differ materially and no representation of warranty either expressed or implied is provided in relation to this document. The company undertakes no obligation to update or revise forward -looking statements, whether because of new information, future events or otherwise.

From the management team, we have Mr. Glenn Saldanha, Chairman and Managing Director; and Mr. Anurag Mantri, Executive Director and Global CFO. Like always, I'll provide a brief update on the overall business for the second quarter and then hand it over to Glenn and Anurag for their opening comments on the current and future potential of the company. Following that, we'll open the floor up for Q&A.

For the -- in terms of our overall performance for the second quarter, Glenmark's consolidated revenue from operations was at INR60,469 million as against INR34,338 million in the corresponding quarter last year, recording a Y -o-Y growth of 76%. For the 6 months ending September 30, 2025, Glenmark's consolidated revenue was INR93,113 million as against INR66,780 million, recording an increase of 39.4%.

In terms of our regional performance, starting off with India, sales for the formulation business for the second quarter of FY '26 were INR1,650 million as against INR12,817 million in the corresponding quarter last year, recording a decline of 87%. Glenmark has a unique legacy 3 - tier distribution system in India like peer companies, and there was increasing uncertainty within

the distribution channel following the announcement of the GST regime change on August 15. And during the second quarter, Glenmark's primary sales were affected due to onetime reduction of distributor inventory levels, some postponement of orders and impact of freight and reverse logistics, all in anticipation of the GST regime change. Growth was also impacted due to the base effect of the discontinued tail-end/low-margin products.

The company expects reported growth for India business to be in line with the secondary sales growth starting the third quarter. In terms of secondary sales growth for the second quarter, Glenmark continued to outperform the Indian pharma market. As per IQVIA, Glenmark's India

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 3 of 20

formulation business recorded a growth of 10.8% in the second quarter and 11.4% as per MAT September compared to the overall market growth of 6.4% and 7.3%, respectively.

In terms of its core therapeutic areas, Glenmark continues to outperform the overall market as per the IQVIA secondary data. We are now ranked 13th with a market share of 2.3%. We have, in fact, now added a couple of additional brands to the IPM top 3

00. We now have 11 brands in the IPM top 300 as of MAT September.

And in terms of our key core therapeutic areas, we are ranked second in dermatology, third in respiratory and fourth in the cardiac segment as per the IQVIA MAT September data. In terms of some of our key launches in India, so starting off with TEVIMBRA, BRUKINSA. So as we had announced earlier, Glenmark had launched both these products under their -- TEVIMBRA and BRUKINSA in partnership with BeOne in the first quarter.

And these 2 brands have seen a very strong uptake in the market in a short period of time as a differentiated treatment option available across multiple solid and hematological tumors. The company expects these 2 brands to further gain momentum and meaningfully contribute to the India business growth over the next 2, 3 years.

LIRAFIT, we continue to see strong market share in LIRAFIT and Liraglutide market. And as announced earlier, we plan to launch other GLP-1 agonist as well. JABRYUS, which was partnered with Pfizer, and we launched the product in Jan 2024. And again, as a novel treatment for moderate to severe atopic dermatitis, JABRYUS has been well received by dermatologists overall.

Our Consumer Care business recorded secondary sales of 10%. Candid Powder continues to hold leading share in the market as per the IQVIA data. Our Scalpe portfolio delivered a very strong growth during the second quarter and some of the other direct-to-consumer brands also performed well. We recently transferred the India's GCC business into a wholly owned subsidiary called Glenmark Consumer Care Limited to bring better focus to the India Consumer Care franchise.

Moving on to North America. The North America business recorded sales of INR44,656 million for the second quarter as against INR7,405 million for the second quarter of last year. Net of the out-licensing income for ISB 2001 deal, the core business growth in North America for the second quarter was 7.4%.

In the second quarter, we launched 2 very interesting products, Micafungin injection and Eribulin Mesylate injection. We now have more than 10 injectable products launched in the U.S. market and continue to build a strong institutional business franchise in the region.

We are obviously leveraging our strong development capability in respiratory are awaiting approval for 2 ANDAs for the generic nasal sprays, which we have filed earlier. And we are also -- we have -- as announced earlier, we have filed the ANDA for generic Flovent 44mcg, and we are working on additional filings in the respiratory area as well.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 4 of 20

We plan to file 2 ANDAs in the upcoming quarter and launch 3 to 4 products each quarter going forward. Glenmark's marketing portfolio as of September has 53 applications pending at various stages of the approval process, of which 25 are Para IV.

Moving on to Europe. Glenmark's Europe operations for the second quarter was at INR7,460 million as against INR6,874 million, recording a growth of 8.5%. Glenmark's European operations returned to growth in the second quarter, driven by a robust uptick of new product launches. Glenmark continued to perform overall -- outperform the overall pharma market in key branded markets like the Central and Eastern European countries.

The Western European business also recorded double-digit growth and branded respiratory portfolio continues to have a strong trajectory in the region. So as mentioned earlier, again, we

are focused on sustaining increasing contribution from the branded markets in the branded portfolio in Europe. We now have 7 respiratory products, which have been commercialized across the region, and we are awaiting launch of additional 2, 3 products over the next 18 months. Glenmark also launched WINLEVI in the U.K. and initial response has been very positive, and we will be launching it in other E

uropean markets as well once we get the final approval. On the emerging markets, for the second quarter of FY '26, revenue from the emerging markets was INR6,585 million as against INR7,041 million, recording a decline of 6.5%.

Growth in the emerging markets continued to be impacted by geopolitical uncertainties, which resulted in lower uptake in certain markets in Latin America and Middle East Africa. However, our Russia business did well. As per IQVIA MAT September data, Glenmark's Russia business recorded secondary sales growth of 8.1%. RYALTRIS continues to do well in Russia and gain further share. And we are continue to be ranked amongst the leading companies in dermatology and expectorant market in Russia.

In Latin America, as mentioned, we witnessed some subdued secondary sales during the quarter. We have launched multiple respiratory -- differentiated respiratory products, including RYALTRIS in markets like Mexico and expect stronger performance in the forthcoming quarters. In Middle East, Africa also growth was impacted due to lower uptake. However, again, RYALTRIS as a brand continues to do well in the region.

And in other markets where it has been launched in the last few quarters, we have seen good uptake for this product. APAC region, we did well. We recorded double-digit growth during the quarter. And again, respiratory and dermatology, in both areas, we continue to do -- perform well. RYALTRIS, again, will be a key growth driver and will be launched in additional markets like China and Thailand by our partners in the forthcoming quarters.

Quickly giving an update on our global innovative specialty portfolio. So RYALTRIS, as mentioned, marketing applications for RYALTRIS have been filed in more than 90 markets.

The product is now commercialized in 49 markets. Recently, we announced that our partner, Grand Pharma, had secured approval for RYALTRIS in China.

We are working with Grand Pharma to launch the product in the first half of the coming fiscal year. And our partner in Thailand, Organon is also preparing to launch RYALTRIS in the fourth Glenmark Pharmaceuticals Limited

November 17, 2025

Page 5 of 20

quarter of this year. WINLEVI so as mentioned, company has launched WINLEVI in the U.K. We are expecting approval in other European markets as well. And as soon as we get the approval, we'll launch the product.

Our partner, Cosmo received a positive CHMP opinion in August 2025. And WINLEVI is also under regulatory review in South Africa. QINHAYO, which is Envafohimab, we have already filed 14 applications for QINHAYO and first commercial launch expected towards the end of this year. We have received authorization from regulatory agencies for -- to supply Envafohimab in Kenya. We also initiated a global multicenter Phase III trial in the neo-adjuvant/adjuvant NSCLC setting.

Trastuzumab Rezetecan -- so in Q2, we announced an exclusive license and collaboration agreement with Hengrui Pharma for Trastuzumab Rezetecan, which is a next-generation HER2 targeting ADC. Glenmark has gained rights to register, develop and commercialize the ADC in several emerging markets.

This is Hengrui's self-developed HER2-targeting ADC. It was approved in China for treatment of HER2-positive non-small cell lung cancer. It is also undergoing other clinical trials in HER2-targeted solid tumors.

Finally, on IGI. So a quick update on the various IGI pipeline. So ISB 2001. So obviously, the one big update was that post our deal announcement in July, we got the approval from the U.S. FTC and received the upfront payment of \$700 million in September. As mentioned earlier, we are eligible to receive up to \$1.225 billion in development, regulatory and commercial milestones along with double-digit net sales royalties.

And Glenmark Pharma will be leading the commercialization across emerging markets. ISB 2301 is the next molecule in our IGI pipeline. This

is a first-in-class multi-specific NK cell

engager developed for solid tumors and the first program from IGI's IMMUNITE platform. The key update here is the clinical candidate was selected in October and the program has entered IND-enabling studies.

And finally, on immunology portfolio, ISB 880, which is the IL-1RAP antagonist, which was licensed to Almirall. Recently, Almirall announced that ISB 880 or LAD191, as they call it, has moved into Phase II studies in Hidradenitis Suppurativa, which is a large dermatology

indication.

And ISB 880 -- sorry, ISB 830 -X8, which is STAR -310. This is the OX40 antagonist licensed to Astria. Recently, Phase I trial was initiated by Astria, and they presented initial data at the European Academy of Dermatology and Neurology Conference in September 2025 as a late-breaking oral presentation. Based on the initial results, the molecule looks positive in terms of its efficacy as well as safety profile. And there is potential for infrequent maintenance dosing, which is a key update there.

So I think with that, I will hand it over to Glenn for his opening comments. Over to you.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 6 of 20

Glenn Saldanha: Thank you, Utkarsh. Good morning, everyone. Thank you for joining the call today. I've been running Glenmark for 25 years now, and this is, in fact, my 100th earnings call as a listed company CEO. Since our IPO 25 years ago, Glenmark's revenues have grown more than 80x from INR200 crores to INR16,000 crores, and we have delivered phenomenal returns to our shareholders as the stock price has gone up over 200x during this period.

Across these years, investors have always questioned our huge investment in innovation and our ability to deliver anything meaningful. In the past, to keep supporting this ambition, our operating margins and balance sheet has constantly been under stress due to high debt and other practices like high-cost pre-collections from distributors to manage our cash flows.

But we knew that we were building something strong and building a strong R&D platform, so we kept going. The ISB 2001 deal clearly vindicates our years of investment in innovation. With this deal and with the receipt of \$700 million, we are able to pay down all our debt and be net cash positive. We are also currently changing some of the legacy practices like pre-collection. Today, since we have surplus cash, we thought it's the best time to undo some of these practices. Additionally, we have now corrected some other anomalies in our balance sheet, which will help us improve our overall return ratios. All this will be covered by Anurag shortly. Post Q2, Glenmark is entering a new phase called Glenmark 3.0. I see Glenmark in the next 5 to 10 years as a glorious phase for the firm.

We will accomplish our journey of moving up the value chain into becoming more of a branded-led company globally. In Glenmark 3.0, if I look at each of our businesses, our India business is a very strong business. We've built very strong brands such as Telma, Ascoril, Candid, Alex, and we are leaders in the therapeutic areas that we operate in.

We are in the top 3 in dermatology, top 3 in respiratory, top 3 in cardiovascular and oncology continues to do well for us. Our OTC business, our in-licensed products such as TEVIMBRA, BRUKINSA and our Chronic business will continue to outperform as we go forward. As per IQVIA and AWACS, we've been consistently among the fastest-growing companies over the last decade as per secondary sales.

Unlike our peers, we've had a legacy 3-tier distribution system. We thought we had optimal inventory in the channel. However, with the unexpected change in GST announcement in middle of October, the distributors decided to reduce their inventories due to price differentials. Today, most of the distributors have brought down the inventory levels to below threshold, so you could

see some restocking happening going forward.

From Q3 onwards, we should get back to INR1,150 crores to INR1,200 crore run rate for our India business. Additionally, our India business should deliver over INR4,800 crores in top line revenues in FY '27. Our U.S. business -- on the U.S. side, our U.S. business continues to demonstrate strong growth going forward.

We look forward to our respiratory launches, our Monroe plant coming online, the in-licensed products continuing to deliver good growth and the next 3 Sole FTF/exclusive products should

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 7 of 20

launch in FY '27. Overall, FY '27 should be a very strong year for the U.S. business and the growth momentum should continue post that as well.

In Europe, our business continues to deliver very good results. Our respiratory launches, RYALTRIS and WINLEVI should be major growth drivers for the firm going forward. Growth for the region should be in the double-digit range in the second half of this year.

In emerging markets, while Q2 is an aberration, overall, our emerging market business continues to be very strong. The main growth drivers in EM will be our specialty launches like RYALTRIS, Envafoimab, Hengrui HER2 that we just licensed additional in-licensing and eventually ISB 2001. Due to this, our emerging market business should see remarkable growth

going forward.

If I move on to IGI. In IGI, we've invested heavily over the last decade in building a world-class multi-specific antibody platform technology. This is a plug-and-play technology. The excellent ISB 2001 clinical data clearly validates that the platform works. Hence, we see all future assets coming out of this platform having a higher probability of success.

Not too many companies, including oncology-focused big pharma have a multi-specific antibody platform technology. So this is very unique and gives us a huge competitive advantage. At IGI, we're currently running over 4 multi-specific preclinical and discovery programs that will be coming into the clinics over the next 5 years. The first is ISB 2301, which enters the clinics in FY '27.

IGI will keep spending around \$70 million to \$75 million a year to bring its pipeline forward. Assuming these multi-specific programs work, each of them could be as valuable as ISB 2001. So out-licensing deals could be pretty big going forward from IGI. With the 3 partnered programs of ISB 2001, ISB 880 entering Phase II and ISB 830 in AD and a world-class multi-specific antibody platform technology, IGI could be amongst the most sought-after valuable company in the next 5 to 7 years globally.

Friends, in summary, post our Q2 results, I see Glenmark 3.0 as a company entering a very strong revenue growth phase of 12% to 15%, strong operating margins of 23% going forward, targeted to go up to 25-plus percent in the years to come, a well-funded company generating strong free operating cash flows, being zero gross debt in FY '26, generating industry best ROCs and ROEs in FY '27 and beyond.

Excellent world-class R&D portfolio with ISB 2001, ISB 880 and ISB 830, a world-class multi-specific platform technology in IGI that is delivering subsequent assets like ISB 2301 and the 3 new programs, large out-licensing partnership deals over the next 5 years.

In the early years, some of our previous deals were in the range of \$20 million to \$50 million upfront because we needed the cash. Now that we have a strong balance sheet and are well funded, we are in a position to realize the full potential of the pipeline similar to what we did with ISB 2001.

Glenmark Pharmaceuticals Limited
November 17, 2025

Page 8 of 20

IGI is being self-funded for the next 3 years. During this time, we'll progress a very exciting pipeline of 2301 and 3 additional multi-specific programs in the clinics. Post 3 years, we

can

expect additional milestones from our partnered assets to fund IGI, potential new deals for the 4 programs that we are currently running and possibly an IPO to raise additional funds.

Hence, we will ensure that IGI remains -- continues to remain self-funded even going beyond the 3-year mark. To conclude, our FY '27 revenues, we expect to be about INR17,000 crores to INR18,000 crores in terms of top line revenues.

I will now hand the floor over to Anurag to give his opening comments.

Anurag Mantri: Thank you, Glenn. Good morning, everyone. As Glenn highlighted, the Glenmark 3.0 is now entering a phase of strong and sustainable growth. This will be a growth-oriented phase with a strong balance sheet and prudent capital allocation. To strengthen our balance sheet, bring in tax efficiencies and focus on the cash flow generation, we have implemented some key changes in terms of our provisioning norms and standard operating procedures.

While the onetime IGI income in this quarter would have impacted our capital ratios, the balance sheet restatement ensures that our financials represent the true capital efficiencies of our core business. Let me just outline the key changes which we have instituted in terms of our overall way of operating and the financials.

So we have discontinued in the past. Actually, we have -- due to various operational constraints, as Glenn mentioned, we had the legacy pre-collection arrangements with the distributor across geographies. These were high-cost arrangements and as high as 20% in some cases, which adversely impacted our margins.

With constraint now removed, we have discontinued these pre-collections, resulting in large increase in debtors. The transition will support improved operating margin and help us to continue a strong margin trajectory going forward. This will also help us enhance our working capital efficiencies and sustain a net working capital cycle of around 110 to 115 days, which will be in line with the peer companies despite a diversified global presence.

On provisioning, we have -- let me explain you the onetime provisioning and charges of debtors and inventory. We have revised our policies on debtors and inventory and in line with the prudent accounting norms, restated certain provisions and charges to better reflect our true return ratio.

These balance sheet charges are tax efficient, cash neutral and very value accretive for the shareholders, driving improvement in key metrics such as ROCE and ROE.

We are at debtors level of around 90 days and inventory level of around 80 days now, which is

in line with the industry or perhaps better than the industry average in terms of inventory days despite our geographical spread. This will help us support the growth from Q3 FY '26 onwards. These are provisions and hence, any recovery of debtors and inventory in the future will add to profitability.

Now let me give you the cash flow recalculation from the ISB deal. So I will start from the opening cash of 31st March 2025. We had an opening cash of INR1,705 crores. From ISB 2001 Glenmark Pharmaceuticals Limited
November 17, 2025

Page 9 of 20

deal, we got around INR5,950 crores. That takes us to our cash to our INR7,655 crores. Then out of this, we have repaid the gross debt of INR1,300 crores.

We have paid the cash tax and interest -- cash tax of around INR75 crores and interest of around INR150 crores. The capex in this H1 was around INR500 crores. And then we have also paid the onetime expenses of around INR650 crores. These included onetime bonus payouts to IGI team for successful execution of the deal, deal execution expenses, IP and documentation transfer charges, also the closure of the facilities in Switzerland.

As you know, in these geographies, typically closing of the facilities, you have to disburse a lot of liabilities at the time of closure, which included employee-related liabilities,

es, local authorities

charges. So all these have been now settled with the authorities and various other miscellaneous items.

And this stands the approximate that INR2,874 crores was spent like this. And it includes also the legal settlement of around INR200 crores, which we have actually provisioned earlier and was -- has been now expensed out. So this includes the one provision which we made in the quarter 1, if you recall that INR37.5 million out of that almost INR11 million we have repaid in this quarter. And some of the provisions of the past year, we have repaid in this quarter.

So this does not include any P&L charge on the cash outflow, and this is only for cash reconciliation purpose. So this takes -- adds up to INR2,874 crores. Besides that, if you recall that we had -- because of India sales, we had a H1 business cash deficit of around INR500 crores. And then that leaves us with a change in working capital of around INR1,600 crores, which is primarily due to debtors and inventory.

This is debtors is because of, as we said, is because of the stock of pre-collection. There was an increase in debtors of around INR800 crores. And similarly, inventories are actually to build up for the quarter 2 -- sorry, H2 businesses. We had to actually -- and the inventories, as I told you, it's still at 80 days as compared to the industry practice of 90 days.

So it's all healthy inventory which we have to build up to support the growth rate of the business in H2. So that's all of the one-off change in working capital of around INR1,600 crores. And that leaves us with a cash of around INR2,600 crores, INR2,647 crores to be precise. So that actually gives a full cash reconciliation. With all the above changes, we are in a very strong position and have ensured that we manage to fully express the true future potential of our business.

To summarize, Glenmark 3.0 will be immediately impactful as our EBITDA margin will trend towards 23% and strengthen further over a period of time. We will continue to maintain a strong balance sheet by sustaining zero debt and focusing on robust free cash flow generation. This will enable to maintain industry-leading return ratios of around 25% to 30% of ROCE and 20% to 25% of ROE going forward.

With this, we can start the Q&A.

Moderator: Thank you. Ladies and gentlemen. We will now begin with the question and answer session.

The first question is from the line of Nitin Agarwal from DAM Capital.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 10 of 20

Nitin Agarwal: Glenn, a couple of things. One is, a -- clearly, this whole -- the way that Q2 results came out, they were really from the corrections that were there in the P&L balance sheet [inaudible 0:30:39]. So fairly unexpected. So that's for the record. And on this part, we've heard your explanations on how you see things going forward.

But as an assurance, I mean is this -- I mean, from what you've done so far, is it -- I mean, are we done with these corrections on the legacy issues on the balance sheet and the P&L? Or I mean, is this literally the end of it? If you would like to just reconfirm?

Glenn Saldanha: So Nitin, very clearly, if you heard my commentary, right, I mean, we are clearly in a position where we'll take each of the pieces, okay? For example, for India, we have clearly guided to INR1,150 crores, INR1,200 crores is starting Q3. And next year, over INR4,800 crores of sales, right? So that should tell you that the India business is back on track.

As far as the balance sheet changes, right, the pre-collections, we are pretty much done with everything. We changed the model completely, right? It's clearly -- I think -- and the balance sheet changes is clearly reflective in our ROCE and ROE, right? If you see the -- obviously, this year, ROCE, ROE will be very high.

Next year also, we are -- we'll have industry best ROCEs and RO

Es, right? So given all this, we are pretty much done with -- and a lot of provisioning. We made a lot of provisioning. Some of that could obviously get added back as we go forward, right, particularly better than inventory. So I think from our perspective, there are no further changes in either the P&L or balance sheet corrections, which need to get done going forward.

Anurag Mantri: So Nitin, basically, just to add to that, actually, we have looked at all the provisioning norms, and we have now made it on a basis of principles, certain principles. We had a new auditor also in place and then we discussed thoroughly with them. And we have now made a very standard process of the provisioning norms.

And going forward, I can assure you that's the reason we have actually taken a onetime in terms of debtors was largely because of pre-collection and inventories are in line. So all these charges actually will help us that balance sheet is in a very strong place and truly reflect the capital employed in the business because that will help us to truly reflect the capital employed in the core business and improving the ROCE and ROE accordingly.

Nitin Agarwal: And sir, just to pick up working a little bit on that. So you mentioned in your opening comments that in the past, because of investments in R&D and everything, cash flows have been a constraint for Glenmark in the past. Now with that constraint ease, what kind of changes do you think -- what impact does it have on the business? I mean what flexibility does it give you for the business on a going-forward basis?

Glenn Saldanha: So look, the way I see it, Nitin, the journey for Glenmark for the -- at least for the next few years is very clearly related to continuing to be a high-growth business, right? We are back in the growth phase because all these years, right, we were investing heavily in innovation, right? And we couldn't optimally invest in the base business. We are now back into a high-growth phase as an organization.

Glenmark Pharmaceuticals Limited
November 17, 2025

Page 11 of 20

And I anticipate -- my aim is to grow this business around 15% as we go forward, right? And if you see India, for example, last month, we had a 17% growth, right, which was the highest -- among the highest in the industry, right? So we are back into a high-growth phase, right, as an organization.

Our focus is to grow this business organically. So we will continue to grow organically in most of our geographies. And just by focusing on organic growth, we will get to those high-growth numbers going forward, right, as an organization.

And of course, free cash generation, we talked about the EBITDA margins going to 23% immediately. And then eventually, we will -- as the business scales, we'll go up to 25-odd percent. And then the free cash generation is a must-have, right, for us. Although we have zero gross debt, right, by the end of FY '26. Thereafter also, we will ensure that the business will continue to generate free cash.

And then we'll figure out, right, what the next steps are with the cash that gets generated by the business from FY '27 and beyond. So the journey ahead is a very different one than what we faced in the past, right? In the past, a lot of constraints came because of our high investment in innovation, right?

And now that with 2001 deal happening, the cash coming in, automatically, the next steps for the organization is very different, right, where the business will throw a lot of free cash from FY '27 and beyond, right? This year, of course, we are well funded, right, for this year.

But FY '27 and beyond, the business will throw a significant amount of free cash, right, as we go forward. On a very high EBITDA, almost INR17,000 crores, INR18,000 crores top line with EBITDAs of 23-plus percent, right, will generate significant amount of free cash.

Nitin Agarwal: I just to squeeze

, to build on that. So H1, I mean, our guidance is almost INR1,800 crores EBITDA or thereabouts. So I presume given what we've discussed so far, we should have some generation of free cash in the second half of the year?

Anurag Mantri: Yes. If you see that I think we are still at INR2,700 crores of cash in the books. And as the business generates, we will surely be in a cash positive. And as Glenn mentioned that we will be -- first, we -- our aim will be to have a completely gross debt zero by FY '26 -- end of this March, end of this fiscal. And the business will continue to have a cash generation, and we'll have a -- as we outlined, we'll have a very prudent capital allocation going forward to grow the

business.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is, you mentioned you paid around INR650 crores as onetime bonus and some deal-related charges, etc. So if we see that number as a percentage of the money which you got from the deal almost coming to 10%, 11%, right? So if you can explain, is this the global norm of paying such high amount to employees as an incentive? Or why you have like paid such a high amount? If you can just throw some light?

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 12 of 20

Glenn Saldanha: Damayanti, first of all, that INR650 crores is not employee bonuses, okay? And it's not only deal cost. It combines a lot of different line items that Anurag mentioned. right? So -- but Anurag, go head.

Anurag Mantri: Yes. So basically, Damayanti, employee bonuses are one part and which is in line with the biotech companies where you have to actually incentivize the R&D team and specifically to have them continue to build the pipeline in the future. So that is absolutely in line and we looked at various consultants inputs on this.

And so that's one part of it. But besides that, it also includes the -- because we've done this deal in -- and most of the -- quite a big pharma, most of the big pharma entered the data room, we set up the data room, legal charges, due diligence charges, a lot of consultants were involved. So all this actually and specifically all this was actually done into the European geographies and U.S. geographies. So which is a very high cost in terms of the lawyers and other fees. So that's also included. And also include the LCDF closure charges because regulatory-wise in these geographies, it's not easy to close the facilities, specifically to disperse a lot of liabilities. So it included all the settling of all the employee-related liabilities, local regulatory liabilities and everything. So this is not only that. So it's a combination of that. So with that, I think these numbers are very reasonable, I must say that.

Damayanti Kerai: Anurag, can you specify like as a percentage, what was the actual onetime paid and then there are other expenses that will be, I guess, more clear?

Glenn Saldanha: I think because of confidentiality reasons, Damayanti, it's impossible to talk about specific deal bonuses or any specific line items, right, on the call.

Anurag Mantri: And it also included the IP and documentation transfer charges, which we have also had to do as part of the transfer of this ISB 2001. So all these have been actually booked on this.

Damayanti Kerai: Okay. My second question is on India business. So Glenn, again, I think we are looking for some clarity because GST came as a window. So if GST change didn't happen, you wouldn't have taken this write-off? Or you use this window as an opportunity to clean up the issues on distribution side? Because 2 years back also, you did this inventory write-off. And at that time, we thought it's like over -- it's a cleaned up base to start on?

Glenn Saldanha: So Damayanti, if you see my opening comments, right, we thought we had an optimal inventory level in the channel, right?

However, the GST thing came as an unknown, right, for us, right? It was totally unexpected, right? And then the distributors, because of the differential, right, in the GST rates, right, they started reducing their inventories, right?

And today, if you see, that is all for us, now they've reached inventory levels which are below the threshold, right? And you could see some amount of restocking. But this was completely unexpected from our side, right? So...

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 13 of 20

Damayanti Kerai: But Glenn if I may interrupt, I think this discussion on GST, etc., has been going on for some time, right? And I believe industry is also involved as a part of discussion?

Glenn Saldanha: But Glenmark has a unique distribution model, okay? We have a 3-tier legacy distribution model. Most of the industry is already on C&F, okay? Their C&Fs. So that is making the big difference, okay, right, because of the 3-tier distribution system that we have. And that is what is impacting -- has impacted us, and it's not impacted the rest of our peers.

But it's -- again, it's a onetime thing, as I mentioned. From Q3 onwards, you should see sales coming back, and we've even guided to INR1,150 crores, INR1,200 crores from Q3 as well as next year, INR4,800 crores and above.

Damayanti Kerai: Okay. Just to be on the same page, if you can explain what is the third layer which is additional for you against?

Glenn Saldanha: We have a super stockist structure, okay, which is we have super stockist or distributors, right? Most of the other companies have a C&F model where the inventory and everything is on the

company, right? So inventory and receivable collection from stockist is on the company, whereas for us, when we do the billing, the inventory is on the distributor and his responsibility to collect from the channel. So that's the uniqueness of the model.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir firstly again on the India business, Glenn, in Q3 FY '24, you had undergone some kind of restructuring. And now we have restructuring in Q2 '26. So if you mind -- do you mind telling us what the difference was? And the extension to this question is since you still have a state distribution structure, in future, if there are any certain changes from the government's end or from the industry's end, do you run a risk of something similar happening?

Glenn Saldanha: So Kunal, I explained the -- what currently happened, right? In terms of the future, look, the distributor inventories are now at very low levels, right? So automatically, in fact, we are expecting some restocking. Now in future, if there is any other change that happens, it's impossible to predict, right? But I don't think in the future, we will be at a disadvantage because of the 3-tier system. So that is pretty clear for us, right, as of now, right, whatever we can see because the inventory levels have come down to very low levels now.

Kunal Randeria: All right. But then again, in Q3 FY '24 also, I think there was some intention of getting the inventory down, right, if I'm not wrong?

Glenn Saldanha: That's correct. So that was an inventory -- we reduced the...

Utkarsh Gandhi: Yes. So Kunal, actually, at that point, as I think we explained that what we did is we basically consolidated some of our stock points because we -- while we had the 3-tier system, we actually had -- at a -- over a period of time, we have built some inefficiencies in terms of how many number of stock points we had across the country.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 14 of 20

And we just thought we will consolidate some of that business. And so that was a change that happened in Q3, I mean, 18, 24 months back. I think what has happened this time, Glenn has explained, and I think we spoke

about the future as well.

Kunal Randeria: Right. Right. Okay. Okay. And my second question, again, I think Anurag did explain the INR1,650 crores of working capital that's gone in the cash flow statement. To be honest, I can't really see it in the cash flow of the balance sheet. So my question is, if the inventories have now gone down, I mean, how is INR1,650 crores, if you can kind of split it between receivables because I think some payables would have also gone up or if you just can give the split?

Anurag Mantri: So Kunal, if you see that there was inventory gone up by around INR250 crores on the face of the balance sheet and debtors was close to INR400 crores on the face of the balance sheet. But the underlying towards that is that we stopped the pre-collection. So that has actually increased the INR800 crores of the debt. So that's what the reconciliation.

And inventory levels also it's all we'll have to -- as a going concern business, we'll have to keep building the inventories for the next H2 of the -- and to support the growth. So which is a normal inventory of INR3,300 crores today, we are carrying, which is 80 days of the -- just 80 days of the inventory levels.

Utkarsh Gandhi: And Kunal, just to clarify, I mean, we can connect offline as well. But if you see the cash flow, I mean, there is part of the \$700 million, right, that where we received the cash, but the P&L booking will happen in subsequent quarters. So that is sitting in other current liabilities and other noncurrent liabilities. So I mean, that's why if you adjust for that in the cash flow statement, broadly you will get to the working capital increase that we are talking about. But we can explain, we can talk it offline also in separately.

Anurag Mantri: So basically, the INR1,500 crores -- so if you see, out of INR6,000 crores gross number is that what we received, we have booked only INR4,500 crores in this P&L. So balance INR1,500 crores, what Utkarsh mentioned is sitting in other current liabilities. That's actually what the number is actually. So -- and we can give you the full reconciliation of that.

Utkarsh Gandhi: And since we've taken -- when we explained the cash, we took the full cash at the start, right, the entire INR5,950 crores. That's why we have to adjust -- we have to take the actual cash impact for the working capital increase.

Kunal Randeria: Right. And just one more if I can. You have a net cash of INR1,500 crores, INR1,600 crores now. I believe you still need to pay the tax on the proceeds of this withdrawal and payment. So can you guide to what your number could be by the end of FY '26, the net cash number?

Anurag Mantri: Okay. So net cash of -- right now, we are sitting is actually INR2,647 crores, exactly to be precise. And in terms of the taxation of this, we have actually really worked that very well in terms of -- and we have brought down despite the 3 level of taxation, which is Swiss taxation, U.S. taxation, India taxation on this money flow.

We have actually brought it down to close to a \$90 million of total cash outflow of the taxation. The charge will be higher, but because of various -- we have worked out with the various

Page 15 of 20

structure of absorbing the losses in the various entities. So this has come down to almost 12% to 13% of the total deal value of the cash outflow.

So that will be there and it will be going -- I think large part will be going in H2, but I think balance will be going in the next year also. And this is completely has been built up in our cash flow planning. And as Glenn mentioned, with this, we are -- FY '26, we will be a gross debt zero surely of that.

Glenn Saldanha: And also, Kunal, the business will generate -- a significant cash will get generated in the second half, okay, right, from the business, right?

Anurag Mantri: Expected to be much higher

than H1. So I think -- as Glenn mentioned, it's almost INR8,000 crores of revenue, which is expected in H2. So that's actually also be a strong cash generation.

So besides paying the full gross debt, we will still be a cash positive.

Kunal Randeria: Got it sir. So you will be ending with at least this amount, if not more. That should be...

Anurag Mantri: Amount I would -- Kunal, I would not say that. I think what I would guide is that our first target will be to have paid all the gross debt. And the second will be to actually support all the taxation and discharge all the liabilities in terms of contract. I think what this, I think it's only 2 quarters, so you have to be patient with that, but we will still be a cash positive.

Moderator: The next question is from the line of Tarang from Old Bridge Asset Management.

Tarang: Just on the India business, in terms of inventory rationalization, the channel unloading that you have done, what is the quantum of it? Is it close to about INR1,000 crores?

Glenn Saldanha: A little less than that, I'm guessing.

Anurag Mantri: Yes, around INR1,000 crores. It's almost -- see, our targeted run rate, as Glenn mentioned, going forward is INR1,150 crores plus. So I think that's what -- I think if you remove that INR150 crores what we have booked, so close to INR1,000 crores and maybe a little higher than INR1,100 crores sort of number we could have hit this quarter.

Tarang: Got it. Second, the INR830 crores IGI and onetime charges line item, it doesn't include the R&D associated with IGI in Q2, right, that...

Anurag Mantri: No, it does not. It only included the onetime charge. It does not include the running expenses of R&D.

Tarang: Okay. Glenn, just you have attributed a lot of your write-offs in this quarter and the previous quarters to your spend on innovation. But if you look at the last 12 quarters, right, the quantum of write-offs that the business has taken, it's actually a 1:1 :1:1 split between Monroe, India, Zetia and other antitrust regulations.

And the fourth one would perhaps be related to your intangibles or your R&D spends okay? The question really is -- and if you add them up, the quantum is pretty significant, and we can take

Glenmark Pharmaceuticals Limited
November 17, 2025

Page 16 of 20

the numbers offline. But really, the idea here is to look forward and try to get a sense on what are the kind of controls that you've instituted within the organization.

And this is -- I mean, this is not specifically only to Glenn. It's really everyone who's listening to the call, the top management, the Board, the CFO rather, right? This can't keep happening, Monroe, litigation, India and obviously, the R&D, the IT innovation spends. So just wanted to get a sense on how are you really fool-proofing it going forward?

What are the checks and balances, the controls that you're doing? Are there additional committees that are being set up? Do you have someone who's really keeping a razor eye margin -- razor eye sight on what's really happening, please?

Glenn Saldanha: So Kunal...

Tarang: No, this is Tarang.

Glenn Saldanha: So the first part, right, look, many of the things you mentioned, right, we had a difficult patch as an organization, right? There's no taking that away, right? Whether it's Monroe, right, all the FDA challenges we faced and the fact that the facility has not manufactured anything for the last 3, 4 years, and we continue to have that operating expenses.

Intangibles a lot of the intangibles, we were able to take certain write-downs. Zetia, we booked the revenues. Unfortunately, we had these class action lawsuits where we had to pay back a lot of things. So I mean, these are not in anyone's control, okay? From an operational standpoint, it's impossible to predict any of these, right?

Otherwise, we -- from an overall business perspective, right, we have very strong contr

ols in

place, right? We have a lot of governance committees that are formed now to look at the various aspects of the business. We have a great leadership team overseeing most of our businesses. But some of the 3, 4 points that you mentioned are clearly -- it's impossible to predict, right?

The issues we faced in Monroe or the issues we faced with regards to the litigation costs that we ended up incurring. And even there, I mean, we have strong compliance committees now in place, right, to oversee some of the litigation aspects, right, to make sure we don't have those issues again.

So I think as an organization, right, we've evolved significantly. But there's no taking away that the last 4, 5 years, right, prior to the 2001 deal were difficult years because we got hit with a lot of different things from different areas, right, be it litigation, be it Monroe, be it some of our other business challenges that we faced, right?

And that, obviously, in my opening commentary itself, I mentioned, led to increase in the debt level and led to increase in certain things that we had to do, right? -- from a cash flow perspective, right? Today, we are in a very different place, okay, right? I mean today, the business is rock solid. The growth is very strong. Margin profile is strong. We are sitting on cash, and we will continue to sit on cash. We'll have no debt on the books.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 17 of 20

So there are lots of -- there's a lot of strength in the underlying business, okay, today, which we never -- which we struggled to keep in the past, right, or have in the past. So I think that gives us the confidence that the next decade will look very solid for us, right, given all that we've got going, plus we are unique in terms of innovation.

Nobody else has a pipeline that we have. Nobody else has a platform that we have globally. So I think my personal view is the next 5 to 10 years should be transformational for Glenmark. And I've been doing this 25 years now, right?

It's not -- and as I said in my opening comments, right, we've delivered significant returns to shareholders, 200x when you think about it, right, since IPO, right, in terms of shareholder value creation, revenues growth. So look, we are a fundamentally very solid company, okay, right?

We've had a phase -- certain phases, every organization goes through certain phases where there have been challenges, right?

And unfortunately, we got hit with all this in the last 5 years. But now the 2001 deal and the kind of cash flows and the strength in the underlying business, right, overall, the next 5 to 10 years should look very strong for us.

Tarang: Got it. Just -- yes. Glenn, just to retort to it. I think like you called out, right, the last decade, so to say, for the business has been quite challenging from the point of view of the kind of deployments that you did in your innovation business. And the longevity of this business takes time. And in some sense, ISB 2001 has been a strong reminder of the capabilities that you've created.

But what's also happened in the last 3, 4 years, so to say, with the business is that for reasons that are best known and for challenges and risks that are best being navigated by the business, the business has not been able to deliver on free cash flow. So while -- and it somehow comes back ended with these write-offs coming through, and that's where probably our sort of concern stems from.

So what's done is done and as you have called out and the teams called out that you are looking forward to the future, the only request here is that if you all could create a mechanism where there is actually some kind of tap in terms of trying to manage your free cash flows.

And because as analysts tracking this business for the last 5 years at least, while you've been running it for the last 25 years, been tracking it for the last 5

, 6 years, these write-offs are

extremely difficult for us to also evaluate the longevity of the business going forward.

So a sincere request if this is something that as much as it is under your control, obviously, you're running a business, there are risks associated with running a business. But as much as it's under your control, if you could really put a needle on it, it will be really, really helpful.

Last question, over the next 2, 3 years, for all the cases that have been settled, the quantum of cash flows in the next 3 years would be in the ballpark of INR800 crores to INR1,000 crores.

Does that number hold good? Or could -- is there an upside risk to that as well?

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 18 of 20

Glenn Saldanha: Sorry, can you repeat that? For all the cases that have been settled...

Tarang: On the litigation spends for different cases that the business has undergone, right? Litigation

spends, the cash outflow, while you'll have taken a provision for it, but you'll have cash outflows coming through some bit of it in '26, '27 and '28. The number that I'm building is about INR800 crores to INR1,000 crores. Is that the number or it's significantly lower or higher? Will be helpful?

Glenn Saldanha: It's slightly lower than that. Okay, Tarang.

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Thanks for the cash flow reconciliation that Anurag offered at the consolidated level. Just wanted to understand at the subsidiary level, at the IGI level. So this entire \$700 million, I assume came to IGI. And how much of it is still with IGI?

Anurag Mantri: No. So IGI, as we outlined that as a capital allocation, we have said that IGI will be covered for next 3 years of their capex allocation, which is \$70 million per annum. So almost \$210 million to \$225 million will be allocated to IGI. And most of them actually has been -- because IGI is a wholly owned subsidiary of Glenmark Holding.

So most of that has been actually then come back as a thing. And then some of this will be because of the tax planning perspective. Some of this will be dividended out in the next year. So it will be a phased out dividend. But for IGI capital allocation, it's only \$210 million to \$225 million, which is allocated for them.

Bino Pathiparampil: So out of the \$700 million, only \$210 million, \$220 million goes to IGI. The remaining came to some other entities of Glenmark. Is that right? Is my understanding right?

Anurag Mantri: Yes, yes. Basically, that will flow through everything to Glenmark. And it will be parked in treasury surpluses.

Bino Pathiparampil: Okay. So out of the current \$700 million cash, which is on your consolidated books, almost entirely when you say \$200 million, roughly 70%, 80% of that is sitting on IGI books now. Is that my understanding correct?

Anurag Mantri: Not IGI books partly is actually as of September, but then we have transferred the money into October also then even if it's IGI, not physically sitting with IGI actually because then it's been actually crossed -- there was an intercompany debt which has been there. And because Glenmark has a better strength to earn the treasury income. So that has been now we are -- see in treasury, we are running on a consolidated basis. So that's how we are actually parking into treasury.

Bino Pathiparampil: Sorry. So the entire money came into Glenmark, I mean, non-IGI Glenmark entities. Is that correct? Entire \$700 million then?

Anurag Mantri: Yes. So physical fund wise, everything, whether it's in the form of loan or the dividend or the other flow-through, it's been under control of Glenmark.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 19 of 20

Bino Pathiparampil: Okay. And you will transfer \$70 million a year to IGI for the expenses?

Anurag Mantri: Right, absolutely. \$35 million

for this year, H2 and then \$70 million every year as we committed.

Bino Pathiparampil: Understood. And this \$70 million will be fully expenses, will it pass through P&L as well because that is expense which is incurred by IGI, right?

Anurag Mantri: Yes. So in P&L, you will see a revenue item of \$70 million every year and corresponding expenses. So it will be neutralizing that.

Moderator: The next question is from the line of Kartik Bane from Bajaj Life.

Kartik Bane: So my question is on the product. So 4 assets that we mentioned on the multi-specific platform, are they all trispecific antibodies or also various other antibody formats like bispecific, scFv, Fab, etc? And the second question is about the time line that you mentioned 5 years. Is this a time line for recognition of the revenue, out-licensing revenue from these 4 assets? Or is this a time line for these preclinical assets to enter the clinical Phase I?

Glenn Saldanha: So when we say multi-specific, right, all these are more than trispecific or more than trispecific, right? So they have multiple binding sites, right, on the antibody. So this is all next-generation programs that we are working on, right, which can be transformational just as we did ISB 2001.

Regarding your question on time line, we said we will -- 2301 enters the clinics next year, FY '27, right, which again is a multi-specific. And then beyond that, as we go forward over the next 5 years, you'll see one by one of these assets coming into the clinics. Regarding time line to partner, we said we will continuously evaluate partnerships, right? And we will try and close partnerships in the next 5 years, right, as we go forward.

Moderator: Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi: Yes. Thanks. I'll just hand it over to Glenn for his closing comments.

Glenn Saldanha: Yes. Thanks, Utkarsh. So just to close, right, I think, look, this is the best phase of Glenmark I have ever seen in the last 25 years as we are making an orbital change for Glenmark, which allows us to reflect the true potential of the company. In summary, my commitments to the shareholders in Glenmark 3.0 is to aim for sales of around 15% every year with an ascent on a

higher branded portfolio.

On the margin side, 23% EBITDA margin moving up to 25% in the years ahead, focus on strong free cash flow and maintaining a zero gross debt balance sheet going forward, improving our return on capital employed of 25% to 30% and continue to focus on improving it further as we move towards a more innovative -led driven portfolio .

Strive to create world -class cutting -edge innovative assets that will enhance value creation for Glenmark shareholders going forward and enhance the payout ratios with an increased free cash flow generation, which should happen in the years to come, starting FY ' 27.

Glenmark Pharmaceuticals Limited

November 17, 2025

Page 20 of 20

With that, I want to thank you all for joining the call today. If you have any follow -on questions, feel free to contact either Utkarsh or anyone from the management, Anurag or myself. Thank you very much.

Utkarsh Gandhi: Thanks, Lizanne. I think we can close the call. Thank you, everyone for joining.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Page 1 of 18

"Glenmark Pharmaceuticals Limited
Q3 FY '26 Earnings Conference Call "
February 02, 2026

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. ANURAG MANTRI – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
February 02, 2026

Page 2 of 18

Moderator: Good morning, ladies and gentlemen. Welcome to the Q3 FY '26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals Limited. Thank you, and over to you, sir.

Utkarsh Gandhi: Thank you, Lizanne. Good morning, everyone, and welcome to the Q3 FY '26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. Before we start the Q&A, let's review the performance for the quarter.

For the third quarter of FY '26, Glenmark's consolidated revenue from operations was at INR39,006 million as against INR33,876 million in the corresponding quarter last year, recording overall Y -o-Y growth of 15.1%. For the 9 months of FY '26, Glenmark's consolidated revenue was at INR132,119 million as against INR100,655 million, recording a Y -o-Y growth of 31.3%.

In terms of our regional performance, starting with India. Sales for the formulation business in India for the third quarter of FY '26 was INR12,986 million as against INR10,637 million in the corresponding quarter last year, recording a Y -o-Y growth of 22.1%.

In terms of secondary sales, Glenmark continues to significantly outperform the IPM in terms of Y-o-Y growth. As per IQVIA, Glenmark's India formulation business recorded a growth of 15.8% in the third quarter and 13% as per MAT December 2025 compared to the overall market growth of 10.9% in the third quarter and 8.3% as per MAT December.

Glenmark continues to outperform the overall market in its key therapeutic areas like dermatology, respiratory and cardiac. Glenmark's India business is ranked 13th with a market share of 2.32%. The company has 11 brands in the IPM, top 300 brands as per MAT December data. And in terms of its key therapeutic areas, Glenmark is ranked second in terms of dermatology, second in respiratory and fourth in the cardiac segment as per IQVIA third quarter data.

In terms of new product launches. So in Q3, Glenmark announced the launch of Nebzmart GFB Smartules and Glenmark Airz FB Smartules, the world's first nebulized fixed -dose triple therapy for the treatment of chronic obstructive pulmonary disease or COPD. Both products combined 3 proven medicines, Glycopyrronium, formoterol and budesonide to reduce airway obstruction inflammation and improve lung function.

In a clinical study conducted in India, this triple -- nebulized triple therapy demonstrated rapid improvement in lung function and better control of breathlessness among patients. The treatment

was well tolerated and demonstrated a good safety profile, offering patients a simpler and more effective way to manage COPD.

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 3 of 18

In terms of some of our other key products, particularly on the innovation/specialty front, TEVIMBRA, BRUKINSA, which we partnered with BeOne and launched in the first quarter. In a short period of time, these 2 brands have seen a very strong uptake in the market as a differentiated treatment option for patients across multiple solid tumors as well as hematological tumors. The company expects these 2 brands to meaningfully contribute to the India business growth over the next 2 to 3 years.

Lirafit, the company was the first to launch the biosimilar of Lirafit. It continues to hold a clear market leadership position in the liraglutide market and gives a good segue for the company to launch other GLP-1 agonist also. And JABRYUS,

which Glenmark partnered with Pfizer and

launched in January 2024, this continues to be well received by dermatologists as a novel treatment for moderate to severe atopic dermatitis with improved efficacy as well as oral convenience to patients.

In terms of the Consumer Care business in India, the GCC business delivered sales growth of 21.5% Y-o-Y. The flagship brand, Candid Powder, delivered a strong revenue growth of around 17% in the third quarter and has -- now holds more than 56% market share as per the IQVIA data. Scalp portfolio also delivered strong revenue growth of 50 -plus percent in the third quarter, and some of the other brands like Bontress, Aloevera, Episoft also delivered high double-digit growth during the third quarter.

Moving on to North America. The North America business recorded revenues of INR9,706 million for the third quarter of FY '26 as against revenue of INR7,813 million for the third quarter. This includes the out-licensing income for ISB 2001. Net of that, the core business Y-o-Y growth for the North America region was 4.1% in the third quarter.

Glenmark launched 4 products in Q3, all injectable products, which included sodium bicarbonate injection, ropivacaine injection, epinephrine injection and Leucovorin calcium injection. Two ANDAs were filed during the quarter. Glenmark plans to file 3 ANDAs in the upcoming quarter.

In terms of our respiratory portfolio for the U.S., Glenmark has filed 2 ANDAs for generic nasal spray and the rating approval for the same. The company has already filed the ANDA for generic Flovent 44mcg in May 2024. And in Q3, we also filed the ANDA for generic Flovent 110. And the company is also working on other respiratory products, which are in the pipeline and will be filed over the upcoming quarters. Glenmark's marketing portfolio consists of 214 generic products and currently has 53 applications pending at various stages of the approval process. In November 2025, Glenmark announced that it had received the EIR from the U.S. FDA for its foundation manufacturing facility in Monroe, North Carolina, with a voluntary action indicated, or VAI status. With this positive development, the company will restart manufacturing at the Monroe site.

Moving on to Europe. Glenmark's Europe operations for the third quarter of FY '26 were at INR7,963 million as against INR7,297 million, recording growth of 9.1%. There was a recovery in the European business during the third quarter, particularly due to the onset of the winter season, which aided the growth of the respiratory portfolio.

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 4 of 18

As per the secondary sales data, Glenmark continues to outperform its covered market in CEE countries such as Czech Republic, Poland and Slovakia. There were 5 new product launches in that region, which also aided the growth. In the generic markets of Western Europe, Glenmark's performance remained stable with strong achievement in Germany and the Netherlands.

The branded respiratory portfolio in Western Europe also sustained its momentum. Glenmark continues to focus on increasing contribution from branded markets and portfolio in Europe. Glenmark announced the launch of WINLEVI in the U.K. market earlier this year, and the brand has seen a strong uptick throughout the year in the U.K.

In October 2025, Glenmark's partner Cosmo received marketing authorization approval for WINLEVI in the European Union as well and Glenmark is now planning to initiate the commercial launch in its licensed European territories by Q1 FY '27.

Moving on to emerging markets. For the third quarter of FY '26, revenue from the emerging markets region was INR8,119 million as against INR7,491 million for the corresponding quarter last year, recording a growth of 8.4%. Our Russia business continues to perform well. As per

the IQVIA secondary sales data, our Glenmark's Russia business r

eported growth o f 15.1% in
Q3 and MAT December.

In its core therapeutic areas of dermatology, Glenmark recorded faster secondary sales growth than the overall market, and Glenmark continues to rank ninth in dermatology and second in the expectorant market. RYALTRIS as one of the key brands in Russia con tinues to gain share. The Latin America region delivered high double -digit growth in the third quarter. Key markets, which are Brazil, Mexico witnessed a strong recovery on the back of multiple differentiated product launches in the respiratory segment. RYALTRIS, again, is a ke y brand here, particularly in Mexico, and is awaiting approval in Brazil and is expected to help sustain the high growth in the region.

In the Middle East/Africa region, our secondary sales growth remains subdued in key markets, mainly on account of some new product launch delays. RYALTRIS, however, continues to see strong pickup post its launch in key markets in the region such as Saudi A rabia and in the leading energy product in South Africa. The region is expected to show gradual recovery towards growth starting in the fourth quarter.

Key markets in the APAC region, such as Malaysia, Australia, recorded double -digit secondary sales growth during the third quarter. The overall region is expected to maintain strong performance in the forthcoming quarters. Glenmark continues to remain one of the leading dermatology and respiratory companies in the APAC region.

A quick update on our global innovative portfolio. RYALTRIS -- starting with RYALTRIS. So as of December 2025, marketing applications for RYALTRIS have been submitted in -- to more than 90 countries across the world. The product has been commercialized in 52 markets and is expected to be launched in additional 10 to 12 markets over the next few quarters. In Q3, we launched RYALTRIS in 3 addition al markets, including Colombia.

Glenmark Pharmaceuticals Limite d

February 02, 202 6

Page 5 of 18

As per the IQVIA data, RYALTRIS continues to see a robust performance both in terms of value and unit market share and has recorded global secondary sales growth of 50% plus Y -o-Y. Glenmark's partner companies across Europe and emerging markets continue to witness a steady increase in its market share in all licensed markets.

Glenmark and its partner in Mainland China, Grand Pharmaceuticals, secured approval for RYALTRIS in October 2025. The product is expected to be launched by Q1 of FY '27. And Glenmark's partner in Thailand, Organon, is also planning to launch RYALTRIS in Q4 of this year.

WINLEVI, as mentioned earlier, company launched WINLEVI in the U.K. market in Q1 and saw a strong uptake throughout the year. Glenmark's partner received marketing approval for WINLEVI in Europe, and Glenmark is planning to initiate commercial launch in a licensed European territories by Q1 of FY '27. And WINLEVI is currently under regulatory review in South Africa as well, where Glenmark has the rights -- commercial rights.

QINHAYO or Envafohimab, Glenmark has filed QINHAYO marketing applications in 18 markets till date, the first commercial launch is expected in FY '27. Other companies received authorization from regulatory authority in Kenya, Mauritius, and Uganda for suppl y of QINHAYO via early access programs or named patient programs. And as announced earlier, Glenmark also initiated a global multicenter Phase III study in resectable Stage III neo -adjuvant or adjuvant non -small cell lung cancer.

Trastuzumab Rezetecan, partnered with Hengrui in Q3. Glenmark advanced its preparations for the initiation of marketing applications for Trastuzumab Rezetecan, a next -generation HER2 -targeting antibody drug conjugate, which was in -licensed in the second qu arter from Jiangsu Hengrui Pharmaceuticals for several emerging markets. The company expects the first wave of MA applications to begin in Q1 of FY '27.

Lastly, Aumolertinib partn

ered with Hansoh in the third quarter of FY '26, Glenmark entered into exclusive license and collaboration and distribution agreement with Hansoh Pharmaceutical Group for Aumolertinib, a third -generation EGFR tyrosine kinase inhib itor for the treatment of non-small cell lung cancer.

Glenmark gained rights to develop, register and commercialize Aumolertinib across Middle East, Africa, Southeast Asia. Australia, New Zealand, Russia/CIS and a few selected Caribbean countries. Aumolertinib was approved in the U.K. in June 2025 for the fir st-line treatment of adult patients with locally advanced or metastatic non -small cell lung cancer with activated EGFR mutations and the treatment of adult patients of locally advanced metastatic EGF R T790 mutation positive NSCLC.

Hansoh has also received positive CHMP opinion in the third quarter with an MA approval expected in the fourth quarter. And Aumolertinib is approved for 4 indications in China and is already marketed in China. Glenmark is preparing to initiate marketing authorization applications for Aumolertinib in the first half of CY2026 and commercial launch anticipated during the second half of FY '27.

Glenmark Pharmaceuticals Limited
February 02, 2026

Page 6 of 18

Lastly, on IGI. So Glenmark's -- IGI features a robust pipeline of innovative oncology molecules targeting multiple myeloma and solid tumors. And IGI also has 2 autoimmune assets which have been out-licensed to leading companies and are in clinical development. For ISB 2001, IGI is currently executing the Phase I study in Australia, United States and several European countries. The study continued to dose expansion in April and is continuing to rapidly enroll patients. Our next clinical molecule in oncology, which is ISB 2301, part of the IMMUNITE platform. This is a first-in-class multi-specific NK-cell engager developed for solid tumors in the first program from IGI's IMMUNITE platform. As mentioned earlier, a clinical candidate was selected in October 2025. The program has now entered IND-enabling stage, and we are expecting to file the IND before the end of calendar year 2026.

In terms of our immunology portfolio, ISB 880, which is partnered with Almirall -- so Almirall's Phase II clinical study in Hidradenitis Suppurativa continues to advance with ongoing patient recruitment and dosing, reinforcing the program's strong operational progress. Almirall also plans to initiate POC for adult additional inflammatory skin diseases for the -- for ISB 880, And ISB 830 Phase I trial was initiated in the first quarter of calendar year 2025. Astria presented initial data at the EADV conference in September 2025. And now we are working to actively evaluate the most promising path forward for this molecule to accelerate development. From the Glenmark management team, we have Glenn Saldanha, Chairman and Managing Director; and Anurag Mantri, Executive Director and Global CFO. I'll now hand it over to Glenn for his opening comments.

Glenn Saldanha: Thank you, Utkarsh, and good morning, everyone, and welcome to the Q3 earnings call. If I look at the third quarter, Glenmark, we delivered strong growth in the third quarter with a broad-based growth across most of our markets. While the overall geopolitical uncertainty remains prevalent, depreciating global currencies helped our overall performance during the third quarter.

In the third quarter, we continue to launch some very exciting innovative products in our core therapeutic areas such as GFB nebulizer in India in the chronic respiratory segment. Also some of the products that we launched earlier TEVIMBRA and BRUKINSA continue to drive our India performance.

The positive outcome at Monroe has long-term strategic value for our U.S. business. In this quarter, we also partnered with Hansoh for Aumolertinib, which is the third-generation novel EGFR. We're pretty excited about this asset because

it will come to market in the second half of FY '27 and can significantly enhance our overall innovative franchise.

If you look at innovative franchise, we have about 7, 8 products, innovative-led global assets, which will drive our sales growth over the next 5 years, primarily in the areas of oncology, dermatology and respiratory medicine.

IGI. On the back of 2001, we continue to do exceedingly well with our IGI platform. 2001 is progressing well in terms of the dose expansion study, and we're expecting 2301 filing by the end of this calendar year, which we're pretty excited about.

Glenmark Pharmaceuticals Limited
February 02, 2026

Page 7 of 18

Going forward, we expect a strong finish to FY '26 with good growth, particularly in the U.S., where some of our respiratory launches that we are anticipating in the fourth quarter of this year. Our India business continues to outperform the market, and we see good long-term growth levers, especially in chronic respiratory and our oncology franchise.

We think TEVIMBRA, BRUKINSA is the first launches, we will also launch eventually Aumolertinib and the Hengrui asset and various other assets in India, which will drive the sales of our India franchise. So we see very strong growth coming out of India over the next 5 years. We will also launch Aumolertinib in the second half of FY '27, and we'll keep scaling up RYALTRIS and WINLEVI going forward. RYALTRIS will be a \$100 million product for us this year and continue to scale as we go forward.

So in summary, the next 5 years, continue to remain pretty exciting for Glenmark in terms of

growth performance across all the parameters, and we continue to move up the value chain in - especially with our innovative franchise over the next 5 years through the 7, 8 launches, which will clearly define the company and the future as we go forward. We clearly remain on track to achieve our overall objectives that we laid out as part of Glenmark 3.0. With this, I'll hand it over to Anurag to give his opening comments, and then we can take Q&A.

Anurag Mantri: Thank you, Glenn. Good morning, everybody. We delivered on our near-term guidance with a strong revenue performance and the margin profile of 23% in this quarter. The business growth was helped in part by the currency depreciation across our key geographies. However, our base business performance continues to remain strong, especially in key branded markets.

With our gross margin in current quarter was impacted by the product mix. However, we saw a good operating leverage, which helped overall margin. We continue to remain net cash positive and are on track to beat the target that goes debt 0 by March '26. Multiple initiatives are ongoing to help normalize working capital movement to remain around 115 days of net working capital days, in line with our guidance by March '26. We remain confident of closing FY '26 on a strong note and foresee a good start to our next growth journey of Glenmark 3.0 from 2027 onwards.

Thank you.

Utkarsh Gandhi: Thanks, Anurag. So with that, I think we can open the floor up for Q&A. Lizanne, over to you.

Moderator: Thank you. We will now begin for the question-and-answer session. The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on your comment around gain from currency depreciation during the quarter. So if you can just quantify how much was that? And excluding that, what kind of growth you would have recorded?

Anurag Mantri: So Damayanti, currency depreciation sits in the -- goes into the multiple part of the P&L. So in a normal business case, whatever the revenue and in terms of the changes converting that revenue from that geography into the rupee term, that goes and sits in the normal EB ITDA side. And if you see on an exceptional item, there is a currency difference of INR7.3 crores which is only on excep

tional items. So out of exceptional item, INR177.8 crores is due to the labor court

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 8 of 18

and balance INR77 -- sorry, INR7 crores is because of the exceptional item. And so it sits into the multiple part of the businesses, and it's difficult to actually quantify that.

Damayanti Kerai: Okay. My second question is on the Flovent status from the FDA. So since your last communication, have you heard anything incremental? And when do you expect the agency to come back with its decision?

Glenn Saldanha: So all I can say is we've had multiple discussions with the agency, and we are very close to -- we're hoping we'll get an approval very quickly on Flovent 44.

Damayanti Kerai: Glenn, you mentioned respiratory will be significant in the fourth quarter. So Flovent will be part of that?

Glenn Saldanha: We are hoping that Flovent is part of it, but we also have the nasal spray and various other products in the respiratory franchise, which could get approved in Q4.

Damayanti Kerai: Okay. And my last question is on your working capital management. You mentioned 115 days is something which you are targeting by March '26. So in terms of key changes and progress if we can walk like what are the key initiatives and how things are shaping since last quarter when we had some write-offs, et cetera. So if you can just and talk a bit about your working capital management part?

Anurag Mantri: Yes. So Damayanti, we have initiated multiple options basically. So one was on the sales side, basically to get the debtors reduced and that is through the factoring and some of the other instruments. So including the other market like Europe and LatAm, which we were not doing again, and which obviously at a -- we will be very cost conscious on this part.

So that's one on the sales side. And similarly, on MSME and vendor side also, we are trying to elongate the payment cycle. So the RBI-related legitimate channels, which include vendor financing and some of the vendor bill discounting sort of thing, which will help us to move both on the sales side as well as on the purchase side to reduce the working capital cycle.

Damayanti Kerai: Okay. Against December, where do you stand against this target of 115 days?

Anurag Mantri: Right now, we are actually, again, lower than 115 days. But as the business activities increase, that's why we are keeping. But right now, we are close to 110 days.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, on Monroe now that U.S. FDA issues are behind. So how do we -- what would be the sort of trajectory in terms of business? I guess, product approvals are still not come. So how do we start the commercial products?

Glenn Saldanha: So I think we will start commercial production in this quarter. And we have 1 or 2 approved products, so we will start commercializing that next year, you can anticipate we will sell about

3 products with a number of filings, right, next year. And I think the way to think about Monroe is it's -- it will take some time, right, for the site to be fully -- in full flow, right, in terms of Glenmark Pharmaceuticals Limited
February 02, 2026

Page 9 of 18

commercial production. And at the operating level about, I would say, about 4 years, right, from today, we will breakeven at the operating level.

Tushar Manudhane: And also, how do you intend to increase the number of filings from this side maybe over the next 12 to 15 months?

Glenn Saldanha: I think every year, we will have at least 3 -odd filings, right, from the site. And we are working specifically on very complex injectables, right? So we're not doing any run -of-the-mill products. So that will further enhance the filings.

Tushar Manudhane: Got it sir. And sir, secondly RYALTRIS you highlighted it's \$100 million product now, major

geographies and their contribution, let's say any geography which is contributing more than 10%, 15%. If you could just rephrase that?

Glenn Saldanha: It's pretty broad -based. So Europe, obviously, is a big driver, along with some leading emerging markets like Russia, Australia and multiple other countries, right, which -- where the bulk of the sales are coming from. But I think it's pretty broad -based overall. So there's no country which is more than -- no geography, which is more than 20%, 25% of sales, somewhere thereabouts.

Tushar Manudhane: Got it, sir. And lastly, on gross margin, like if I exclude the out -licensing income, the gross margin, while it's highlighted that it's a product mix, but is there anything further because without the out -licensing income, the gross margin is much lower at 65%?

Anurag Mantri: So it's largely because of the product mix and geographical mix because of that. I think -- but I think we are on track. I think we should be on -- I think you will see a recovery on this. And what we see our guidance is the overall at EBITDA level, we are on track to deliver our guidance of 23% on a sustainable basis.

Glenn Saldanha: Also just one point on gross margin. If we get these new product approvals, right, in Q4, you will see a definite uptick in the gross margin.

Tushar Manudhane: Got it sir. And sir, just a request and a suggestion that if you could put the R&D expense in the presentation or the press release itself, given that it's a core sort of for Glenmark Pharma, it would if you are putting it in the opening commentary in the presentation.

Glenn Saldanha: Sure, Tushar. And just to reiterate to R&D for this quarter was INR290 crores, total R&D.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Glenn, in Europe, you have shown a rupee growth of around 9%. But I think the currency appreciation. I mean -- sorry, rupee depreciation would be around 15%? So do you decline in constant currency in Europe?

Glenn Saldanha: See, I think Europe, the way to think about Europe is we've had a phenomenal last 3 years or 4 years, right? I mean, the business has done exceedingly well, if you look at our European business, right? Given that the first half, we've had some challenges in terms of growth, right, in the first half. Going forward, I think Europe, you should expect like a single -digit to low -double -digit growth from here, right, given that we've grown our 25% CAGR over the last 3, 4 years.

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 10 of 18

Kunal Randeria: Sure. But I think you had earlier mentioned that maybe in the medium term, it can grow in double digits. So is it because launches are a bit slow. See, '26, I can understand from a base of '25, but about FY '27, '28. Can you still grow in double digits?

Glenn Saldanha: I think we can grow double digit in Europe. I mean the key is we are waiting for some new product approvals, right? I mean, for example, in F '27, we should have at least a couple of respiratory product launches, right, which should drive Europe. Also, RYALTRIS, we should see some incremental growth coming in Europe in F '27 and beyond.

So overall, the business and WINLEVI also will contribute, right? I mean we're just launching WINLEVI in U.K. and in Europe. So overall, the business should continue to do well, right? But I mean, just to be conservative, we are seeing high single digit to low double digit, right, growth for Europe going forward.

Anurag Mantri: Increasing contribution of branded market will aid to this actually.

Kunal Randeria: Fair enough, fair enough. Sir, secondly, on the ISB product at 830 and 880, and I see both products are progressing well now. So can you share what can lead to milestone payments for you?

Glenn Saldanha: We don't give any visibility to specific milestones, right, as a

company. I mean, we've stayed away from that. So I think look, I think the takeaway message is we have 3 innovative assets all progressing well in the clinics, right? So 2001 continues to do well for us. Additionally, 880 with Almirall starting the Phase II, that's an exciting asset.

And then, of course, 830, right? So I mean, we have these 3 assets in the clinics. And hopefully, this year, by the end of this calendar year, we'll have 2301 also going into the clinics, right? And we have a good pipeline of innovative assets from here on, right?

But I think from a commercial perspective, the way to think about it is the next 5 years, right, will highly -- will be contributed by these 7, 8 innovative assets, right? The Hansoh, Hengrui, envafolimab, Ryaltris, WINLEVI, TEVIMBRA, BRUKINSA, I mean these are the next 5 years.

And then post that, the following 5 years, will be all about 2001 and some of these immunology assets and some of the rest of our portfolio. So I think that's the next 10-year journey right for the company, right, on the innovation side.

Kunal Randeria: Sure. And just one more if I can. You have increased your filing pace in the U.S. So can I ask for which plants are you doing the filings? Because Indore, Baddi, Goa still I think in the regulatory scanner?

Glenn Saldanha: So I think the way to think about our U.S. business is there are 2 plants, Aurangabad and Monroe, right, where the bulk of our filings are coming out of. Goa and Indore are under warning letter.

So we've tech transferred some of the products to some U.S. CMOs. And I mean we got a sucralate suspension approved which was from one of the warning letter sites. And likewise, we have some other products which are tech transferred to U.S. CMOs. Baddi, we have completely discontinued U.S. commercialization and filings.

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 11 of 18

Moderator: The next question is from the line of Saion Mukherjee from Nomura.

Saion Mukherjee: Just some numbers. This INR290 crores of R&D, if you can split between Ichnos and the rest of the business?

Anurag Mantri: So around 50% was out this was IGI-related.

Saion Mukherjee: Okay. Okay. The second one was regarding your other expenses, which seem to have come off on a year-on-year basis despite currency depreciating impacting costs in many of your international markets. So if you can give some color on why the other expense is coming down?

And how should we think about that going forward?

Anurag Mantri: So other expenses broadly remains in line, but you see on a quarter-on-quarter basis sometimes because of approval and the phasing of the expenses sometimes it goes lower. But I think, overall, we should see inflationary related impact on the other expenses. So this quarter, it looks lower, but I think it's more a phasing and booking issues.

Saion Mukherjee: Okay. And then final, sir, if I can ask on -- if you can share the net cash number and also the capex that you have done for this year, both tangible addition and intangible addition fees?

Anurag Mantri: So capex in this quarter was around INR215 crores, and YTD capex was INR715 crores. And on this quarter, capex, around 55% was on intangible and 45% was tangible. So that's what the broadly capex number was. On net cash, if you see, we remain net cash positive.

And in fact, the gross debt was close to around INR100 crores, and net cash was also close to INR600 crores. In fact, we had a large payment in this quarter of around INR125 crores, which includes IGI tax, dividend, we have paid -- we had a capex amount. So that's -- despite that, actually, we remain on cash -- overall net cash positive.

Saion Mukherjee: So sir, what is the number, sir, sorry? Net cash number is it?

Anurag Mantri: Around INR600 crores.

Saion Mukherjee: Net cash is INR600 crores?

Glenn Saldanha: Saion, gross debt is about INR600 crore

s. And the net cash is...

Anurag Mantri: Net cash is also INR600 crores, around INR1200 crores of cash.

Saion Mukherjee: Okay. Okay. And just in terms of your future liabilities, if you can, what should we sort of pencil in because some of the licensing deals that you've done from various companies in the recent past and also some liabilities related to litigation, if you can have some visibility for this year, next year, how should we think about payouts that if we have to factor in?

Glenn Saldanha: So I think just a couple of things, right? On the legal settlements, obviously, Saion, we can't give too much of visibility, right. However, if you look at the MDL, right, we have done a settlement with the DPPs. That's public information, right? And we still have some of the other classes to

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 12 of 18

go, right, which is mainly the AGs and the EPPs, right, on the MDL, which is probably the

largest right now in terms of legal cases. So that's on that side.

On the innovation side, with us doing these 3 transactions, right, the Hengrui transaction, obviously, some of it is built into the intangible number that Anurag mentioned. And Aumolertinib, we are still in the process of paying that. I think that is the..

Anurag Mantri: So timing -wise, it could be this quarter or it could be early next quarter. I think because it's difficult to actually give you that specific because it depends on the commercial progression of the deal. But I think it could be somewhere at the end of this quarter, early next quarter accordingly.

Glenn Saldanha: And then going forward, beyond that, Saion, the next big milestones are all linked to the launches of these products, but we don't anticipate any big amounts being paid on any 3 of these assets, right? So I think that's kind of where we stand. It's more back ended, royalty -based and sales -linked milestones and -- which are the drivers to the numbers.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings.

Krish Mehta: I have 2 questions. The first is on your specialty business. The 7, 8 innovative assets which Glenn mentioned earlier. So if you could just broadly directionally tell us in terms of how the gross margin level would differentiate from the rest of our portfolio in these 7, 8 innovative assets, including the ramp -up you see in RYALTRIS and where you can see the gross margin eventually settle as we scale up these 7, 8 assets?

Glenn Saldanha: I think that's a very good question. Look, see, oncology assets, the gross margins are significantly higher than where we are today, right, the core business, right? So I think more than the gross margin is also the EBITDA margins will be significantly higher. So there will be a definite margin uplift, right? I would anticipate a lot of this will start playing up from FY '28, not '27. By '28, you'll have Aumolertinib fully commercialized in many, many markets as well as the Hengrui assets starting to commercialize in some of the markets by F '28. So I think the real uplift in the margin profile of the company will happen from the current 23-odd levels, right, will happen from F '28 onwards.

Krish Mehta: Okay. No, that's helpful, Glenn. And if you could throw some light on how the Ichnos quarterly revenue and cost will be accounted for going forward in terms of how we're recognizing the AbbVie payments. If you could just explain on the accounting for the next few quarters, revenue and cost, both?

Anurag Mantri: So on the revenue side, whatever, as you recall, the upfront payment, which we got, we booked INR525 million last quarter -- last quarter, and now there will be equalized run rate of \$17.5 million every quarter. On expenses side, we get a reimbursement, but which -- reimbursement be netted off and goes into the other expenses. So that does not impact the top line and bottom line si

multaneously. So that actually gets netted out as per the reimbursement part and the other expenses.

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 13 of 18

Krish Mehta: That's very helpful. And my last question was what will be the number for this Ichnos quarterly revenue? I mean, the Ichnos quarterly cost that we spend going forward for the next 3 to 5 years?

Glenn Saldanha: So we've guided to a \$70 million run rate, right, in terms of bond for IGI, right. Annualized \$70 million, so we'll stay within that.

Anurag Mantri: And we are booking the exactly \$17.5 million per quarter, which is again \$70 million every year. So that's how we are booking the revenue also. On expenses...

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Pvt Ltd.

Sucrit Patil: I have 2 questions. My first question is to Mr. Glenn, is across Glenmark's core business. You have spoken extensively about the portfolio focus and therapeutic priorities. Just want to understand the key trade -offs you are currently making between investing behind scale in established markets versus nurturing newer therapies in newer areas? And what integral -- internal signals would you lead to rebalance the capital or the management attention between these 2 sectors? That's my first question. I'll ask my second question after this.

Glenn Saldanha: So I mean, Glenmark, we've always been therapy focused, right? Unlike many of our peer companies, we are focused on these 3 areas, right, dermatology, respiratory, oncology. And I don't think it's that easy to switch areas, at least for us, because we have built deep expertise starting from R&D right up to commercialization in these 3 areas, right, which actually is a competitive advantage for us.

That's the way we view it. So I think given that our -- given the expertise that we've built in these 3 areas, we are now expanding our EM franchise, right, India and emerging markets in terms of commercialization with a clear view that longer term, as we get more innovative assets, we could continue to move up the value chain into much some of the developed markets as we go forward. So I mean, the capital allocation between the therapy areas versus getting into newer areas doesn't exist for Glenmark because we built our business basis that, at least for now, right? And

that's the next 5 to 10 years, we will continue to focus on the areas that we have defined for ourselves.

Sucrit Patil: My second question to Mr. Mantri. Beyond high level margins and cost commentary, what are the key early indicators you track internally across pricing, product mix and working capital that give you confidence on profitability and cash flow sustainability before these trends reflecting the reported results?

Anurag Mantri: So good question, basically, what we track, and this is very critical for us because especially when we are operating in emerging markets and across the markets. So we track closely our working capital one is that on a debtors and inventory side because these market consumes a large working capital requirement and also on the purchase side. So actually, how to bring the working capital cycle more efficient and reduce this cycle.

So if you see industry has been maintaining almost operating at 125, 130 days, but we are targeting 115 days this year, and then we will continue to improve -- work on the improvement
Glenmark Pharmaceuticals Limited

February 02, 2026

Page 14 of 18

further. So this is what we closely track, debtors, inventory, creditors days and how to actually improve with the -- with the various instruments, but at a more sufficient cost manner.

Sucrit Patil: Thank you and best of luck for the next quarter.

Moderator: The next question is from the line of [Zahid Kirani 0:45:32] from Khandwala Securities.

Zahid Kirani : I would like to ask that what is the planned capex for the next fiscal

year? And what are the strategic motives behind it?

Glenn Saldanha: I think the capex typically is around running at around INR700 crores, INR800 crores a year.

Anurag Mantri: You should see the same INR800 crores is the capex for next year. Actually next year, we should see.

Glenn Saldanha: So that's the way to think about it. And I think the investment is all going into, one, is ongoing capex , right, in terms of plants, expanding our current lines and various facilities, right? That's the bulk of it.

Anurag Mantri: And Hengrui...

Glenn Saldanha: And some of the in -licensing product.

Moderator: The next question is from the line of Tarang from Old Bridge Capital. Sorry to interrupt, Tarang, we are not able to hear you. Can you speak a bit louder?

Tarang Agrawal Just a bookkeeping clarification. The net cash as on 31st December '25, is over and above what you've reserved at Ichnos or this is on a consolidated basis?

Anurag Mantri: So cash is at a consolidated basis. Basically, Ichnos money we actually keep utilizing as per their phasing requirement. So it's not that we keep that cash separately. So it's a consolidated number, which I told you on that INR600 crores of net cash.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Just one question. Sir, any of the assets now where there is a further scope of the deal, at least from the current assets or probably any new asset that can come up, let's say, over the next 6 to 9 months?

Glenn Saldanha: So Tushar, I can't give you any visibility to further partnering right now. But all I can say is the [inaudible 0:48:06] yes, go ahead.

Tushar Manudhane: No, I meant to ask that at least the products which are already sort of out -licensed to the partner. So is there a scope for getting more partners for such product firstly?

Glenn Saldanha: Look, there is always scope, Tushar, right? I mean, on each of these assets, right? We can always look for some regional partnerships, some smaller partnerships. I mean it can go on and on,

Glenmark Pharmaceuticals Limited

February 02, 2026

Page 15 of 18

right? But I think it's not right to give any visibility around partnering , right, on each of the assets.

One is that we already have and even subsequent assets, right, that we are developing, like 2301 and beyond, right? All of them can be partnered at any point in time. Our bigger challenge for us is that what is the optimal time to do any of these partnerships? And do we really need to do it? Because otherwise, we end up giving up too much if we do it too early.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: Glenn, I have a question on this ISB 2001 asset. So you're still conducting and enrolling patients for TRIgnite studies, right? So just want to understand when this R&D and clinical trial responsibility will be going to the partner? Or you will complete the TRIgnite and like how things work there?

Glenn Saldanha: So unfortunately, I can't give you too much visibility on our relationship with AbbVie, right? But all we're saying is the dose expansion will end, and we will -- we've made significant progress with the dose expansion. And I think any further information you will see in some public communications as and when we are ready to put it out.

Damayanti Kerai: Sure. And my second question is again, yesterday, during the budget speech, I guess there was emphasis on biomanufacturing production in India by the finance investor. Any initial thoughts because I guess you were emphasizing on oncology and other FCD treatments, et cetera. Since you are, I think, focused in these segments, so any thoughts here?

Glenn Saldanha: So currently, we don't do any manufacturing of biologics within Glenmark, right, in-house. We continue to outsource a lot of our -- even a lot of our bi

ologic manufacturing, right? However, I mean we never know how things play out in the future. So it's definitely a positive for the industry.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on 2 businesses, one is in the U.S. U.S., obviously, with a couple of recipe approvals you talked about likely coming through this year in the next few quarters. And you talked about some of the first to files, which will probably come towards the end of the year. So that probably give us decent visibility on '27, '28 growth in the U.S. Now how should we think about U.S. subsequently? I mean, are these sort of one-off drivers which come in and business gets to a base, a relatively high base? And then how should we think about U.S. subsequently from here on? I mean, after these are sort of drivers in the business?

Glenn Saldanha: So I think the way to think about it is '27 is all about Flovent -- Flovent 44 and maybe one more strength of Flovent and the 3 -- out of the 3, at least 2 sole FTFs right, coming on to the market in the second half of F '27. '28 and beyond, we will see some of the Monroe approvals, injectable approvals starting coming through as well as the additional respiratory filings that we're doing over the next 12 to 18 months, right, which, again, are super complex and difficult, right? So I think these are the 2 main drivers to the U.S. business from '28 and beyond, right, as we go forward.

Glenmark Pharmaceuticals Limited
February 02, 2026

Page 16 of 18

Nitin Agarwal: And Glenn, on the recipe filings, when you say these are complex filings. So by when do you think you'll be probably able to be the first of these filings beyond Flovent?

Glenn Saldanha: It's probably happening in the next 3 to 6 months.

Nitin Agarwal: Okay. Okay. And secondly, on the emerging market business. There has been some slowdown this year. But how -- you talked about Europe being a slightly slower sustainable growth from here on? How should we going about the emerging market piece?

Glenn Saldanha: So emerging markets next year should be a strong year for EM, okay? And the core business, we see some significant growth plus, of course, with the launch of this Aumolertinib, right, in the second half of next year, right, starting from then EM should be a significant driver, right, over the next 5 years for the company.

Nitin Agarwal: So this is what like a 15%, 20% growth business on a compounding basis or like a 10%, 15% compounding business? How do you...

Glenn Saldanha: If you see on a 5-year basis, it's north of 20%, very clearly, CAGR.

Nitin Agarwal: Going forward. Okay. Okay. Okay. And lastly, Glenn, on the specialty business. So RYALTRIS obviously scaled up to close to \$100 million as you talked about. Ex of RYALTRIS, when do you -- how meaningful -- when do you see the other launches start to become meaningful for us, say, \$50 million to \$100 million bracket collectively when do they get there?

Glenn Saldanha: See, RYALTRIS is currently growing at 25%, 30%, right, top line. So it's still -- the growth numbers are still very strong in the existing markets. Over and above that, we're still waiting for the Chinese launch to happen coming up. We're expecting a Brazilian approval coming through. So there are still a number of markets where it's still not commercialized, right? So I think getting up to \$200 million, \$250 million is not going to be a huge challenge for us, right, over the next 3 to 5 years.

Nitin Agarwal: And on the ex RYALTRIS portfolio, when do you think it starts to become meaningful?

Glenn Saldanha: Sorry, say that again?

Anurag Mantri: Ex RYALTRIS.

Glenn Saldanha: Ex RYALTRIS innovative portfolio. Is that what you're talking about?

Nitin Agarwal: Yes. I mean, when does this start to become meaningful? Is it \$50 million plus thereabouts in the range overall?

Glenn Saldanha: I

think F '28, you'll see a big, big upswing, right? Because F '28, as I said, you'll have this Aumolertinib plus you'll have some of the Hengrui, some markets of Hengrui. Plus of course,

India will be really meaningful. I mean starting F '27 itself in the second half with Aumolertinib being launched, right, and in India, right?
Glenmark Pharmaceuticals Limited
February 02, 2026

Page 17 of 18

Then TEVIMBRA, BRUKINSA are doing well. The run rate already is massive for TEVIMBRA, BRUKINSA. And then F '28, we'll have these other -- the Hengrui asset also launching. So I think the build-out is very solid, right? And you'll see some good growth numbers. F '28 for sure, you'll be ahead of \$50 million, right, collectively ex RYALTRIS.
Nitin Agarwal: That's nice. And if I take a last one, Anurag -- on the -- when you think about, again, EBITDA margins for the business over the last couple of next 2 to 3 years. I mean, do you see operating leverage? So what will drive business from here on? It is gross margin improvement or this is -- you see also operating leverage inherent in the business, which can drive both -- which probably add to the margin improvement as we go forward?
Anurag Mantri: So basically, if you could see, as Glenn pointed out, is that all these new innovative assets coming in, more branded mix share increasing in our overall mix, emerging market playing very strong for us. I think all this put together, you will see a margin expansion northward of what our guidance is there. But our guidance is right now mostly for this year, next say for 3 to 4 quarters.
But as Glenn mentioned, FY '28, we see all these newer in-licensing assets coming up and all these things playing out, we should see a good positive consolidation in our gross -- in our EBITDA margins. Because it will be operating leverage after this actually because our base expenses have been built out. So it will be costs remain fixed and then you can build it on the platform, which we have built across geographies.
Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia Capital.
Harshit Dhoot: One question from my side on domestic sales. We have clocked a very good performance during the quarter at clocking at around INR1300 crores out of sales. So is it fair to assume that I think is normalized and this run rate is sustainable in the domestic business?
Glenn Saldanha: As I said, see, India is a very strong market for us, right? We are among the fastest-growing companies in India. I mean if you look at December also, we grew at 19% when the market grew at 10%, 11%, right? So very strong numbers, right, coming out of India. And I think for the next 3 to 5 years, India will be a strong growth market for us.
And especially when we launch these oncology products, right, that will further give a good flip to the India growth, right? So both chronic respiratory and oncology will drive India. So you should see this run rate remain more or less at this level or keep growing from here, right, as we go forward in the quarters ahead.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.
Utkarsh Gandhi: Yes. Thank you. A quick reminder to everyone that the information statement and analysis discussed during this call describing the company or its affiliates, objectives, projections and estimates are forward-looking statements, and these are based on current expectations, forecasts and assumptions and are subject to risks and uncertainties, which could cause actual outcomes to materially differ.
Glenmark Pharmaceuticals Limited
February 02, 2026

Page 18 of 18

No representation of warranty, either expressed or implied, is provided in relation to the conversation and the documents provided. And the company undertakes no obligation to update or revise any forward

looking statements, whether because of new information, future events or otherwise. With that, we can close the Q3 earnings call. Thank you, everyone, for joining us today. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes today's conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

Page 1 of 15

"Glenmark Pharmaceuticals Limited
Q4 FY26 Earnings Conference Call "
June 01, 2026

MANAGEMENT : MR. GLENN SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR – GLENMARK PHARMACEUTICALS LIMITED
MR. ANURAG MANTRI – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER – GLENMARK
PHARMACEUTICALS LIMITED
MR. UTKARSH GANDHI – SENIOR GENERAL
MANAGER , INVESTOR RELATIONS – GLENMARK
PHARMACEUTICALS LIMITED

Glenmark Pharmaceuticals Limited
June 01, 2026

Page 2 of 15

Moderator: Ladies and gentlemen, good morning, and welcome to the Q4 FY26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Utkarsh Gandhi, Senior General Manager, Investor Relations for Glenmark Pharmaceuticals Limited. Thank you, and over to you, sir.

Utkarsh Gandhi : Thanks, Ladies and Gentlemen. Good morning, everyone, and welcome to the Q4 FY26 Earnings Conference Call of Glenmark Pharmaceuticals Limited. During today's call, we'll cover our performance in the fourth quarter and overall FY26. We also have an Investor Day coming up in about a week's time where we'll answer more strategic questions around mid to long-term strategy and growth drivers for the overall business.

So before we get into the Q&A, let's review the performance for the quarter. For the fourth quarter of FY26, Glenmark's consolidated revenue from operations was INR37,706 million as against INR32,562 million in the corresponding quarter last year, recording an overall year-on-year growth rate of 15.8%. For the full year of FY26, Glenmark's consolidated revenue was INR1,69,825 million as against INR1,33,217 million, recording a Y-o-Y growth of 27.5%.

In terms of some of the key highlights for the overall company for fiscal year '26, of course, the big highlight was IGI securing a landmark licensing deal with AbbVie for ISB 2001, which was developed using IGI's proprietary BEAT platform for USD 700 million upfront payment and a total deal value or potential total deal value of USD1.925 billion along with tiered double-digit royalties and Glenmark will lead commercialization across Emerging Markets once the product gets approval.

During the year, Glenmark also accelerated its Oncology business expansion in India and Emerging Markets through the in-licensing of commercial rights for Trastuzumab Derivatized from Hengrui Pharma and Aumolertinib from Hansoh Pharma and the launch of TEVIMBRA and BRUKINSA in India. Glenmark India business delivered a strong performance in secondary sales growing at 1.5x the IPM growth for the year and emerged as the second fastest-growing company amongst the top 15 companies in FY26 as per IQVIA.

In India, we launched differentiated products across our core therapeutic areas. So TEVIMBRA, BRUKINSA and in Oncology we launched the NEBZMART GFB nebulizer, the world's first triple nebulizer for COPD and respiratory and GLIPIQ the semaglutide vials and injection for diabetes. RYALTRIS, which is our global brand, continued strong global momentum, recording 50% plus secondary sales growth across its commercial markets in FY26 along with marketing authorization approvals and launched in other large markets like China and Thailand. Glenmark

also initiated end-to-end commercialization of RYALTRIS in the U.S. as well during the year. We have also established our branded Dermatology footprint in Europe with the European approval for WINLEVI and we launched WINLEVI in the U.K. during the first quarter of FY26 .
Glenmark Pharmaceuticals Limite d
June 01, 202 6

Page 3 of 15

In the U.S., we strengthened our generic Respiratory franchise. We got our first product respiratory product approval, which was FloVent, generic to FloVent Fluticasone MDI 44mcg. We got a CGT designation and exclusivity when it did exclusivity -- 180-day exclusivity on the back of that. And we also got approval for Fluticasone Nasal Spray OTC. During the year, we also filed 3 additional ANDAs for the Respiratory in the respiratory category. And w

e also expanded our injectable franchise in the U.S. further. We now have almost 20 products commercialized through partners. Monroe, of course, receive d VAI classification from the U.S. FDA post its inspection in November 2025. This enables a restart of commercial manufacturing and supporting future growth in our injectable and institutional business in the U.S.

I'll just quickly cover the key markets, starting with India. So sales from the formulation business in India for Q4 was at INR10,201 million as against INR9,430 million in the corresponding quarter last year, recording a growth of 8.2% Y -o-Y growth in the quarter. As I mentioned, Glenmark significantly outperformed the IPM in terms of secondary sales as per IQVIA. Glenmark's India formulation business growth was 12.3% during the quarter and 13.5% for the full year compared to IQVIA -- IPM IQVIA growth of 10.1% in Q4 and 9% in March -- in MAT March 2026. Glenmark is ranked 13th in India with a market share of 2.34%. The company has 11 brands in the top 300 -- and in terms of core therapeutic areas, Glenmark continues to be amongst the top companies in dermatology, second ranked in dermatology, third in respiratory and fourth in the cardiac segment as per IQVIA data.

As mentioned before, during the quarter, in Q4, Glenmark launched -- announced the launch of GLIPIQ, semaglutide injection for -- in India for the management of type 2 diabetes. So GLIPIQ is available in both vials and prefilled pen formulations.

The product has been approved by CDSCO following a multicenter clinical trial in India. And the vial formulation supports physician -guided dosing aligned to patient needs, particularly in the early stages. Glenmark also introduced Sankalp, a patient suppor t program designed to support therapy initiations and improve comfort with the injectable treatment.

TEVIMBRA and BRUKINSA were launched in Q1. In a short period, these 2 brands have seen very strong uptake in the market. And the company expects these brands to gain further momentum and meaningfully contribute to the India business in the next 2, 3 years. In Q3, we had announced the launch of NEBZMART, which is the world's first triple -- fixed -dose triple therapy for COPD covering glycopyrronium, formoterol, and budesonide.

As a single easy -to-use nebulized therapy, it minimizes the burden for multiple medications. And Glenmark's strong growth in the chronic respiratory segment in FY26 has been led by this product, along with some other products we've introduced over the years.

JABRYUS in dermatology is a first of its kind oral advanced systemic treatment, and this has also been well received by doctors in the dermatology segment. In terms of the Consumer Care sales in India, so Consumer Care sales were INR1,265 million with a growth of almost 10%. Most of the flagship brands recorded double -digit growth in terms of secondary sales during the Glenmark Pharmaceuticals Limite d

June 01, 202 6

Page 4 of 15

quarter, including LA SHIELD, BONTRESS and some of the newer brands like ELOVERA and EPISTOFT.

Moving on to North America; The North America business recorded revenue of INR9,248 million for the fourth quarter of FY26 as against revenue of INR7,146 million. This translates into a Y -o-Y growth of 29.4%, but net of the deferred out -licensing income recognition for ISB 2001, the core business growth in the fourth quarter was 7.8% Y -o-Y. Glenmark launched 4 products in Q4 and 13 products during the full year FY26 , consisting a mix of oral solids, multiple injectable products and Respiratory as well. In t he fourth quarter, we filed 2 ANDAs and a total of 5 ANDAs applications during FY26 .

Glenmark strengthened its Respiratory franchise, as mentioned before, with the first ANDA approval for Fluticasone MDI, which is generic to FloVent 44 mcg. We were granted CGT designation and as the first approved applicant and we are eligible for 180 -day

exclusivity upon

commercialization. We also received approval for Fluticasone Nasal Spray OTC, filed 3 additional respiratory products and are targeting to launch 2 to 3 Respiratory products in FY27 as well.

Glenmark also initiated the end-to-end commercialization of RYALTRIS in the U.S. to mark a meaningful step in the company's continued expansion in the region. Glenmark would directly read brand strategy, market access and customer engagement for RYALTRIS. During the year, Glenmark launched several other products, as mentioned before. And over the last couple of years, we've built a large portfolio of 20 commercial injectable products through various partners. And Glenmark's injectable manufacturing facility in Monroe received EIR, which will enable the company to restart commercial manufacturing.

Moving on to Europe ; Glenmark's European operations revenue for the fourth quarter of FY26 were INR8,907 million as against INR7,335 million, recording a growth of 21.4% Y-o-Y.

Glenmark's Europe business recorded strong growth during the quarter on the back of its branded business across key markets. The CEE region witnessed double-digit growth across all the key markets on the back of a strong uptick in key products. Western Europe also recorded good growth during the quarter, particularly markets like Germany and the Netherlands.

RYALTRIS continues to gain market share across all the products where -- across all the countries where the product has been launched either by Glenmark or by its partner, Menarini. The company is continuing to focus on sustaining the increased contribution from branded products, particularly in the respiratory and the dermatology segment. As mentioned before, WINLEVI has been launched in the U.K. and has gained good traction.

And we have also received the MA approval and we'll be launching the product in its -- in our licensed European markets in FY27 . Glenmark is also planning to expand its commercial Respiratory portfolio in Europe through the launch of 2 to 3 additional respiratory products in FY27 .

Moving on to emerging markets. For the fourth quarter of FY26 , revenue from the emerging markets region was INR8,979 million as against INR7,898 million for the corresponding quarter Glenmark Pharmaceuticals Limited

June 01, 2026

Page 5 of 15

last year, recording a growth of 13.7%. As per the IQVIA MAT March 2026 data, Glenmark's Russia business recorded secondary sales growth of 11%. Glenmark continues to do well in the dermatology segment in Russia is now ranked 8th as per the IQVIA data.

In LATAM and MEA region, Glenmark recorded good growth in the secondary sales during the quarter. We have launched multiple respiratory products during FY26 in this region, which has aided overall performance. RYALTRIS continues to be the leading nasal spray in Allergic Rhinitis in most of the markets where -- in emerging markets where the product has been launched.

Glenmark plans to launch RYALTRIS in Brazil in FY27 . In the APAC region as well, double-digit secondary sales growth was recorded in key markets like Malaysia and Australia. Glenmark continues to hold significant market share in the overall dermatology and respiratory covered market across the APAC region.

As mentioned, RYALTRIS was approved in China and Thailand and launched in Q4 by the company's respective regional partners, Grand Pharma and Organon , very quickly covering our global innovative portfolio. So we spoke about RYALTRIS. RYALTRIS as a product is now commercialized in 55 markets as of March 2026. It is expected to be launched in additional 8 to 10 markets over the next few quarters, including, as we mentioned, some large markets like Brazil. And in Q4, the product was launched in China and Thailand, and we are expecting significant uptick in the growth on the back of these launches.

WINLEVI, as mentioned, we have launched WINLEVI in the U.K., and we will be

launching -

- initiate commercialization in our licensed European territories in FY27 , QINHAYO, which is envafoimab. So Glenmark as of March 2026 has already filed MA applications in 24 markets in the first commercial launch is expected in FY '28.

But we have also initiated early access programs or named patient programs from regulatory authorities in 7 markets, including some markets like Kenya, Mauritius, Uganda, et cetera. We have also initiated a global multicenter Phase III trial in neo-adjuvant or adjuvant treatment of patients with Stage IIIa/IIIb non-small cell lung cancer , Trastuzumab Rezetecan, partnered with Hengrui.

So Glenmark has advanced its preparations for initiation of MA applications for Trastuzumab Rezetecan, which is a HER2 ADC, which was licensed from Hengrui in Q2 FY26 . Our first wave of MA applications are expected to begin by the second half or by end of first half FY27 . This product has got approval in China for the treatment of HER2 non-small cell lung cancer as well as HER2 breast cancer. And recently, they filed an application -- BLA application for

HER2 - advanced colorectal cancer as well.

Aumolertinib partnered with Hansoh. So in Q3, we had entered into an exclusive agreement with Hansoh for Aumolertinib, which is a third -generation EGFR tyrosine kinase inhibitor or TKI for the treatment of non -small cell lung cancer.

Glenmark has rights across India and most of the emerging markets. Aumolertinib is already approved in the U.K. in June 2025 for first -line treatment of adult patients with locally advanced

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 6 of 15

or metastatic non -small cell lung cancer with active EGFR mutations, and it also received MA approval from European authorities in February 2026. It is marketed across 5 indications in China, and Glenmark has submitted MA applications for Aumolertinib in multiple markets as of March 2026, and the first commercial launch is anticipated during the second half of FY27. Quickly covering IGI. So key updates in IGI. On the oncology portfolio, ISB -2001 or ABBV -2001, the patient enrollment in Phase I dose expansion is progressing rapidly with the goal to determine an optimal dosing regimen. Efficacy and safety data continue to remain promising and consistent with what was previously reported. We also selected our clinical candidate for ISB-2301, and the program is rapidly advancing towards the clinic with IND submission intended for the end of the calendar year 2026.

And in immunology, ISB -880 or LAD191, this is the product licensed to Almirall and the Phase II study in Hidradenitis Suppurativa continues to advance with ongoing patient recruitment. And Almirall also plans to initiate PoC for an additional inflammatory skin disease for this product. And ISB-880 is partnered with Astria or BioCryst. From the Glenmark management team, we have Glenn Saldanha, Chairman and Managing Director; and Anurag Mantri, Executive Director and Global CFO.

I'll now hand it over to Glenn for his opening comments.

Glenn Saldanha: Thank you, Utkarsh. Good morning, everyone, and thank you for joining our earnings call today. FY26 has been a defining year in Glenmark's evolution. Despite an evolving geopolitical environment, we delivered a reasonable business performance and made meaningful progress on the strategic priorities that will shape our future. The major highlight of the year was clearly the IGI landmark agreement that we signed with AbbVie for ISB -2001. This transaction clearly validates that the IGI's proprietary BEAT platform technology works and is -- will work in the future on future assets too.

We are very excited by the broader IGI pipeline, starting with ISB -2301, which we think also could be a world -class asset. We are currently working on filing an IND before the end of this calendar year for ISB -2301. We have 2 other assets in the pipeline now, ISB -

2302 and 2501,

which also look very promising. During the year, we strengthened our branded businesses in India and emerging markets expanded our differentiated portfolio through multiple new launches, advanced our U.S. respiratory and injectable franchise and continue to scale our global brands such as RYALTRIS.

We are also expanding our innovative oncology portfolio in India and emerging markets via some strategic partnerships with Hengrui, Hansoh and of course, Alphamab, the Envafolimab partner. In the U.S., our respiratory generic franchise achieved key milestones, including the approval of Fluticasone 44 MDI, where we have CGT status and Fluticasone nasal spray. We also received an EIR for -- from U.S. FDA with a VAI classification for our Monroe facility, enabling the start of manufacturing and supporting the future growth in Injectables and Institution business.

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 7 of 15

Looking ahead, our priorities remain clear: driving growth in the core therapies, globally scaling our branded business and building a strong innovative Oncology franchise in India and emerging markets and growing our U.S. generics business via Respiratory and Injectables. We will continue to advance IGI's innovative pipeline over the next 4 or 5 years.

FY26 is expected to be a very strong year for us -- I'm sorry, FY27 is expected to be a very strong year for us. In FY27, we are making some strategic investments to accelerate growth in markets like India and emerging markets. We will share more details on the road map at the upcoming investor meet.

With this, I'd like to pass it on to Anurag Mantri to give his opening comments, and then we can initiate the Q&A.

Anurag Mantri: Thank you, Glenn. Good morning, everybody, and good afternoon to all the international

joiners. During Q4 FY26, we delivered broad-based growth across India, Europe and emerging markets. Our growth in the U.S. market was affected in Q4 by the timing of approval for certain key products, leading to lower absorption of fixed costs in that quarter. While gross margins continue to show healthy momentum, core operating margin was impacted by the lower absorption of the fixed costs as well as the higher distribution expenses linked to current geopolitical and supply chain environment in Q4.

On the balance sheet, happy to share that we achieved our guidance of gross debt free at the end of FY26, while maintaining a healthy cash position. During FY26, intangible assets addition were increased primarily due to -- because of strategic in-licensing transactions for innovative business launch of injectables in U.S., etcetera. We view that these are the -- these as a long-term investment, particularly in oncology and high-growth branded markets.

We have now a very strong balance sheet and done with the necessary changes in the businesses. And going forward, we shall see a strong performance in FY27. We also continue to focus on working capital efficiencies and disciplined capital allocation for FY27. We are targeting a revenue of INR17,000 crores to INR18,000 crores and an EBITDA margin of 21% to 22% in FY27, considering growth investment for expansion in India and emerging markets and evolving geopolitical environment, currency movement. We will share with the more granular details on the growth drivers during the upcoming Investor Day. Thank you.

Utkarsh Gandhi: So with that, we can open the floor up for Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on the U.S. business. So you received approval for Fluticasone inhaler in early March, but it seems like the fourth quarter number doesn't reflect any benefit from this product. So can you just help us in understanding how do you see this product

ramping up? And

what kind of market share gain you intend here?

Glenn Saldanha: So as you rightly said, we received Fluticasone nasal spray and Fluticasone 44 MDI at both at the end of March, right? Obviously ...

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 8 of 15

Damayanti Kerai: If I look at like FDA, I think you received approval in early March, sorry...

Glenn Saldanha: Yes. But by the time the product gets to the market and by the time you commercialize, right, March is pretty much ...

Anurag Mantri: There was a supply chain because by the time we took the product to U.S. market because of the disruptions in the supply chain thing. So we could not really achieve the sales -- much of the sales in that quarter. And therefore, that -- as I mentioned, there was a fixed cost absorption issue.

Damayanti Kerai: My second question is on the Hikma partnership for RYALTRIS. So did like you came out of that partnership because you mentioned you'll be doing commercialization on your own?

Glenn Saldanha: Yes. So we've now -- as of April, right, we've commercialized RYALTRIS on our own in the U.S. market. And that's something we are in the midst of doing. We think the team can do a better job, right, by selling the product on our own. So we will -- we'll see how it evolves, right, in the U.S.

But I think overall, the takeaway message is, look, RYALTRIS is a huge product. We have over \$100 million of sales last year. The brand at secondary sales growth is about 50% on the brand right now. So it's doing exceedingly well. We are launching it in markets like both Brazil also this year. We've got Brazil approval.

So that will be a big commercial launch in addition to the U.S. launch. So I think all in all, the brand is doing exceedingly well, right? And we'll continue to grow from strength to strength over the next few years as we go forward.

Damayanti Kerai: Okay. And my last question is, in India, while you have grown above the IPM, it seems like the diabetic market, the diabetic business is still lagging behind the market. So are we not still set in terms of the channel inventories, etcetera? So what is dragging diabetes segment growth?

Glenn Saldanha: Diabetes, as you know, right, there are 2, 3 molecules, right, which we had, which are continuing to struggle, right? So one of them is obviously remogliflozin, right, being an SGLT after dapagliflozin went generic, right? We really struggled to gain market share on remogliflozin, and the second one was teneligliptin with sitagliptin going generic, right? So these are the 2 molecules that continue to struggle in our franchise.

Now with the launch of GLIPIQ, clearly, right? We anticipate that the diabetes franchise will get back to growth, right? You should see growth coming back starting Q1 onwards. So if you look at our India business overall, right, each and every segment in India today continues to outperform, right? I mean in the dermatology space, we're ranked number 2. We continue to gain market share in respiratory, with the launch of GFB neb and some of the other respiratory

launches, right, we are continuing to grow and gain market share.

In cardiovascular, with the Telma franchise continues to do exceedingly well, right? And then, of course, with oncology now with the new launches of TEVIMBRA, BRUKINSA, those are continuing to do well. And then diabetes was the only segment which was lagging, right? But Glenmark Pharmaceuticals Limited

June 01, 2026

Page 9 of 15

with the launch of GLIPIQ, that should change, and you should see good traction starting Q1, right, for the diabetes franchise. So India is on a very strong note. And I think FY27 onwards, you should see strong growth coming out of India.

Moderator: We'll move on to the next question. That is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Glenn, on the revenue guidance, this seems like a pretty aggressive number. So a

ny -- can you

just give us some color on what constituents you're seeing driving growth for us? I mean,

INR17,000 crores to INR18,000 crores on this current base is a pretty large number?

Glenn Saldanha: So I think, Nitin, if you remember the -- our half -- when we did the transaction, right, we have decided to about INR17,000 crores, INR17,500 crores. Now we've made it INR17,000 crores to INR18,000 crores. Clearly, we are seeing strong growth in all our markets. Keep in mind that particularly India and emerging markets with the launch of some of the oncology assets, right? Aumolertinib happening this year followed by Trastuzumab Rezetecan and then Envafole mab, right? The growth rates will be very, very high over the next 4 or 5 years, right? Because of the major launches, right?

We anticipate the innovative pipeline to be a significant contributor for the company over the next 5 to 7 years. And we'll give you more color around it at the investor meet. But from here on, you can see high growth coming, right, on the company, primarily on account of some of the innovative oncology launches, RYALTRIS, our U.S. business also, which has been a drag for the last 4-odd years, right?

Now with the launch of Fluticasone MDI 44 and 2 or 3 more respiratory launches yet this year, right, should -- and then, of course, the sole FTFs that we have, right, which are all coming to -- happening this year. Should help drive the growth. So I think, all in all, barring in Europe, which we think could be high single digit everywhere else, the growth number will be exceedingly high, right, across the board.

Nitin Agarwal: Sorry to push the point, Glenn, but our second half sales and second half typically is a stronger period for us in a year is about INR7,700 crores or thereabouts, right? Even if you analyze that, I think we're still talking of a very meaningful ramp-up on even if you analyze this H2.

Anurag Mantri: So Nitin, basically, as I mentioned in my opening commentary that U.S. sale, which we targeted should have been much higher in Q4, which obviously will -- got spilled over because of this last movement supply chain and go to the market issues in U.S., which will obviously -- so this year, we'll see a full traction of the Fluticasone Nasal Spray Flovent and other launches in U.S. So U.S. should do much better than what we did in last H2 in that. And also the India will continue to grow strongly at 15% plus in the market. And emerging markets and Europe, both should -- so that's how it will contribute to. So it's based on the stack up what we have launched in the various markets.

Nitin Agarwal: And secondly, on the balance sheet, I think there has been a very sharp increase in receivables as well as inventory and payables, specifically the receivables increase is quite stark. Can you explain that?

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 10 of 15

Anurag Mantri: So receivable increase is primarily because of 3 reasons. As we mentioned at the H1 commentary when we mentioned is that there was a one -- largely -- primarily we stopped the pre-collections. So that was one reason. Second reason was that certain of the M&A region collection in this quarter was got delayed because of this entire war situation. So we'll come back to the normalcy with that.

And third was the certain currency translation also of the debtors also sits in that. So I think overall, if you see our net working capital are close to 107 days, which are still best in the industry, and we'll continue to -- we -- if you recall, we gave you the guidance of 115 to 120 days. So we are well within that. And we will continue -- again, FY27 will continue to be the same guidance to have a net working capital best in the industry.

And if you -- also if you see that we did a gross debt 0 because despite all these challenges, certain lower sales in U.S. and all the things, still we achieved a

gross debt 0 with a INR1,200

crores of cash position. So balance sheet is in strong shape. And I think overall, we'll continue to monitor working capital efficiencies very closely.

Nitin Agarwal: And sir, on the working capital, the number of days you computed by annualized in the last quarter the way you compute the number of days?

Anurag Mantri: So we compute the number of days. So you are right. I think except for inventory, which is always forward-looking debtors and creditors are always based on the previous actual numbers.

So only the inventory, you build it up for the forward-looking. So with that.

Nitin Agarwal: Because I was looking at -- to persist at this point, our receivables are up almost INR1,500 crores, INR1,600 crores. I mean even on -- from September onwards, we're up almost like INR1,000 crores for second half of the year.

Anurag Mantri: So if you see, we have -- if you -- inventory, you are seeing that it's actually based on a forecasted basis, it's around 71 days. Debt has come to 107 days and receivables. So overall, we are coming close to 97 days of actually the net working capital. So I said even if you take it on a past basis, it's coming 107 days. So we are well within the range in terms of our net working capital deployment. In fact, -- sorry, go ahead.

Nitin Agarwal: No, sorry, sorry -- I mean I was just saying we should assume the year-end number of days which are there should -- is what should sustain going forward also?

Anurag Mantri: Yes. So as I mentioned that we are clearly maintaining that we will be the best in the industry and 115 to 120 days, we will be below that. So that's what we are targeting that going forward as -- despite that business increasing and everything, we will continue to release cash from the working capital efficiencies.

Nitin Agarwal: And lastly, on the capex, if you can split between tangible, intangibles for the year, and how should we look at this going forward?

Anurag Mantri: So this year, you see intangibles were close to INR800 crores plus because of the reason, as I mentioned in my opening remarks, primarily due to the upfront payment and milestones

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 11 of 15

associated with various partnerships, which we executed in oncology and derma portfolio. We also see some of the BD activity in our base business, especially in U.S., where we launched multiple partnered products in injectable segments.

Because of that, this was more of a one-off, I think, on an intangible, and this was more to support our growth in the future. I think FY27 onwards, we should see a coming down on a normalcy level of around INR900 crores sort of capex number total.

Nitin Agarwal: And just the last one on the liabilities, what are the sort of committed payouts which are there over the next couple of years?

Anurag Mantri: Liability? Sorry that I missed your question.

Nitin Agarwal: No, what I meant is in terms of some certain committed payouts, what are the -- or maybe some licensing deals or some litigation payout, what is that total amount of committed payouts, which are there on our liab for the next 2 years?

Anurag Mantri: So liabilities basically that committed payouts are actually largely mostly related to the legal payment deferment. And second is what IGI income deferment, which we have done of \$70 million every year that is also hitting in the liabilities various part, so which is \$70 million every year.

Nitin Agarwal: I was looking from a cash perspective. What is the cash payout on your committed liabilities which are there for the next 2 years?

Anurag Mantri: We can come back to you with the cash thing. It's largely related to legal expenses deferments and the scheduled payment, how we have committed to that.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: A couple of questions, bookke

eping and one on RYALTRIS. Probably start with RYALTRIS.

Glenn, you started out saying that RYALTRIS is about \$100 million of revenues for FY '26.

What was this number for '25? And if you could give us a sense composition, the geographical composition of the revenue and your outlook for '27 on this given that Brazil is slated to launch.

Glenn Saldanha: So clearly, look, RYALTRIS is a big brand for us, right? And we continue to grow \$100 million is the base for '26, I don't have the precise number for '25. But I think going forward, right, I mean, you should easily assume like we'll grow 30-plus percent, 30%, 40%, at least for the next few years, right on this brand, right, going forward.

Tarang Agrawal: And I mean is there -- is it concentrated in some specific geographic or it's more like fairly...

Glenn Saldanha: It's broad-based, I think broad-based. I think, look RYALTRIS is a global brand for us now, right? I mean we sell in almost all our markets, right? And a couple of markets where we didn't have the product launched was -- Brazil was one of them, which now we're launching this year. And then, of course, the U.S., we go through Hikma, now we are doing on our own. China, we are in the process of launching also. I think sometime this year, we'll launch in China. But I think

post reimbursement, the product will be a significant product in China.
Glenmark Pharmaceuticals Limited
June 01, 2026

Page 12 of 15

So I think it's still -- I would say it's still in the launch phase in many markets. So that will give us the real growth brand this year, right? There are many smaller markets, for example, Thailand and multiple markets where we are still in the launch phase, right?

Tarang Agrawal: Got it. On the P&L, exceptional items are roughly INR373 crores, roughly INR320 crores, INR323 crores on account of a litigation settlement. So I was just curious what the balance INR50 crores is all about. And then also sizable other income this quarter, approximately INR189 crores. So what is contributing to this?

Anurag Mantri: Okay. So largely, the first exceptional item is largely because of the U.S. settlement and associated legal cost of these settlements and various other expenses related to the settlement because these are the settlements as such, and we don't assume any of the liabilities in these settlements. On other income, largely that is because of the translation and the forex impact because of the sharp currency movement that's coming as other income in our P&L.

Tarang Agrawal: Got it. And allocation of R&D spend for Ichnos for Q4 would be about INR150 crores?

Utkarsh Gandhi: Yes, roughly around INR150 crores.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just to -- for FY '26 with respect to that AbbVie deal, how much has been now booked for last 2 quarters since the milestone income?

Anurag Mantri: So we booked around \$17.5 million every year -- every quarter, what we said and which contribute to \$70 million in a year basis. So last 2 quarters, \$35 million were booked.

Tushar Manudhane: Got it. So subsequently in FY '27, again, another, so additional -- as compared to FY '26, so effectively \$34 million will sort of add up in FY '27? I'm just trying to...

Anurag Mantri: Yes.

Tushar Manudhane: Any new approvals which you are sort of factoring in the assumption for FY '27 revenue for U.S. apart from Fluticasone?

Glenn Saldanha: No. So see, in the U.S., we have these 2 sole FTFs okay, right, which are coming up, right? So 2 exclusive products, right, which are coming in the end of Q3 and Q4, right? The second thing is we have a couple of more respiratory launches coming up, right, in the U.S. in FY '27. So I think all that makes us believe that U.S. will be a major growth driver for us, right, in FY '27.

Tushar Manudhane: So effectively, how

much are we considering that the number to scale up because Fluticasone

Nasal Spray and OTC, so that will take its gradual pace to build up. And if you could elaborate in terms of the upcoming respiratory launches, they again like that can scale up the way typical generic product is or it will be gradual?

Glenn Saldanha: So look, we have 3 respiratory products filed. One is fluticasone Rx is expected pretty quickly also. Additionally, we have Fluticasone 110, which is already filed, right? And we have one more MDI, which is filed, which is expected to launch this year. So I think if everything comes

Glenmark Pharmaceuticals Limited

June 01, 2026

Page 13 of 15

through, it will be a strong year for the respiratory franchise. Additionally, we have as I said, the 2 sole FTFs.

Tushar Manudhane: Alright, sir. Because effectively, it is like almost 30% growth over India market will be 15%, emerging markets, maybe another 20%. So there is going to be a heavy lifting, if I do back of the envelope calculation from U.S. and which is like sort of plus 30% sort of a growth adjusting constant currency and apart from that, maybe 5%, 6% of rupee depreciation. So effectively, we are targeting at least 40%, 45% revenue growth in U.S. Is that what you are indirectly...

Glenn Saldanha: I can't give you -- I think that's too granular, okay? Right? But I've given you all the drivers, you can do the analysis, right, on why we believe that the U.S. will outperform.

Tushar Manudhane: Got it, sir. And secondly, with respect to this litigation settlement, is there any further amount that might come up or we have already provided for what?

Glenn Saldanha: So almost -- we are almost done with everything. We have 1 or 2 outstanding cases, which will get settled over the next few years, right? It will take a few more years, but we are pretty much done with everything now.

Tushar Manudhane: And lastly, how much the R&D spend is going to be for FY '27, FY -- Q4 FY '27, First of all, I missed the number, sorry, and full year '27?

Utkarsh Gandhi: Q4 was INR225 crores Tushar.

Glenn Saldanha: Full year is around the same range, 7%, 8% of sales.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: I have 2 questions. My first question to Mr. Glenn is. Just want to understand forward -looking guidance on what type of strategic levers are you placing in '26, '27 to expand the company's leadership in respiratory, dermatology and oncology therapies, accelerate biosimilars and innovate drug pipeline and manage risk from regulatory pricing pressures and global competition. That's the first question. I'll ask my second question after.

Glenn Saldanha: So I think we covered most of the drivers, right, for FY '27, right, in terms of growth drivers, right, across the different markets. We talked about -- we talked about -- sorry, there's a lot of background. Can you go on mute, please?

So I think overall, we touched on most of the most of the growth drivers, right, in FY '27, right?

A lot of the growth will come as we discuss the U.S. -- a lot of the U.S. market growth, right, will be key. The second thing is, of course, India and Emerging Markets with the launch of some of the oncology products and the investments you are making in derm and respiratory expansions, along with our India business, the GLIPIQ launch, GFB launch. So multiple growth drivers, right, will drive our FY '27 guidance, right, to achieve these numbers.

Sucrit Patil: My second question to Mr. Mantri is again a forward -looking one. What type of capital allocation and risk management frameworks are being applied in 2027 to balance dividend payouts with funding for R&D specialty drugs? Any hedge against Forex and raw material

Glenmark Pharmaceuticals Limited
June 01, 2026

Page 14 of 15

volatility? And any levers put into place to sustain

liquidity buffers on large -scale expansion projects?

Anurag Mantri: Sorry, I could not hear the last line fully, but I think let me just try to explain on the -- what I understood is that and then you can add it to that. So capital allocation side, what we said to that we have a disciplined capital allocation. We said that IGI, we are setting aside for the \$70 million for the future spend. R&D, we said 7% to 8%. We'll continue to do that. As Glenn explained that we will be investing in our core businesses this year to expand our core businesses, which we will tell you in detail in our forthcoming Investor Day because we are expanding and we are reinvesting in the businesses.

So this year is actually largely basically the capital allocation is largely on this expansion of our core business, the \$70 million of IGI spend, R&D continue to be at 8% because that's innovation in R&D is -- we see a good growth driver. And continue to be -- and working capital efficiency will continue to maintain to address the -- all the geopolitical uncertainty, what you mentioned, the raw material volatility, currency volatility, all this, we will continue to maintain with a high level of working capital management and efficiencies. So hope I think I covered you.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: Just a suggestion. I mean, there are some basic numbers that we look out for every quarter, net debt, gross debt, capex, R&D. And what we've observed is disclosures are not standard. I mean, some quarters, you'll put forward those disclosures, some quarters, you don't. So it will be helpful if it just saves a lot of time for everyone. So that's one. Second, has there been a leadership change in IGI recently?

Glenn Saldanha: So IGI -- so we take your suggestion on some of the disclosures, right? We look into it. On IGI, we had a guy called Cyril Konta, who was running it some time ago. There's a new lady Lida Pacaud, who is now the CEO of IGI, and she will be there at the investor meet.

Tarang Agrawal: And how long has it been since Cyril has moved up?

Glenn Saldanha: It's been about maybe 6, 8 months, at least 6, 8 months. And Lida was -- she was Chief Medical Officer. So she's been with us for the last 3, 4 years at least.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Utkarsh Gandhi for his closing comments.

Utkarsh Gandhi : Yes. Thanks, Lizanne. A quick reminder to everyone that the information, analysis and statements discussed during the today's call describing the company or its affiliates' objectives, projections and estimates are forward -looking statements. These are based on current expectations, forecasts and assumptions and are subject to risks and uncertainties, which could cause actual outcomes to materially differ.

No representation or warranty either expressed or implied is provided in relation to the conversation and the documents provided. And the company undertakes no obligation to update or revise any of the forward -looking statements because of new information, future events or

Glenmark Pharmaceuticals Limited
June 01, 2026

Page 15 of 15

otherwise. We look forward to seeing you at the Investor Day. And with that, we can close the

Q4 earnings call. Thank you, everyone, for joining us today. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Pharmaceuticals Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.